AIA Engineering Ltd. (AIAENG)

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Call: May 2023

AIAEngineering Limited
May29,2023
To,
TheManager (Listing),
TheBSELimited
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TheManager (Listing),
National StockExchange ofIndiaLimited
"Exchange Plaza",C-l,Block-G,
Bandra-Kurla Complex, Bandra (E)
Mumbai -400051
ScriptCode:AIAENG
DearSir/Madam,
Sub:Transcript oftheInvestors' Conference CallheldonMay25,2023
Pursuant toRegulations 30and46(2)(oa) oftheSEBI(Listing Obligations andDisclosure Requirements) Regulations, 2015,pleasefindenclosed herewith theTranscript ofConference Callbetween theCompany andInvestors onThursday, May25,2023todiscuss theAudited Financial Results andperformance oftheCompany fortheQuarter/Year ended31stMarch, 2023.
Theaforesaid transcript isalsobeing hosted onthewebsite oftheCompany, www.aiaengineering.comin accordance withtheRegulation 46ofSEBI(Listing Obligations and Disclosure Requirements) Regulations, 2015.
Kindlytakethesameonrecord.
Thanking you.
Yoursfaithfully,
ForAIAEngineering Limited
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“AIA Engineering Limited
Post Results Conference Call ”

May 25 , 2023

MANAGEMENT : MR. SANJAY S. MAJMUDAR – AIA ENGINEERING LIMITED
MR. KUNAL SHAH — AIA ENGINEERING LIMITED

Moderator: Good evening, ladies and gentlemen. Thank you for standing by. This is L izann, the moderator for your conference call. Welcome to the post results conference call of AIA Engineering

Limited. We have with us today the management team of AIA Engineering Limited. As a

reminder, all participant lines will be in the listen -only mode . Later we will conduct a question -and-answer session and th at time if you have a question , you may please press star and one.

I would now like to turn the conference over to AIA Engineering management team. Thank you, and over to you, sir.

Kunal Shah: Yes. Thank you so much. A very warm welcome to everyone. We are happy to report end of this year, fiscal year '22 -'23. And the numbers for this year are very, very encouraging. We've seen growth after last few years of stall on account of various reasons. We ended the fourth quarter with sales of 73,500 tons on a production of 74,674 tons, translating into sales of INR1,251 crores, an EBITDA line item of INR 379 crores and profit after tax of INR 268 crores.

Major highlights for this quarter was when raw mate rials. Also, I'll just talk about the highlights for the year. We've done 291,000 tons for the full year. That's up from 260,000 tons full year last year with a top line of INR 4,800 crores compared to INR 3,500 crores for full year last year. EBITDA of INR 1,475 crores, up from INR 877 crores and profit after tax of INR1,055 crores, up from INR 619 crores.

A couple of highlights for this year. This year has been the first full year after the COVID interruptions. And the setback that we got for duties, shipping costs going up etcetera. And happy to -- we feel that we're back into that growth mode. In this quarter, there is a reduction in other income related to forex , and that's largely on account of the changes in currency that we saw at the end of March. Of course, the Indian rupee has since recovered and some of that will get reversed.

When I compare sequentially Q3 to Q4, there is about 5% reduction at EBITDA level in currency terms, and there's another 5% on account of your cost of goods sold, and that lar gely reflects increased change in product mix. There's also a price pass -through, which is adjustment on the lower side. And we also had actually, raw materials go up this quarter from the previous quarter. So while the selling price was reflecting the low er raw material price previous quarter and hence a lower selling price, but my cost on the other side has gone up a little bit.

So on that account, there's a 10% -- almost a 10% sequential reduction in EBITDA, and that's in line with our commentary last quarter that -- this is a super normal margin. And when there's a pass -through both ways, and there is -- there will be a pass -through when raw material prices go down and that's reflected in this quarter's numbers. Of course, the raw material prices have still been up last quarter, and we're seeing a little higher raw material price this quarter as well.

And that's a constant situation. So we don't spend time estimating the future, imagining the future and where it will be. Thankfully, our business model all ows us that full pass -through. So it will be where that number ultimately end up that way.

Some key other numbers, our export benefits are a little higher than the first 3 quarters because there's a 1% RoDTEP, remission of duties and taxes on export that has started grinding media .

So there's a little bit of increase on that account. So it's a INR 21.75 crores compared to INR16.90 crores in t

he sequential third quarter.

Our treasury income is at INR 48 crores compared to INR 42 crores, largely in line with our cash. We are at about INR 2,550 crores of net cash and the treasury reflects that. But the main changes in the foreign exchange, which gained, which was at INR75 crores approximately in the third quarter, that's reduced to about INR 15 crores. INR 60 crores sitting in that account. And I think some part of that will get reversed as we go forward because of the weakening rupee. But that's a change that will keep happening on an ongoing basis.

I think our working capital is largely in line -- receivable at 63 d ays comparable to the third quarter, WIP and raw material, again, a number of days terms largely flat. Our growth are 73,000 tons, 3/4 of that, about 48,000 tons came from mining and 25 is non-mining, which is cement and thermal power and quarry, the 3 ind ustries that we service. And so for the full year, we are about 192 in mining versus 170 in the full year last year. And non-mining has grown from about 90,000 tons to 98,000 tons , and that's the breakup for the growth of that 30,000 tons.

A few other key numbers, if I were to reflect on. We are -- as a business, we are doing some restructuring of our plants, our manufacturing footprint as far as our non-grinding media is concerned. There's some amount of automation, upgrade, debottlenecking, creating some

warehouses, etcetera, to allow for some improvements in operations.
So we have overall earmarked INR 200 crores towards that reorganization, which is land for that warehouses, we need to build some extra storage places, some decongestion automation. And the y're doing some extra molding lines which will not enhance capacity, just increases our ability to do some type of parts. So all of that put together is about INR 200 crores.
As a result, there will be operational and productive outcomes, but there will als o be about 20,000 tons of non-grinding media capacity that we will see an increase with. And it should take about 4 to 6 months for some of that to come through. So I think we expect between October and December, that additional 20,000 tons of capacity, non -grinding media capacity to come up.
So over and above that INR 200 crores, we are already working on a grinding media project, which is 80,000 ton s enhancement. That project from where we stand, some delays in that execution on the design, procurement, etcetera, will take up to end of 2024 to get implemented. And there's about INR 150 crores capex on that account. So we have a INR 350 crores total capex , both these line items, and about a INR 50 crores in renewable investment that we are looki ng to do. So after that investment, after the INR 50 crores renewable, we should -- on this year, power consumption, almost 40% of our power will then come from captive and renewable sources. And this is largely constrained by the regulatory aspect within t he states that we operate, I think.
From we were at 18% or 20% the year before, this year, we are at about 23%, 25% -- 27%. And we'll go up to 40%, 42% going forward on current year production. As we grow

production and consume more and have more connected load, probably we can add more captive renewable sources and take it from there.
So about a total INR 400 crores broad capex , the grinding media capex will be between this year and next. Let's say, half an hour. The debottleneck for our non -grinding media and the wind will be surely -- some part of it may be next year, but wind is surely this year, the other part. So as of now, this is the total capex spread between this year and next, about INR 400 crores.
Okay. So besides that, we are happy to announce tha t the board has today declared a dividend of INR16 a share and that'll roughly be about INR 150 crores of outflow for the company. So that's what we are ha

ppy to report. Our order book is at about INR 770 crores, but as we explained that these are orders, no t reflecting the contractual commitments, underlying those orders.
From a business standpoint, multiple efforts and which we have kept talking about in the past, where we are doing interventions with the customer in terms of our mill lining abilities, mill liners and the whole proposition that we have on that side. We continue to focus on the chrome benefits as far as the down process, the benefits are concerned for gold and copper. And continue to reinforce with existing customers and adjacent customers in those geographies.
I think with that said, I think we look to be comfortably placed to grow at a 30 ,000-plus rate as of now and continue with a guidance of 20%, 22% operating margin, and more, if we can, but that's the model going forward. Our weighted -- our realization per kilo is at INR 170, which is comparable to what it was last quarter. And it refl ects a product mix change also. I think there's a little more of casting this quarter versus grinding media. And that's why -- you're seeing -- otherwise, given the price pass -through, this would have been 3%, 4% lower. That's the only thing that I would r emark about.
I'll have Sanjay Bhai share his opening thoughts, and we can get to...
Sanjay Majmudar: Good evening to all participants. Thanks, Kunal. Just a couple of very quick observations from my side. So one, of course, this year end and quarter marks a milestone for AIA in the sense that we have crossed -- the total income has crossed INR 5,000 crores with INR 5,143 crores being the total income reported. And the profit also has simultaneously across the important benchmark of INR 1,000 crores with our PA T after minority interest reporting at INR 1,055 crores.
A couple of very quick observations. If you see in the last call, we were very candidly clear that this 39% should not be read as something which is constant and we've been sort of vindicated in the s ense that, that one-off INR75-odd crores of FX gain has significantly reduced plus the impact of the pass -through on the negative side has come in this quarter, which has resulted into the Operating EBITDA becoming in a more realistic range of about 30-odd percent.
And on an entire year basis, it is about 24%, 25%, which is also reflecting what we have been saying. As we know, quarter -over -quarter amendments and adjustments are not something that

we look at, but it is more on an annual basis, and that is what we were actually quite clear
about.
Second point, in our presentation, we are talking of a capex of INR200 crores. But actually, the
total -- that INR200 crores is only with respect to ongoing brownfield expansion plus the wind
part and the real actual picture is what just Kunal said, INR 400 crores. So we'll also make
some adjustments and amendments and because it's a little bit in a hurry. So we will b e, again,
uploading it.
But this is just for the benefit of all, broadly that the current year broadly capex is INR400
crores. Bulk of it, close to INR 300 crores coming this year, and about INR 50 crores to INR 100
crores going next year. This is the broad. And lastly, all of our growth drivers are very much
intact. The business opportunity is absolutely the same, tremendous efforts all over the key
markets are being on with a total focus on mining, conversion from port to hydro, that being our main stay. A l ot of new
business directions are also being added through mill liner efforts.
So all in all, the story remains the same. We are all remaining equally committed and excited.
And I think going forward, we should be able to see how the things unfold. I think with this, I
request the moderator to open the house for Q&A.
Moderator: Ladies and gentlemen, we will now begin the question-and -answer session. The first question
is

from the line of Ashutosh Tiwari from Equirus Securities. Please go ahead.
Ashutosh Tiwari : Congrats on a good set of numbers. So firstly, on the realization part, you mentioned that
obviously, this quarter is a bit higher due to this mix change with costing being higher. But that number, say, 3%, 4%, lower
than this, will that sustain going ahead? Or is there some pass -
through of that or plate or RM or anything remaining?
Kunal Shah: What are you saying whether this...
Sanjay Majmudar: Whether INR170 will sustain.
Ashutosh Tiwari : You said INR 170 is maybe 3%, 4% higher than normal and bec ause of castings and all. So if
you remove like, say, then INR160 plus is sustainable number going ahead in terms of realization per ton -- per kg?
Moderator: Ladies and gentlemen, we seem to have lost the audio from the management line.
Kunal Shah: Ashutosh, INR170 at current raw material should hold. It's a product mix issue. So to that
extent, it can change maybe. As of current raw material and current situation, between INR 160
and INR170 is where it should stay. I mean there are too many variables for us to answer, give
an objective answer.
Ashutosh Tiwari : Yes, I got it. Got it. But the freight cost, everything is now fully passed on. There is no something on that is
nothing remaining as such.
Kunal Shah: No, no. It's fully passed on to the customer. And it's reducing. So there is some amount of
pass-through that will happen.

Ashutosh Tiwari: It will happen in next quarter ?
Sanjay Majmudar: Yes, it is an ongoing process.
Ashutosh Tiwari : Then the margins are probably settling at higher levels than what probably is a longer -term
thing maybe because -- is it because maybe South Africa was lower margin, and that's why is
that the reason why margin is probably settling at higher level?
Kunal Shah: I don't think there is -- there are plenty of variables, no A shutosh, for us to say one thing like
that. But your question was freight, there's some amount of pass -through to the customer that
will still happen over -- that's an ongoing process like Sanjay Bhai said. I mean these are costs
-- and our ability is ther e to pass -through. And then that will be -- that's all I think we can help
you with just now on it.
Ashutosh Tiwari : Okay. Got it. And secondly, you mentioned this 20,000 tons of non-grinding media capacity,
this is liner or castings?
Kunal Shah: Castings, castings. We have the whole order of cluster where we do...
Ashutosh Tiwari : Yes, yes. But that is mainly for cement, right?
Kunal Shah: No, no, no. We have mill lining. We're doing vertical mills. We're doing thermal power stuff
over there. And it's inte grated with our new plant also, right? So we are doing some parts,
some work with the new plant also where the flexibility of the parts, the parts we can make have required some amount of
equipment. And sometimes you to invest. Your headline
capacity is th ere at 50, right? But then their ability to produce what is also -- they're doing right
from 50 kilos to 20 tons and it's n ot always possible to estimate.
We take a certain amount of estimate to say let's start with this equipment. So just now based
on wha t we are foreseeing for non -casting, there will be some amount of investment just to
widen our product portfolio within the sizes of castings that we are handling right now. Of
course, and these are older plants we need to bring in automation. We need to decongest, right?

So we are retooling them for next 10 years, basically.
Ashutosh Tiwari : Okay. Okay. Got it. And liner, also the volumes this year?
Kunal Shah: Liner volume was about 25,000, 26,000 tons.
Ashutosh Tiwari : Okay. And this should grow to around 35,000-plus next year, say '24?
Kunal Shah: We'll do 10,000 each year, I mean, 25,000 should be closer to 35,000 next year, at least. I'm talking of mining liners.

Ashutosh Tiwari : Yes, yes. Okay. And in terms of like the demand outlook, is there an y change or demand remains strong? And which metals right now are doing better for you in terms of growth cost...
Kunal Shah: The same is -- business as usual because we are not with a 0 underlying business, economic trend that affects our business. Gold a nd copper and cement are commodities that will -- and

they will continue to be produced and used with a small variation here and there. Their end prices may change to market sentiment, economics, etcetera. But I don't think it just -- it's a -- we continue to do the boring job.
We have to go to the customer do all of that, right? And we are replacing -- converting from an incumbent to us, that's the journey that we have to do, generally unaffected by global factors.
Higher shipping price and all of those things are more important to us than really how is gold doing or how is copper doing or how is iron doing.
Ashutosh Tiwari : No. I meant mainly the cost of relation that we work in copper and gold. So will copper and gold...
Kunal Shah: Nothing to report over the last quarter or 2, Ashutosh.
Sanjay Majmudar: It's the same, Ashutosh. Our focus is absolutely the same.
Moderator: The next question is from the line of Ravi Swaminathan from Spark Capital. Please go ahead.
Ravi Swaminathan : Congrats on a good set of numbers. My first question is with respect to the mining efforts that we are taking in terms of new geographies, etcetera. Any thoughts on that? Are we looking at newer countries in terms of addressable market? Any thoughts on tha t?
Sanjay Majmudar: So Ravi, actually, all the key markets, which are very, very important would include, of course, the North American market, the LATAM. They remain the markets of absolute star focus. Australia remains a very important market. CIS remain s a very important market. So all those markets -- the whole issue is that -- as we explained, it's an agonizingly long process of conversion. And the market, the dynamics, everything remain absolutely the same. Chile, Peru. These are all extremely critical, Brazil. So similarly North America, Canada, they are all very, very important. Gold and copper remain the key driving force. Iron, of course, is there. So it's absolutely the same.
New customer development continues. A lot of new mines are under discuss ion, regulation.
Again, onboarding important, good number of people. Training them continuously, that all processes have to continue to make sure that our bandwidth is available. And conversion, as you know, is a very long process. So we are at it, absolut ely.
Ravi Swaminathan : Got it, sir. One more question. So working capital has kind of improved this year significantly.
Kunal Shah: Yes, you're right. Yes.
Ravi Swaminathan : Any reason behind that? Or...
Sanjay Majmudar: It will -- I would -- it's a little more conscious efforts and also the fact that because of improvement in shipping times and other things, the inventory which was in transit, that impact is also reducing a little bit.
Kunal Shah: And that's what we have guided as well, right, that we are carrying extra inventory during COVID and uncertainty around shipping times, I think it's just a little bit of alignment back...

Sanjay Majmudar: So 7 -8 days improvement in finished goods holding, a few days improvement in data realization. So yes, there i s an overall...
Kunal Shah: It is an ongoing process, but the COVID shipping is what helped us with the finished goods.
Moderator: The next question is from the line of Garvit Goyal from Nvest Research. Please go ahead.
Garvit Goyal: Sir, my question is fr om other income side. So like you earlier mentioned in the other income, forex gains are constituting a significant part. So can you giv

e me a number, how much is for closing FY '23 out of this INR 240 crores of other income is the forex gain.
Kunal Shah: Out of -- there is a...
Sanjay Majmudar: We have given the breakdown.
Kunal Shah: Forex gain for the full year was INR 58 crores last year and INR 99 crores this year.
Garvit Goyal: And you are mentioning it is likely to give us in FY '24, right?
Kunal Shah: No. I was saying that at the end of Q3, our foreign exchange gain was at INR 75 crores, right?

In Q3 -- between Q2 and Q3. Essentially, that was the difference. Some realized some not because the rupee came down and then weakened in that quarter. And as yo u would know that in the fourth quarter, January to March, rupee is tender, right? While the rupee has subsequently in this quarter, weakened again, I mean, that -- I was just explaining the drastic reduction from INR 75 crores in third quarter to INR 15 cro res in the fourth quarter.

Garvit Goyal: Understood. Understood, sir. And sir, again, on the realization side. So like currently, these are INR170,000 kind of. So my question is on the -- how much of this realization is the kind of permanent one, like due to the product mix only?

Sanjay Majmudar: No. So it's very, very difficult to give you exact math because it is a function of several factors. One is the product mix, which is a very important factor. Second is there's always a lag of pass-through either on the increase of raw material in freight and decrease of raw material in freight. Again, the product mix variation is also very, very vast. If you see the lower end to upper end, we are talking of INR 80, INR90 all the way going to INR 250. Again, so there are multiple sets of factors that work. We, therefore, generally, historically, we have been giving this data.

Actually, internally, we do as a percentage of operating EBITDA, which is the best yardstick for us also. And I think that's what we have been a lways saying 22% to 23% is what we have been consistently focused on. Yes, some quarters, we have done better. Couple of quarters, we might not do as good, but over a longer period, a consistent percentage pure operating EBITDA is what would be the best ya rdstick to monitor us.

Moderator: The next question is from the line of Dhavan Shah from AlfAccurate Advisors. Please go ahead.

Dhavan Shah : My question is in the last con call, I think we mentioned that the volume guide for '23 was roughly 2,95,000 to 3 lakh tons , against which we did roughly 2,91,000 tons . Can you please share, I mean, what led to miss the roughly 5,000 to 10,000 volumes for this FY '23? And this will be shifted in the next fiscal or not? Because your guidance is roughly 30,000 tons , which you already shared the last con call also that the FY '24 guidance would be roughly 30,000 to 40,000 tons. So this incremental 5,000 to 10, 000 missed will be added in the FY '24 numbers? Is that understanding correct or not?

Kunal Shah: Okay. So I'll just answer that question quickly. It's more indicative in directional. There are -- we shell to more than 120 countries, there is shipping involved, right? So there's always a few thousand tons that move here and there. 30,000 tons , whether we did -- I guided 2,95,000, we did 2,91,000, so it will be 30 plus 34, it doesn't work that way. It's only directional. So we'll do additional 30,000 -- Exac tly. So -- it's only directional. We may do 25,000, we may do 34,000.

Directionally, we are saying that it looks to be headed that way next year.

Dhavan Shah : Okay. And can you share the ferrochrome price for the last quarter Q4. I think in Q3, the price was roughly INR 120 a kg. So is that almost the same or not?

Kunal Shah: That was lower -- it's gone to -- I don't -- see, it's difficult for us to -- we work with several alloys. These are all directional answers. It will be difficult for us to do. But ferr ochrom

e as we speak is about 5% to 10% higher than what it was end of fourth quarter -- end of third quarter.

Moderator: The next question is from the line of Dhananjai Bagrodia from ASK Group. Please go ahead.

Dhananjai Bagrodia: Wanted to ask you, sir, o ur freight cost, is it till boat or till the final customer?

Kunal Shah: It depends. For majority of the customers, it's still the final customer. We generally do a delivered basis. But there will be customers who want if FOB, CIF at the port, etcetera. So all those combinations are possible, but largely delivered to the customer.

Dhananjai Bagrodia: Okay. And maybe I missed this with all the noise going on, but just roughly what -- any volume guidance you would give for the company as a whole for next year , '24?

Kunal Shah: About 30,000 tons for next year.

Dhananjai Bagrodia: Okay. And any margin guidance?

Kunal Shah: No. 20%, 22% is our -- 20% to 22% is a directional profit guidance.

Dhananjai Bagrodia: And sir, lastly, I just wanted to ask then, let's say , in mining or now in cement, are we seeing any particular increase happening in overall capex between any of the clients we have? Because on the other side, we're not seeing so much mining growth happening in some of the commodities we track. Are you all seeing that?

Sanjay Majmudar: No, no. So let me first clarify that our growth is more of a function for our conversion cycle getting positive in our favor, given the fact that there is a very significant headroom between the current role of penetration of ferrochrome vis -a-vis the current market. So assuming for a moment that -- okay, so we all know that mining continues worldwide with a growth of maybe

single -digit 3%, 4%, 5%, 6%, whatever it could be. But assuming that there's no growth, even then with th e current penetration of, say, about 25%, I have a headroom for growth for conversion. And that is what is driving our growth.
So our is completely, we are very agnostic to the industry growth and capex cycles. Having said that, copper and gold both are ve ry, very bullish, overall the approach, as you know, in EVs and everywhere copper is required. Gold is a commodity. Gold is a metal, which is always in demand. Iron continues to be the metal, which is normal growth with the overall world growth. So I think generally, as I explained, we are not very particular about the capex cycles. Having said that, we see some positive capex cycle, but our total focus is on conversion rather than those capex cycles.
Dhananjai Bagrodia: Okay, sir. No, definitely. Perfect. And you said INR 400 crores capex over the next 2 years.
Sanjay Majmudar: Yes. Yes.
Dhananjai Bagrodia: And sir, would working capital...
Sanjay Majmudar: That's the minimum. That could be a little higher, but this is as of now.
Dhananjai Bagrodia: Sure. And will working capital be in the similar range as it is now?
Sanjay Majmudar: I think you can take it in the similar range. Number of days, overall.
Moderator: The next question is from the line of Priyankar Biswas from Nomura. Pleas go ahead.
Priyankar Biswas : Congratulations, Sanjay Bhai and Kunal Bhai for the good set of numbers. The first quick question is, I see some debt that you have taken all of a sudden, I mean, a bit of a surprising.
So...
Sanjay Majmudar: No, n o, no. So that is -- basically, Priyankar, the working capital foreign currency borrowings...
Kunal Shah: I think these are normal treasury operations, Priyankar.
Sanjay Majmudar: It's basically packing credit . Exactly. They're all optimizing our treasury.
Priyankar Biswas : So packing credit, those sort of things, essentially. Like that -- like on the balance sheet that it was just present, something like that.
Sanjay Majmudar: Yes, around INR 400 crores, correct.
Kunal Shah: So cash is INR 3,000 crores, we've got INR 400 crores, INR

450 crores or debt. So you have a net cash of whatever, right? So we haven't reported gross cash -- but these are treasury operations that are normal and customary at this level of working capital.

Priyankar Biswas : Okay, understood. The second part is typically in fourth quarter, your non-mining volumes tends to be quite high. But this time, what we are seeing is that the March quarter non -mining volumes are lower than December. So any...
Kunal Shah: But I keep exp laining every time there is no trend, there is no trend. I'm happy it's that way because I can now get away from that question on the fourth quarter. It does us no good to report a great fourth quarter. There's no reporting on an annual basis. You guys gri ll us every quarter, nevertheless, right? So I mean, it happened that way. There are so many -- every container is an invoice for us and there are various -- what happened that quarter, the concentration of customers, the delivery lead times, etcetera, tha t comes into play.
Sanjay Majmudar: No, there is nothing cyclical about our business, so to say, really.
Priyankar Biswas : Also, additionally...
Sanjay Majmudar: It is all driven by a particular requirement...
Kunal Shah: This quarter also see the West has cement plant shutdowns because of winter. There are times when they place it in the third quarter, sometimes in the fourth quarter. So there are underlying things, but nothing that's a given saying fourth quarter will always be more. Understand.
Priyankar Biswas : Okay. Understood. So it was merely just it used to happen like earlier, I mean no definite trend?
Kunal Shah: Exactly, correct.
Priyankar Biswas : So what I see is this time the other operating income is higher. So you explained that there was a 1% RoDTEP received -- So this should continue in FY '24 and '25, right? So essentially by that quantum it should be higher?
Kunal Shah: Yes, yes. As long as the policy continues.
Priyankar Biswas : Same policy if it continues, as you -- Also, one more questio n, if I can squeeze in. So any developments in Canada or Brazil related to the antidumping matters?
Kunal Shah: Not really. Our Brazil duty will come up for review middle of this year and will take another year for its process. But like I said, it's now -- this is something that we have to deal with.
Canada is there's a well -settled administrative process in place and which we are complying with.
Sanjay Majmudar: And our dispatch is continue.
Priyankar Biswas : Okay. So when can we hear anything about Canada?
Kunal Shah: Sorry?

Priyankar Biswas : So when can we hear about any updates from Canada?

Kunal Shah: We shared Canada to say we lost volume when there's a duty thing. Now it's part of all the other countries that we're doing. I don't think Canada ne eds special attention beyond that.
Sanjay Majmudar: And our volume growth is economic to that.
Kunal Shah: Everything else that we're doing that Canada is not a material part of our things. It's an important market. And we'll deal with it, right? The growth cannot be contingent on things happening there. I mean the mindset in which business is being structured.
Moderator: The next question is from the line of Ganesh from Dhanalakshmi Investment . Please go ahead.
Ganesh: Sir, I just wanted to know about the strategy of our company broadly. So when we say that lining market and the grinding market is shifting from legacy players, we are also seeing some lining kind of composites or polymers or even ceramic -based grinding media. So how do you see our right to w in in chrome -based media and lining? And how do you evaluate that currently? so that will be my first question.
Kunal Shah: I think there are 2 parts to the answer. One is underlying structure of the business for the contrary to ev

eryone else on the call, I think it will be a longer answer, and Sanjay Bhai and I can help you offline with that. Ceramic is a print solution, right? There is -- as far as grinding media is concerned, there is force in this cast hychrome. We do not offer commercial third spherical medium to grind input feed. So today, I think these are -- there will always be fringe elements, small parts here and there being used. But -- and they may be in that zone for many, many years or decade. So from a grinding media standpoint, there is no alternate material coming in.
As far as mill linings are concerned, you always had -- the current market also uses metal hybrids and rubber, and each has its own independent silo. And we will also have a strategy for hybrids like others may and there is eno ugh market for all of us to grow. I mean today, 50,000 tons capacity that we have, I think we are not too much bothered by the macro hybrid versus rubbe r versus steel and all of that.
I mean it's a far more layered solution that we have, where we are going and talking about increasing throughput reduction in power and other things within the metal side, right, today.
And then that's a large market for us to not really worry about those -- there's no point in debating or discussing another company strategy or another person's view over here. I mean there is a market for hybrids and there's a market for rubber and a market for steel liners. I think we'll leave it at this for now, and happy to do offline for overall strategy for the business.
Sanjay Majmudar: Just a quick add, what solution we have in mill liner, I don't think anybody else can offer. I mean that is the uniqueness of our solution.
Ganesh: Okay, sir. Got it, sir. Thank you for that. Sir, coming to the chrome -based media in particular.
So how do you evaluate our current competency or current competitiveness in this market?
Sanjay Majmudar: Now -- see, very honestly, we believe that we have climbed up the knowledge chain quite a bit in terms of our competencies. So in cement, I think unquestionably, we would be a quality

leader across the globe and the kind of solutions that we have, any type of mill, any type of equipment, we have that solution. Similarly, now in mining with our focus on the chrome and the wear rate advantage that our product brings, plus the DP or the down process benefit that we have demonstrated and the mill lin ing uniqueness of the solution.
Again, we believe that we are a very unique company offering all these under one roof. On a very composite basis, there is -- of course, ther e is competition. So there are companies like Meghatop, they compete with us. Then on the forging side, you have the Molycop and the Electmetal. And then on the mill line, you have Bradken and Norcast etcetera. But one company having all these capabilities and also very unique benefits or solutions that we can bring on table, I think, that's a very sweet spot to us, and we continue to remain very focused in taking advantage of that situation.
Ganesh: Okay, sir. And my last question would be on the cash and other investments that we have in our books. So do we have any planned out any strategy for...
Sanjay Majmudar: No. So -- right now, yes, we understand there's a very decent amount of we are generating and utilizing. However, having said that, significantly large capex is still on cards. And we believe that we should reach at least a significant level of penetration. Any opportunity can come across. We should be ready with any situation. So we believe that we want to remain a little more comfortable with hi gher level of cash, at least, for maybe minimum one more year or maybe even a little longer. That's our internal thought process.

Moderator: The next question is from the line of Aniket Mittal from SBI Mutual Fund. Please go ahead.
Aniket Mittal: A few

que stions. So firstly, on the mill liner part, it seems to me that we've done about 5,000 to 6,000 tons from the new mill liner facility this year. And the plan is to go or add another 10,000 over the next 1 year. So if you could just throw some light on what lenses that visibility to ramp this up in FY '24 in terms of the trials that are undertaken.
Kunal Shah: We have already shared our overall guidance that we'll add about 10,000 tons of mill lining a year. Idea is to fully utilize the plants in 4 months -- 4 years -- 50,000 rated capacity, so we should be able to do between 40,000, 45,000 and comfortably add 10,000 tons of -- is the current plan. So that's all within our current utilization.
Aniket Mittal: Could you maybe just throw some light with geographies, you're probably getting traction on for these ramp -up in mill liners? What is the number of sites where trials are happening?
Kunal Shah: Yes. So there are 3 types of customers. Our existing customers who has a -- who -- where we can try and open up a relationship. Second is new customers where we are doing it with our own design. Third is with the new design, right? So there's a whole variety of these people are
-- it's a very conservative market. People don't want to change their incumbents or existing peers. The ultimate strategy is to sell more grinding media.
The idea is not just to sell mill liners. So our wish list is to go to a customer where we can sell a whole solution, which is mill liner and grinding media and offer the whole gamut of benefits

that accrue by using our old combination, right? So that it takes within these 3 parts. And thi s is to customers wherever there is mining being done. So no special focus on one geography.
Aniket Mittal: So our current mix is also fairly diversified, that would be fair to say for the mill liners?
Kunal Shah: Current split is -- so current sales you'r e saying is also split amongst geographies, right? That's your question? Yes, there's no one country doing 50% sales or one customer doing 50% of that.
Aniket Mittal: The second question was just to harp on the non-mining front. You talked about this being fairly volatile in nature. And we've seen that over the past 4 quarters, but let's say, going ahead, how do we look at, let's say, the volume growth of...
Kunal Shah: So it is not volatile. We said billing invoicing cannot be sharpened to every quarter. I mean there is -- it moves between quarters here and there. But broadly, we've done about 90,000, 95,000 tons. We don't expect a lot of growth coming in from there. So -- I mean it is linked to the cement market overall and the thermal power in India, and these are not industries that are fundamentally growing and most conversion has happened to chrome. So we are not factoring growth or budgeting any of that. Whatever the market grows or additional requirement comes in, we'll be a natural beneficiary of that.
Aniket Mittal: What would we expect between, let's say, cement and utility within the...
Kunal Shah: I don't think it will help any further analytics because that's our pocket of -- we are not sharing further granular information on it and probably won' t help any further evaluation of the business.
Moderator: The next question is from the line Bhoomika Nair from DAM Capital. Please go ahead.
Bhoomika Nair : Congratulations on a good set of numbers. Sir, my question was you're talking of an incremental 30,000 tons of volumes annually. Now with the mining liners capacity coming up
and a lot of our solutions, which are now much more like a solution base rather t han just only the castings or the grinding media and everything because it's kind of a complete integrated solution that we are offering. I mean we're looking at a 10% kind of a growth as such going forward. So shouldn't actually the volume scale up be fas ter now that we are

having a much
better integrated solutions and offering now?
Kunal Shah: You're absolutely right, and that's what we are working towards, right? But there is an overriding layer of context to this industry, which is customers being conse rvative, right?
There is an element of decision -making. There are these other variables which are a strong influence. And what that does is it limits our ability to forecast and give a certain figure, right? For us to go out and say 50,000 may or may not be easier. It's easier to do, but it's easier -- it's difficult to forecast.
So I think that's where we are coming from that -- the beauty of the business is not going to be a rapid J -curve growth. It's the steady stability that comes with that growth is be cause the customers pay, right? I don't have to go fish for that one more order, one more customer which

somebody else is trying to pry away, right? That's the beauty of this business, that -- it could be a slower growth, but it's a surer growth throwing out reasonable free cash flow and profit. I think that's the nature of our business.

I mean, the joy is not to go and say we did 100,000 tons a year, right. The joy is to go become the largest in the world and whatever time and effort it takes towards that. But answering -- the short answer is yes, we would hope and wish that it's more. But the experience has taught us that there is some variable that can go again us. And we don't know what that is. And that's why rather than forecasting and trying to explai n variance, we're saying here's what's possible. It's more directional answer, as you know. This is not a studied specific answer.

Bhoomika Nair : Right. Because where I was coming from is that we are already at 440 by the end of this year with the addition al capacity coming in, and we'll be at 520. And then we are talking of also debottlenecking a little bit, which will further add capacity. And if we are adding 30,000 on an annualized basis, that would mean that utilization levels and asset on would kind of fall quite a bit because you would have 350 -odd or if I take broadly a 30,000 tons of incremental. So -- will we possibly go slow on expansion

Sanjay Majmudar: Bhoomika, no, no, so let me stop you there. See, 30,000 is a doable number as we speak today. But as we explained, there are several mines on which we are working. There are many, many opportunities on which we are working. A significant conversion or a major conversion can ramp up the volumes much better than what we are talking, and that is the r eason why we're feeling encouraged to go on expanding our capacities, correct? .

The problem is, as we have explained again and again. This conversion process, we work with several constraints. The mines, they work with a fixed budget. They need a lot of c onviction. Our solution has fantastic results, and there are a lot of demonstrating the fact that we have also talked to the mines. It takes a little while. Now there would be an inflection point where we can say that, yes, we can grow much faster. We hope we should reach that inflection point sooner and as we reach things can change. So -- but let's -- as of now, let's go with this number, at least, for this year. Let's not talk very long term. Otherwise, there's no point in my expanding, no.

Bhoomika Nair : Sure, sure. So the other aspect was on the margin profile. Now obviously, margin has kind of moved up whether we look at it on a per ton or a percentage basis, etcetera. Now as we're expanding our volumes and driving volume growth, how is the competition? Do you think that we'll need to scale down if you want to grow volumes a little more aggressively? Or do you think that can happen hand-in -hand together?

Sanjay Majmudar: No. So frankly, we have to have a mix of everything. So then wherever the chrome advantage is moderate, we have to be very com

petitive in pricing. Wherever we want to have a breakthrough in a mine and that mine manager doesn't want to budge with his budget, we have to again be competitive. But over a period of time, we have demonstrated that for certain pockets and certain businesses where our titration is more based on significant value add, the pricing as a stress is not the only point that really can impact us.

So I would say at this point in time, a 22-odd percent sustainable pure ope rating EBITDA is something that we are very, very sure of. There is definitely room for improvement. But at this point in time, for the same reasons, we are not giving any guidance for any margin expansion. Having said that, there is good room for margin e xpansion. Let's see how it goes. You have to wait and watch.

Bhoomika Nair : Sure, sir. Sir, just lastly, we have about roughly INR 2,500 crores, INR 2,600 crores of net cash on books. And obviously, every year, we are generating a huge amount of free cash fl ow, which can easily fund working capital and capex requirements. So any thoughts on usage of cash? While we have announced a INR 16 dividend, yet I think the cash is quite high.

Sanjay Majmudar: INR16.

Bhoomika Nair : Yes, yes. But despite that, I mean, there's decent amount of cash that is left behind.

Sanjay Majmudar: No, no, I agree. So as I said, we have conservatively decided to have a little higher holding at least for another year. I assure you there will be -- there is a very conscious and continuous discussion in every board meeting on this. And there would be at an opportune time, something that we will do with extra cash, either consider giving you back or doing something which is there. But I think let's wait for a while.

Moderator: The next question is from the line of Alisha Mahawla from Envision Capital. Please go ahead.

There seems to be no response from the current participant.

Kunal Shah: Operator , I think the queue is over then, right?

Moderator: Yes, sir.

Kunal Shah: All right. Cool. All right. Thank you, everyone, for joining the call. And Sanjay B hai and I remain available offline for any more questions. Thank you.

Sanjay Majmudar: Thank you.
Moderator: Thank you, members of the management team. Ladies and gentlemen, that concludes your conference call for today. We thank you for your participation and for using Chorus Call Conferencing Services . You may please disconnect your lines now. Thank you, and have a great evening.

Call: Aug 2023

AIAEngineering Limited
August4,2023
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TheManager (Listing),
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DearSir/Madam,
Sub:Transcript oftheInvestors' Conference CallheldonAugust 2,2023
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Requirements) Regulations, 2015,pleasefindenclosed herewith theTranscript ofConference
Callheldbetween theCompany andInvestors onWednesday, August 2,2023todiscuss the
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“AIA Engineering Limited
Post Results Conference Call ”
August 02, 2023

MANAGEMENT : MR. SANJAY MAJMUDAR – INDEPENDENT DIRECTOR –
AIA ENGINEERING LIMITED
MR. KUNAL SHAH – EXECUTIVE DIRECTOR –
CORPORATE AFFAIRS – AIA ENGINEERING LIMITED

Moderator: Good evening, ladies and gentlemen, and thank you for standing by. This is Neerav, the moderator for your call today. Welcome to the post results conference call of A IA Engineering Limited. We have with us today the management team of AIA Engineering Limited. At this moment all participants are in listen -only mode, later we will conduct a question and answer

session. At that time, if you have a question, please press s tar and one. Should you need assistance during the conference call, please signal an operator by pressing star then zero on

your touchtone phone. Please note that this conference is being recorded.
I would now like to turn the conference over to the AIA Engineering management team. Please go ahead, sir.
Kunal Shah: Good afternoon. Good evening to everyone. This is Kunal and we also have Sanjay Bhai here on the call with us. This has been -- it's not been long since we last interacted for the fourth quarte r numbers. And we hope will make a quick wrap up on numbers and get into Q&A for this call. We don't have a lot of updates, but nevertheless, we'll be happy to answer those.
We've done 73,000 tons -- 74,000 tons of sales. And I think it's after many years , we've broken the number barrier of 70,000 in the first quarter. We generally were between 62,000, 65,000, 67,000. So 74,000 tons and roughly equivalent production for this quarter, which translated to about INR1,220 crores of product sales, EBITDA of INR 402 crores and profit after tax of INR272 crores. They are materially higher than first quarter last year and mostly comparable with the fourth quarter of last year.
From an other income standpoint, we've done INR19 crores of operational other income, which is largely incentives for export. Our other income, most of it which comes from treasury that's about INR56 crores, and that compares to about INR4,8 crores fourth quarter last end of March. There's a small exchange gain about INR2.86 crores for a total other income of INR59.51 crores, total other income, non-operational other income and INR19.29 crores operational other data.
Our treasury net cash is about INR27.50 crores. And -- with average yield of above 7% on that total corpus, which is where there is some M -to-M loss we had in the first quarter last year and of course, a smaller corpus and which is where there is a much smaller treasury income in the first quarter of last year when you look at it sequentially.
Moving on, our working capital days a re around 100 and significantly lower than -- materially lower rather than 118, 120 days that we had for a long period and some part of that coming from the reduction in overall stock that we are carrying finished goods, all earmarked for a customer, but on account of supply chain, easing up. There is some amount of respite that we have over there. So I think the peak finished good stock that we had of about INR1,000 crores plus, which is about INR890 crores now. So there is a INR100 crores reduction in jus t on that account.
Raw material is largely at about 30 days. So total 100 -day working capital cycle, broadly 74,000 tons, we've got 53,000 tons coming from mining and the balance about 20,000 tons -- 21,000 tons coming from non-mining, which is cement, an d some amount of thermal power in India.
Our order book continues upward of INR600 crores, and we've reported some amount of foreign exchange contracts. But as you all know, the spread has reduced. The premium on

foreign exchange derivatives has reduc

ed as the interest rate differential is reduced. So -- and that's also reflected in a smaller foreign currency coverage open from here on.
Some notable things that probably we would share. One is on the capex side. We discussed about INR510 crores of capex for the full -- for two years, which included INR200 crores of the overall older cluster restructuring, which is creation of warehouse space, creating some pattern storage and related infrastructure, restructuring some old plants and some debottlenecking.
We will see about 20,000 tons of additional non-grinding media capacity that will come up with that. So there was INR200 crores on that account. INR250 crores on the grinding media work that we're doing, which will take -- the 80,000 ton grinding media plant and which is expected to come up by end of next year and another INR60 crores plus on captive renewable power generation. Of that after about INR510 crores for next -- between '24 and '25, we've done about INR63 crores in the first quarter towards all the se 3 line items.
There was an announcement yesterday about Peru. We've formed a subsidiary in Peru in the way that country works and in line with our work that we're doing in Latin America. The lawyer there -- law firm created that entity and then had to transfer it to us. That's how the entities get created there it looks like. And so it was termed as an acquisition. But it was only basically creating a fully owned subsidiary in Peru. Just to clarify the announcement that was done yesterday.
We also have a sunset review for the duties that are there in Brazil, which are currently at 11.8%. And the outcome of that process will be known by end of March. So we'll continue to work on that and doing a bit, working with the authorities in Brazil on that.
Another thing is for mining liners, we've done about 9,000 tons of mill liners this quarter. And from what -- we did about 25,000 tons last year, full year, and we hope to do about between 30,000 and 35,000 tons this year. So that's on track and about 4,000 tons of that coming from the new plant, so which is all

getting settled very well.
Our captive generation now stands at 64 megawatts. And because of the -- sorry, 38 megawatts -- our total installed capacity is at 64 megawatts and our captive is 38 megawatts. But as you know, it has a lower PLF generation, so about 22% of our total power came from our own captive renewable sources. We are happy about that.
And lastly, you will see a little higher tax provision for this quarter, but that's the sum to tal of -- we've got all the subsidiaries outside India within India, and that's a point in time. I think for the full year, our tax will continue at about 23%, but this is just a point in time profit as is. And once the transfer pricing adjustments, etcetera , are done, which are all year -end activity, tax will be at 23%. So there is no other reason for the higher tax -- the tax is at 27%, 26.7%, I think. But -- this quarter, but it will normalize to 23% for the full year.
From a market standpoint, I think absolutely, the commentary remains what it was for the fourth quarter. We continue to remain focused on the mining sector. Metals that we are
focused on, which is copper and gold, remain to be metals of interest for the world in terms of

its end use. And t o that extent, there is a lot of interesting conversations that we are able to do on account of the solutions that we provide to our customers, which is -- which we've discussed extensively on our calls. And that allows us this excitement that there's this whole conversion story as far as moving from forged to chrome is concerned and the whole mill lining opportunity in terms of delivering improved throughputs, lower power consumption for the customers.
So I think for the full year, we did about 292,000 to ns. We will -- we hope to add about 30,0

00
tons on that this year, including the mill liners. We may do a little more or a little less, and we'll keep sharpening that as we go forward.
With that having said, we'll have Sanjay Bhai share his input and then we can go on...
Sanjay Majmudar: Thank you very much, Kunal. So good evening, everyone. And yes, business as usual. All the basic parameters remain the same. We have done reasonably well in Q1. Bottom line appears to be the operating margin after adjusting the treasury income is at about 28%. It is including the other operating income. But as we always say, it is a function of product mix. It's a function of a lot of factors that come in play, the pass -throughs, the reducing freight cost impact and all tha t.
So I think we are doing pretty good. And as Kunal explained, the capex plans are absolutely on track and the efforts for conversion is going with full force, and we are hopeful of continuing traction. On an annualized basis, we believe that we should k eep on growing the way we have been anticipating. I think with this, Kunal, let's open the house for Q&A.
Moderator: The first question is from the line of Akash Bhavsar from Equirus Group.
Ashutosh: Yes. This is Ashutosh here. Hi Kunal, firstly the overal l volumes looks good and others volume this quarter was a bit low. Is it like a quarterly phenomena or should normalize on a full year basis?
Sanjay Majmudar: It will normalize. It will normalize.
Ashutosh: Okay. And you mentioned 30,000 tons we plan to ad d this year, the same guidance as earlier.
Sanjay Majmudar: Yes, yes. it is absolutely the same.
Ashutosh: Okay. Okay. And they were -- obviously, tax rate is higher, as you mentioned, it will normalize, but there are some line items saying that there's IN R8.3 crores provision related to some withholding taxes recoverable and overseas reduction. What is that exactly?
Sanjay Majmudar: That is the reason why -- it's very typical to one of our subsidiaries. Yes, Kunal will explain.
Kunal Shah: So there is -- we've been doing work outside at one of the countries that we operate in, that is like you have TDS in India. When you pay outside, you do a tax reduction and source and then there's a recovery adjustment of tax -- in that, we are facing some sort of issues in terms of
recovering that. So as a cautious, prudent method, we are -- we have shown -- we have written

that off while we make efforts to recover that. Going forward, we have claimed an exemption over there. So this is just a onetime old issue that continued.
Ashutosh: Okay. Got it. And lastly, as an outlook, obviously, we have the guidance of adding volumes, and we have put up a subsidiary in Peru. How is South America as a market looking for us, what we have done and how do you see it going ahead?
Sanjay Majmudar: Of course, we remain extremely bullish on North America, Latin America. Peru is extremely critical for us. We are strengthening our presence there and the subsidiary formation is an effort to have a more direct presence in this critical market. So it's an ongoing process. And it's a part of our overall strategy.
Kunal Shah: Nothing specific to report on.

Sanjay Majmudar: Yes, yes. Like you know, we have more than 15, 16 subsidiaries in all critical markets. We need a POP, point of presence, there, and that is what the subsidiary would do.
Ashutosh: But like are we getting good traction in Latin America as such? I mean -- because that's a big market for copper and gold as well. So are we getting good traction orders from there in that market?
Kunal Shah: Nothing specific to report.
Sanjay Majmudar: We are working very hard in those markets. And of course, our endeavour is to fructify a lot of conversions. I think we are working very hard. Let's wait and see. That's all I can say at this point in time.
Ashutosh: And you mentioned 9,000 mi

ll liner volume in this quarter, 4,000 was produced on the new plant. Is that correct? 4,000 is the new plant?
Kunal Shah: Yes. Correct.
Moderator: Next question is from the line of Garwit Goel from Nvest Analytics. Next question is from the line of Dhananjay from ASK Investment Managers.
Dhananjay: Congratulations on good set of numbers. Wanted to ask regarding OP per ton...
Moderator: Dhananjay, your voice is not coming clearly. Can you please speak a lit tle louder?
Dhananjay: Yes. Sir our OP per ton has increased sharply because of the reduction in sales costs. Is that something which we see stabilizing. Will this be something similar going ahead? Or would we have to pass this on back to customers? How wo uld that play around?
Kunal Shah: Freight is -- like our other raw material cost is conceptually a pass -through. There's a timing difference, but freight rates are going down, that will be a pass -through.
Dhananjay: Okay. So then any guidance on what OP pe r ton would be then a fair estimate for the year considering because 46,000 is significantly much higher than...

Kunal Shah: We don't have a fixed price. It's not an absolute number, no, because I mean -- it will depend on the selling price. Selling price is a function of because we are telling -- guiding in terms of margin -- operating margin, which is a 1%, 2022 is a directional guidance that we're giving as far as margins. We've done better. But that, I think we'll not be able to split here and say how much.
Now as far as the average realization is concerned, it will fall in line with raw material and freight, but there's also a product mix angle at it. So it's very difficult to give a guidance whether it will be INR150 crores or INR140 crores or will st ay at INR160 crores. But if raw material remains at current level, it should be around INR150 crores. I mean, broadly, that's where it should stay.
Sanjay Majmudar: Little more perhaps. But, yes, as Kunal said, a lot of factors that play. But currently, th is quarter, we did about INR165 crores average realization. It should hover in that range, plus/minus 5% or something of that sort.
Dhananjay: Sure. As the other volumes, any reason why there is a decline year -on-year considering, let's say, cement volume.
Sanjay Majmudar: It's just a function of quarterly typical requirement of a given set of customers. You should not read more into it.
Moderator: Next question is from the line of Bhoomika Nair from Dam Capital Advisors.
Bhoomika Nair: Yes, sir, a good set of numbers. Yes, sir. Sir, just I mean, I know we don't talk much about percentage margins, but we've seen a very strong margin profile in this quarter. While realizations have broadly hold on -- held on. So is that kind of quarter 2 with the lag in pass - through of the lower prices, etcetera, for this quarter, sort of raw material, freight, etcetera ?
Sanjay Majmudar: So Bhoomika, there are 2, 3 reasons, which are coming in play. One very important factor is product mix. So if the product mix is more tilted towards bigger or larger castings, then definitely the margin profile will improve. There is also an effect of how do you put it, the freight costs going down, etcetera. And then there will be some lag with which it will be passed.
A much better way of l ooking at us is it should normalize and stabilize in the range of 22%, 23% or 24% and thereabouts on an annual average basis, some quarter may look to be very good. I'm not saying that this is not sustainable over a longer period. All I'm saying is quarter ly trends cannot reflect the annual trend. That's all.
Bhoomika Nair: Got it. Got it. Got it. Sir, the other thing is, obviously, we're seeing a lot of traction in terms of volumes, which is where you also guided roughly 40,000 tons of incremental volumes for...
Sanjay Majmudar: 25,000 to 30,000 tons is what we

are talking about. Our endeavour will be of course a little higher, but let's see.

Bhoomika Nair: So, sir, your -- where are we seeing traction? Where are we progressing? How many new clients are we seeing? Some -- a little -- whatever way you can give some colour in terms of where -- what kind of volumes are under trials which can possibly kind of go up, etcetera, plus also on the -- if you can give some colour on EEMS, how is that kind of progressing?
Sanjay Majmudar: Okay, Bhoomika, there are a couple of things that we will definitely -- see, we will not give you client -wise details. It is not our policy. However, having said that, there are several new mining locations, at least 30, 40 new mining locations, which are under trial stage. Obviously, when we are talking about this, it is meaning that there will be different stages of progression at different mines. Some of them are at a fairly advanced stage, I would say. Some of them are at the initial stage. But based on all that and based on the indications available, we are fairly confident that this 25,000, 30,000 tons should be forthcoming.
There cannot be a timetable to it given that the typical process with which the conversions happen. Having s aid that, I think we are fairly confident that this should happen and this should be on a sustainable basis. This is point number one. Now your -- what was your second question you said?
Bhoomika Nair: Sir, on EEMS.
Sanjay Majmudar: Okay. So as we said, t here are multiple approaches. One, the EEMS i.e. the typical patented mill lining design with which we are working is one of them. And the DP EEMS, everything collectively works. It is not just 1 particular factor.
Kunal Shah: And moreover, Bhoomika, idea was to talk about what's the solution? I mean, trying to get into how many tonnages to what each solution is, I don't think it's beyond the point relevant. Idea is to sell casting, right? Idea is to sell our product. And that was only to demonstrate that there is a design intervention, there's an alloy intervention ultimately leading to a disproportionate outcome for the customer.
Moderator: Next question is from the line of Ashwani Sharma from ICICI Securities.
Ashwani Sharma: My question is again on the margin. So if you look at this quarter, 28%. In the previous calls also, we have been kind of guiding that there's some reversal will happen. So at what point in time, maybe in the next quarter or quarter, if you can give some indication that it will norma lize to 22%, 23%, which is in line with your guidance. So how do we see this, sir? Your margin profile going ahead?
Sanjay Majmudar: There are a couple of clarifications I would want to give. We have been saying that a minimum sustainable margin for our ki nd of business is in the range of 22% to 24% pure operating margin. We have also always maintained that our endeavour will be to improve the margins.
Having said that, our focus currently is on conversions and market share gains where we would have to defi nitely also consider that we will have to price the products for every new entry that I get the product will be priced competitively.
So the point here is that I'm saying this is definitely a sort of a base margin based on which -- we are working. In some quarters, we have done well. Just for your understanding, Q3 of FY

'23 was very good, exceptionally good. Again, Q4 because of the transition effect was normalized a little bit. Q1 is very good, again, where there are factors like reducing freight costs, reducing the raw material costs or maintaining raw material costs at a steady level and improving the product mix in favour of certain larger castings, which has changed the profile of Q1.
I made it very clear this should not again be regarded as sustainable. So in Q

2, you may again find us coming to 25%. We don't guide on a quarterly basis. We only give a minimum base level margin guidance so that investors are clear that this is how the company operates. Now if I have done that in a particular quarter, w e have cautiously making a statement that this should not be extrapolated to mean the margin for all the 4 quarters. That's all.
Ashwani Sharma: Secondly, on the Brazil thing, you touched upon Brazil thing in your initial remarks. If you can put more some light on this?
Kunal Shah: So the duties were applied for 5 years and the period ended. So there is a review that happens in which they will reassess what sort of duty to apply. And that's a little bit of a collaborative process. So there is a -- where we are required to submit information on all that we're doing, our costs, etcetera. So we are engaging with the department that runs this process.
Sanjay Majmudar: It is a routine process.
Kunal Shah: It is a routine process, and we'll be able to know what the new duty would be from 11.8%. What will it change to? The whole process at the end of it will get determined, which will be by end of March.

Ashwani Sharma: So what is the current volume that we are doing to Brazil?
Kunal Shah: We'll do about...
Sanjay M ajmudar: The full year about 8,000, 10,000 tons.
Ashwani Sharma: 8,000 to 10,000 tons. Okay.
Moderator: Next question is from the line of Atul Bhole from DSP Mutual Fund.
Atul Bhole: Sir, just one question. In sectors like chemicals or cables, etcetera, we are hearing commentary of clients going for destocking because of supply chains are normalizing and they would have stocked the inventory because of the earlier disturbances, so are you seeing such kind of sort of...
Sanjay Majmudar: No, nothing of that s ort, our business is very different, I think.
Atul Bhole: Okay -- because of B2B angle, there are no destocking related issues...
Sanjay Majmudar: We had a long -term solution provider. Our growth is primarily focused on a conversion opportunity where the penetration in mining of our kind of high-chrome solutions are significantly lower in the range of 20%, 25% of the total demand, rest being met by

conventional forged products where our entire endeavour is to convert the customer or the mines to our solutio ns where the question of stocking or destocking will not come.
Once we are onboarded, it becomes a very long -term engagement, and we get our indications about annual requirements as we maintain inventories in warehouses across the globe to make sure that the customer requirement is met. Now if there is -- so for example, if the client or the mine is already having earlier stocks of conventional products, they will first wait to exhaust them, give us initially lower orders and then gradually increase. So -- but our whole angle is very different.
Moderator: Next question is from line of Garwit Goel from Nvest Analytics.
Garwit Goel: Sir, my first question is on the total industry size as of today for grinding media balls? And how much of it belongs to high chrome grinding balls?
Sanjay Majmudar: So again, this industry, you have to dissect I would just very quickly...
Moderator: Garwit, sorry to interrupt you. Sir, sorry to interrupt you. Gar wit, can you mute your line, please? There's a bi t of disturbance from your background. Yes. Sir, you may continue.
Sanjay Majmudar: So if you look at mining, we are talking of a replacement opportunity of 2.5 million to 3 million tonnes, an addressable opportunity for the ore types that we are focused on is anyway in the range of 1.5 million to 2 million tonnes. Penetration of high chrome between us and our competition is in the range of 400,000 to 500,000 tonnes. And that is where the conversion opportunity we are working on.
In cement, it is close to about 300,000 tonnes. And it is,

I would say, entirely serviced by -- it is converted into high -chrome use so that cement industry is more or less flat for us.
Garwit Goel : Understood, sir. And sir, how fast this penetration is going to be? Like we are guiding for only 10% to 12% volume growth, which seems a little bit conservative. If you look at your factors that you are talking about, like migration thing and industry grow th and the capex we are undertaking, etcetera. So what is stopping us to have 20%, 25% kind of growth if our product is so good for our customers and -- considering the growth that the -- considering the growing metal demand at the global level, sir?
Sanja y Majmudar: You see there are multiple factors that come to the play. All the mines, they have their own sets of compulsions, mine manager, who is at the ground level. He operates with a limited budget. We are talking of a fundamental shift for which we ar e focused. Again, the process is very long. You have to go, you have to take trials, you have to convince the mine that this is workable for them. So you work on the chrome advantage as a cost -saving factor, then you work on the down process advantages tha t our solutions offer. You also work on the mill lining typical solutions.
After all this, it takes 1 or 2 years for us to convert every customer, even then after taking all the benefits, they have their own internal compulsion. So all these processes, it is a very, very painstakingly minute micro -level process, which takes its own time. And therefore, the

conversion process itself is very slow, and therefore, we are always conservative in guidance and we're taking the target rates of conversion. So it's f airly complicated. It's not like you set up an -- automobile robotic line and you start producing. It's much more complicated than that.
That's why it takes time.
Garwit Goel: Understood, sir. And sir, going ahead, if we see our June quarter. June quarter is lower as compared to other 3. So is that correct understanding that we will have improvement Q -on-Q

from here? And can we assume we should witness 20% kind of Y -o-Y top line growth this year?
Sanjay Majmudar: Sir, we are very clear that our quarterly tr ends should not be looked into as -- so you know, for example, if I have done 74,000 tonnes, it doesn't mean I will do 74,000 tonnes only as a extrapolation. What happens is that as we convert and there could be, therefore, quarters where we are flat quart ers where you will see a decent volume growth, so I would say that overall volume growth of about 15% is what we have guided this year, there's about 25,000 to 30,000 tonnes. It did not come on a quarterly basis. It is not a sum total divided into 4. And I can't even say that what will be Q2 and what will be Q3.
Garwit Goel: And the last one is, sir, you mentioned 7% is on those treasury balances. So sir, this is too low. So -- which is lowering our overall ROC as well. So why are we not considering rewardi ng the shareholders in terms of buyback and all, sir?
Sanjay Majmudar: You see what is happening. The market is very big. We are working on several opportunities. We want to conserve our cash until such time that we reach an internal targeted level of pene tration because we might come across any growth opportunity, we will need working capital. We are aggressively going on cash also -- capex also. So currently, we are working for the Board guidelines of about 20% distribution.
I think going forward, we are very consciously reviewing it every quarter, every 6 months.
And we will take considered call going forward. But we think that shareholder reward also will come in the form of a growth and that is what we are targeted upon.
Moderator: Next question is fro m of Amar Kedia from AMBIT Capital.
Amar Kedia: Congratulations on a good set of numbers. So my question is relating to one of the comments that you had made, I believe, a couple of quarters ago that freight costs at that point of time were elevated, and y ou had mentioned that if the freight costs come down, then you will be a little more competitive for the Latin American market. Now that freight costs have more or less normalized, are you witnessing incremental traction for the Latin American markets? Or we still have some time to see that?
Kunal Shah: I think the -- yes, Latin America freight was a big issue. So we lost time because of travel. We did a lot of work before COVID. We almost lost 1.5 years, 2 years for COVID. Shipping rates were high. it's no w back into the market, right? So I think for the last 2 quarters, we've been talking about it. We are going -- I think shipping has become like your utility in terms of predictable, expected and working busine ss as usual, right? So I think those converse , but it will not be everything okay, and it starts -- there is effort in a journey and a period linked to

that. We'll be happy to share updates as they come along. Nothing specific to report at this time.
Amar Kedia: Okay. So should I -- and my understandi ng of what you said is that, okay, the competitive scenario is now better, but it will take -- it will still take some effort and time for that to yield results. Is that the correct understanding?
Kunal Shah: Yes. And which is why we are giving a volume gu idance. So it takes into factor of that, right? We cannot isolate 1 part of our business and waiting -- keep waiting for that to grow. That is not the only lever that we have for growth, right? So there'll be other parts of the business that will also grow and which is where that forms part of this 30,000 tonne guidance that we're sharing for the full year.
Amar Kedia: Sure. Sure. And the second question is, would it be possible to share what was realized ferrochrome prices for the quarter gone by as well as what are the prices today?
Kunal Shah: I think it's about -- previous quarter to this quarter, a few percentage points lower, but not materially different.
Sanjay Majmudar: Very marginal. It's fairly stable right now.
Amar Kedia: Okay. Somewhere around INR115 a kg also.
Sanjay Majmudar: Exactly. It is varying in that range.
Kunal Shah: It's a report grade. So -- you can't segregate, but it's in the same range, yes.
Moderator: Next question is from the line of Devanshu Sampat from YES Securities.
Devanshu Sampat : Just 1 question. I just wanted to understand the frequency of negotiation that we have with clients.
Sanjay Majmudar: Sir, it's a very detailed engaging process. So we have a front -end team of 60, 65 people across the globe who would go and open up the doors, along with the assistance of the local people, then where there will be a pitch, then there our technical guys, back end, front end, they will work together to design a solution, to design a wear part with a particular metallurgy, given the requirement, given the typical mining equipments or the typical mining or cement -- sorry, we will talk more of mining only. So typical mining operating conditions. Then there would be trials. There would be results which are evaluated. There would be furthe r trials, further validations until our final solution is reached.

So a lot of this work happens at the mine end itself. A lot of it also happens at our back -end operations. So it goes as a synchronized way. Typically, it might take anywhere between at least 1 year to 1.5 years for us to reach the stage where we can confidently and convincingly tell the client that this is the final solution, which is also equally acceptable to the client. Then it goes into the pricing negotiation, then it goes into contra cts. Contracts are typically long term. But all of this takes a lot of time. It's a very engaging -- continuously engaging process.

Devanshu Sampat: Okay. So -- and sir, this is -- I mean, you are referring to for new clients side over here. I'm just askin g in terms of somebody who's already there as if when the realization...

Sanjay Majmudar: [inaudible 0:37:19] slowly and gradually that would also as and when they need some service, some input, some technical issues, then our engineers go. Otherwise for a n ongoing client, that engagement, it continues through annual indication of the quantity that they would require year-over -year.

Devanshu Sampat: Okay. Okay. So is there a particular time in the year this happens or it depends on each client to client, right?

Sanjay Majmudar: It depends on the client to client. And these are very typically continuous -- it's not so cyclical. Once you are onboarded, it is more or less continuous matching with his own mining production.

Devanshu Sampat: Okay. Okay. So just t o get a sense, would it be fair to assume that probably the new negotiations that are happening would be somewhere close to 5%, 7% lower realizations that you mentioned versus what is that in 1Q?

Sanjay Majmudar: Again, it's very, very difficult to give a percentage statement because some of the mines we approach on a DP -related benefit or the down process related benefit. Some of the mines, many mines approach on the mining liner advantage that we bring in, in form of reduced power consumption costs at the SAG mill stage or improved throughput on an overall basis.

So pricing is, of course, very important, but not always the first point of discussion. But yes, eventually, when it comes to the final pricing negotiation, it is a very hard negotiation. Client wants much improved benefit at a cost which is matching with his budget, current budget. So that's always a trade-off. But again, it depends on product to product. If you are talking of grinding media, it's different. If you are talking of liners, it is different. So very difficult to make 1 statement.

Moderator: Next question is from the line of Amar Maurya from AlfAccurate Advisors.

Amar Maurya: So sir, like you indicated that this EBITDA per tonne boost, which we are getting is primarily led to the product mix change, largely more of a large casting kind of a product. So is it there like in the total order book of around INR 600 crores, INR650 crores, what would be the mix of this large casting order book?

Sanjay Majmudar: No, no, no. Amar, so let's m ake 2, 3 things very clear. One, the participant asked or made a statement about EBITDA per tonne, but we are very clear in what Kunal replied and what we always say that internally we don't track on EBITDA per tonne for the very simple reason that I don't work with a standard product. There is a very wide variety of products. There's a wide disparity of pricing. Some products are high volume, therefore, relatively lower value. Some products are very high valu e, but relatively lower volume.

It's very -- and that product mix changes quarter -over -quarter consistently because we are servicing a very wide network of customers across 125 countries, and they don't have a

standard type of requirement, correct? So a much better yardstick to track us is a percentage EBITDA or an operating profit margin that we can definitely aim as a base operating margin of 22% to 24%. We can do better year -over -year, quarter -over -quarter.

It could be different as the product mix changes, the pass -through comes in play, the freight costs comes in play. So, so many factors. Therefore, I think, a much better way is not to look at EBITDA per tonne, but to look at the percentage operating margin that we have generated or we can generate on a sustained basis.

Amar Maurya: But then even if I look at percentage EBITDA per tonne, like, yes, what we all are trying to understand is bas

ically every analyst has gone wrong from last 4 quarters. Basically, everybody is assuming 23%, 24%, and you are basically beating the numbers. So that means there is something which we are understanding -- probably we are not able to understand.

So I mean, what we are trying to understand is that is this the momentum of high -margin product mix is likely to sustain because as you are indicating that now you are ser vicing to a probably a larger sized product because normally in a larger -sized product, your fixed cost

reduces significantly, right?
Kunal Shah: Kunal here. Let me understand the quandary, and there is -- which is where we've clarified that we are not -- what we are seeing is a quarterly guidance. AIA is not giving a quarterly guidance first point. AIA is giving a directional conversation in terms of what is our business model will defend a 20% to 22% operating margin. There are periods we've done better f or a variety of reasons, which we try and keep explaining, right? But directional margin is going to be that. Now it is not for us to give that quarterly. That's not somehow, that's not something that we've done for the last many years, correct? Because th ere are variables we don't understand. Some continue for a longer period to go against the way we think about things. Some don't, right?
So to that extent, we believe it's a futile exercise to try giving a quarterly guidance on margins. That's the point. Comparing of 25% to a 22%, 22% is a directional guidance, 25% is an actual quarterly performance. So there will be a delta. Quarter -over -quarter, it is not a better product mix that has generated the additional -- it is 1 part of the better margin. But the re is also a lag, right? Costs have gone down. My selling price has to adjust. My selling price has some total of lots of customers, lots of products done with different formularies. Overall, there is a pass -through. Some is benchmarking the previous quart er. Some could be benchmarking the quarter before that. While that adjustment comes this quarter margin has seen, our costs have changed, right?
So there is a lag process. Overall, costs have gone down, my selling price will follow down on a lag basis. ri ght? We haven't said it is going to -- it does take 2 to 3, sometimes 4 quarters for all of it to get passed through. Directionally, it will get passed through, and which is where this 20% to 22% operating margin as a directional guidance comes along. Afte r all completion, while all that pass -through happens, something else may change, right? So that is a real life where the directional guidance only mean so much because real factors come in and do the adjustment. So that's where we are with the margin answ er.

Amar Maurya: So normally, the lag of pricing pass -through takes, are you saying that 4 to 5 quarters to percolate into the customer...
Kunal Shah: Generally, it takes 2 to 3 quarters. right? But the rate is also, the costs are also going down each quar ter, at least the freight cost. Raw material went down and went up, right? So to that extent, there is that now to split every order and every customer and then explain each of the difference is something that I don't think we'll be able to do, right?
Sanj ay Majmudar: And that also demonstrates that as we also maintained, we do have a lot of avenues to improve the margin. But the current focus is on market share gain. And therefore, we are conservatively giving a benchmark rate, which we think we can deliver on a sustainable basis. That's all.
Kunal Shah: I think we can take any other questions offline, moderator. We can probably get down with the call. Yes?
Moderator: Sure sir. Would you like to make any closing comments?
Kunal Shah: Yes. thank you all. And as always, Sanjay Bhai and I remain available offline for any questions. Thank you. Have a good evening.
Sanj

ay Majmudar: Have a good evening. Thank you.
Moderator: Thank you very much. Ladies and gentlemen, this concludes your conference for today. We thank you for your participation and for using Chorus Call conferencing service. You may please disconnect your lines now. Thank you, and have a great evening.

Call: Nov 2023

AIAEngineering Limited
November 8,2023
To,
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Mumbai -400001
ScriptCode:532683To,
TheManager (Listing),
National StockExchange ofIndiaLimited
"Exchange Plaza", C-l,Block-G,
Bandra-Kurla Complex, Bandra (E)
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ScriptCode:AIAENG
DearSir/Madam,
Sub:Transcript oftheInvestors' Conference CallheldonNovember 6,2023
Pursuant toRegulations 30and46(2)(oa) oftheSEBI(Listing Obligations andDisclosure Requirements) Regulations, 2015,pleasefindenclosed herewith theTranscript ofConference Callheldbetween theCompany andInvestors onMonday, November 6,2023todiscuss the Unaudited Financial Results andperformance oftheCompany fortheQuarter/Half Yearended so"September, 2023.
Theaforesaid transcript isalsobeing hosted onthewebsite oftheCompany, www.aiaengineering.comin accordance withtheRegulation 46ofSEBI(Listing Obligations and Disclosure Requirements) Regulations, 2015.
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“AIA Engineering Limited
Post Results Conference Call ”

November 06 , 2023

MANAGEMENT : MR. KUNAL SHAH – EXECUTIVE DIRECTOR (CORPORATE AFFAIRS) – AIA ENGINEERING LIMITED
MR. SANJAY MAJMUDAR – INDEPENDENT DIRECTOR - AIA ENGINEERING LIMITED

 Modera tor: Good evening, l adies and gentlemen . Thank you for standing by. This is Nirav, the moderator for your call today. Welcome to the post results conference call of AIA Engineering Limited. We have with us today the management team of AIA Engineering Limi ted. At this moment, all participant lines are in a listen only mode later we will conduct a question and answer session . At that time if you have a question please pressing ‘*’ then ‘1’. Should you need assistance during this conference call, please signal an operator by pressing ‘*’ then ‘0’ on your touchtone phone. Please note that this conference is being recorded. I would now like to hand the conference over to the AIA Engineering

Management team. Thank you and please go ahead, sir.
Kunal Shah: Thank y ou so much. A very welcome to everyone and g ood evening . Thank you for joining our call for second quarter result update for AIA. I will dive into numbers and then we can get into Q&A. I also have Sanjay Bhai here with me. I think second quarter has largel y been in line with the first quarter with 77,7 25 metric ton nes of sales which converts to around 1273 Crores of revenue, total EBITDA comes to 444 Crores which is 34.32% and profit after tax at 32 3 Crores and EBITDA and profit numbers are higher sequentia lly and also compared to second quarter last year. S ame numbers for the half year if I were to compare to H2 last year we did 151,771 ton as compared to 146,000 tonnes 6 months last year converting into sales about 2494 Crores which was 2376 in the 6 months last year. EBITDA was 611 Crores which is 846 Crores this 6 months and PAT was at 435 Crores which is at about 595 Crores so t here is improvement in margin and we will go through unpacking some of those details . Our other income there was export benefit of 20.94 Crores which is in line with the benefits under RoDTEP and d uty drawback . Our other income which is treasury is at 63 Crores and both these numbers are largely comparable to the first quarter numbers and total other income of 62.32 Crores and 20. 94 what we are considering operating other income. Our working capital is in sync with the first quarter. T here is a slight improvement in inventory and total number of days now working capital is about 95 days and there is improvement on this one m etric which had gone up to 118-1 20 days right after COVID when we had issues around f reight and container availability so there is a f air improvement on the working capital side . Segmental details again are largely comparable to the first quarter . We did 52,000 tonnes in mining which was about 53,000 ton nes in the first quarter , 25,600 ton nes in the other than mining. T here is some improvement in cement tha n otherwise compared to 20,790 in the first quarter so there is about 3300 ton nes of higher sales in t he second quarter compared to the first quarter . Our order books and other things are largely in line with what we have reported in the previous quarter with the cav eat that order book does not include the value of contracts which are longer term , the s upply happens under periodic monthly , quarterly purchase order and that is what we are reporting over here. O ur net cash is now at 3135 Crores up from 2757 Crores end of June and 2563

 Crores end of March . Our realization is also largely in l ine, it is about Rs. 162 per kilo down from about 163- 164 in the previous quarter . So couple of things if I compare first quarter to second quarter there has been an imp

rovement in raw material that just reflects the lower raw material consumed in this quarter compared to the first quarter and raw material continues to be volatile . Ferrochrome has been between 120 at its peak , it went down to about 100 it is back to 110- 112 level so it continues to be volatile and there will continue to be a pass through going forward when we see the fluctuation coming on so this quarter a reduction and we will have a pass through mechanism built on it . There is some improvement in power that is a function of the higher captive renewable wind generates the highest in this quarter so there is s ome reduction in power cost on account of that so there is a 2% sequential i mprovement in margin on account of these two factors and both will normalize going forward. A nother thing when we look at first half last year versus first of this year there is al so a Forex from what was about 79 odd is 83 plus , average is about 83 plus in this first half so you see better numbers on account of rupe e depreciation also so all of that has flowed in. The freight cost has also seen a reduction and our pass through is i n mechanism . I think over next two quarters you will see margin adjustment on account of pass through in freight cost and one last thing is we still had one more quarter now where our product mix helped the realization as well as margin so I think we expect our margins to adjust between 3 and 5% over next few quarters and normalize to a long -term guidance but this is just to unpack the numbers for this quarter . Other highlights it is called a sunset review when the five year anti -dumping duty passes through that tenure and in Brazil that sunset review has started and we are in that process to furnish all information and go defend the duty over there so that is one development , second is we have completed the 30% acquisition of a company in Australia where we are part of the mid -liner capabilities so apart from that business as usual . We are on track to spend 500 Crores between now and end of March 2025 where about 200 Crores goes towards the grinding media expansion, 200 Crores towards overall restructuring a nd debottleneck , 50 Crores towards captive power and other 50 Crores for land and other requirements so we continue with that . We spend 100 Crores this quarter and we will continue to spend from that budget right up till March of 20 25. 80,000 ton grinding media expansion is on track for being commissioned by December 2024. I think that sums up our commentary as far as numbers is concerned. I will have Sanjay just chip in on the business outlook and also some tonnage conversation and then we will go on to Q& A.

Sanjay Majmudar: Well good evening to everyone and thanks for joining this call . While Kunal has taken you through all the re levant highlights just quick one or two small clarifications . I think what Kunal meant was that we acquired a 30% stake in that Australian company as announced on the stock exchanges as well . That is pretty strategic in the sense that it is a high technology design capability company and it will help us to significantly push our penetration into the

overall mill liner opportunity t hat is point number one , point number two as you would have seen we have done fairly decent in terms of margins while the reported margins of 34 odd percent in Q2 at the operating level it is about 29% as K unal explained we have the benefit of a very good product mix and of course reduction in f reight which has helped in improving the percentages in terms of comparability. On the capex on all our medium to long-term opportunities we remain very intact . As you would have seen we have done close to about 151, 000 ton nes of sales in the first half as against 291,000 sales in the last year and we believe that we have given an indication that we are working on s

everal exciting opportunities and as we have also demonstrated in the past that conversion from ferro chrome is our complete area of focus based on all the key conversion drivers that we have and the focus as a market opportunity as well as the technological with all that we have. W e do expect the incremental tonnage to also come up more or less in the same indicative range . The only thing is it may take a little more time that is the indication that is available today so we may not be able to do maybe 25 to 30,000 tonnes for this year . It might be slightly lower . We do not know exactly how much it could be l ower . It could be maybe anywhere between 10 and 20,000 having said that the overall direction remains the s ame. It could be a little bit of tonnage shift from this year to next year but that does not in any way change the direction or the opportunity or the strategy with which we are going . I think with this overall business remains very bullish . We continue to remain very bullish on all the prospects and I will open the house open for Q &A. M oderator over to you.

Moderator : Thank you very much. L adies and g entlemen we will now begin the question and answer session . The first question is from the line of Bhumika Nayar from Dam Capital . Please go ahead .

Bhumika Nayar : Yes good evening S ir and thank you for the opportunity . Sanjay b hai what you mentioned right now that there has been from an incremental ton nage perspective we are looking at lower number , if you can just give some more clarity around this that why are we seeing this kind of a slippage into the next year and what is the reason for the delay in the acceleration of volume or slower pace of conversion , if you can just talk about it.

Sanjay Majmudar : Bhumika what I wanted to convey that from a conversion process opportunity as well as the number of mines on which we are working it remains absolutely the same or rather more we are a little bit more aggressive. T he only problem is that the time is exactly not under our control so today when we were evaluating first half vis-à-vis our earlier t arget of 23 -25,000 the indic ations available that there could b e for this year maybe a shortfall of 10 or 15,000 tonnes just because that conversion is taking more time . You just cannot control the time . What we wanted to convey was that there could be a little bit of sl ippage so there is a very strong probability tha t next year the volumes could be actually more aggressive supposing I

am working on say 10-20 mines and we are looking at an opportunity of converting say 100 200,000 ton nes in immediate future out of that some will happen this year , some may slip to next year that is all I wanted to say . Whatever team told us that we can not control the exact quarter wise rate but there is absolutely no dilution from an opportunity standpoint .

Bhumika Nayar : Understood so basically what you are saying is next year could the n kind of look .

Sanjay Majmudar : But again see let us get confined to this year so for example earlier we were saying a 25 30,000 tonne volume growth that volume growth may go down a little bit from say 15 20,000 tonnes having said that next year it could be a little more aggressive but I do not want to give you any number about next year till I reach Q3 or maybe a little closer to Q4. This is just the nature of business we cannot help it.

Bhumika Nayar : Understood the other question was related to the Aust ralia entity so if you can just throw some light in terms of what is the addressable market for this stake .

Sanjay Majmudar : Okay we are looking at an addressable market for mining liners at say around 300,000 tonnes plus for the metal segment correct . Now we have one design capability already this is one more incremental so this particular company the Australia based company was very strong

in designing a wide variety of mill liners so we have enhanced our designing capability and technological progress . They also have a very good access to certain markets

so this adds one more feather in our cap for aggressively converting the mill liner opportunity and i mprovement of our volumes in that segment that is all. We work with a
very complex set of parameters wh ere it is very difficult to explain to you from a l ayman's
perspective that what exactly as you know over last 10 years our journey is to keep on strengthening our technological progress and our solution giving capability . This is one
more acquisition whic h is more on a technology and design side and they already have a
steady sort of a business which they are currently doing correct and we are supplying to them lot of liners so it is a very complimentary kind of a situation .
Bhumika Nayar : Okay so does tha t mean that our mix in terms of accelerating growth while the overall
volumes might be muted but mix might shift a little more favorably towards mill liners per
se given our capacity .
Kunal Shah: Bhumika the point is that obviously grinding media is a product of interest right and m ill
linings complement that conversation because we are bringing in all these other benefits
alongside so even with what we are doing in Australia like S anjay bhai explained it is
deepening the engagement with the customer what we are saying we will go out and sell
some more mill liners right. O ur objective is to get the whole piece of that grinding circuit
 which is mill linings and grinding media and to that extent grinding media to non- grinding
media ratio will vary quarter over quarter and maybe for a period because something comes
before the other but generally the product of i nterest remains to be grinding media so think
of it that way .
Bhumika Nayar : Okay and Sir lastly in terms of the margin profile . I mean obviously this quarter was very
strong and last two quarters we have seen that very strong improvement in the margin
profile so do we think that while it may take some time to pass on the benefits of the lower
cost to kind of client so this might remain elevated for the n ext one or two quarters and then
kind of settle down towards our medium to long -term trajectory of 21 -23% .
Sanjay Majmudar : I think a little more realistic trajectory could be a slightly about 23 24% . While we continue
to report much better mar gins so as I said now we believe that this 23 -24% seems to be a
very consistently reasonable bottom that we can look at , it could be fluctuating quarter over
quarter but it should maintain at a decent level .
Kunal Shah: And we live in a very volatile world right ? I me an raw material like we cannot imagine
everything else is corrected back to a certain level , our raw materials have not and they are
going down and coming back up so in that situation there is quite a bit of uncertainty that is
there and so going out and s eeing years of margin is also a tough question for us also
exactly so I mean freight and product mix will correct over a few quarters and what that
number will be , at least for next one year like San jay bhai is saying it may be upwards of
20-22 and over a longer period it will get normalized to around 20 -22% then.
Bhumika Nayar : Okay sure. I will come back in the question queue. T hank you.
Moderator : Thank you. N ext question is from line of PA Garvit from Invest Analytics . Please go ahead .
PA Garvit : Hi thanks for the opportunity and congrat s for a good set of numbers . My question is on the
sales realization side, what is the range expected for second half?
Kunal Shah: The sales realization .
PA Garvit : Right .
Kunal Shah: It will vary between 150 and 165 depe nding on like I said a variety of factors rupee
weakening was not part of this estimation when we have done last year right an

d the
product mix changes so closer to 155- 160 over next four quarters is what we can estimate
right now .
 PA Garvit : I think earli er it was 165 to 170 right .
Kunal Shah: No it is the same more or less because factors keep changing today it is this . I mean I do not
recall when it was 165 -170 but for now where we stand 150 to 163 is a f air estimation of
where it could be .
PA Garvit : Understood and what is the exact reason means why these delays are happening in the
conversion like you are negotiating with the customers and mines.
Sanjay Majmudar : Let me elaborate so we are working on say X number of mines say 20 , 25, 30 new mining
locat ions where there is a lot of debate , it is not a question of debate it is a question of
process so you do trials and errors . You engage into discussions with their technical guys .
They may come for a further evaluation then they may want to negotiate on th e terms . This
process typically takes one to one and a half years maybe a little longer in case of certain
more complicated situations . Now to add to this there are local factors there are other local
limitations that also we have to counter so it is a sum of all this where we have evaluated

after the second quarter results where at the board there was a presentation done that how things are panning out and how things are looking , we felt that it could be a little shift from
maybe one or two quarters that is all. We have not said that the opportunity has gone and as
I said this is 100% b eyond us . We are trying our level best . Our teams are engaging . They
are very excited . There are lot of locations where we are working and as I said because
technically our y ear ends by March 2024 we are talking of now two more quarters . It is
possible that the volumes could come much better in Q4 than we anticipate but it is
something that we felt that whatever we felt internally that this is what the reality we should
convey to you that is all we will say.
PA Garvit : So going by that FY2025 can we expect 35 -40,000 kind of volumes in FY 2025.
Sanjay Majmudar : I told to the previous participant that we will come with a more precise number but broadly
here you can look at least 3 0-40,000 minimum but again we will come to you with some
more specific number as we approach the fourth quarter .
PA Garvit : Understood and Sir on your margin side so which are improving consistently over the
quarters which is obviously a good thing but the problem is the reason for the same is not
clear to me like it does not seem the operating leverage because our volumes are not that
high if I compare with the past.
Sanjay Majmudar : You must understand our business is not running on operating leverage. O ur business is
primarily driven by an extremely wide product mix where we have products ranging from
 Rs.80, Rs.100 a kilo all the way to Rs. 250-300 a kilo . It is a function of product mix then it
is a function of pass through so where every quarter or every 6 months when there is a price
adjustment due to pass through on the raw materials in a few quarters we could be at an
advantage that raw materials have actually come down a little bit but the impact is not
passed down and therefore there could be a quart erly strength that might reflect in margin .
Secondly more important it is also a function of the currencies as last year average currency
rate was 79 now this year we are looking at 82- 83 so that currency also move s in my favor
because my imports or my for eign currency outgoes are minimalistic or they are practically
zero and my inflow is very , very strongly positive now . It is very difficult to do a math and
say that X is the contribution of Y factor etc, so it is a mix of all these three factors which
keep on fluctuating but overall a sustainable margin

at this point in time definitely looks to
be upward of 22 to 24% a s a pure operating EBITDA. A gain freight has come down
drastically so that also has an impact when you do a math as per percentage. Freight is
actual cost pass through but when the numerator and denominator contains a lower amount as a percentage you will see an improved percentage.
PA Garvit : Understood but like you mentioned in the first se ctor like passing on ra w material is causing
all this things but Sir this thing can improve our absolute sales but the margin and the
absolute EBITDA c annot improve significantly .
Sanjay Majmudar : See this quarter we had a very strong sales coming from non-grinding, grinding media and
non-grinding , now non -grinding media comprises of tube mill liners , then mining liners
plus all my VSMS those large castings where definitely our margins and profitability
overall is much better while we do not share the internal segment wise numbers for strategic
and competiti ve reasons so our product mix play I would say a very significant part and that
is what is driving our margin.
PA Garvit : So what kind of product mix do you expect in the upcoming two quarters like is it going to
be the same or how it is going to shape up?
Sanjay Majmudar : We have always guided that our long -term sustainable margin should be in the range of 23
24%. We are not saying that Q3 mien X hoga or Q4 mein Y hoga. W e do not do that . We
do not share th e quarterly margin numbers . We just give an indicative guidance. Y ou have
all my historical data with you so I think we should always try to work and improve from what we are guiding but this is what our guidance remains from a margin standpoint .
PA Garvit : Okay Sir thank that is it for my side.
Moderator : Thank you. N ext question is from line of A shish Shah from JM Financial . Please go ahead .
 Ashish Shah: Yes good evening and thank you for the opportunity . Sir could you help me with what was
the average raw material prices like say steel and ferr ochrome for the quarter versus May
last year so how has been the Y -o-Y movement .
Kunal Shah: Listen it will get little too granular to start sharing . The idea of sharing raw material price
was only to say that it continues to be at an elevated level and volatile otherwise your raw
material is rare from an accounting reported number will be our average raw material price
to our selling price . We will be unable to share exact price. Y ou can just look at a

ferrochrome at a scrap b enchmark to see how things have moved.
Ashish Shah: Right fair enough second point Sir that while we have said that the freight rates and we can see that the freight rates have also come down historically , last few months they have been coming down but because of whatever is happening around in terms of the geopolitical issues are we seeing that go up again , have we seen any indications that in the coming months or quarters .
Kunal Shah: No not yet.
Ashish Shah: Not yet right and just a last bit so we obviously in our business model we pass on the impact of raw material and f reight but what happens to the currency depreciation so is that a benefit that we as a structure retain that or we also pass on some benefit of the currency depreciation .
Kunal Shah: So except US and some countries end currenc y is not US dollar right . US dollar is a transacting currency . There is always importing currency on the other side and a lot of our pricing is ultimately a cross currency conversation . Yes generally a weakening rupee is better than an appreciating rupee b ut it is not fair to say that all rupee weaken becomes close to the bottom line . Generally it gets adjusted in our pricing because other importing currency would also have moved in t andem with Indian rupee so dollar pric ing keeps getting adjusted as far as these cross currencies move.

Ashish Shah: Right got it. T hank you.
Moderator : Thank you. The next question is from the line of Puneet Pathani from CE D Capital . Please go ahead .
Puneet Pathani : My first question is how difficult it is to manufacture high c hrome grinding media and what prevents any new player from manufacturing and scaling up the same .
 Sanjay Majmudar : My friend of course I will try to do a little bit of justice but for this I think you need to understand our business in a little greater det ail. I will be happy to take it offline but just to very quickly give you a heads up we are 100% focused on providing customized solution so we understand a given application and design part to suit that particular application . We would have retrofitted hundreds of thousands of mills and equipments across the world in more than 125 countries . We have more than 100 different alloy combinations ranging from 5% to 32% . We have different heat treatment cycles for different types of solution . It is fairly complex so it is not easy for anybody to emulate the capability of providing a customized solution though it is not a rocket science we are a foundry and there would be hundreds and thousands of foundries across the world but there are very stiff entry barriers because once we provide a solution to a customer , there is almost 100% assured customer stickiness . We do not only reduce the costs but we reduce the overall cost of ownership and make their processes more efficient . We improve their profitability and all this we do as a package which is therefore very compell ing so this is all a culmination of several factors over last 30 years that have given rise to all these entry barriers so even today on a very comprehensive basis we still an oligopoly between us and Magotteaux .
Puneet Pathani : Okay and the second question is just the extension of the first . I understand that it is very difficult to persuade and convince a minor to switch to high chrome grinding media and is there a possibility that once a minor adopts high ch rome media or competitor could employ undercut ting strategies to cannibalize our customer base.
Sanjay Majmudar : Do you mean to shift back to for ge.
Puneet Pathani : No you have converted your customer to high chrome m edia and any other manufacturer for example Magotteaux undercut you and forge that customer .
Sanjay Majmudar : Theoretically it is always possible practically it is very difficult because Magotteaux operates under different operating circumstances . We do operate under a very different set of circumstances . All our plans are in India we have huge cost advantages as compared to Magotteaux but yes theoretically it is very much possible practically it is extremely improbable if not impossible .
Puneet Pathani : Okay just one last question . On what attributes do you differentiate your products vis -à-vis your competition and why we do not face a lot of competition from China .
Sanjay Majmudar : I will address the second part first . China quality of grinding media and the approach of Chinese players no way matches our quality standards between when I say it is AI A and Magotteaux both so v is-a-vis China we operate on a similar platform because we have the
 same or similar solution giving capabilities . However , therefore if you see overall so there could be one or two odd instances of some Chinese also quoting alongside us but when it comes to q uality or when it comes to the addressing the customer requirements I think there

no serious competition from China , this is point number one . Having said that Chi na itself is a large market for ce ment and also a little bit of mining however bulk of that market is currently addressed by some Chinese players . We at AIA we are present in a very special range o

f products called larger castings or VSMS . We do not supply grinding media in China . Now your second question as compared to Magotteaux . As I said while we have significant advantages in terms of superior operating conditions , all plants in India significant cost a rbitrage vis-à-vis the fact that Magotteaux operat es with about 15 16s smaller midsize plants across various parts of the world . There is also another advantage that we are far more responsive and focused and we are able to give much quicker and better solutions from a quality standpoint . Certain things l ike for example mill liner s technology which is a patented technology that we have plus certain designs of mill liners etc we have access to but I think Magotteaux does not have that so maybe from a capability standpoint we score a little higher but from a n overall comparability they are more or less the same but it is just the equation of costs versus our capabilit y.

Puneet Pathani : Okay that is it from my side and thanks for the opportunity .

Moderator : Thank you very much. N ext question is from the line S antosh Kesari from Kesari Financial Service. P lease go ahead .

Santosh Kesari : Hello Sir thank you so much for taking my question so I had two questions one is about accounting so in the c onsolidated accounts you can see that there is a withholding tax provision of 8 Crores 33 that is there in the not e four to the quarterly financials so I was just wondering that what it is about if you can tell us and secondly if this w ithholding tax in the other country then is not it available as a foreign tax credit to y ou in India why should we make a provision .

Sanjay Majmudar : See this particular withholding tax was in one particular country , I mean there was no withholding tax as such but the government has withheld the tax . Our claim is for allowing us the refund but that refund claim is pending this is an African country where there are certain issues and therefore this withholding tax has been kept as it . Probably in our accounts we would have written of this . I think we have written it off correctly .

Kunal Shah: We are looking for a refund. W e are working towards that but just to be conservative currently it stands as a as a w rite off but we continue to work towards getting a refund. It is

 a new jurisdiction that we are working with and that is one tax issue that we are trying to figure out a way around.

Sanjay Majmudar : Secondly from I mean this tax credit perspective we do get tax credits everywhere as per the DTSS there is no problem wherever it is available we get there is no issue . This is a one specific solitar y instance.

Santosh Kesari : Okay so here we are not sure that FTC would come .

Sanjay Majmudar : We have written it off yes .

Santosh Kesari : Okay fine now my second question is about the demand situation in the order book so I think you have spoken about the demand situation. If you can tell us the present status of the order book and give us some outlook for the future from the order book perspective .

Sanjay Majmudar : So the order book that we publish is the actual purchase orders on hand which is close to about 700 Crores generally quarter over quarter but most of our contracts are long -term . We only produce on a made to order basis . We do not produce on stock and sell basis except s o based on our long -term contracts, which is typically 3 to 5 years or even longer we have a very clear understanding and visibility of what is our run rate and how things are going ahead . Order book only reflects the quarterly situation .

Santosh Kesari : Okay so we are sure of whatever we are producing to sell right.

Sanjay Majmud ar: I have a clear visibility of almost the entire year or even next year but the order book only reflects the current PO s on hand.

Santosh Kesari : Got it sir so the demand

situation is better than compared to the past two, three years because I will tell you the context where I am coming from see post COVID it was consensus that investment in mining is not so much and then world needs a lot of mining capabilities to come up in the near future so i f that situation continues or the mining capabilities invest ments are done with and now we are looking at the replacement demand or the normal demand.

Sanjay Majmudar : See from our standpoint of course while the mining industry may continue to grow at say 3-4% or may not grow at all . Let us assume a situation does not grow , what we are talking about is that our entire focus is on the conversion opportunity 70-75% of the mining industry today does their grinding operations based on f orge grinding media correct . Now what we are doing is we have come up with a much s uperior solution so between the ores that is gold copper and iron ore we talking of a very decent opportunity of anywhere between one and a half to 2 million ton nes vis-à-vis the penetration of 400, 500 tonnes between us and a few other players like Magotteaux and a few players on the liner side correct so liner ko separate kar lo even then we are talking of at least a million , million and a half unconverted opportunity which we are working on to convert so this is a pure 100% conversion based replacement bas ed market opportunity and therefore we are agnostic to the mining sector growth . We believe our solution has a very significant benefit to offer vis - a-vis conventional f orge media. T he only difficulty is that the whole process is painstakingly slow because of a host of factors , local competition , local p ulls and pressures , governmental road blocks like anti-dumping or some kind of similar d uty opposition trade barriers then the mindset of the customer , the mining manager working with a limited budget where he is not really jumping and clapping his hands when I show him the profit that he can earn . All those factors collectively make my journey very harder having said that we are extremely confident that this should happen over a period of time and we see this as a longterm 5 to 10 year growth opportunity , rather than one or two years .

Santosh Kesari : Great to hear this Sir. At the same time the customer who are convinced and who are buying your products they are also sort of happy with the solution that they are getting right.

Sanjay Majmudar : Of course they are then they keep on buying for life and they need me every 15 days , one month, one day depending on how fast the consumption goes .

Santosh Kesari : Okay g reat to hear this S ir. Thank you so much for answe ring this in detail.

Moderator : Thank you. N ext question is from the line of P A Garvit from Invest Analytics . Please go ahead .

PA Garvit : Hi thanks for the followup. Sir just want to know how economic activities are going on like what is the near to medium -term outlook in Australia as well as in Brazil in terms of mining.

Kunal Shah: Nothing significant to report . I mean the world continues as is copper and gold continue to be commodities of i nterest given end use that they have but nothing stand out to rep ort in that sense.

PA Garvit : Okay Sir thank you.

 Moderator : Thank you. N ext question is from line of Nayan Chaturvedi from HSBC M utual Fund. Please go ahead .

Nayan Chaturvedi : Yes thank you S ir. Thank you for the opportunity . Sir can you elaborate on this anti-dumping duty in Brazil. I miss ed some of your commentary on that part .

Kunal Shah: The five year period has just ended. T hey are going to do a reassessment there is a whole prescribed method to go about it and we are we are participating in that pro cess right now by March of next year 2024 we should know the new regime that wil

l come in once hey investigate and analyze data in l ast five y ears.

Sanjay Majmudar : And it is not disrupting my current supplies to Brazil it will continue .

Nayan Chaturvedi : If it goes against us right I mean so what could be the volume profile that we are supplying to Brazil .

Kunal Shah: Last year we did between 6 and 8,000 tonnes. T his year we should be doing a little more . We do not expect a very adverse outcome in any case the duty is there right, the wor se can be duty continues which we are living with right now .

Nayan Chaturvedi : Okay thank you.

Moderator : Thank you. T he next question is from the line of Raja Kumar individual investor . Please go ahead.

Raja Kumar : Good ev ening Sir thanks for the opportunity . Sir I want to know is there any update on the Peru subsidiary and as well as the Canadian operations and the second question is the volume guidance which you are reducing now is that got anything to do with the impendi ng global slowdown.

Kunal Shah: It is not linked to that no . What was the first question ?

Raja Kumar : Update on your Peru subsidiary and any update on the Canadian operations and do you think the current standoff between India and Canada will impact us in anyway.

Kunal Shah: Not really our s is strictly a trade matter and in any case I mean it is a matter that is under subjudice meaning because we are party to that a rrangement that is there as far as their last investigation was there and it continues . We are doing all we can to continue to sell in that market and nothing to report on that front right now .

 Sanjay Majmudar : Nothing to do with the current stand off whatever yes.
Raja Kumar : Okay and u pdate on Peru subsidiary . I think in last quarter you mentione d that we have started a subsidiary in Peru .
Kunal Shah: Because a lot of these places we have staff we have people on the ground . We need permanent establishment and that requires us to be creating those companies so it is more structure thing rather than a market thing .
Sanjay Majmudar : And of course we continue to work very aggressively on the S outh American opportunity including Peru , Chile everywhere .
Raja Kumar : Okay and Sir this global slowdown is not going to impact us from a growth standpoint .
Sanj ay Majmudar : Let us just understand this is Europe . There is hardly any impact of overall European slowdown on our operations . South America , Australia all those geographies continue to do pretty well in terms of mining so no . Frankly there is no impact of the global slow down as such.
Raja Kumar : Okay Sir thank you.
Moderator : Thank you very much. N ext question is from the line of S uraj from Asian Market Securities . Please go ahead .
Suraj : Thank you for the opportunity so any update on our capex expansion plan .
Sanjay Majmudar : Yes we are on track as Kunal explained. W e have a capex plan of 500 Crores between this year and next year . This year we should do upwards of 300 plus that should increase our capacities the grin ding media , Kerala J IDC Kerala plant o f 80,000 capacity enhancement project should be over by December 2024 then there are some other debottlenecking or reorganizing plan ts which should add another 15-20,000 tonnes so we are absolutely on track so you should see about 440 going to close to 540 by end of next year .
Suraj : Okay thanks .
Moderator : Thank you. N ext question is from the line of Kamlesh Kotak from Asian Market Securities . Pease go ahead .

 Kamlesh Kotak : Good evening gentlemen. S ir just I do not know whether you touched upon this, can y ou help us understand how the mill m arket opportunity , how big it is what are the key markets which are the key competitors , how we are positioned that will be of great help , thank you.
Kunal Shah: So mil l l

iner m arket is about 300,000 ton nes plus of annua l consumption and according to our information there are three or four organized players operating in that industry . We have set up a new Greenfield p lant with a 50,000 ton ne capacity and we have got about 25,000 tonne capacity in our existing plant so the re is about a 75,000 ton ne m arket opportunity that we looking in this segment and the whole opportunity is not just to sell more liners but it allows us to engage with these customers in offering them s olutions around increase in through put, lower par consumption in sync with our grinding media offering .
Kamlesh Kotak : So is it more of a cross -selling opportunity for our existing clients or we are taping new clients ?
Kunal Shah: Both.
Kamlesh Kotak : And could you give names of who are the key players as yo u mentioned I mean if you can help us .
Kunal Shah: There is there is a company called E lecmetal . I can share that on an e -mail . If you can send me an email I will share you . We have got these other names I may not be able to spell each one but if you can s end me an e-mail I will share all those details with you .
Kamlesh Kotak : Sure. Thank you very much Sir that is it from my side .
Moderator : Thank you. A s there are no further questions I would like to hand the conference over to the AIA Engineering management team for closing comments.
Kunal Shah: Thank you for joining and S anjay bhai and I remain available offline for any questions and we look forward to connecting end of third quarter . Take care and enjoy . Happy Diwali to everyone in advance.
Sanjay Majmud ar: Yes happy Diwali thank you.
Moderator : Thank you very much. L adies and gentlemen this concludes your conference for today . We thank you for participation and for using Chorus Call Conferencing Service. Y ou may please disconnect your lines now . Thank you and have a great evening .

Call: Feb 2024

AIAEngineering Limited
February 9,2024
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DearSir/Madam,
Sub:Transcript oftheInvestors' Conference CallheldonFebruary 7,2024
Pursuant toRegulations 30and46(2)(oa) oftheSEBI(Listing Obligations andDisclosure Requirements) Regulations, 2015,pleasefindenclosed herewith theTranscript ofConference Callheldbetween theCompany andInvestors onWednesday, February 7,2024todiscussthe Unaudited Financial Results andperformance oftheCompany fortheQuarter/Nine Months ended31stDecember, 2023.
Theaforesaid transcript isalsobeing hosted onthewebsite oftheCompany, www.aiaengineering.comin accordance withtheRegulation 46ofSEBI(Listing Obligations and Disclosure Requirements) Regulations, 2015.
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“AIA Engineering Limited Post Results Conference Call”

February 07, 2024

MANAGEMENT : MR. KUNAL D. SHAH – AIA ENGINEERING LIMITED
MR. SANJAY S. MAJMUDAR – AIA ENGINEERING

LIMITED
AIA Engineering Limited
February 07, 2024

Page 2 of 12 Moderator : Good evening , ladies and gentlemen. Thank you for standing by. This is Lizanne , the moderator , for your call today.
Welcome to the post results conference call of AIA Engineering Limited. We have with us today the man agement team of AIA Engineering Limited. At this moment, all participant lines are in the listen only mode. Later we will conduct a question and answer at that time. If you have a question , you may please press '*' and '1' on your telephone.
I would now li ke to turn the conference over to the AIA engineering management team. Thank you and over to you sir.
Kunal Shah: Thank you so much. Very warm welcome to everyone. This is Kunal and as usual I also have Sanjay bhai here with me. I will start with a quick rundown on numbers for this quarter and then We will get on to Q &A.
I think this was a steady quarter nothing exceptional to report on any metrics. We produced 82,000 tons , sold 74, 000 tons which brought our nine-month sales to about 225,000 tons. We target to be closer to 300 for the full year up from 291 for full year last year. So overall about a 10,000 tons growth. We expect between. We have done about 8 ,000 tons in nine months and a little more as the year closes. Rest of the numbers are in line with Q3 , Q2.
One change has been our realization which has dropped from 165 to about 154 and largely because of prod uct mix. W e keep talking about product mix , two aspects of it, o ne is grinding media versus non grinding media and the alloys that we sell in each of these categories —we do 11% chrome to 30% chrome —and that generally influences the realization. So , the 74 ,000 tons out of 154 realization translated to 1, 146 crores of sales leading to an EBITDA of 395 crores as compared to 444 crores in sequential second quarter and 483 crores in the 3rd Quarter last year. EBITDA at 33.79% , almost comparable to second quarter EBITDA which was at 34.32 and a profit after tax of 279 crores.
Moving on ; similar export benefits our treasury income is comparable to previous periods. We had some foreign exchange gain this quarter about 17.40 crore s. So total other income at 83 crores. Our working capital again largely in sync. We have had some increase in WIP and S G but that's more accounting related which is stock in transit. Otherwise working capital continues to be at par with previous periods , around 90 days. This quarter is about 100 but overall , 90 days of working capital.
From a sales standpoint , we have done of the 74 ,000 tons 53, 395 in the mining segment and non-mining is 20745. Nine -month mining is at 158 ,000 tons and up from 144 in nine m onths last year. So , it's a nice 15 ,000 growth as far as mining is concerned. Our non -mining has shrunk by about 6, 000 tons. I think nothing exceptional. It's a timing issue more than anything else. In the previous period we had with some OE orders that ma terialized in that period but nothing material to report for that period.
AIA Engineering Limited
February 07, 2024

Page 3 of 12 Total CAPEX for this year is at 146 crores. We had identified 600 crores of total CAPEX , of which 500 crores of total CAPEX of which 200 crores was to go into the grinding media plant which we are on track. It's in the stage of installation or being set up. We hope to commission it between December '24 and March '25. And total cost for that plant will be 200 crores. We are also spending 200 crores on various debottle necking efforts. We are buying land ; we are setting up some warehouses etc. to support the whole operation and 100 crores towards renewable. So , all put together we

are at about 500 and of which We have spent 146 crores in nine months this year and another 50 crores approximately till the end of the year. So , We will be at 200 for the full year. We have also transferred money towards the purchase of shares in the Australian company called MPS , we now have a 30% stake and we transferred money for that at 43 cro res. So , there's a total outflow of 186 crores for non-OPEX reasons .
Our net cash for the period is at 3, 100 crores odd. I think overall as far as business is concerned , the two paradoxes , one is from a business standpoint I don't think We have been more excited or better situated for the opportunity in front of us. Right from our balance sheet , our excess capacity on the ground , our network and team in place and the solutions that we have for the customers and the opportunity largely the 2.5 -million -ton forged grinding media market which We are looking to convert to high chrome. At the same time , we recognize, and We have spoken about it in previous quarters about the challenges that , we have to overcome to convert. A lot of that is linked to customers mindset, customers perception of risk when one changes from forge to chrome and it's taking longer than longer than we have imagined which is where we were hoping to be at 320, 000 tons a t least We will be falling short this year . We continue with our overall I wouldn't say a guidance but at least an indicative direction of

saying 25,000- 30,000 tons each year we are looking to add. But it's contingent on a lot of these conversions coming i nto play and We have got customers or prospects where each customer can give 20 ,000-25,000 tons to customers who are between 5,000 and 10, 000 tons. There is an uncertainty around timeline and we are doing all we can and hoping that a lot of that opportunit y materializes soon enough.

Macro , from a mining environment , I think our solutions have a deep opportunity just because we are improving operational parameters for the customer and especially at a time when the head grades of copper are falling and plant s need to run at optimal utilization. I think our products feed into that and reducing operational costs which is power , wear cost for mill internals , reagent cost etc. I think overall we remain very excited about the opportunity at the same time like I said it's taking a little longer to convert and we hope to share better news as we move forward.

Before we get into Q &A maybe Sanjay bhai can share a quick update and then we can get into.

Sanjay Majmudar: Good afternoon to all. T hank you very much Kunal. I think Kunal has covered most of the points , most important point being the fact that we continue to remain completely committed and focused on the conversion opportunities. As I had indicated in the previous call , it is likely to take a little more time a nd therefore we see this year getting flattish maybe a very marginal growth of 8, 000 to 10,000 tons in sales as compared to last year. But we should continue

 seeing good traction in the coming years. But having said that , the process is arduous long but we remain very excited about it and we are quite confident that eventually it is just a matter of time and all our efforts are completely in the right direction and we do hope to share some more exciting things as we move ahead and we achieve those goals.

I think even on the CAPEX We have done about 146 crores. We have done target anothe r 150 odd crores in the current fiscal and then another about 200 odd crores in ‘24- 25. So, all those expansion projects are on stream.

I think with this let the house be open for Q &A.

Moderator: Thank you. Ladies and gentlemen , we will now begin with the question -and-answer session. The first question is on the line of Mohit Kumar from ICI CI Securities.

Mohit Kumar: My first question

is , is there an impact of freight cost in this particular quarter? Are you seeing that the freight cost has jumped substantially in the quarter because of Red Sea ? Does that impact does it impact the Q 4 also?

Kunal Shah: Good question. I think I should have added that in the starting commentary. This quarter We have not seen , the current P &L for Q3 does not reflect the increased freight cost. But surely going forward there will be a freight cost increase which has surely co me along because of the Red Sea insurgency. But as a concept , most of it is a pass through or most of it would be the effort would be to pass it on. W e are also on a wait and watch basis right now , hoping that this is temporary and it's just something that doesn't require us to engage with the customer. So, while we remain on wait and watch there will be some costs that We will have to eat in the short term. But if we find these costs to be stickier and looking that it persists , it will be absolutely passed on like we did in the ‘ 21-22 phase where shipping went up by 3 x to 5x.

Mohit Kumar: My second question is on the non -mining sector. The volume has been declined in last nine months. Does it mean that there's some weakness in the cement industry which is percolating to a weakness in volumes? It looks like FY24 there'll be decline in the overall volume Y OY f or the entire fiscal.

Kunal Shah: Not really , that's why when non mining was a little higher, we kept explaining that if there is this smaller term shorter term demand that probably came in. See a lot of our solutions for cement also have much longer wear life. So , our castings for example where mining liner their average life could be 3 to 6 months. A tube mill liner for cement could be 5 years , 7 years sometimes even 10 years. And same thing for vertical mill parts that we sell to cement and thermal power business. So , there was some amount of cement , some amount of I would say little backlog that came in from that didn't get processed in 2021. Com panies saying let's keep surplus capacity and maybe added some bit of it , more than anything structural. Our guidance what we have seen over last 5 years is non mining is around 80,000 to 90, 000 tons and we expect that to continue at that level. Now We hav e gone to 100 but I think 80 to 90 is a fair figure to consider when plotting the non -mining business.

 Moderator: We will move on to the next question , that is in the line of Karan Gupta from Capri Capital.

Karan Gupta: Can you throw some light on your capital allocation policy going forward with 3,100 crores of net cash that seems to be a sizable amount , what are your needs going to be and are you working on some policy of returning capital to shareholders?

Sanjay Majmudar: We are following a little co nservative policy right now . As you would be aware yes, we are growing. There are a lot of opportunities that are coming. So, we are constantly doing CAPEX . About average run rate of 200-2 50 crores a year plus incremental working capital. My working capital gross is a little longer , net is about 100 days. But I have to invest significantly in that. Having said that we have comfortable cash. We believe that there could be some opportunities which might warrant us to deploy some unexpected cash. Therefore , what we have internally decided that till we reach a particular level of penetration in the overall global mining space of at least a sale of 300 ,000 to 350 ,000 to about close to 40 ,0000 tons we will have to continuously incur CAPEX a nd we might want to have an opportunity to look at any inorganic possibility. Therefore , we are maintaining a little higher cash. We are consciously reviewing it every quarter and we will therefore take an appropriate call. But not in immediate future, n ot at least for next 1 year.

Karan Gupta: Has there

ever been any thought of maybe using some leverage on the balance sheet if at all?

Sanjay Majmudar: We are using to a significant extent our export packing credit limit to the extent of about 400 to 450 crores where there is an interest subvention. E ffectively in rupee terms the rate of interest goes down to around just in the range of about 5% , 5.7%. We don't have any term loans. We don't need any term loans. We have enough cash on the books. But except for that there is no need for any leverage at this point in time.

Moderator: The next question is on the line of Amit Awani from PL Capital.

Amit Awani: My first question is on just to reconfirm the CAPEX , we used to talk about 5,40,000, that is on track , 50,000 for gr inding un it?

Kunal Shah: Very much.

Sanjay Majmudar: We are already at 440 and another 80 ,000 tons plus another 20,000 odd tons. So, it will be 540.

Amit Awani: So just wanted to understand, on mill liner we started the journey 4 -5 years back . What is the tracti on which we are developing ? So, we talked about Australian market and few other market s with value added products on mill liner. Just wanted to understand, are we on track and what is happening on the mill liner now?

Sanjay Majmudar: We are very much on track and we remain rather quite excited about the opportunities which are unfolding. So that is the reason why in order to strengthen our design and market acquisition portfolio , we have acquired this stake in this Australian company MPS which are experts in complementary mill lining designs apart from the other available patented design

 that we have. W e see this as a very good opportunity. We are currently at a run rate of around 30,000 odd tons of mill liners already on annual basis. W e continue to —I would say that it is very important development in our long-term strategic planning to —take a major conversion possibility because that goes as a line item when we overall approach any mine, we talk of mill liners , we talk of grinding media and then we also t alk of the beneficiation benefits. So , grinding and beneficiation are our focused areas and mill liner is exactly panning out the way we have anticipated.

Amit Awani: My second question is on as you highlighted, that there's a delay happening with respect to conversion because of the acceptability by the customers. I can see almost from past 7 -8 years , so earlier because of the anti -dumping across 2-3 geographies and Covid and then now we were on track and doing capacity. But again , this year we are missin g majorly. So past 9 years we have never added more than 25,000 -30,000 incremental , I think just two -three instances. So, any change in strategy because again this year also we targeted (+ 25,000) addition and we are going to be flattish and we are doing so much CAPEX . Any read through or any change in basis you understand the problem that their receptibility is leading to delays in incremental volumes. Just wanted to understand the thought on that .

Sanjay Majmudar: Of course , I've been quite repetitive on this issue and I will once again slightly elaborate. So , the process is extremely long and time consuming. Again, it is not possible to exactly predict how it happens. So let me give you an example. Today we are working in almost all leading geographies and we are working with almost all known or even relatively unknown names in mining space with focus on copper and gold being the driving force and of course iron are also happening. The problem is these mines are very large, they are highly bureaucratic organizations. Earlier I must be very honest with you, w hat was the situation prevailing before 9 years and today is considerably and totally different in the sense that we have also climbed up our learning curve. We have now understood how the mining overall operates , wha

t are

their expectations , what are the threats and potential opportunities both. We have significantly strengthened our knowledge base by doing a lot of research on the DP or the down process that is the beneficiation process. Plus , these extraordinary ti e-ups that we have done on the mill liner unique designs plus significant strengthening and training of our teams. So, all these

things have happened. Having said that as Kunal expla ined on a structural standpoint , if we
look at the opportunity landscape and where we are positioned , we are extremely excited and
we continue to remain excited and focused on the process. There is nothing that we see as something as a major deterrent whic h forces me to change my direction or my strategy. As I
explained on the previous call also , this year we had predicted that the conversion pace or the
time that is taking is more . Certain very important minds with extraordinary opportunities are
also in the process of being developed and the only thing is the time. I don't think that you should very honestly read anything negative. But the reality is that yes , it is a time -consuming
process , it is unpredictable but we are on track. If you look at the overall opportunity landscape
vis-à-vis where we are positioned . On a medium to long term scenario , we will hopefully
definitely be in a position to talk about higher numbers. But at this point in time , we are
conservatively saying defini te possibility of around 25 ,000-30,000 odd tons incremental
volume growth in the coming year.
 Amit Awani: Lastly on the overall conversion market , roughly about 2.5 million ton. I recollect I think we
used to highlight 2 million. So just wanted to clarify and second thing is the competition doing
better than us in the sense that the overall global conversions has been at the faster pace
compared to AIA conversions of customers?
Sanjay Majmudar: No, I really don't get what you are saying but can you repeat your question?
Amit Awani: So, one is we highlighted 2.5 million ton of conversion from for ge to high c hrome. So, just
wanted to understand that the overall conversion versus AIA which is facing delays , the
overall global conversion is it faster than …?
Kunal Shah: So, the point is that we are the only ones leading the whole charge towards conversion from
forge to chrome.
Amit Awani: How about Magotteaux ? Is it not into this?
Kunal Shah: Yes, t hey are also working on it. So, between us a lot of that conversion is happening. We are
not sure of how much surplus capacity they have in other things. They're not a public company so, we don't have access to that information. But I would imagine as we understand, a lot of
that conver sations right now for conversion because what we are offering is a whole suite of
products which is we are saying We will take responsibility for the grinding circuit which is
mill liners and grinding media for the grinding mill. So , the conversation is ve ry different. The
conversation is not to say you're using our product and I'll just give you the same product at a cheaper price which is your general export , India export story. What we are saying is that a lot
of our intervention is adding to disproporti onate savings for the customers. That requires them
to at least adapt to a different solution , get used to a new supplier the products. So, all of that I
think what's taking time is just getting used to that there is this whole change management process. I don't think there is anyone else doing conversion to chrome really besides us given
this context.
Amit Awani: So just to add, what you feel would have been the conversion rate right now out of 2.5 million
tons forged to high chrome ?
Kunal Shah: I think 0.5 million ton is being serviced by c hrome as we speak.
Moderator: The next question is in the line of Swati J hunjhunwala fr

om B OB Capital.
Swati Jhunjhunwala: My question is on the volume. T his year we have missed the volume addition mark by 30 ,000 additions in FY24. For FY25 when we are seeing 30, 000 ton s incremental addition , does this
include the 10, 000 to 15,000 that we have missed this year or is that over and above that?
Kunal Shah: I'll just share the context again ; we are not chasing a funnel where you make four and one
converts. That's the metric when you're saying the backlog adds up or not. Our e xpectation or
rather our hope and our effort is to do much more than that. It's just that there is uncertainty
linked t o when that conversion will happen, how long that will take and which is where
 because everyone keeps asking us how to model and what to use 25-30 is just an indicative
figure. It's not coming out of a funnel , conversation saying here's what we are doing a nd here's
what and hence the backlog gets added. I mean it is where what we have missed this year is
not, the opportunity remains , the effort remains. It's a fair chance. I do more than that but
there's a fair chance it takes longer and that's just the nat ure of our business right now.
Moderator: The next question is on the line of Rohit Singh from Inve nt Analytics .
Rohit Singh: My question is on the margin side and the realization side. W hat is the outlook for the current
quarter in the terms of margins and the realization s?
Kunal Shah: I think margin We have discussed enough times where our guidance. We are not giving a
margin guidance but we are saying that our business will do enough to do a 20% -22% margin.
We have done better but we are not sharing a precise quarterly margin guidance. As far as our

realization is concerned , we expect it to between 150 and 160 depending on the product mix.
Rohit Singh: In last quarter you mentioned the dip of 300 to 400 bps. So , in that manner I was asking , is there any further downward estimate of the margins? That is what I was asking for.
Kunal Shah: From current levels , there could be a further adjustment because of the freight that's increased. So near term , there is a likely increase in freight costs because of the Red Sea turbulence but longer term , medium term rather if that is sticky it will get passed through but on a longer -term basis. So longer term basis our margin guidance remains at 20 %-22%.
Rohit Singh: I joined the con-call a bit later. So , what is the guidance of volume for FY24?
Sanjay Majmudar: As we explained actually our target is about 25 ,000 to 30 ,000 tons for FY24-25. We have shared the details that yes there are a lot of mines on which we are working. This volume could be a little higher but we remain conservative and this is about 25 ,000 to 30 ,000 tons. That's what we have seen as a target .
Rohit Singh: For FY24?
Sanjay Majmudar: '24-25. '24 if you go by the same run rate, we should be around 30, 0000 tons sales.
Moderator: The next question is on the line of Anir ud She tty from Solidarity Advisors Private Limited .
Anirud Shetty: Just one question from my end. In the past you have mentioned that copper and gold are opportunities that could do better than the others in terms of growth. In the industry , the overall industry , the 2.5-million -ton market and for our business what would the share be from gold and copper respectively?
Sanjay Majmudar: It is almost equal. Again , in terms of opportunity we are equally focused on iron ore. What we said was that copper and gold are the current areas of focus given the fact that we should be able to demonstrate the strong benefits that we are offering on the table. Again, we don't share

 the industry segment -wise volumes but you can broadly say that between the three more or less they are equal.
Anirud Shetty: Would that be

true for us as well , in our volume mix are we more or less equal across these three?
Sanjay Majmudar: Yes, I think so.
Moderator: The next question is from the line of Chira g from Centrum Broking.
Chirag: The question was on mill liners. So just to clarify you mentioned t hat 30 ,000 metric ton would be approximately the mill liners volume. That is for this year , correct F Y24?
Sanjay Majmudar: Yes.
Chirag: We had put up a plan to 50, 000 metric ton.
Sanjay Majmudar: I just want t o clarify ; we are also manufacturing mill liners in certain other multipurpose facilities. So , this is the combined figure I have given you. 27 to 30, i t's a range actually .
Chirag: 27 to 30?
Sanjay Majmudar: Yes, this year, t hat's what the expectation is.
Chirag: 30,000 metric ton the new greenfield plant that we have , plus what would be the capacity of the other mill liners that we have in other plant?
Sanjay Majmudar: When we are talking of a multipurpose plant , there we can manufacture these mining mill liners.
Kunal Shah: The total capacity will be about 70 ,000 tons all put together for mill liners . We can do more but because the plant is also used for other products you can consider total 70.
Chirag: So basically at least for the next 2 -3 years we would not be looking at further expansion of this new mi ll liner plant , correct?
Kunal Shah: Correct, no.
Chirag: And this volume of 3 lakh metric ton this year and possibly 25,000 to 30 ,000 metric ton capacity addition for FY25 that you are likely to do. So that includes this incremental opportunity of mill liner , correct?
Sanjay Majmudar: Yes, of course.

 Chirag: And is it possible to broadly mention that how much mil l liner would be more profitable compared to the chrome media?
Kunal Shah: That product wise pr ofitability is difficult to discuss but every product has its own profit profile. But you'll have to look at it in a totality because I can't do just one. It's a whole set of internals that we sell and there's only so much casting I can sell or liners I can sell in sync with grinding media. So, you'll have to look at it at the whole pool together.
Chirag: And on this Australian company where we have taken 30% stake. So here eventually what is the business plan? Eventually We will be taking over the entire company or they are going to be our partner?
Sanjay Majmudar: We want to eventually take up a majority stake. But we will not take over the entire company.

The current set of people who are experts , they will continue the operating team . We are not going t o disturb. They will continue the operations. We are only adding strategic as well as marketing related inputs. We will be taking up a majority. That's the plan.
Chirag: So, their mill liners are of different material than ours or is it similar product?
Sanjay Majmudar: No. So there are different categories of mill liners. This is a complementary design capability that we are increasing. They do have a set of customers who are also using those designs and manufacturing complementary types of liners. It's a little complicated but yes , it complements, and it strengthens our portfolio of aggressively marketing mill liners in this mining segment.
Chirag: What would be the global addressable market be of mill liners?
Sanjay Majmudar: In my view what we are totally , currently manufacturing the metal liner part is about 300 ,000 tons.
Chirag: And the one that this Australian company makes?
Sanjay Majmudar: It's a part of it. They are not making liners mind you. They don't have any manufacturing capacity.
Kunal Shah: They're a design and service company and which have access to the market. There's IP and there's access to the market that they have .
Moderator: The next question is on the line of Anupam Gupta from IIFL.
Anupam Gupta: Firstly , on m

ining where you said that the timelines to convert is relatively uncertain. Can you give us some idea of what sort of potential volumes are under trial at this point of time in terms of customers or any sort of color there ?
Kunal Shah: Specifically h igher quantity. The learning is that it will take time just because of the nature of the market , the conservatism all the things that we have said. Like I said that's the paradox, that

 we feel the most confident about a product. But there's a natural law that we can't inviolate. That's something that We will have to respect the time that customers take to warm up to it and say now I'm ready to migrate is something that We will have to , that's the nurture part of the market that We will have to participate in. There are customers which is 25 ,000-30,000 tons at each level . If to such convert will be a 50, 000-ton conversion. It's just that till I don't do it there's no point in speaking about it . The proof of the pudding is having it. To that extent we are just keeping it at because there's no point in me saying this much and then trying to explain why it didn't happen. The fact is we are saying it as is which is there's uncertainty linked to the timing of when and how that conversion will happen. We will try and share as much more color as we can going forward.
Anupam Gupta: Just to clarify let's say will this be more in geographies where we have lesser presence, Peru or Chile where we are trying to enter ?
Kunal Shah: Today we are ready to set up even further to. We cannot afford to stay in one and not in the other on any m etrics . So, whether we are in a market or not in a market we are making efforts across the board to go penetrate. T here are different stages with each of these customers. I don't think it's geography linked as much as where the company is and what stage it is and what is their priority. How do they look at the whole change management process . So, it's a little more nuanced than trying to say one geography or one. I underst and where you're coming from but unfortunately , I don't have an objective answer to this.
Sanjay Majmudar: The only thing to add what Kunal I think , you may take it like this. We are present in all important geographies where significant mining is happeni ng.
Anupam Gupta: And one question on the non -mining volumes. They have been at this 90 KT levels for some time now. Although domestic market , cement market has also grown , domestic thermal coal market has also grown and CAPEX has also happened. Anything why is the relation not happening there?
Sanjay Majmudar: I'll tell you. As Kunal explained one mine location could offer a 25,000 -30,000-ton opportunity , one mine , single mine or even more . Our entire country cement , even at present high level of produc tion is being serviced on a volume of 27,000 -28,000 tons. So, the requirement per ton of cement produce is minuscule as compared to mining . That is point number one. Therefore , even though the cement production may grow say by 10% -15% , my volume growth will be from 25, 000 tons or 27 ,000 tons to maybe —again initial supply versus replacement , so all this cycle so —we continue to enjoy a (+ 95%) market share in cement in India. We have never lost any customer so far. Globally we are in more than 130 countries in cement , still globally we are talking of a 70,000 -75,000-ton supply , ex China 35% market share. So , the market itself is small although growing . So that the incremental volume impact is absolutely insignificant. Same is thermal, t hermal correct. But the g rowth in thermal at present is not that much. The power is more focused on renewables. Whatever we are able to supply in thermal we are doing is 7,000- 8,000 -9,000-10,000 tons. That's about it. 500 tons here and there is no impact at all on the overall sche me of things

 Moderator: The next question is from the line of Pr itesh Chheda from Lucky Investments .
Pritesh Chheda: The 50,000-ton liner capacity that you had added what is the utilization there currently?
Sanjay Majmudar: Currently o verall is about 50% .
Pritesh Chheda: And the 4, 40,000-ton total capacity that we have, what would be your guess in terms of the utilization of that how many years you take?
Sanjay Majmudar: I want to clarify two things. We don't share plant wise capacity utilization figures but overall , for castings including mining liners , the larger VSMS and other type of liners , overall
utilization is in the range of 50% to 60% and that's about it.
Pritesh Chheda: I know that the 4,40,000 how you have on ground, how many years you will take to utilize that?
Sanjay Majmudar: Our internal target is that we can theoretically go up to 80% , our target is that we want to do it in 3 years. Now let us see. B ut this should not be taken as a guidance. Don't catch me.
Pritesh Chheda: No problem. 4 ,40,000, 80% utilization 3 years ?
Sanjay Majmudar: Yes.
Kunal Shah: Operator, I t hink we are done with questions , so I think we can just wind down the call. Thank you everyone for joining and Sanjay bhai and I remain available offline for any further
questions.
Sanjay Majmudar: Thank you and have a good evening.
Moderator: Thank you, members of the management team . Ladies and gentlemen , this concludes your conference for today. We thank you for your participation and for using Chorus Call
Conferencing Services. You may please disconnect your lines now. Thank you and have a
great evening.

Call: May 2024

AIAEngineering Limited
May16,2024
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DearSir/Madam,
Sub:Transcript oftheInvestors' Conference CallheldonMay14,2024
Pursuant toRegulations 30and46(2)(oa) oftheSEBI(Listing Obligations andDisclosure Requirements) Regulations, 2015,pleasefindenclosed herewith theTranscript ofConference Callbetween theCompany andInvestors onTuesday, May14,2024todiscuss theAudited Financial Results andperformance oftheCompany fortheQuarter/Year ended31stMarch, 2024.
Theaforesaid transcript isalsobeing hosted onthewebsite oftheCompany, www.aiaengineering.comin accordance withtheRegulation 46ofSEBI(Listing Obligations and Disclosure Requirements) Regulations, 2015.
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"AIA Engineering Limited Q4 FY24 Post Results
Conference Call "

May 14, 202 4

MANAGEMENT : MR. KUNAL SHAH – AIA ENGINEERING LIMITED
MR. SANJAY MAJMUDAR – AIA ENGINEERING
LIMITED

Moderator: Ladies and gentlemen , good evening. Thank you for standing by. This is Sagar, the moderator for your call today. Welcome to the Post-Results Conference Call of AIA Engineering Limited.
We have with us today the Management Te am of AIA Engineering Limited. At this moment, all participants are in a listen -only mode. Later , we will conduct a question -and-answer session. At that time, if you have a question, please press "*" and "1".
I would now like to turn the conference over to the AIA Engineering management team. Please go ahead, sir.
Kunal Shah : Thank you everyone for joining us on this 4th Quarter call and results for our full year Fiscal Year „23 -24. As usual, I have got Sanjay Bhai and I am Kunal. Both of us will take you through the snapshot of this quarter and then get into Q&A.
I will quickly update for numbers and highlights of this quarter . There are two updates that we would like to share and then we will get into Q&A.
We have ended the full year at 297,000 tons, up from 291 ,000 tons last year , about 6 ,000 ton s increase year-on-year and for this quarter we have done 71,400 tons and it was largely comparable to the 4th Quarter last year, which was at about 73,500. It has been a flat quarter year-on-year as well as sequentially where we have done 74,000 tons in the 3rd Quarter of this year.
Our revenue for the full year is at Rs. 1,130 crores and that translates to a realization of about Rs. 158 per kilo. Our EBITDA for the quarter stands at Rs. 374 crores , 0.63, which is at 32.57% and EBITDA for the full year is at Rs. 1,616 crores, which is the highest ever in our existence. So, it has been a record year for us and EBITDA margin of 33.31% . Profit after tax of Rs. 260 cro res and the profit after tax to the full year at Rs. 1,135 crores . Year -on-year, again profit after tax is largely flat, it was Rs. 268 crores and EBITDA was Rs. 379, both figures are comparable this quarter compared to the 4th Quarter last year and lower down from Rs. 395 crores of EBITDA in the 3rd Quarter and Rs. 279 crores in the sequential 3rd Quarter of this year . So, overall it is a flat quarter compared sequentially and year-on-year.
Highlights of some other line items :
Our total other income is at Rs. 76 crores for the quarter, which includes Rs. 72 crores from our treasury income and Rs. 19.26 crores, which is our other operating income which is our export benefits and a small exchange gain of Rs. 4.23 crores that sums up to Rs. 76 crores overall. And that is again comparable to Rs. 83 crores in the 3rd Quarter , but which had a n additional foreign exchange gain. If you knock that out, it is largely comparable between these

two quarters. Working capital again continues to be flat. We are at 101 days consolidated and that is comparable to the 3rd Quarter last year and also the 4th Quarter last year. Most of our sales, the growth in sales have come from the mining side. So, if I were to break up the 71,000 tons, mining is at 44,900 and non -mining is 26, 500. So, for the full year of the 297, we have done 203,000 tons in mining, which is up from 192 ,000 tons 12 months last year, FY22 -23 and the non -mining is about 99,000 tons is at 93, 600 tons. So, it is a little lower, about 5% lower while mining is up by about 10 ,000-11,000 tons, so 291 ,000 tons. That is how it adds up to 297 for the full year. We have done , our net cash is at Rs. 3,290 cro res. I think that is broadly the number highlights for the quarter.
We have got two more updates . You would have seen our filing on the stock exchanges around our anti -dumping and anti -custom wailing duty process that has been i nitiated by the US authorities b ased on a petition that was filed by our competitor there, which has a local plant in US which

is Magneto USA. And as you know, we have seen and experienced with Canada and Brazil, it is now almost a sub -judice matter where there is a department in the US , Trade Department now looking at o ur sales in that region and they will do, whatever is required on their side. W e did 27,000 tons in US in calendar year 23 because that is the period under review . And as always, we w ill continue to not only defend our business in that region, but also actively cooperate and participate with the authorities there to make sure that a fair assessment is done . Beyond that we may not be able to speak much . For now , we expect business to continue as usual, so nothing more to report on that account. Our business in the dumping duty in Brazil is also undergoing an investigation, a sunset review, so 5 years , the duty was applied for and then there is a sunset review which is ongoing, and we hope to hear the outcomes of that next month in 4 to 6 weeks from now. So, that is our upda te on the trade side.
One more update is around our capacity. So, we are very happy to report that our Brownfield

expansion s are non -grinding media business. As we had reported , we were spending a total of Rs. 200 crores of which we spend Rs. 110 crores al ready and we will do the balance in this year FY25 wh ere we hav e done some Brownfield , some capacity balancing equipment . We are buying land for storage facilities and doing some reorganization of our older plants in Odhav .
In addition to the efficiency th at that will bring better organized supply chain and operational debottlenecking , it has also given us additional capacity of 20,000 tons. So, as we speak, our total capacity, which is at 440 ,000 tons now remains enhanced to 460,000 tons which includes this ground fee on the ongoing Brownfield for grinding media we had originally reported 80,000 ton grinding media capacity addition, a lot of our equipm ent comes from Europe, which is facing delays and interruptions. So, what we have done o ver this quarter is we have chosen to implement one module of that capacity, which is 36,000 tons and we hope to be ready and commission that in next 3-4 months. The balanced capacity for that, given the challenges that were there with the supply chain, we have decided now to put a halt on it because we are still with surplus capacity as our markets , as we start consuming more from our

existing capacity, we will decide on further capacity addition. Customers need for us to have buffer capacity and so we will be looking to add more capacity, and this will be now the balance portion of this Brownfield will be like a plug and play where we start and finish it in six to nine months. So, that module is now being put on hold . So, for now , our current phase of expans ion will end with 440 becoming 460 ,000 tons in our current capacity plus 36,000 tons of grinding media that will come online in next 3 -4 months, which will take our total capacity to 496,000 tons. So, these a re the 2 updates , the action in US and the capac ity, the updates on our capacity for grinding media and non -grinding media.
Lastly , as far as market is concerned, I think we remain status quo with everything that we have said over last few quarters. We continue to not , while our endeavor is to add 30 ,000-40,000 tons of sales each year and we are prospecting far more of opportunity to convert from porch to chrome, we are not sharing an update on exact numbers that we plan to sell for this year. So, while our endeavor is and that is just the directional figure, we continue to not share a guidance note on tonnages for this quarter.
With that, as I said I will have Sanjay bhai share a small update from his side and we can get into Q&A after that .
Sanjay Majmudar : Good evening, everyone, and thanks for atten ding this call. So, just to add a couple of fu

rther
updates , so as Kunal explained, yes, we remain absolutely committed and focused on working on all the opportunities which we believe remain absolutely the same. Either we talk of all the three basic cours e on which we are focused on in terms of our mining opportunities that is to say, iron, copper and gold. We are working on several conversion opportunities as we speak and therefore, although we appreciate and understand that this year was flat as it was i ndicated on the Q3 c all that does not change the tone or the direction with which we are working. That is an incremental 30 ,000-40,000 tons at least on which we are currently working, and we remain committed to that. We believe that as we move forward, we should be able to guide you a little better. But all I can say is there are several such opportunities on which we are very bullish and working and directionally this modular approach does not and should not be read as the deferment, but this is just more structural and strategic in nature. That is my first point.
Second, we are also making significant investments on the renewables. So, this year we are participating in a hybrid solar and wind project where we will be adding almost under the group captive scheme where we will be adding gross 60 megawatts which would translate into effective about 40 % to 50% of the power factor, which should become operational in the current year. And because it is under this group captive scheme, the investment is in the ra nge of Rs. 30 to Rs. 40 crores, but that will make us , by the end of this year, we will be at least around more than 50 % to 60% effective captive . So, this will be implemented in the current year by end of the year. The impact will come next year. So, that will add another further

significant renewable capacity. And I think the other CAPEX plans and everything Kunal has discussed.
So, just to conclude, directionally, we are absolutely committed and we remain very buoyant internally. But yes, we are facing c hallenges like this US anti -dumping and we will take it in our stride and do the needful . With this , I think moderator let us throw the house open for Q&A.
Moderator: Thank you very much. We will now begin the question and answer session. The first questio n

is from the line of Amit A huja from HG Hawa. Please go ahead.
Amit Ahuja : And my question was with respect to the MP S acquisition , like you just mentioned in the presentation that 43% shares are acquired at the rate of 64 in FY 24, so in the last concall it was mentioned, 30% stake is also acquired , so is it meaning that we are having 73% holding now?
Kunal Shah : No, plus 13 total of 43% now.
Amit Ahuja : So, in all the total spending is 43 plus the balance of 64, right?
Kunal Shah : No, we bought 30 before and 13% now , total is 43%, ye s.
Amit Ahuja : And the t otal cost of acquisition is 64?
Kunal Shah : Yes, both put together, correct.
Moderator : Thank you. The next question is from the line of CA Garvit Goyal from Invest and Analytics . Please go ahead.
CA Ga rvit Goyal : Sir, y ou mentioned about putting more Brown field expansion on hold, s o can you let us know what is the capacity that we are currently putting on hold?
Sanjay Majmudar : No, as against the first and foremost 80,000 was the composite. Now we are implementing the first module through a modular approach of 36,000. So, it is 440+20 Brownfield already implemented at Ottawa and a few other locations as explained by Kunal plus 36, so this will be 496,000, which should become operational by Q3 this year.
CA Garvit Goyal : Earlier, the total capacity target was 5,20,000, right ?
Kunal Shah : Correct 520 because 496.
CA Garvit Goyal : And sir, what is the e xact reason , is it due to lower pen etration happening across the industry or anything else?

Kunal Shah : That is what Sanjay explained, right , this is , we are already doing cap acity ahead of time and there was an opportunity to do it modular. It was taking time. If you remember our current guidance for commissioning was December, it was the end of this year and it was moving to next quarter. We said let us go ahead with what is available , how can we try and get, our module open early . That choice became available as we reconfigured our equipment and then we decided , said let us do something now and then the next module can be easy to plug when we decide to go ahead and do it. So, we are spending about total 170 , instead of 250 we are doing it at Rs. 175 crores and getting done with it so on.
Moderator : Thank you. The next question is from the line of Ravi Swaminathan from Avendus Spark. Please go ahead.
Ravi Swaminathan : My first question is with respect to the overall mining demand environment. So, with gold prices going up and copper als o resurging back in terms of prices, how do you see the mining activity across your various geographies , has there been any pickup that can lead to increase in grinding media demand? Are you seeing anything of that sort, sir ?
Kunal Shah : As we have always maintained, we want to remain very agnostic to mining demand cycle, correct. So, just because now there is an uptick, that doesn't mean that automatically next quarter , I will start getting more inquiries. No, the whole approach is conversion , correct and it is a very painstakingly time-consuming approach, so k eeping aside the mining cycle, all I can say is that the demand opportunity of 1 .5 to 2 million ton conversion on which we are focused is absolutely intact. We are very bullish on whereve r all those geographies where gold and copper are predominant, not to discount iron, correct . So, we are equally very bullish on all these three . As we speak significant opportunities are under conversion process. Unfortunately , I can't give you details be yond this, but all I can say is that from an opportunity landscape, there is absolutely nil dilution. On the contrary, there are still more aggravated efforts that are being put. The only point is that it is beyond our control, the whole conversion takes i ts own sweet time. Having said that, our internal focus remains absolutely committed on all those conversion opportunities and we are working on. There is no let down in the pipeline. On the contrary, pipeline looks to be very buoyant.
Ravi Swaminathan : And with respect to the EBITDA margin , so earlier y ou used to g uide it to be in the range of 22% to 23% and then couple of quarters ago you had mentioned 23 % to 24%. What kind of range that it is likely to settle in keeping in mind the cost saving initiati ves that they are taking?
Kunal Shah : Ravi, I think we have had a consistent answer on this and our macro guidance continues at 20% to 22%. We have done better , beyond that, as you know for many quarters, but as a business model, we will defend that margin going forward. There is always an opportunity that if we are able to reduce our cost, there is a case for the customer benefiting out of that. That becomes something that becomes an operational leverage that our side, it could become a

margin thing. We wi ll see whether it is possible on a sustainable basis. So, that is an effort that continues , but from a guidance standpoint, I think we stand to what we have been historically maintaining.

Sanjay Majmudar : And just to add to Kunal, there is a logic to that because our whole focus is conversion, where we continue to believe that there could be challenges . Yes, our endeavor will be to do better. In fact, we have been consistently doing better operating margins than whatever guidance is. But at this point in t ime, we have not really relo oked at it. So, l

et us mention what we have spoken earlier.

Moderator : Thank you. The next question is from the line of Bh oomika Nair from DAM Capital. Please go ahead.

Bhoomika Nair : Kunal bhai, Sanjay bhai, I understand that t his year has been a little tough in terms of the conversion and it has been a little slower in terms of what we had expect , but if I look at over the last 5 years right from 2019 in mining, we were about 170,000 and this year we have closed around 204,000 roughly. This gives an average CAGR of 4%. Now, while annual conversions, etc. , there could be taking a longer conversion aspect , but the pace of conversion and the pace of volume growth has been relatively a bit slower . On an absolute basis , it has been a bout 30 ,000 odd kind of an incremental volume over the span of 5 years. So, just trying to understand what is driving this slower conversion and as we move ahead, at some point I think we were looking at some 30,000 incremental volumes on an annual basis. You think that is something that is really doable , what are the challenges and what can really drive that conversion at a faster pace ?

Kunal Shah : I think important question , I think for most people on the cal l also. I think there is context to this 5 year period because there was COVID in between, right. There was a challenge in developing markets, there was a serious increase in freight costs for almost 2 years that made the conversion virtually impossible just b ecause of the extra cost, our potentia l customer will have to pay compared to an incumbent which is in the same region, right. So, I think we lost almost 3-4 years during which time that it was layered with this whole trade action where we have lost volumes in Canada, Brazil and South Africa, right collectively closer to between 50,000 and 60,000 tons. So, it has been a very challenging period. The fact that despite all those headwinds, we hav e grown from 170 to 204 is something that excites us , that e ncourages us, that motivates us that we are on the right track. We are not at 100,000 tons. I mean, all of these collectively are black Swan events that actually take a company down right . No customer migrated back to an incumbent or to another competitor , 100% of our volumes remain we delivered ri ght all of that you know the journey, you have seen our price passthroughs come along including all of freight, right? So, the point is that now over last 12 months or 18 months , markets have been cleared, the travel has started. Freight has normalized ove r last 6 -9 months. I think we are in a level playing field , we are seeing now looking back to growth, I

think next three years are really will be a period to look at us whether we have grown or not right . Our efforts continue and like Sanjay bhai had said before we are very optimistic because we have a solution for a pain area that the customer suffers from. Your yields from existing mines are falling is a reality for any copper mine you can call and check with right . Improvement in yield of recovery is an absolute interest top three items for any mining company. You are helping them reduce their ESG footprint in terms of reagents or in terms of lower power consumption, all of these of ESG, the top priority for most mining companies. So, from a solution stan dpoint, we are only sharpening and deepening our engagement with the customer , we only remain optimistic and enthusiastic. The reality is that it has taken time right even despite these things we would be happier that we sold 30 ,000, 40,000, 50,000 tons mo re, but keeping reality in mind and all the headwinds that we have faced, I think we are well placed now and look at us over next 3 years that last 5 years may not be the best indicator of the potential that our solution has . We continue to remain excited about it and having been able to add 30,

000 tons a year, I think should be a fair goal for what we try and offer , right for the opportunity that is there in front of us.

Bhoomika Nair : So, in a sense what you are trying to say that 30,000 incremental volume should be doable, all things being satisfiable in the next couple of years ?

Kunal Shah : For us, it is an open and shut case where someone should migrate, right . This is our problem. I mean, with all the benefits that you have spoken about and discus sed plenty times before , but the reality is that there is a friction process, right. There is a challenge in terms of various things there. Again that we have spoken about and it takes time and we are happy to do that right. It takes time, we are happy to be, w e are here for the long haul and everything we offer is of priority interest to the customer. I mean if it takes 6 months more or a year more or even two more that is okay in the time relative to the time that we are looking at to keep this business . I don't think we worry about as much about losing the market as much as how do I find ways to grow faster .

Sanjay Majmudar : And a very simple math Bh oomika is that, as Kunal explained, what we lost was around 50,000 tons. If you just do an adjusted math, t hen your CAGR would look better. Having said that, there is a part of our business , we have realized it. This is always going to happen. So, we have also climbed up our knowledge curve significantly. We have sharpened our tools. We have done excellent work on the DP side. Now , we have all sorts of mill liner solutions . So, now, even our confidence is much better. I absolutely agree with you. Just from a statistics point of view, it doesn't look so good, but there is a whole lot of c ompletely changed platfor m on which we are standing today vis-a-vis where we were 5 years ago. That is a very important point to take care. Let us not speak more. Let time will tell. Let us see how it goes.

Bhoomika Nair : Sir, the other thing is on this whole US litigation, while obviously a s such volumes have not yet gotten impacted and we continue to sell into that geography , what is the risk that this can

get impacted because that is a fairly large chunk of our overall volum es, in your opinion, what is our likelihood of that kind of being impacted, if any?

Kunal Shah : This is like doing a crystal ball gaze into the future and I think we have been advised not to speculate on what it means. You know that there is a reasonable amount of volume that we are doing over there. It is a long process. It will take 9 to 10 months for us to engage with everyone and we are also learning as we engage and go through the process. But I would be restricted in having a response that could be a little speculative in nature in terms of what can the outcomes be , but we remain confident that we have done, we have got a fair price, we ha ve got everything in place. We have got great lawyers who are helping us defend. So, the competition has to do wha t they have to do and we have to do what we have to do. So, we are looking at it in what to say , we are well placed t o defend it vigorously, basically.

Bhoomika Nair : And just lastly , if I may on this MPs acquisition in Australia, how do you see that evolving over a period of time we have kind of taken a decent stake now out here, how can it help us in terms of scaling up volumes particularly in the mill line r space?

Kunal Shah : I think M PS brings competency that we don't have which is the whole process and application side of mill liner in relation to grinding, so great fit , it complements us well. We have taken on , we have added to our repertoire when we go out and engage with the custom er. So, surely we are seeing dividends in terms of our ability to do a better engagement to include more customers now that we are going out. I think it is

a no brainer because that was competency.

That is a prerequisite to doing liner business. It would h ave taken us 5, 7, 8 years overall to acquire that knowledge which is available to us now. So, it will show the benefits , may not be in a quarter or two, but surely you will see an acceleration in our mill line r work .

Sanjay Majmudar : And it is a very profitable enterprise . So, whatever our target profits we are achieving that so that way also it is good.

Moderator : Thank you. The next question is from the line of Pritesh Chheda from Lucky Investments. Please go ahead.

Pritesh Chheda : Sir, first one, ju st a clarification , your mil liner capacity is where you are adding this incremental 20,000 tons?

Sanjay Majmudar : It is what we are calling non -grinding media , so that capacity is used for our vertical mill parts, other mill parts, some of it can also go towards mill liners , but for our capacities, grinding media and other than grinding media, we just clarified or talked about mill liners because we set up our plan t for that , but now we have and while it was getting commission ed and opportunity and all of that now we are going back to our older classification which is grinding media and other than grinding media and just 20 feet into that.

Pritesh Chheda : Now, you have added 50,000 ton of mi l liners I think last year and there was this whole idea of increme ntal addition of 10,000 tons per annum , but when I look at this year, your other s, the volume has declined. So, what is playing out there in terms of the d ecline in volume, where mill liner itself incrementally was supposed to a dd 10,000 for the volume ?

Kunal Shah : Other does not reflect mill liners. Other reflects non -mining segment, so mill liners are part of the mining volume that has been reported, because it is going towards the mining segment, we have not done a product wise this thing, but as you said that we have not grown at 10,000 tons in mill liners, it is a little . I don't have it on top of my head right now, but it is a little lower.

We don't want to really get into exact , how many product, what product has done, what
tonnage , just from a com petitive l andscape standpoint, but it has grown, but not at the 10,000
pace that we are hope to. We are hoping next 12 months that pace will accelerate as we ll.
Pritesh Chheda : So, mill liner is a non -grinding media , right?
Kunal Shah : Mill liner is non -grinding media, correct.
Pritesh Chheda : I said your experience in the past trade actions in Canada, Brazil or Africa has been first loss of volumes to Indian later ?
Kunal Shah : Yes.
Pritesh Chheda : So, is it that in the incremental 27,000 t ons of anti -dumping duty imposed by US or let us say not being imposed , review by US, the experience has to be similar ?
Sanjay Majmudar : Exactly. I will tell you why. See, as Kunal explained the matter is subjudice , we are completely restricted, but geographically each geography ■s situation would not be the same. Therefore
experience cannot be the same. Second point is in the past we have lost in Brazil, we have
gained quite a bit. So, we are quite okay with it. Don't worry about it. All I have to say that
each geogra phy is different , so parameters are not exactly comparable. So, the similar analogy
cannot and should not be drawn.
Pritesh Chheda : The recent review was in Canada, what happened in Canada specifically, what was the volume at that time before the trade?
Kunal Shah : It was close to about 24,000 tons and we are at about 7,000 tons now.
Pritesh Chheda : And the matter is still subjudice?
Kunal Shah : It is not subjudice, it is already, we have got administrative process in place where I will have
to expand on, it is a little more complex in Canada than everywhere else, b ut I don't think that
is an impediment for our sales in Canada. We

are doing enough work and you will see the

numbers in Canad a go up in next 12 months and sooner than that. So, I don't think today what
the Canada action has done has put in some administrative things in place , so that there is a
certain pricing mechanisms that we have to agree to and which we are doing. I don't t hink the
action there is now a deterrent in our ability to get more sales .
Pritesh Chheda : So, would you then be able to, in your revised format of selling whatever trade changes have been brought in or implemented , will it be at a similar EBITDA per kg as similar margin as
earlier or a differential margin?
Sanjay Majmudar : I don't think it is too much granular detail for us to go into every region and you wil l have to look at us , margin as a company as a whole, I am afraid we will not be able to get into t hat
granular conversation.
Pritesh Chheda : Just t o reiterate, Canada was 24 before the matter and post that it went down to 6000 ?
Kunal Shah : No, it went down to 0 , now it is 7000.
Moderator : Thank you. The next question is from the line of Mani , who is an Individual Investor. Please go ahead.
Mani : I wanted to understand a little bit more about the mill liner segment, if you can explain what
share o f revenue does that contribute currently to AIA 70 that is number one ? Number two is I
also want to under stand is the strategy of AIA in the mill liner segment very similar to what it
is in the grinding media, where you believe that the solution which you offer in mill liner, I am
assuming the solution that you offer is ferrochrome based, mill liner and that is a significantly
better solution compared to the steel mill lining market that is there , is that the understanding
correct or if you can just little more talk about the mill liner segment and your strategy over
there, that will be helpful ?
Kunal Shah : To everyone, I wi ll just do a quick thing and we can go offline if you want to understand a
little more, but mill liner , there are three or four is our incumbents, it is not steel versus
chrome. The advantage we bring is not so much in metallurgy as much is in design. So, the
whole mill line r conversation is working through proprietary, some patented designs that we
offer that ultimately allow the customer for a higher throughput. It helps them save power cost
and of course the cost of the mill lining. So, that is the whole overall solution that we look at
when we talk about mill liners. T he whole objective for us within that space is to not just sell
out of the plant that we set up of 50,000 tons , to set up, let us say, to sell 30 ,000-40,000 tons
next year. T he idea is that that allows us to have a conversation for the whole grinding suite
with the customer which includes mill liners and grinding media because the whole solution
together deliver s super normal consequence for the customer. So, our interest is t o sell that
whole combination . Of course , there will be customers that buy just linings from us and that is
the journey and the conversion timeline that it takes , but that is the strategic reason why we are

doing mill liners. The whole idea is to engage wi th the customer on that whole basket of product s. I think that is where it is and it is not high chrome, it is a chrome solution. And we will continue to add , our aim is to add 8 ,000 to 10,000 tons a year and fully utilize the plant in next 4 -5 years.
Moderator : Thank you. The next question is from the line of Charanjit Singh from DSP Mutual Funds. Please go ahead.
Charanjit Singh : Sir, my first question is regarding our stan ds on whether we will be keen to now put up any capacit ies i n the other locatio ns apart from India, looking at the kind of duty s tructure restrictions, now this is the fourth geography which we hav

e seen. So, what are your thoughts on that in terms of doing some capital allocation in the international markets?
Kunal Shah : I don't think our view has changed. We continue to believe India is a great location to , it is not a cost location for us, it is a competence issue. It is availability of ecosystem that allows us to produce. Nevertheless, we believe there is a large , I don't think that trade action in two or three countries . I don't think there are many more countries where we expect to see trade action. We see there are mining clusters in at least 15 countries. So, there is enough plus additional let us say 10 to 15 where there is follow an opportunity for us to grow. So, I think there is a larger market outside of these territories that we continue to focus on and we will see . For now, there is no plan, we continue to stay put with our current structur e and our current growth plan.
Charanjit Singh : The other question is now, if you look at the overall mining production growth globally, now there have been also discussion that maybe those numbers will go up as you know copper and other commodities are se eing increased demand. So, what is your thoughts in terms of when you are looking at this production growth picking up , while conversion from for ge to high chrome is one of the most important factor, but overall underlying volumes itself, if it goes up, it benefits us. So, just if you can touch upon on the overall production growth what you are seeing in the markets?
Kunal Shah : You are absolutely right that if the underlying growth happens at an existing mindset, we will be natural beneficiaries of that gr owth. But we are not counting on that. There are several factors where despite their desire to grow, they may not be able to grow there , the approvals in place , there is the whole excavation part , post process. So, to that extent while they want to produce more, they may have limitations, but if they can obviously will be a natural beneficiary over there. But we are not counting on that as a strategy . For us, converting and migrating our customer from use of for ge to chrome is where we spend most of our effort on.
Charanjit Singh : So, lastly, now we have added this mill liner capability in our entire portfolio and there was also discussions earlier we used to talk about that as a complete solution provider , we wi ll be able to target this market. So, if earlier, when we are targeting only the grinding media , now

with the liner, what percentage of the overall CAPEX within this segment we are able to capture from a minors perspective, sir, with liner and grinding media together ?
Kunal Sh ah: You mean to say the consumable cost?
Charajit Singh : Correct.
Kunal Shah : Of CAPEX, s o I think this covers almost everything .
Sanjay Majmudar : And because of the grinding side, their wear cost includes these parts line arrangement in mine, s o of their grinding circuit this would be most of all of their consumable from a grinding standpoint, of course they use reagents and other things, but this is the largest cost line item for them or the top three at their operating site.
Charanjit Singh : And just las tly if you can touch upon, how is your progress in Chile as a market , we had got some initial traction , but if you can update on how is the journey there in Chile specifically ?
Kunal Shah : It is great. We are on track. We hope to report something , a conver sion in that market soon. But it will take the time it takes so. We are as eager to hear news about it as you are so. We are fully active and putting effort s in that region.
Moderator : Thank you. The next question is from the line of Priyankar Biswas from BNP. Please go ahead.
Priyankar Biswas : So, my first question is, we had seen this Red Sea crisis for some time, I mean disruption on the freight etc ., so

can you just tell me how much impact had it on your volume shipments? So, what am I trying to say is like, let us see if this crisis was not there hypothetically , so how much h eir could you have possibly done?
Kunal Shah : So, I think we had r eported when that happened we were on a wait and watch mo de to see whether this is temporary or it is sticky. It ap peared that it looks to be a little longer time , but over this last quarter we ha ve seen rates going down to start normalizing. We are not seeing of

carriers being interrupted or being called up etc ., and in line with that overall risk perception going dow n, rates have started going down. So, we pass through some rate and the rate is getting adjusted. So, our view is that if the rates are getting normalized soon. And to that extent and if they don't, we will be passing them. So, I think for now we are happy to see that rates are going down and getting normal ized or in that direction.

Priyankar Biswas : So, what I mean t was not from the freight trend point of view. What I meant is because of the disruptions and the longer selling times, would you have lost som e volumes, I mean like delayed shipments or something like that. So, probably you could have d one maybe better in the quarter?

Kunal Shah : It only means you to plan sharper and maybe a little longer lead time.

Sanjay Majmudar : But I don't think we have lost any volumes due to that, no.

Priyankar Biswas : Since you discussed about Chile, so I would just additionally ask about Peru where you had actually opened up a new subsidiary as well some months back. So, what is the progress in the other Lat am geograp hies and when can we start hearing news from there?

Kunal Shah : Soon , it continues to be status quo. I think it continues to be , lot of effort that we continue to put in those regions .

Priyankar Biswas : And what are the minerals that we are targeting there ?

Sanjay Majmudar : Copper and gold, of course, but mostly copper.

Moderator : Thank you. The next question is from the line of Anupam Gupta from I IFL. Please go ahead.

Anupam Gupta : So, just couple of questions, firstly on the volume side of it , so obviously the conversion has been slower than what every one has been expecting. W ould you at any point of time ascribe this to maybe slightly more intense competition from the incumbents in this case, let us say when you say Peru and Chile, obviously the f orge incumbent there is pretty large in those regions. So, is the volume conversion in a way also being slow because the incumbent is giving you intense competition for that shift to ha ppen ?

Kunal Shah : Not really, Anupam bhai. I think incumbent will do wh at they have to do and there is always friction point in terms of migrat ing from one solution to other, wherever it is . I think the more important question is the efficacy of our solution , right, all these things t hat we are speaking about that is how 15% of the markets got them converted to chrome. There is no reason that it is not going at least another 10 %-15% more right , but every single place, every single country has its own set of challenges, its own set of existing customs in terms of where they bou ght from, how they think about it, the time it takes , the risk appetite and I think that is where it is. It is a large market. We have done enough work. We continue to put in work . In our mind , the breakthrough is around the corner, and we continue to beli eve in our solution , right . Now, t hat is where the real-life world is where it will not appear open and shut to us, still takes , but that like we keep saying “Daag Acche Hai” right that means that for the next guy it is even m ore. That is why we keep this business. That is the whole joy and fun in this game is because that once the business comes to us , it stays . And when we are looking

at keeping this business for a few decades out, it is okay if it takes few years in that conversion journey, right . As muc h as we are eager and anxious to make this happen yesterday , we also understand that we will have to do what it takes. We remain for a longer haul. We are not here to have a flash and burn.

Anupam Gupta : And couple of book keeping questions. Firstly, now th at you have trimmed down the capacity addition part of it, what should be the CAPEX one should build for FY25 and FY26 including what you are going for power?

Kunal Shah : FY25 total CAPEX is Rs. 200 crores, which is Rs. 90 crores for grinding media , balance which we are commissioning now, Rs. 35 crores for power and Rs. 75 crores for that ongoing debottlenecking and o ther things that we are doing. So, total 200, we spend about Rs. 210 FY24.

Anupam Gupta : And FY 26 should be similar quantum at this poi nt of summary ?

Kunal Shah : FY26 for now i s because that will depend on what new capacity that we are doing. There is no announced capacity or CAPEX plan for FY26 as we speak. We plan to complete all of thi s in this year through the year. We will see where things go and we will decide on what is happening on that front.

Anupam Gupta : And one just lastly, what should be your tax rate for FY26?

Sanjay Majmudar : I think it continues at 22% blended, between 22 and 23.

Moderator : Thank you. The next question is from the line of Lokesh Manik from Val lum Capital. Please go ahead.

Lokesh Manik : My question was more on the macro front. So, we recap, let us say 7 -8 years , we have seen many countries become protectionist and one of the reasons why your competitors have competitors for that matter has been successful in their endeavors, we have taken advantage of this trend , in this slide, do you think your strategy of manufacturing out of India for the reasons that you have stated in the past and in today's call as well , you may be shifting a portion of manufacturing in countries that are more on the exhibiting this protectionism trend to safeguard their volumes because the cost of losing the business, as I understand, is significantly high given that you take three year s just to get put into the customers business and then you develop and you slowly build those volumes in these businesses. So, the cost seems to be significantly higher when such actions are taken, either moving a portion of the manufacturing in those coun tries or reorganizing the supply chain. If you discuss this at the board level, if you can share some insights on that would be really helpful ?

Kunal Shah : So, I think , first of all I want to remove this myth that a trade action stops our business. It has stopped only in South Africa and South Africa is a very unique case because their currency weakens against the Indian rupee. So, we have been consistently hit by a 3% to 4% hit on the currency weakening every year. On top of that, they applied a ban on export of scrap which means local scrap is 30% cheaper than what I buy in India, whic h is international paying price. Without the custom duty, it is not a dumping action, it is a custom duty that they applie d for

the whole iron and steel i ndustry a nd we were part of that right to protect in local industry, and even had they not applied our product just by the ban on export of scrap and the weakening of the currency, there is a challenge with th em. So, if you leave aside that region, which is its own story there that South Africa for you . I think Brazil, I think we are doing okay in volumes. We continue to make efforts to take more volume , same thing for Canada. Yes, it has reduced, but it has not changed our fundamental viability or presence in that market. Every customer wants two suppliers. When there is a s

upplier that has hungry to provide more value to you that is ready to invest in stock for the just in time, right , why would any customer depend on one single location plant? I am not a rubber or a plastic or a steel industry. We have got 10 producers in your local industry. The consumers in Brazil and Canada may not want to depend on one supplier. What happens if there is an interruption at that plant? So, I don't want to insult the customer by t elling them that they will only ban because of the trade action they will stop buying, right . It was alrea dy a challenge for them to buy all the way from India back in the day whenever they convert it, when they have a choice of a local consumer because th ey want to diversify and risk mitigate their supply chains. Trade a ction only is a cost implication for them, if at all there is a trade action. I don't think that fundamentally changes our value proposition or our opportunity . Now, in the short term, ther e could be some volumes get affected now that depends on every country. So, Canada started with an interim duty and so volume got impacted immediately as those duties came in. In the US, when the process started, there were different process that they foll ow right and so likewise Brazil had a different process. So, all they are saying is in a year or two , there could be some interruption in the US as t he situation is different, so I don't want to compare it to Brazil and Canada. It is an independent situation where I think our proposition and our standing is a little different, but I cannot talk and speculate about what it means, we have to g o through the process.

Lokesh Manik : No, I am not speculating on that. What I am going to say is that have you thought that the portion of manufacturing could be moved there to satisfy these authorities? Is that possible on the cards that is what I am asking ?

Kunal Shah : Moving manufacturing that is first of all for us to say that our current situation has an issue . We don't think our current situation has an issue. That is what I am trying to make a p oint. Trade action is part of the deal. If my benefits to the customers , I am saying are plenty, I am saying the customer wants an alternate choice . There, I have got an opportunity, right . I have a little lower volume . In the scheme of things , this does not move the needle for us . I am just saying that producing outside the country we may set up a plan t somewhere outside the country. We may not do that. All of that is conjecture for us, for our business to continue to take, but for now, our current structure is robust. It has allowed us to supply and work with many countries . Our country which has some d uties , we are talking about a trade action that we supply to at least 50 countries where there are double digit import duties. We are not talking about those duties there. My competition is preferential access. So, we are not going into those granular deta ils where we still have a market share in that market, maybe as half the market. So, all I am trying to tell you is just because this gets announced, it gets talked about and it appears of course 27,000 tons. I understand optically it appears that there is a large action. All we are trying to say is that India remains a great destination for our type of products which requires shop floor competence. It requir es hands to do some of the work. O ver last 10 years, India and China have been two countries where a large majority of these investments have come. So, while I am not saying , we will never set up manufacturing ourselves of India, for now, we will do it for different reasons if all that becomes a conversation but for now, our view and our thinking of our positioning has not changed because of one more action around trade. I think the competition is doing what they think is right for the

ir interest . For us , we continue to doing more of the same. I just believe that of the 100 things that we face as a challe nge every year this is just one more that we have to overcome, understand, deal with it and overcome.

Sanjay Majmudar : As you know, as always, myself and Kunal remain available. We are definitely looking forward to much better things to talk about going fo rward. We will just inform as and when things happen. So, I think with this Kunal, you can give the concluding.

Kunal Shah : Thank you so much. And Sanjay bhai and I remain available offline to have a conversation and clarify any other further questions you have and look forward to connecting at the end of the first quarter for fiscal year 25. Thank you. Have a great evening.

Moderator : Thank you. Ladies and gentlemen , this concludes your conference for today. We thank you for your participation and for usin g Chorus Call Conferencing Services . You may please disconnect your lines now. Thank you. Have a great evening.

Call: Aug 2024

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August14,2024
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DearSir/Madam,
Sub:Transcript oftheInvestors' Conference CallheldonAugust 12,2024
Pursuant toRegulations 30and46(2)(oa) oftheSEBI(Listing Obligations andDisclosure Requirements) Regulations, 2015,pleasefindenclosed herewith theTranscript ofConference Callheldbetween theCompany andInvestors onMonday, August 12,2024todiscuss the Unaudited Financial Results andperformance oftheCompany fortheQuarter endedso"June, 2024.
Theaforesaid transcript isalsobeinghosted onthewebsite oftheCompany, www.aiaengineering.comin accordance withtheRegulation 46ofSEBI(Listing Obligations and Disclosure Requirements) Regulations, 2015.
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"AIA Engineering Limited Q1 FY 2025 Post-Results Earnings Conference Call "

August 12, 2024

MANAGEMENT : MR. KUNAL SHAH – AIA ENGINEERING LIMITED
MR. SANJAY MAJMUDAR – AIA ENGINEERING LIMITED
AIA Engineering Limited

 Moderator: Good evening, ladies, and gentlemen. Thank you for standing by. This is Dorwin , the moderator for your call today. Welcome to the P ost-Results Conference Call of AIA Engineering Limited. We have with us today the Management Team of AIA Engineering Limited.

At this moment, all participants are in a listen -only mode. Later , we will conduct a question - and-answer session. At that time, if you have a question, please press " *" and "1".

I would now like to turn the conference over to the AIA Engineering Management Team. Please go ahead, s ir.

Kunal Shah: Thank you. Good afternoon, good evening to everyone on the call. Thank you for joining us. I hope you got a chance to look at our numbers .

I have Sanjay b hai here with me, this is Kunal. A s usual , I will do her number recap , Sanjay bhai will sum up the quarter in discussion, and then we will move on to Q&A.

Starting off, this was a quarter where there is an optical top line shrinkage in terms of tonnages for the quarter , we were at 60,592 tonnes as compared to 74,000 odd tonnes in Q1 of last year , and 71,000 odd tonnes in Q4 of sequential last quarter . And I will explain some of the macro issues there.

Total production was 68,000 tonnes and that translated into a revenue of Rs. 1,000 crores, Rs. 1,004 crores. An EBITDA of Rs. 372.32 crores , and a profit after tax of Rs. 259.58 crores . So, from a margin standpoint, this quarter has been great . From a number s tandpoint , there is a deficit in terms of tonnages , for reasons I will explain.

Moving on for our other income :

Total other income stood at Rs. 82 crores , of which Rs. 15.23 crore was export benefits , and about Rs. 73 crore was treasury , Rs. 72.96 crores, and Rs. 9 crores as part of foreign exchange, ForEx gain for a total of Rs. 82 crores. Working capital has been a little higher , receivables have moved from Rs. 66 crores to Rs. 77 crores, I think it is just our timing adjustment because we had poor sales reflecting a higher number of absolute receivables, otherwise it's at par with regular .

Raw material has moved from 31 to 52 days , and uh stock has moved from 69 to 79 days. S o, overall , slight increase in working capital, a ll which is generally seasonally adjusted , nothing macro to look at. Of course , there is extra stock and that is also linked to our questions on the tonnage, so I will answer that .

From a number standpoint , we did 60,592 tonnes, off which almost 37,000 tonnes came from mining and 24,000 tonnes came from the non -mining site. If I were to compare sequentially , mining 's come off from about 45,000 tonnes to 37,000 tonnes , and non-mining from 26,500 tonnes to about 23, 800 tonnes . So, both these segments have seen a seen a reduction .

 One of the major reasons is , so there are two parts to the tonnage answer. If I look at sequential 71,000 tonnes in Q4 to 60,500 tonnes , it's approximately about 10,000 tonnes, 11,000 tonne reduction. This saw about 4,000 tonnes to 5,000 tonnes of orders that just will get shipped next quarter. That's an annual order that moves , over the last two, three years it was generally being invoiced in the first quarter , I think it will happen in the second quarter. So, that is one transfer .

The second is the non -mining , which is about 3,000 tonnes, 4 ,000 tonnes , it's just the cyclicality of work , nothing that's structural. I think you see ups and downs in different quarters, in terms of when the order was placed, what is transit and what is getting invoiced but. There

is an additional 2 ,000 tonnes, 3 ,000 tonnes which are all clustered for want of containers. So , this quarter has been difficult not just higher shipping cost but also unavailability of containers .

And what that leads to is , has increased transit time reflected in a higher FG and delay of supply. So, one of our supplies to the America s, we were without containers , what we wanted in June is coming to us in end of October . And there are a variety of reasons , I am sure all of you are aware about of just serious container shortage , a large part of that link ed to the whole America-China trade and the Trump Administration or new administration duty strategy that China is possibly follow ing.

Hopefully, all of that will easen up. B ut as we speak , our business remains a little in that uncertain domain as far as customers are concerned , because pricing has gone haywire and container availability is an issue. And that while the 2 ,000 tonnes, 3, 000 tonnes of shrinkage on the container account will get made, mostly be made good the rest of the year . But customers all of a sudden have gone back to what we saw post COVID which is on a wait and watch , as far a s new conversions are concerned . They want to be sure that price remains predictable, and the curr ent shipping regime does not allow for that. And the timeline of the supply chain remains predictable, which also is a challenge.

So, I think these are the two macro reasons why the numbers and the tonnages this quarter are a little less. Moving forward, we are happy to announce a Brownfield expansion which is one of our factories in GIDC, Kerala , where we are adding composite mill rubber and composite liner plant, or the ability to produce liners in that material. And we have discussed the mill lining strategy where our endeavor is not just to improve ware, which most other incumbents are attempting to do with the customer. Our endeavor is to improve throughput , reduce power consumption and bring a whole host of operational benefits for the customer. That requires us to work on the design.

And while we have been in the market now actively for last few years, we realize that this ability to offer rubber and composite becomes even more important so for us to be perceived as a company offer ing the whole full suite of products. So, we are very excited about it. This CAPEX has required us to spend about Rs. 65 crores . We expect this facility to be commissioned towards the end of this year. So, it should not take a lot of time , because it's being done in an existing facility that we have.

 We expect about 20,000 tonnes of additional capacity in this configuration to be available to us. Of course , mill liner sales and penetration and all of that we have discussed at length in the past few quarter s. We remain excited about that space. With the new facility that we have for metal liners , and now with the composite rubber offering, I think our positioning as far as the customer , we expect it to be significantly different, and of course our ability to bring disproportionate benefit for the customer. So, that is the highlight for this quarter in terms of things we have done .

We have also done a buyback ; Board approved a buyback of Rs. 500 crores. So, that should be getting th rough in the next few days , next few weeks . Our net cash stands at about Rs. 3,500 crores, that will get adjusted for the buyback cash and the dividend that has to flow out from that. A large part about CAPEX , the plan for capital outlay this year, we are doing about Rs. 35 crores on captive power, there's Rs. 65 crores on the mill liner composite facility , and money that we are spend on the first phase of the grinding media, which is about Rs. 150 crores. S o, total as we speak , our outlay remains at about Rs. 250 crores , and we will keep updating as things evo

lve from here.

So, with that said, I will request Sanjay bhai for a quick update. And then we will get into Q& from there.

Sanjay Majmudar : So, good evening, everyone. Just a very quick additional cou ple of points which I thought I want to elucidate and clarify. So , yes, there is a definite challenge that we are facing in this quarter , entirely and to a very large extent relating to logistics issues.

As Kunal explained, containers availability has become an extremely challenging process now . The whole problem is because of various geopolitical issues, but more necessarily because of the Red Sea crisis. So, just to give an analogy, the freight cost for sending a container from here to say Latin America, which was about $100, has gone up now to $400 per tonne . And more importantly, the container availability is just not there with the result at around 5 ,000 tonnes, 6,000 tonnes of orders which were supposed to be shipped this quarter, could not be shipped. Having said that, now the whole supply chain time has also extended. What we used to do in 30- 40 days is now taking more than two, two and a half to even three m onths. So, that's indeed a challenge which we are trying to circumvent .

The other pa rt is a little bit cyclical nature of some businesses . Having said t hat, on a positive note, we remain extremely bullish and committed on all our mind conversion. So, there is no question of any customer not being there or any of those processes being inte rrupted. It's just that this absolute uncertainty makes us a little worried about what exactly is going to happen in terms of all these logistics issues. So, it's a very major problem apart from the cost.

And you please appreciate we work on cost plus, t hat means freight is complete pass through, and that is the reason why he explained some of the customers are also a little apprehensive about the absorbability of this entire phase. So, akin to one -year post-COVID situation , which we have realized that it is not as simple as we were earlier thinking, and it may take a little more time. That is the first part. But having said that, our focus, our conversions, our

 opportunity, everything remains the same. So, this is just an aberration , let us see as . As w e move ahead , in the second quarter hopefully we should get more how things are moving , and that is one aspect .

On this rubber and composite liner s that we talked about ; I want to clarify two things. One, it is so to say an extension of my metal liner capab ility, and the focus remains the same. We do not think there is anybody else today who can offer the same or similar solution. The composite plus rubber is more to complete the whole line of offering which the customer requires. The focus remains the same, that is to offer unique process benefits which nobody , no competitor has that capability or design or ability to offer.

So, the focus remains niche. It is the material of composition that changes to complete the offering suite. And because you cannot tell a customer that now I will not, he wants for his SAG mills as well as ball meal. So, this is ordered to ensure that we become comprehensive and we give the same focus and same solution in all these materials that this capability has been added . It's a quick Brownfield expansion, w e expect it to be over in the next three, four months. And that should see us making a much more comprehensive solution provider niche area only , and not me -too kind of product. That's what I just wanted to highlight.

So, I think with this let's put the house open for Q &A. M oderator ?

Moderator: Certainly, sir. Thank you. The first question is from the line of Bh oomika Nair DAM Capital. Please go ahead.

Bhoomika Nair : Sir, you elaborated on the reasons for the miss in terms of the lower volumes during the quarter. Now ,

given this challenge in terms of the logistics aspect of it, while we may be competitive on a plant wise or a production cost perspective, b ut is the logistics cost driving or the time that it is taking from wh at you elaborated , it's taking now two, three months versus earlier a few weeks. Is that what is driving a little lower conversion than what we had expected ? And thereby what we are looking at a 30,000 incremental volumes on an annual basis could be at ris k?

Sanjay Majmudar : Well , Bhoomika, you are in a way right that , yes, it is a serious concern . And I will be very honest , the targeted volume growth year-over -year target and the opportunity remains the same . But in all honesty, we want to wait and watch at least for one more quarter before we give you a clear volume guidance, at least for this year. This is a very honest position in which we are today. So, it's a short -term problem, but yes , indeed it is a problem. It's wrong to say that, no, there is no problem.

Again, let me explain, conversion from an acceptability of the solution is not an issue . But the whole problem of logistics is far more worrisome than what it appeared in the initial phases. And as we go deep here , please appreciate, the problems globally are accentuating in terms of the geopolitical tensions, now Iran is a new factor. There are so many issues. But having said that, this could be a short -term problem. Let us be clear , our target and the opportunity for incremental volume growth re mains . Having said that , what could be the exact number we are

 looking at this quarter , we are not able to tell you , at least till the end of the second quarter . We want to wait and wait for a few more months.

Bhoomika Nair : So, sir, is there a possibility of us to kind of invest much more in terms of warehousing capacities or to absorb some bit of the logistics cost which is --?

Sanjay Majmudar : Bhoomika, I will be very honest , we are not going to hazard any gas. We are seriously evaluating various options . So, please give us some more time and we will come back to you, maybe in a couple of months , that's all . Warehousing alone may or may not be a solution. We are working at it . All I can share is that we are consciously working at this as perhaps a long-term problem rather than only a short -term problem. That's all I can say at this p oint in time.

Bhoomika Nair : Sir, the second question was about our foray into this whole rubber and composite mill lining. I fully understand it's a whole suite of products that we are offering which will help in terms of faster conversion. But in terms of say from other peer set, how competitive will we be in terms of cost aspect , if you can elaborate a little more on that aspect ?

Kunal Shah: So, for all these solutions that we are introducing , actually the whole cost and pricing becomes moot because the benefits which we are offering are in a very, very different realm. So , I do not think it's going to be a price discussion at all. I think the conversion is going to be linked or the operating or the sales cycle is going to be linked to their comfort and confidence , and ability to be the willingness to try a new solution. How urgent is the area that you are attempting to solve, right? It will be a combination of those thi ngs and surely not a price.

Sanjay Majmudar : So, if I put it a little differently , I do not think any competition can offer a directly comparable product or a solution. You get my point ? So, if it is not comparable, there's no question of price discussion. Material competitors could be offering , there are many people who can offer composite and rubber, but not the design and not the solution.

Bhoomika Nair : So, what we are saying is that we are going to differ not in terms of what you are trying to say, if I understood correctly, it's not

that there aren't other offerings of rubber and composite in the market .

Sanjay Majmudar : In metal as well there people , in select metal , non-cast, everyone is giving in metal. B ut our offering was on a different pedestal. The same philosophy applies to rubber and composites as

well.
Bhoomika Nair : Which is on the increased throughput power consumption?
Sanjay Majmudar : Significant efficiency related solution , efficiency improvement, massive cost reduction due to improved throughputs or increased efficiency.
Bhoomika Nair : Any update on the various litigations which is ongoing , and particularly the latest one on the US, any update on that aspect?

 Kunal Shah: No, not really. See, it's a nine -month project . As you know, the US is in a way sub judice, where it’s a closed room process where we submit the data. So, we are fully cooperating and making sure giving all information as required. You know that Brazil dumping is already terminated . The countervailing duty part, which is 6 .5%, that's under the sunset review , and we hope to hear in next two months on the outcome of that, two to three months.
Bhoomika Nair : So, the US we are continuing to supply the volumes as things stand?
Kunal Shah: Yes.
Moderator: Thank you. The next question is from the line of Taran Agarwal from Old Bridge Capital. Please go ahead.
Taran Agarwal : Just wanted to double check on your opening commentary. You said about 3 ,000 tonnes to 4,000 tonnes of volumes were deferred because of it's just a shift fr om one quarter to the other quarter , and a similar number was impacted because of lack of container availability, correct?
Kunal Shah: Yes. So, one order which is about 4, 000 tonnes has moved to the next quarter , but that is just billing. I was just trying to make a difference between what was the timing issue versus what is container and backlog. So , about 3 ,000 tonnes is container and backlog , and that's a timing issue . It's a consequence of containers being delayed and about 4, 000 tonnes is the order tha t is just getting invoiced this quarter .
Taran Agarwal : And now that almost one and a half i nto the second quarter, how are things currently? I mean, we understand, we have been reading about it, and it does not seem like on the ground situation has impro ved.
Sanjay Majmudar : No perceived real improvement. I will be very honestly .
Kunal Shah: Yes. And see , what happens in such things is , as you know, where they say hurricane is going to come and all milk and bread gets wiped out of shell , where everybody is trying to get more containers than what they need. In fact it worsens for a period even if nothing changes on the ground . So, today I think it's just very, very uncertain period right now .
Sanjay Majmudar : Yes, because we were discussin g, the container s that we were booking for August, June came in August, August is now September end or October first week. So, there’s a lag of whole one month at le ast. The whole thing is , when China related issue was there, the whole supply chain got disturbed. This is a similar situation due to this Red Sea.
Moderator: Thank you. The next question is from the line of Ashutosh Tiwari from Equirus . Please go ahead.
Ashutosh Tiwari : Firstly , this delay , I hope it's not impacti ng the production at the customer level as of now ?
Sanjay Majmudar : Not much, not really, because we do have adequate. See what happens , if you see my finished goods stock , it has moved up. This is because the transit time has gone up, correct ? If you look

 at my own production, we have done 68,000 tonnes, 69,000 tonnes . So, order , production everything is there even at our end and their end. But the only problem is , because you are not able to exactly commit on the supplier time , there is a litt

le bit of pull back, I mean , rather push back and people are just evaluating the way customers evalu ate. But I do not think any customer we have any serious issue . Some customers are continuing , new customer conversion process is a bit slow , but nothing ha s stopped anywhere. It's just that things are uncertain, that's all.
Ashutosh Tiwari : Because see, I can understand that there wi ll be delayed conversion because of this thing. But if some customer ’s production gets impacted, then probably it can have bigger implication that people may not look at because of the uncertainty on that. So, as of now that's not the case. It's just that things are getting delayed . But it ultimately reaches the time and pro bably we have enough stock at warehouses to manage those things. That is not a challenge.
Kunal Shah: Correct.
Kunal Shah: And second thing for this rubber and composite liners, this is in- house developed, or we have some tie -up?
Kunal Shah: It's all in -house .
Ashutosh Tiwari : And once the plant becomes ready, then we will go to customer for trials and all or something is already started a small scale?
Kunal Shah: We have already done w ork on it . We have done trial work ; with very small investment we

have done our own pilot project to see how it works. We have done more than six to eight trials . It's a very interesting offering to fill out the whole suite of products.
Ashutosh Tiwari : And lastly, this quarter the selling price realization that we got would have benefited from higher cement mix because that has castings as well it's higher price d. Is that correct?
Kunal Shah: Overall, if you have seen the numbers , the product mix is better where there is higher casting, higher priced product . And you ar e right , that is reflected in the higher selling price, yes , higher realization.
Moderator: Thank you. The next question is from the line of Anupam Gupta from IIFL Securities. Please go ahead.
Anupam Gupta : Sir, two questions, firstly on this mill liner thing. So, when you say 20,000 tonnes of incremental capacity, will this use castings from your existing plants or how will it work ? Because Rs. 65 crores CAPEX seems to be a bit small for this sort of a capacity.
Kunal Shah: No, it is an additional capacity. It is where you are adjusting. That's why it's a Brownfield , right , where melting capacity is available, some from an existing where we are able to do balancing equipment for melting and the rubber part is being added additional.
 Anupam Gupta : And second question relates to the disruption which is there. So, two parts to it, o ne is , you said conversion is slow , have you seen your Magotteaux taking advantage of this at all?
Kunal Shah: No, as far as their chrome capacity is concerned , as we understand, they are capacity constrain t, they are fully utilized for last few years. So, there is only so much that they are able to do. The container issue that is there adds to our requirement to put more in transit so that customer does not suffer. If we prevail that they did okay during COVID it means a little more finished goods for us , it puts a little bit of additional timing pressure for new conversions. More than existing, I think it's not so much of an issue.
Anupam Gupta : When you said earlier t hat this seems to be more of a structural issue now given the number of times that has happened in the last four, five years, that obviously there has to be some options which you are looking at. So, the idea would be ideally investing outside or having a party somewhere who is manufacturing closer to the customer, right , so that should be the right way to look at it?
Sanjay Majmudar : Anupam, give us some time. We will come out with clarity. You are right, w e are evaluating various options, but that's all. I mean , at this point in time, let's put it at this that

yes, we are evaluating seriously various things.
Kunal Shah: And listen , the how often will the Red Sea thing continue , the world is in a state of flux, right. So, we have to make sure that we are no t doing decision making in response to something that could have been short lived in a longer time spent journey, right. And then you are stuck with the structural flaw if you do something to deal with something that was short term, right . It's happened ag ain does not mean its long term.
Anupam Gupta : So, the question obviously was coming from because you have a very well entranced position in India in terms of manufacturing , the overall ecosystem you have set up pretty well for yourself. So, that's why the question was , and you have always said that you do not want to be outside India given the sort of advantage which is th ere.
Kunal Shah: While we say never say never, the point is that a negative event like this turns up logistics in this case, I think we do a hard introspection on what could be other measures that we can look at. I think we are doing an internal review on that. But India may , will and likely continue to be where , I mean , that is where our current position is , right . So, no change on that as we speak. If there is anything else, we will see .
Moderator: Thank you. Next question is from the line of Priyankar Biswas from BNP Paribas. Please go ahead. Yes, Priyanka.
Priyankar Biswas: So, first of all, speaking on a relatively long -term basis, so you had duties in Canada and Brazil , so kind of now removed on that front . So, what should be the volume trajectory from this geography ? Let's say , keeping aside this Red Sea issue , so what sort of volume trajectory can we expect ? And what is exactly the status of Canada right now?
Sanjay Majmudar : So, of course, as Kunal explained, US investigations have commenced , Canada has finished.
 Kunal Shah: So, Canada, the way the duty structure is there, I think they have a certain duty component or a minimum price that we have to sell a t, and we are comfortable with that. W e do not believe there was a case for a dumping scenario . But it's a whole process that every co untry goes through sometimes to protect its own local industry, sometimes on the behalf of the local incumbent. There are various aspects of it, right? It's not a very, very 100% objective process. I think we are fairly satisfied with the outcome. There was f air review done for all that was submitted . And we are in the market, and we will try and be an active participant , and that

shall happen in due course. I do not think that that is a deterrent in that sense for us . Our objective has always been to be selling at a fair price , and that's not change d. And if that does not change , our opportunity in the market does not change. So, as far as Canada is concerned , the market is available to us and we will make efforts to, like I said, to be an active particip ant over there, that's ongoing .

Sanjay Majmudar : Similarly in Brazil, that has come to an end.

Kunal Shah: Exactly . As far as long term , your question was that I think while these countries are important, we have always maintained that there's a large oppo rtunity globally also. A t least 15 countries , every country has its own set of challenges for a new entrant to come in, and that's what leads to time. That's what we have seen. But we are excited because there is a solution which has disproportionate benefit , feeding into something that is really active problems or the pain area for the customer. And as we have discussed , for copper mines and coal mines where we can increase throughput, we can improve recovery, our solutions find a lot of interest . And based on that we remain optimistic that our opportunities not just in Canada, Brazil which we are hopeful of participating in, bu

t also in all these other geographies that remain where there is not just a c hrome supplier, but also a large for ge opportunit y for us to service. So, I think nothing changes. No duty per say changes that proposition. These are short term things that keep happening and we adjust to that looking at the longer -term lens.

Priyankar Biswas: So, just ha rping back on that , since you hi ghlighted about copper and gold, what sort of penetration are we there in copper specifically ? Because Chile and Peru happen to be the largest geographies there, s o how far are we succeeding over t here?

Sanjay Majmudar : So, of course between copper, gold, and iron, these remain the three ores or metals of absolute focus. From an opportunity standpoint, all the three are very exciting for us . At this point in time, I think before one year or two years, I would say , we were just about beginning to enter copper. Now we are a serious player in quite a few copper mines. We are working very hard on some very, very large min es. I can only share this much. Gold, of course , we are there with all leading min es and we will continue our allocation , same is the case wit h iron. So, between the three, I would not say we are equal, but we are slightly heavyweight right now on gold. A nd I am a little lower on copper, but we are catching up very soon. So, over a longer period, all the three would be more or less equally driving our growth, that is what we perceive.

Priyankar Biswas: So, essentially what you are saying is , right now you are ramping up on copper, so you are heavy on gold. So, essentially like going forward, when the Red Sea situation resolves , so

 based on that maybe 25, 30 KT annual volumes could be achieved under those circumstances based on higher penetration?

Sanjay Majmudar : Absolutely.

Priyankar Biswas: And just one last question from my side. Just for the sake of investor clarity, if you can. For a mine, l et's say where you are now offering your integrated solutions like mill liners plus the grinding media , because you are offering it as an integrated solution nowadays . So, can you just give some examples of a savings that the customer can get in, let's say , absolute dollar terms ? So, essentially like if they switch over from, let's say, for ged media to grinding media and get mill liners from you, there would be some additional cost aspect, but how much you are saving respect to that, maybe some examples.

Kunal Shah: Yes. So, I think first of all, we have done some case studies in this year's annual report, and you will see that once that gets published. But benefits , first of all, there's no extra cost. Please understand, these are consumable, they are nev ertheless buying, they are buying this whole primary, secondary, tertiary ball mills , grinding media mills . They are buying grinding media lining s which are being worn out and replaced. So, they already have an OPEX budget . What we are saying is , if you buy from us , there will be disproportionate benefit that we will bring to your process , to the grinding process. So, now if it's a spend of $ 10 million to $15 million a year for a mine, if it's only rare benefit, it could be 20 %, 30%, 40%, so that can vary from let's say $2 million to $5 million, right. Now i f you add the power saving on it, that could be a few million dollars. There is recovery improvement , that's another few million dollars . If it's through put, that can be tens of millions of dollars because there is a bsolute contribution of additional product being ground. So, for a copper customer that can vary from , on the lowest side it is only $2 million to $5 million, on the higher side to maybe $150 million a year. And his input cost does no t change which is he still have to buy these consumables. So, depending on how the depth of the solution and what levers are we a

dding or what the opportunity exists at the customer site , that determines the value addition for the customer.

Priyankar Biswas: Well, that's great. We actually look forward to maybe the case studies in the annual report that you mentioned. Thank you so much. Thanks.

Moderator: Thank you. The next question is from the line of Chirag Muchhala from Centrum Broking.
Please go ahead.
Chirag Muchhala: Sir, just a few clarifications on the mill liner part. So, the earlier capacity that we had of 50,000
metric tonnes and this new plant of 20,000 tonnes, so these both would not be fungible, correct?
Kunal Shah: No, so it is because i t is. That's why it's a Brownfield where we have already got melting
facilities which we will be using, plus we are augmenting the capacity. So, totally in our setup
there will be additional 20,000 tonnes of this rubber or composite product. The rubber par t is
the new factory, the composite part is partially there, partially from an existing facility. So, you
will have to look at it now in totality and not just as one vertical separate plant.
 Chirag Muchhala: And as far as our segmental reporting is concern ed, this entire mill liner gets booked in mining
segment, right? Or any part is also present in others?
Sanjay Majmudar : Mining.
Kunal Shah: Correct, it is a mining product.
Chirag Muchhala : And lastly on that Brazil clarification, so basically now since the sunset review has ended, so it
would be a zero duty, correct? And have we reapproached customers and how things look like?
So, if you can share some data as to before that duty was levied, what were our volumes and
currently what are our volumes, let's say, in last year?
Kunal Shah: So, the duty had two components in Brazil, one is what's called the dumping duty, and the
other is what's called the countervailing duty. Basically any benefits that you get on export,
they are reimbursed back, that becomes sort of a duty, that's called countervailing duty or
CVD. So, 11.8% has reduced to 6.5% because 6.3% was the dumping duty. And that's terminated, so there's not going to be any sunset review or a future risk for now that comes out
of a sunset review, even if it was 2% or 3%, it comes up for review after five years. Now, the whole that application is terminated.
As far as countervailing duty is concerned, which is at 6.5%, a sunset review is g oing on and it
will be whatever the outcome of that is, I would not hazard a guess on that just now. But there will be a new number on it once that investigation is concluded, right? So , 11.8% as it as it
stands, it is reduced to 6.5%, and whatever further it will get changed to. So, that is the first
part. Second is, Brazil is an important market. While the existing market that we lost because of the duty is now what we will pursue, but in the meantime, we have also done work on the
forged conversion. And back of that we see a bigger volume coming from the market. Going
forward, in next 12 months, it will be surely upwards of 20,000 tonnes is what we expect in the
market.
Chirag Muchhala: Sir, just last question on this rubber composite mill liners. So, how large the addressable end
user market is? Suppose if they do not want to convert from rubber to metallic etc., and only
focus on rubber, then what is the addressable opportunity we are looking at?
Kunal Shah: It is a few times larger than our capacity. I mean, for us, we are working with the captive consumer base that we have that we want to work with where we know we have a
disproportionate solution. So, I mean, which is where we have not done a 50,000 tonnes or a
larger capacity because this is what we b elieve is a great start and allows us to go out to
enough customers to offer this solution.
Sanjay Majmudar: But you can say, at least 300,000 tonnes could be addressable market, total, between all of our products.
Kunal S

hah: But rubber itself, rubber com posite could be upwards of 100,000 tonnes. This is just a number,
we have not done much more because we are not looking to convert all of it to our solution, right? So, today we are looking at our subsets that we want to target through this.
 Moderator: Thank you. The next question comes from the line of Jyoti Singh from Nuvama. Please go ahead.
Jyoti Singh: Sir, I just wanted to get a sense on how the increase in gold price will be benefiting AIA. Also,
if you can share the revenue bifurcation under mini ng, like how much is done from gold, iron
ore and copper, individually?
Sanjay Majmudar : So, Jyoti, first let me make it clear, we do not give this bifurcation for several reasons. We
have never given that. But to a previous question, I did answer that all the three are equally
important. And more or less, over a longer period, their weights would be equal in terms of the opportunity as well as sales, this is what our target is. Though today the weight of copper could
be a little lesser than gold and iron, correct? So, this is one.
Now, more importantly, we have been quite clear that upward or downward price movement of
that particular commodity or metal is not a driving force for demand or the addressable market opportunity that we are looking at. So, today, just on a very conservative side and just to make

my position clear, our entire focus is conversion of all these mines from usage of forged or other type of liner solutions to our high chrome or, if I talk of liner high chrome plus composite solutions that we are offering.

Now, the penetration today of the high chrome solutions in these markets is about 20%, 25% of the addressable market of 1.5 million to 2 million tonnes if I just talk of these three focused metals, correct? Meaning, that by the time working on that 70- odd-percent opportunity for conversion of those mines from their conventional forge or other related solutions to my solution. So, even if the prices of gold do not move or they move up, if their CAPEX cycles are aggressive or not aggressive, of course in a given scenario when the market scenario is robust and very buoyant, logically people will be more open to spend more on these type of my solutions. But as Kunal explained earlier also, there is no CAPEX requirement as such, it's just the OPEX part that we are substituting.

So, a price movement upward or downward of the finished metal is not really what works to propel our demand or to increase our conversion rates. But it is just this opportunity, plus it's a very, very tough situati on that you have to work very hard. It takes one, one and a half, two years for us to convert a mine. There is tremendous working back and forth, our engineers, their engineers. So, it's a very intense and very engaging exercise. It's not that I just walk in, show something and they buy. And that makes it tough but also it creates a very, very strong entry barrier, so that once the client is onboarded generally, we keep on supplying for years together and we keep on increasing our allocation. So, this is where we are.

Moderator: Thank you. The next question is from the line of Uttam Kumar from Avendus Park. Please go ahead.

Uttam Kumar: So, firstly, I mean, two parts to my first question. So, just from a long -term perspective, I want to understand on the demand scenario. Secondly, which geographies are we continuing to see

 an increased traction with regards to mining activity, I mean, which could result us in a better demand for our products? That is number one.

And the second part of the question is that, could you give more color with regards to how many sites or which of the sites or the number of sites where we are currently doing trials, trying to penetrate in terms of product offerings? And of thes

e sites where you are doing all these trials, where are we? And some could be at the mid -stage or the at the fag end of the trial stage which could convert or give us a more confidence, because to be surpassing the 3 lakh tonnes of charges which we you should talk a bout and sustaining about of those levels?

Sanjay Majmudar : I think we need to quickly, of course, given the fact this is a common platform and for many of our friends this could be repetition, but I will try to very quickly address your questions. So, your first was the market demand supply scenario. So, as I explained, if we talk of cement, it is roughly about 300,000-odd tonnes, and ex -China it is about 180,000 tonnes. We have a 35%, 37% market share across the world. In India we have a 95%, 97% market s hare. And our total supplier, including India, is about 75,000 tonnes to 80,000 tonnes, and that market is completely converted globally into high chrome. So, the growth in cement is directly proposed in proportion with the growth in the cement capacity, a nd it is therefore very, very moderate, tepid growth. This is point number one.

The bigger opportunity is mining where the market is more than 3 million tonnes annually. Addressable market if I just look at the three metals where I am focused could be 2 m illion or a little more than that. Out of that, today, hardly 25 -odd-percentage serviced by high chrome solution players like me, Magotteaux , and a few other players on the liner segment and few other local players. However, we too are the predominant ones . Rest all are the forged, grinding media suppliers like Molycorp, etc. And this is where we are working very hard to convert.

We believe we have excellent solutions. It is just that we keep on facing all these issues which many of them are beyond our co ntrol we being a global company. So, if I talk of number of customers or number of countries where I am present, in cement it is more than 125 countries across the world. In mining, as we speak, more than 30, 35 countries. Several locations, so each mining site is my customer. So, you would have 100- plus mining sites across the 35- odd countries. But focus obviously is North America, Latin America, Africa, Australia, CIS, and then Philippines and a few other Far East Asian countries. So, this is the mix. Eur ope does not figure much in mining. Just if you want me to elaborate. But wherever this mining occurs, today I am present, and I am working on several new sites, as we speak, for conversion.

Uttam Kumar: Sir secondly, with regards to this Brownfield CAPEX which you talked about, 20,000 million capacity, is there any, I mean, are the realizations similar to what we have in the existing portfolio or is it a tad bit lower? Or could you give some color with regards to what can be the revenue capability of this 20,000 tonnes? And over the next year, how should we look at the capacity utilization levels for this particular segment?

 Kunal Shah: I think this is just enhancing our product profile. Hi, this is Kunal. For now, pricing, all of that, I think we are still to be in the market, figure out what's the best way. But more likely than not pricing is not going to be a conversation breaker, right? Realization may not be vastly different. So, for now you may consider similar levels.
Sanjay Majmudar : Similar levels a nd average utilization levels .
Moderator: Thank you. The next question is from the line of Vijay Kumar from Trustline PMS. Please go ahead.
Vijay Kumar: I would like to know about the status of your 70% subsidiary which you Welcast Limited, you recently tried delisting. Is there any update? Are you planning to increase the sourcing from there? Or is it in the process of merging? Any update on that status of that company?
Sanjay Majmudar : Yes. As we speak, yes, we attempted for delisting, but somehow it di d not succeed.

So, as it stands now, it is status quo. We have not taken any other call. So, there is nothing on that front as we speak as of now.
Vijay Kumar: Is there any sourcing or is there not going to be any more sourcing from that subsidiary, or how is that?
Sanjay Majmudar : it may continue, of course, at a little reduced level, but it definitely continues. You would have seen even Welcast results we published a few days back. So, we continue to do the minimalistic kind of volume from Welcast facilit y. And that will continue till any other corporate decision in this regard is taken.
Vijay Kumar: Thank you, sir. You can look at ICICI and ICICI Securities kind of merger, which will eventually get the company delisted.
Sanjay Majmudar : So, very honestly, some banks have indicated and drawn our attention, but we are evaluating. So, we cannot say anything till we have a clarity on the course that we want to take.
Moderator: Thank you. Sir, we do not have any questions in the queue at this point in time.
Kunal Shah : Lovely, then we can look to wrap up. As usual, Sanjay bhai and I are available to take questions offline and look forward to connecting with you at the end of the second quarter. Take care and have a good evening. Thanks.
Sanjay Majmudar : Thank you.
Moderator: Thank you. Ladies and gentlemen, this concludes your conference for today. We thank you for your participation and for using Chorus Call Conferencing Services . You may please disconnect your lines now. Thank you. Have a great evening.

Call: Nov 2024

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November 5,2024
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“AIA E ngineering Limited
Post Results Conference Call ”
October 30, 202 4

MANAGEMENT : MR. SANJAY MAJMUDAR – INDEPENDENT DIRECTOR –
AIA ENGINEERING LIMITED
MR. KUNAL SHAH – EXECUTIVE DIRECTOR –
CORPORATE AFFAIRS – AIA ENGINEERING LIMITED

Moderator: Ladies and gentlemen, good day. And welcome to the AIA Engineering Limited Post Results Conference Call . This is Sagar. I'll be the moderator for your call today. We have with us, the management team of AIA Engineering Limited . As a reminder, all participant lines will be in the listen -only mode, later we will conduct a question and answer session at that time, if you have a question please press star and one.

I would now like to turn the conference over to the AIA Engineering Management Team.
Please go ahead, sir.
Kunal Shah: Yes, thank you so much. First of all, a very warm welcome to all of you on, on the conference call for AIA to review our second quarter numbers. As usual, I also have Sanjay bhai on the line with us. He's in transit and possibly with us for another 15 minutes. So please pardon him and us that he may have to drop off early and sincere apologies for preponing this again because of this transit issues . And as we know, a lot of people came back to us saying either they're only on holiday or getting on to holiday. And we thought it's best to prepone it and accommodate everyone.
Quickly I'll run through the highlights for this quarter and then a small com mentary and then we'll get into Q&A. This quarter continues to be flat in line with the first quarter of this year at 60,000 tons -- 60,330 tons, representing sales of 1,030 crores slightly above about 1,004 crores in the first quarter of this year and com pared to 77,000 tons and 1,273 crores of revenue that we've done in the second quarter of last year.
If I'm moving on our other -- our operating income, that the export benefit portion comes to about 28.93. Sorry comes to 13.70 which is in line with our ex port for this period. Our forex and the Treasury income is at INR90 crores and thereby leading to a limit of INR 366 crores. Almost comparable to INR 372 crores of EBITDA in the first quarter and down from INR 444 crores that we did in the second quarter last year.
Our profit after tax is at INR256 crores, INR 256.72 again, almost in line with the first quarter of this year, which was at INR259.58 and down from INR 323 crores in the second quarter of last year. We have the note uploaded which mentions the breakup of our other income, which is Treasury , Foreign Exchange and E xport benefits , happy to share more detail on what if required.
From a working capital standpoint, this year, we are at about 115 days of total working capital, which includes raw material at 55 you know, and then there is credit days that will get reduced from that. Working capital is in line, and our stock and data represents the lower volume of production and sales that we have seen compared to the previous period.
Coming on to an important slide on breakup of our segment -wise sales, as you will see that our mining sales outside of India is at 39,800, slightly up from 36,700 from the first quarter, but down from 52,000 tons in the second quarter of last year.
Our non-mining is almost flat and in line with what we've done fully or should be in line with what we've done last year. So, the half -year number now is at 120,922 compared to 151,000 tons that we've done in half -year last year. Two quarters of 60,000 tons of sales that we've done.
Some other housekeeping numbers, our net cash is at INR 3,212 crores, which is after the buyback pay-out that has been done. There is a small debt of about INR 120 crores, and the net cash figure is after that. All our other operating metrics are comparable. We have planned for capex of abou

t INR 250 crores, which includes our equity investment in renewable power, the

rubber liner plant that we are setting up, and the 36,000-ton expansion for grinding media. So, all of that comes to about INR 250 crores, and we' ll continue to spend that over this year and whatever spills over the year after that.
So, with that said, I will move on to the commentary for the quarter and the big question on the slower sales in this quarter and last. I think what we are seeing now ar e three larger themes, and I'll have Sanjay Bhai expand on that a little more, but the key things are that we are seeing some slowdown at some mining customers, where our offtake just looks to be a little lower.
What we thought will be caught up in second and third quarter looks to be a little more systemic and structural. More than three or four large customers are going through a destocking process. So, material that was supposed to be invoiced and shipped out is being deferred to later quarters, and may be a destocking cycle is something that we may have to face with more customers.
And just supply chain issues that have bogged us for the last few quarters with the consequence where shipping rates not only went up, but containers were not available. We ar e seeing some pushback from customers on saying there is strategic uncertainty on account of the supply chain and want some more time before they go back to business with us.
So, all put together, it's a 30,000-ton impact for this quarter, but overall, we did 292,000 tons last year. It looks to be a 10% lower revenue volume either way, whichever way you slice it for this full year. So, closer to 260,000-ton , 255,000 ton to 60,000-ton mark for the full year.
And there are the conversation on growth and new c ustomer addition. We are, and we maintained this last many quarters about all the efforts that the business, that the management is putting into augment our presence, to sharpen our offering and increase the value that we

offer to the customer. We are extr emely confident, optimistic about things, but at the same time, conversion is just taking time and it is causing us as much grief just about the time that it is taking.

And there is no change in that conversion cycle timeframe that looks to be coming up. W e will be continuing to put in all our efforts and we hope that important conversions from forge to chrome come along soon and we'll be happy to share progress on that as that happens.

We'll have Sanjay Bhai chime in with his thoughts on this and then we c an go on to Q&A. Sanjay bhai?

Moderator: Sorry to interrupt, sir. The line for Sanjay sir is disconnected. I'm just reconnecting his line.

Kunal Shah: Okay. While he joins, I think I'll just pre -empt a few questions from investors on the overall market sentiment and this unusual lower tonnage that we have seen in the last two quarters. It's a first for us over more than 18 years that we've been listed. There hasn't been a quarter where we have seen this. We do recognize that things don't – there is this classical situation where more than one thing goes against you or they're just outside your control. And maybe this is one such year. We are hoping that we emerge sharper and stronger out of it. But it is a year that looks like there will be some reduced r evenue for the year.

Is Sanjay Bhai back on?

Moderator: Yes, sir. His line is connected.

Kunal Shah: Sanjay Bhai, I've just finished. If you want to add to...

Sanjay Majmudar : Yes. Good afternoon to all of you and H appy Diwali in advance. So, as we explained and as Kunal elaborated, there are three, four very distinctly, I would say a bit unusual circumstances or factors that we are facing , perhaps after a very long period of time. So, one, there is a distinct impact of reduction i n offtake by customers who have placed their orders, but they are not following up with POs simply either because of perhaps destocking or perhaps they're waiting for the price to correct. Thanks to the freight still being pretty high , thanks to the supply chain chang e.

We are not -- I don't see this as a structural you know, reduction, but we are more analysing it and understanding this to be more cyclical rather than structural in nature. So, one fundamental issue is that , while our efforts for conversion continue, it is this reduction or little less order intake that we are receiving from the customers who are generally whose POs are generally coming in very regularly is what is bothering us a little bit.

Having said that, two, three things on the positive side , so we have in fact started our supplies though a bit slow to Canada , similarly, we are working very aggressively on several mines. Supply chain challenges and freight issues are definitely concerning us, but we feel that perhaps freight seems to be going down a little bit and in the coming quarter, it should look a little better.

But as we distinctly did the maths and understood the situation, on a very realistic note, we see a reduction in sales to the extent of may be 20, 000, 25,000, 30,000 tons this year, which as I elaborated is cyclical in nature, nothing structural. We are very hopeful that all the conversions on which we are focused, several mines we are currently working. It might happen that we may be able to catch up, but it's very early in the day to make any guess and it is rather safe to say that there could be a little decline, about 5 to 10% in the overall sales this year.

Having said that, margins continue to remain robust. Everything else, opportunity -wise, everything else remains to be robust. So, we are keeping our fingers crossed and hoping for the best.

Secondly, it is early in the day to hazard a guess about how the next year is going to look like, though if one or two large contracts on which we ar e working, they fructify, things can very significantly change. So, we are hoping for the best, but on a conservative note, we don't want to give any guidance about next year till maybe we reach the three-quarter, results, and we have a little clarity on the new initiatives that we are working. The regular uptake, for whom we are already there, onboarded through long -term contracts.

So, I think with this, Kunal, let's go on to the Q&A.

Kunal Shah: Okay. Thanks, Sanjay bhai. And if you do drop off, please, Sanjay bhai, it's okay.

Sanjay Majmudar: Yes, Yes. Thank you. Thank you. Actually, I'm just boarding the flight, so it could be a little challenge, actually.

Kunal Shah: Yes.

Sanjay Majmudar: Okay. But I'm there on the call till till at least another few minutes. Yes.

Kunal Shah: Operator, we can move on to the Q&A.

Moderator: Thank you. The first question comes from Bhoomika Nair from DAM Capital. Please go ahead.
Bhoomika Nair: Yes. Hi, Sanjay bhai. Hi, Kunal. Nice. You know, I heard your commentary on the volume kind of a challenge that we are seeing in this year. So, I just want to understand this, that you know, is it that the conversions are taking longer?
We had added actually the mining liner facility as well. You know, so how is, at least that should have seen some growth. And if you can also comment how the U.S. market is panning out, whether volumes are steady there or have they fallen post the ongoing litigation out there.
If you can just give some color where exactly are you seeing, are you seeing this drop in any specific or kind of a thing which is more platinum, iron ore or something like that, then that can help us understand a little more ?
Because if I look at it, if you're looking at something like 260,000, 270,000 kind of volumes for the full year, then almost for over a four

-year period, we've not really seen growth. While I understand it's too early to give guidance for next year then logically the next year, should we come back to that 320, 330 kind of a number, which is still just bare ly a 20, 30,000 kind of incremental volumes over 24? Or do you find that that would be a big challenge as of today to even provide that kind of visibility?
Kunal Shah: Yes, I agree. Thank you for your question. And you got a few questions rolled into it. So, I'll try and address each one by one. Let me start by a question on US, right? I think the matter is every jurisdiction takes it quite seriously. And we are only allowed to say so much on public platforms while the matter is subjudice. But our business there broadly continues as is. I mean, there are nuances there. But, I mean, we are using the disclosure that we made about the interim CBD that has been applied. And so, we continue to cooperate, work, defend and do make sure we put up the most relevant i nformation promptly. So, US continues as is. And we are doing everything that we can for the dumping.
Bhoomika Nair: Volumes there in the US market are intact and they have not seen any kind of a decline. Would that understanding be correct?
Kunal Shah: Yes, Yes, Yes. Broadly, yes. The volume looks to be okay. I mean, like I said, I will be constrained in speaking much about it. But the business continues. It's a steady business for us that has been developed over many years and that continues as is.

So, moving on to the next question that you had which is about the OAR. So, the offtake, I think there are all these, there is two pillars of the issue that we are seeing. One is the logistics and the supply chain and just the anxiety or the discomfort custome rs would have around that uncertainty, right?
So, that is one pillar and that's on and off and that's going along. And the other is around the what's happening at the customer's I think there are all types where there's just general it's a little optical c ommentary that you would hear from mining companies suggest things are okay and things look to be okay.
But we are just seeing a soft conversation. Now, whether that is temporary, whether it's going to be a little longer tenure, it's still too early to call that one out. But, and that, one of the consequences for that is the restocking, conversation where they're just saying that, okay, we've got more stock we'll just not buy for the next two quarters or next one quarter or maybe next three quarters and con tinue the conversation forward.
Now, that restocking generally does not happen, unless they're looking at a little softer outlook, right? So, but we are too small a cog in the wheel to have any view beyond this . But we are just seeing softness at the custo mer's end and that's resulting in the situation. So, that is one aspect.
And the second, the pillar that I said, which is the supply chain is just real, right? In our case, where any new customer coming on board or customers who've been having a conversati on or just bought it for a period want a little more comfort on the whole supply chain issues, right?
They are all like Sanjay bhai mentioned. It looks like the worst is behind us, right? What happened with the rates, the whole China container thing came a long, right? The global geopolitical space is a very funny situation where it's impossible for any company to have a certain view about which way to go with it.
So, we are staying in play, right? We are there, we are making sure we are giving all comfort. We are not defaulted on or delayed on any delivery, right? We added more stock last quarter to make sure that no customer is impacted, but it is a conversation and there is some consequence on us for now. You asked about the mining liner. I think it remains at, continues at slack.
We've not been able to add what we were

looking to add this year from that space a nd variety
of factors. The irony is that we are becoming, the more confident we get about the
consequences that we can participate in at the customer's end and the more the irony about it that it's just taking longer and there's nothing else I can say to allay that question.
But it's all business as usual right now. It's just this interim stage. It looks like, but that volume, the 292,000 tons t he 10% lower volume this year compared to last, looks to be a reality for
now.
What happens next year, I would just take a quarter or two. Is this a early sign of mining companies feeling a little less excited about the future? You know, these are things that we don't know today. This is just a temporary housekeeping action. But we are seeing more than

one ore type and more than one geography face that. So, it may not be as we cannot dismiss it,
yet it is not something that we can say for sure that it's an issue.
Sanjay Majmudar: And just to Kunal add, Bhoomika I don't think it is, as I said in the opening remarks, I don't
think it is ore specific nor it is structural, but more cyclical. Let's hope for the best how it goes.
We are keeping our fingers crossed. As I said, we are working on several opportunities that run
into more than six -digit opportunity, you see. So, it's not that we have stopped working on
those opportunities, but it's just very unfortunate that the volume of ftake from the customers
has not happened the way we want or we had anticipated. And we cannot force them to buy, as you know. So, we have to just see how it goes. But I think we are still very, very optimistic
about the medium to long term prospects. That's all I can say at this point in time.
Bhoomika Nair: So maybe if we can get some comfort around what is the kind of new customer interactions while the conversions might be happening a little slower, because one part is the existing customers kind of destocking. So, which is where there is a decline in terms of volumes, but
then that will be partly offset against some kind of new customers additions and conversions
that are happening.
Sanjay Majmudar: Bhumika, I indicated that we are working on several opportunities which can sum up beyond a
six-digit easily opportunity. As you know, we don't share more details. We cannot. We are
under confidentiality for our own protection of our own interest. And I mean, that's all I can
say at this point in time. So, nothing, no work has stopped. Obviously, as we say, US is also
turning out to be quite reasonable, as you know, we have already disclosed. Canada indicated
we have started doing some supply. So, let's see. Let's wait for the third and the fourth
quarters. We are quite working very hard we will not like to face this kind of situation. But
then we have to accept the reality. This is what it is.
Bhoomika Nair: So, in that said, are we looking to kind of go a little slow on an expansion given utilization
levels are kind of dipped a little b it? Any thought on that?
Sanjay Majmudar: No, no, no, no, nothing, nothing, nothing. See, our expansions will take its own pace. We are
already working on a further 36,000 tons beyond 460. And this will and capex plans are still
INR250 crores to INR2 60 cro res, there is no let down. So, had I anticipated something long
term or medium term, I would have stopped my capex , but no, that is not the case , clearly not
the case.
Kunal Shah: And also, we've already scaled down to the 80,000 became 36. And 36 is modular. So, in that sense we will take a call, it's not money committed one way, it's a ground field. And it is
modular. So, I mean, if we see that the next quarter also remains this way, we can always scale that down further. But it's like Sanjay was say ing, in any case, it's not a material amount, large
amount that we're adding in. The big decision w

as scaling down the 80 to 36, which we have
already done. And which is again, which is a start stop for us to see if we want to further delay that.
Bhoomika Nair: Okay, okay. Got it. Got it. Thanks. I'll circle back in the queue. Thanks so much.
Moderator: The next question comes from Priyankar Biswas from BNP Paribas. Please go ahead.

Priyankar Biswas: Happy Diwali in advance, Sanjay bhai and Kunal bhai.
Sanj ay Majmudar: Yes, happy Diwali to you. Thank you.
Priyankar Biswas: Thank you. Thank you. So, my first question is, like, as you were highlighting that there has
been a destocking angle at this moment. So, is my understanding correct that we have not lost
any customers as such? It's just a cyclical thing. So, there has been no existing customer loss,
at least, whatever we had ?
Sanjay Majmudar: So, let me correct here a little bit. What we said that we are trying to understand the
circumstances under which the uptake has reduced. Okay. So, one factor could be destocking.
Yes, in a few cases, we clearly know the customer is carrying larger stocks and therefore is
slow on placing the order. But honestly, that's not the only reason. There could be multiple

reasons. I think another reason worth considering is the fact that because of the supply chain and the freight challenges, our pricing has become a little less attractive because we do generally add everything. Correct. So, some people would have anticipated t hat, yes, since prices are going down, I mean, the rates are going down, let's wait for a while and then we will place the order. We have enough money here. There is a possibility that all these factors can reverse, can reverse quickly than what we anticip ate. At this point in time, we have thought it conservatively to wait and watch and see how things pan out.
Priyankar Biswas: So, if I may put it this way, like what I understand that at least what I can understand from my interactions in the forged market , especially in China, so there has been excess capacity and they have been flooding the market with very cheap material at this point and supplying finance also in some of the mining geographies. Is it also one of the reasons the differential between, let 's say, ferrochrome and forged has become quite high in certain places and that's why there is a reluctance to convert? Or is there some other reason?
Sanjay Majmudar: I don't -- Kunal, if you can throw some lights on this.
Kunal Shah: The first question i s, I don't think that in the scheme of things where we are seeing there is a 2 million plus market, chrome is very less presence already. Even if I go from 15 % to 20 %, there is still a 100,000, 200,000 additional chrome market. I don't think that is a mate rial factor where anything happening in the forged market can influence it. I mean, that's a one-way street as far as we are seeing it. Just on the order of -- the cost differential is, let's say, 2 %, but we are adding 98% of value in terms of throughputs and other things, right?

The recovery process and all of that. So, it is never -- the whole premise on which you are building the chrome opportunity is on all the other benefits that chrome offers along forged. Any additional lower cost of forged does not change that the value proposition. I think that is the growth portion that we are talking of.

The earlier question that you had is , what is happening and what the earlier participant was asking is , it is a combination of all of these things. There could be a customer or two that are... there are very few other players in the space. So, there could have been situations where the order has moved from here to there, but it is a combination of all of these things. It will not be fair to say one way it is this that has led to the situation.
Priyanka

r Biswas: And if you can share, like, which geographies are impacted because, as you said, that US is not that impacted and Canada you have resumed. So, I'm wondering where exactly is the impact?
Kunal Shah: Canada is really yet to resume. It's been there at a pre a presence there is still yet to come through. I think we will not want to get into more details. Like Sanja y bhai explained, it's a -- there are plenty of nuances here in our business and it will be difficult to really get granular beyond this , Priyankar .
Priyankar Biswas: And just last question from my side, because we used to be quite a meaningful player in Brazilian iron ore earlier. And what I understand is, we had continued discussions in LA TAM, copper, particularly Peru and Chile, those geographies. So, what are our progress in these two areas at the moment? Because Brazil, the anti -dumping duties are now gone. So, how are we progre ssing and how does the market look?
Kunal Shah: So, Brazil anti -dumping, there's only the CVD portion, as they call it, there's one portion that's still active. The dumping has been, the duty has been terminated in Brazil. So, again, South America needs to be a large, it's one of the largest ore markets. And as you know, copper is one of the largest commodities in that region. And it is absolutely a market of interest. And all our work is fitting in with that opportunity.
So, there is absolutely zero hesitation in saying that we have a solution that brings disproportionate benefits to the clients, correct? Especially in a context where their costs are going up, they won't have their credit, the throughputs are going down. We believe that our product fits in.
It is a little frustrating for the time that is required to do that, but that's the effort that we have to make, right? That's the investment the company has to make in terms of resources and just continuing to keep up with the customer. So, South America , to answer your question, remains absolutely a market of interest and there's no change in that thesis.
Priyankar Biswas: So, what about Brazil?
Sanjay Majmudar: Strong efforts are continued in those markets for conversion. Humongous efforts right now.
Priyankar Biswas: So, what about Brazil? I don't know, because we used to be quite strong, like with Vale and others. So, how is it looking? I mean, we were very strong in, I don't know, at that point. So, how is it looking there?
Kunal Shah: Well, again, a granular question and one market and one customer may not be the whole story, right? So, I think we'll just defer back to requesting not to get too granular, but nothing's

changed. It is business as usual, as far as we are concerned. There's no structura l situation that we are looking at that probably changes that thesis.
Priyankar Biswas: And just one more in. So, in the other expenses, I see that the other slide item that is there is on the higher side, despite lower production in this quarter. So, any expenses that may have gone up initially, just for my understanding.
Moderator: Sorry, the line for the Chairperson is disconnected. So, please stay connected while I reconnect the line. Ladies and gentlemen, we have the line for the Chairperson reconnected. So, please go ahead.
Kunal Shah: Yes, other expenses include professional and legal expenses and a lot of our legal trade defence costs in this two quarters, because a lot of work for the US has happened in those milestones in this quarter. So, that is where it's appearing that way.
Priyankar Biswas: Okay, completely understood. Thank you.
Sanjay Majmudar: Yes, the freight still continues to be a major component, freight.
Kunal Shah: Yes, the rest is all balancing. Nothing that is worth noting.
Priyankar Biswas: Okay, okay. Thank you so much.
Moderator: Thank you.
Kunal Shah: If you have no further questions, I think w

e can wrap up the call.
Moderator: Yes, as there are no further questions, I now hand the conference over to the management for the closing comments. Please go ahead, sir.
Kunal Shah: Thank you, everyone. I do realize there may be more questions that you may have around this.
Moderator: Really sorry to interrupt, sir. We have a last -minute registration from Mr. S Gujjar from ICICI Mutual Fund. Please go ahead, sir.
Sanjay Majmudar: Yes.
S Gujjar: Yes, thanks for the opportunity. Sorry, I joined a bit late. So, pardon me if I'm being repetitive. So, there's a question around because the supply chain issue, we had seen this in COVID and now, right? At what point do we actually go back to the drawing board to think about any expansion out of India?
Sanjay Majmudar: So, I'll be very candid with you. This is something which we at the board level are very seriously debating over last couple of quarters. Even in today's board meeting, we had extensive discussions, some technical presentations. I will only say at this point in time that we are looking at it quite seriously, but it's not so easy to take a call on this.

Kunal Shah: I think the fundamental point is that our thesis remains for what we are doing out of India and everything else that we are doing. There will always be a conversation and discussion on what mitigation measures exist and when we will consider them. A plant outside Ind ia may or may not be in consideration, but like what you said is that we have to be in the marketplace and we have to make sure we work on a strategy that works to our advantage.
So, I think if and when that becomes a serious consideration, we'll be very happy to discuss. But for now, our focus continues with all that we are doing. Like I said, with the previous participant, the point is that it is business as usual. I mean, we've had a little unusual lower offtake with a few customers and things that we di scussed, but otherwise nothing really that requires urgent effort or actions on top of that.
S Gujjar: Sure. Thanks. And all the best.
Moderator: Thank you. Sir, we have two more questions.
Sanjay Majmudar: Please go ahead.
Moderator: The next question com es from Ashish Kejriwal from Nu vama. Please go ahead.
Ashish Kejriwal : Yes. Hi. Good evening, everyone. Sir, my question is in one of the answers you said that maybe because customers may be thinking that there could be some reduction in prices and because of that fact, maybe they have reduced the volume. So, my question is, do we think that if we can reduce prices or take some hit on the margins, we'll be able to increase volumes or it will not?
Kunal Shah: I think what we meant was the freight cost. I don't think, again, I'll go back to a macro point is that our thesis does not rely on cost, right? When my solution can offer, can solve the problem of a hedge -grade worsening or recovery worsening or where I can improve throughput into the system and produce more metal, this cost becomes incidental, right?
It is not something that is a strategic conversation with the customer. What we were referring to was that one of the pillars of friction right now is the whole uncertainty around the shipping situation, w hich is unavailability of containers and the high shipping cost and customers, it would sometimes get on the fence is that there is some amount of uncertainty. Should I just wait it out and get till things stabilize a bit? You know, I think that's where the argument is.

Sanjay Majmudar: There was no question of renegotiating on the pricing. Yes . No, sir.
Ashish Kejriwal : I was just looking at for new customers.
Kunal Shah: I should be sorry to finish the question. Lower pricing is not the answer. It is not a price conversation, right? I hope I have explained that in that. It is not saying I need a discount or a lower price. There i

s much more effort and engagement that is required at all times with the customer to make sure he gets a significant disproportio nate benefit in all these other things that we bring to the table.

Ashish Kejriwal : Understood. So secondly, obviously, this is the case which we have been highlighting for so many years. But if you look at the numbers for last six years, actually, our sal es volume in the mining segment is more or less stagnant. So, is it that we are not or you know, we are taking much more time to convert or our customers?
Kunal Shah: I appreciate that. What I was saying is that it's a little unfair to just paint the canva s with one brushstroke.
Sanjay Majmudar: You do know that. Kunal, one sec, one sec. Let me be a little more clear on this. So, Ashish, you are right that volumes look stagnant. But please consider over the last five years, we have actually lost more than 50,000 tons and then gained them through new customer acquisitions.
Correct. So, there was an anti -dumping scenario, first star ting with Brazil and Canada, then South Africa in a different context. But nevertheless, so you lost more than 50,000 tons. Still, the volumes not only held, but they showed 5% , 6%, 7%, 8%, 10% growth, which means that my conversion continued to happen.
Then came this geopolitical tensions and the whole world going into a tailspin and the shipping freight going through the roof 5 times, twice in the last three, four years. Please understand the challenges and the fact my opportunities. And then we have continuously upgraded in terms of our capabilities. So, we're talking about DP benefits. We're talking about fantastic mining liner solutions. We are also talking about cost reduction, which, as Kunal explained, is incidentally therefore important.
But does it undermine my opportunity? Does it reduce my opportunity from a two million or one and a half to two million to maybe 500,000 tons are knocked off? Clearly, no. What happens? Yes, conversion is not exactly happening the way we think. Multiple challenges continue every new day. There's a new challenge. But the strength of our solution is so materially powerful that there are 70 people globally working in various geographies in continuous interaction, duly supported by another hundred people from India. You see, it's a massive exercise.
I don't think one or two soft quarters will change the whole course of the company. But at the same time, being realistic is what we thought we should convey to investors very transparently that if my own clarity is not perfe ct, how can I tell you A, B or C? And that is exactly what we are conveying. That does not mean that now my market is undermined or I am now facing an opportunity which is not exactly what I was talking about six months ago. So, you have actually gained th e market. And now there are chances that we will regain the markets that are lost. But we continue to face new challenges. But we are undeterred, absolutely undeterred about it.
Ashish Kejriwal : I think that's very appreciative that you have pre -commented that. The thing is that no, obviously conversion is a slow business or slow -moving business. But in this time, are we facing resistance from the customers to convert or because of which China is aggressively because they have excess production. So, China i s excessively marketing it and the gap between our product and the conventional product is so huge that people don't want to change.
Are we seeing such kind of infection or not right now?

Kunal Shah: Clearly China and we've discussed China as you know, on a strategic note that it is more of a commodity product supply. I think the whole thesis for AI across both verticals and product lines is the value that we bring in terms of designs and solutions that we of

fer as a package.
And China always had a large internal market and low technology products. So, it's not something that is new today. And they were always for any product that they have a larger market, they always have more capacity. So, it's been there for the last 15 years. So broadly, nothing changes on China. Nothing has changed between five years ago and now.
Ashish Kejriwal : So last question. Okay, short term, maybe some hiccups are there. But do we envisage that in next five years, our number can double from here?

Sanjay Majmudar: I definitely think so.
Ashish Kejriwal : Okay, that's fine. Thank you and all the best.
Sanjay Majmudar: Thank you. Kunal, I'm sorry, I will have to drop off. Thank you everyone and all the very best. Thank you.
Moderator: Thank you. The next question comes from Parikshit Gupta from Fair Value Capital. Please go ahead.
Parikshit Gupta: All right, thank you very much for the opportunity. And just as a context, I am new to this company and a segment. So please pardon my lack of information. I just have one structural question. I understand that the grinding media is the largest business segment for the company along with expansion plans already undertaken.
So, I understand that you are already mindful of the rate of growth of the requirement of grinding media. Would it be possible for you to please articulate if this growth will come mostly from the mining sector, which contributes to I think about 70% of the business? Or if you could touch upon the other segments?
Kunal Shah: All of it is expected from the mining secto r, not mostly, all of it.
Parikshit Gupta: Just to follow up on this, please, considering the cement manufacturers' expansion along with consolidation in the industry, especially in the southern parts of it, would they…
Kunal Shah: So, it is a global business for us. India happens to be an important market. But in the global sense of things, yes, India is a larger market and will be natural beneficiaries of any growth that comes along. But we are also introducing newer solutions with hi gher wear rates, etc etera.
So, in the scheme of things, the growth in cement in India per se may not be a material game changer on the overall volume. But we will surely add volume. We are just not talking and estimating that. These are sometimes longer gestation projects. And estimating things, when it will fall on what calendar year or fiscal year, what volume will come, is difficult to estimate.
Parikshit Gupta: Understood. Thank you very much. Appreciate your time and best wishes for this year.
Moderator: All right. Thank you. Thank you. As there are no further questions, I would now like to hand the conference over to the management for closing comments.

Kunal Shah: All right. As usual, thank you so much. It's been a -- it's not been a regular quarter last two quarters. And I understand many of you may have still more follow -up questions. I hope we can spare Sanjay bhai on the Diwali , the weekend coming up. But I am available offline and both of us obviously will be available from next week onwar ds. So please do feel free to call us and we'll try our best to help you get a better sense on this. I wish you all a very happy Diwali and a good evening. Thank you.
Moderator: Thank you very much. Ladies and gentlemen, this concludes your conference call for today. We thank you for your participation and for using C horus Call Conferencing Services . You may please disconnect your lines now. Thank you. Have a great evening.

Call: Feb 2025

AIAEngineering Limited
February 10,2025
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DearSir/Madam,
Sub:Transcript oftheInvestors' Conference CallheldonFebruary 7,2025
Pursuant toRegulations 30and46(2)(oa) oftheSEBI(Listing Obligations andDisclosure Requirements) Regulations, 2015,pleasefindenclosed herewith theTranscript ofConference Callheldbetween theCompany andInvestors onFriday, February 7,2025todiscuss the Unaudited Financial Results andperformance oftheCompany fortheQuarter/Nine Months ended31stDecember, 2024.
Theaforesaid transcript isalsobeing hosted onthewebsite oftheCompany, www.aiaengineering.comin accordance withtheRegulation 46ofSEBI(Listing Obligations and Disclosure Requirements) Regulations, 2015.
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"AIA Engineering Limited
Post Results Conference Call"
February 07, 2025

MANAGEMENT : MR. SANJAY MAJMUDAR – NON-EXECUTIVE, NON-INDEPENDENT DIRECTOR – AIA ENGINEERING LIMITED
M R. KUNAL SHAH – EXECUTIVE DIRECTOR – CORPORATE AFFAIRS – AIA ENGINEERING LIMITED

Moderator: Good evening, ladies and gentlemen. Thank you for standing by. This is Lizann, the moderator for your call today. Welcome to the post results conference call of AIA Engineering Limited.
We have with us today the management team of AIA Engineering Limited. At this moment, all participants are in the listen-only mode. Later, we will conduct a question and answer session.
At that time, if you have a question, please press star and one.

I would now like to turn the conference over to the AIA Engineering management team. Please go ahead, sir.
Kunal Shah: Yes. Hello. A very warm good evening to everyone, and thank you for joining the call. I have Sanjay bhai. This is Kunal. And we have Sanjay bhai also here with me on the call. As usual, we'll start with a quick update on the highlights of this quarter, and we will get into Q&A thereafter.
Headline numbers, our sales tonnages are at 65,780, approximately 66,000 tons, up from 60,000 tons in the sequential second quarter and down from about 74,000 tons in third quarter last year. So for the 9 months to date, our total tonnage stands at about 187,000 tons.
The revenue for the quarter is at INR1,050 crores, our EBITDA is at INR354.57 crores and our profit after tax is at INR259.22 crores. So for the total profit -- and that compares to INR256 crores in the sequential second quarter, and it's a little lower from INR280 crores approximately in the third quarter last year.
So with that, our full year volume, which is 187,000 tons for the 9 months, looks to be between 250,000 and 260,000 depending on invoicing, etcetera, is the guidance for the full year. And there is some amount -- some strategy announcements that we've done through the quarter. We would love to expand a little more on that.
As far as a few other numbers are concerned, our other operating income is at INR16 crores, mostly from export benefits and a few other operating other income. Our non-operating income includes our treasury income of INR58 crores and forex gain of about INR8 crores, for a total other income of INR67.32 crores.
I think rest of the other numbers remain at par with our working capital, our cash on the block after -- cash on the books after the buyback proceeds were paid out. I think everything else is in sync. I think I'll head on to the important numbers -- the important announcement. Sorry, before that, our realization for the quarter is at about INR160 per kilo. And again, in line with what we have done for the last few quarters.
I think raw material continues to be -- is a little stable for last 2 quarters. So our raw material cost as a percent of sales adjusted for inventory, I think, is broadly in line with the sequential second quarter. So I think that volatility looks to have eased out. Also on the freight, the shipping side of things, it looks a little better. Some corridors still continue to have elevated freight rates, but they're starting to reduce or ease up in many sectors. So that is also a positive.
Moving on, the big important announcement was around our change in mindset for carrying out production outside of India. And we have plenty of questions on the context and where does this lead to? So I'll share a little bit of insight into that, and I'll have then Sanjay bhai expand a bit after that.
We are now staying put with our current capacity in India, which stands at 460,000 tons. We had earlier announced a plant in India for 80,000, which we scaled down to 36,000. But now with our intent to do -- to set up production outside of India, we are now

staying put and

pausing any work on any further capacity addition in India. So 460,000 tons of current capacity in India now looks to be the number.
The 2 facilities that we have announced for grinding media production are in China and 1 in Ghana, both have their own respective strategies. The change in mindset comes from 5 years of facing volatile and -- volatile freight environment where freight rates have gone up as high as 5x, corrected back and then went up again.
I think we -- it's an acknowledgment that we live in a very, very fragile environment where there were 2 wars in recent history, 1 still continues on. And there are volatile regions in the world. And anything that escalates -- affects freight rates and that affects our whole conversion narrative or the strategy that we have.
So -- and also some of the markets that we are targeting like South America have a very long -- or have a reasonable lead time. And so the plant in China feeds into the ability to ship with less than half the time from India to important corridors that we are looking at. While the plant in Ghana caters to the West Asian opportunity for -- mainly for gold customers. So with that

having said, we are looking to set up modular plants, not scale up at one go, but the idea is to go up to 50,000 tons. And the total capex for both plants is currently established at -- estimated at USD50 million.

Now we are using the latest manufacturing technology, which allows us to reduce capital investment or do it in a modular fashion, while being capital efficient and utilizing the best automation methods currently available in our space. So that is where we've been able to reduce the spend, the capex and the ability to not do very large plants. These will be modular plants. And depending on how the markets and how that picks up, we can decide on further investment.

So at this time, the Board has approved these 2 plants. We have started work on both the plants. Given that there are new geographies and given that we want to start in a modular fashion, we will be short on details right now to share. You'll have to -- we need a quarter or 2 to get a little better handle on what are the time lines, how are we looking at on the early stage. But think of these as our attempt to get production closer to markets, which includes our access to certain markets, reduces freight cost and the shipping transit time.

And once we create that beachhead, we can still utilize the capacities from India to fulfill the growth in those markets. So I think there's a little -- there's quite a bit of strategy linked to it, but it will be -- it will play out over the next 2 years, and we'll keep sharing updates as things mature. So beyond the point, we may not have much to share on the specifics of exactly what capacity, when will it come along, et cetera.

So having said that, we'll have Sanjay bhai share his update, and then we can go on to Q&A.

Sanjay Majmudar Thank you, Kunal. Just on -- so Kunal explained the logic. Now going back to the basics about our core business from India. While we explained in the earlier calls that, yes, this year, we do clearly see a degrowth, which is evident. The fact of the matter is that it is nothing structural or

permanent to read about. The opportunity, the business prospects and all our endeavors for conversion continue to remain completely focused on several mines.

We do expect some good conversions to happen within a reasonable period of time, say, hopefully, in next 1 or 2 quarters, the way we are working on some several very, very important mines. And therefore, from that perspective, while China and Ghana, obviously, will add to a medium- to long-term strategic repositioning of company's initiatives and endeavors and abilities to convert the maximum number of mines into

our high chrome solutions.

Going forward, till this happens, our business and our growth targets remain more or less the same. So we do expect on a rollover basis, at least 30,000 to 40,000 tons of incremental annual volume growth from conversion from new mines.

And these new endeavor that Kunal talked about and that what we have announced will help us from a 2- to 5-year perspective to become a very, very solid player in this field with massive opportunities that can be converted after effectively facing the challenges that Kunal has elaborated, more on the supply side and the supply chain-related issues as a permanent repositioning strategies. So with this, I would request the moderator to open the house for Q&A.

Moderator: Thank you sir. The first question is from the line of Bhoomika from DAM Capital. Please go ahead.

Bhoomika: Yes, sir. Sir, in terms of, you mentioned that shipping freight rates are starting to come down. So while obviously, the China and Ghana plant will come in, but it will take some time for those plants to be operational. I don't know what the time lines are, if you can elaborate on that?

And in the meanwhile, with the shipping freight rates coming down, does that really help us in terms of scaling back the volumes? And by when do you expect that we come back to our 300 plus and you spoke about the incremental 30,000, 40,000 tons?

Kunal Shah: So Bhoomika, I think like I said, the environment is improving. We have a few other challenges as we've been explaining in the whole conversion journey that we are undertaking. From -- we are still not ready for sharing a guidance on volume. But over next 2, 3 quarters, it looks like that we should be back on a 25,000, 30,000 ton annual addition on a rolling basis. So I think not yet ready to give -- I mean, at a place where we're ready to give a guidance. And as soon as we see some green shoots, we'll be in a better place to give a better guidance. But from where it appears now in a few quarters, we should be -- in a few quarters, the visibility seems to be opening up for us to be growing at 25,000, 30,000, 35,000 tons a year. I think we should be back on track soon.

Sanjay Majmudar: In terms of time lines, Bhoomika, I think, of course, we will be making announcements. But China should start contributing something in the second half of next year. That is what the target is, but let's see. We are working very hard. Our teams are already there. Ghana should happen over next 18 months, that is how it looks like. But this is just broad indications. We will go and make specific...

Kunal Shah: And also it is modular, so we'll have specific guidance come out as the progress is a little more clearer.

Bhoomika: No, sure. That definitely helps because we at least get a trajectory that towards the end of '26 or sometime in '27, these plants will get operational. So that definitely helps. I understand that time line might not be exact, but at least it gives us some direction. Sir, on the incremental -- sorry to harp about this incremental volumes a little bit more?

While I understand the challenges continue, conversion rates are slow and shipping is just off-late stating to ease off, et cetera. But this year, we've seen a very steep decline when we're talking about 250,000, 260,000. So do we take that as a base and then look at the incremental volumes? Do we take it come back to 300,000 and then take the volume increase?

Kunal Shah: It should be -- listen, whatever is reduced is not structural, but it's just a little more complex to say this is from what we did last year. I mean, we consider 250,000 and getting us from growth from here, right? There is volume in Canada that we're expecting to come back, but that was from 2 years or 3 years ago. So all I'm saying is that the -- when do we get back to a little more predictable growth path, I think we should b

e there in the next few quarters, and we'll share what those volumes look like. And the starting point has to be this year.

Bhoomika: Got it. Got it. Okay. So the other aspect is in terms of our international foray, when we have decided to go to China, Ghana, why are we not looking at Chile because that's much larger market for us in terms of our potential conversion. So is there a reason why we are not going directly to Chile? Is there some challenges out there that you foresee, which is where you're looking to kind of service this market out of China?

Sanjay Majmudar: We are spoiled for choice in terms of where to go, right? So I think today marks the day where our mindset is changing, our approach to growth is changing. I think just take it with that, right? There will be more plants. There will be more announcements around that. We have to be careful. We don't want to announce and not do it, right? So -- and this is -- there are learnings built into it.

So I mean there is a certain strategy with which we are working. And there will be more plants, a plant in Chile could also be a possibility, but allow us some time, right? This is where we were a little better prepared. Our teams were a little better prepared. There was some work done ahead of others, and that is where we are saying, let's start with these 2 markets.

Bhoomika: Sure, sure. Understood. And just on the current business profile, we've seen margins actually hold up quite well for the last couple of years. I remember earlier, we used to guide for a more structural 21%, 23% kind of a range. But over the last 2 years, we've kind of worked a lot in terms of our pass-through of the shipping freights, in terms of power and fuel has also more domestic availability of raw material. So does that structurally change our margin profile more towards the 24%, 26% kind of a range?

Kunal Shah: So Bhoomika, you're right, we have been consistently doing and giving better margins. Even if you knock off my treasury and other income, we are talking of operating margins in the range of 27%, 28%. We do believe that this is helping us through multiple factors, product mix being one of them. Again, why we have been a little more conservative than we should be is because of the fact that we still anticipate that when there is a considerable increase in volumes coming through, increased conversions, there could be price challenges.

But you're right, a 21% or 22% looks to be much lower than what we can do. History is with you. Let us not speculate, but yes, we should do. I personally believe we should do definitely better than 21%, 22% on a medium- to long-term basis. Having said that, strategically, we are not guiding anybody for the margins, and we want to maintain that for at least a few more quarters.

Moderator: The next question is from the line of Priyankar Biswas from BNP Paribas.

Priyankar Biswas: So sir, my first question is, if I recall from your statements in the previous quarter, there were some destocking-related impact at certain large customers that you had highlighted. So what's the status on that? And when can we see those volumes coming back? So that's the first question.

Kunal Shah: I think at least for one customer, we expect that to come back from the June quarter. Some in March, but mostly in June quarter.

Priyankar Biswas: So should it be fair to say that from June quarter and let's say, the freight disruptions being

largely behind. So we should be back to earlier normal quarterly run rate...
Kunal Shah: Yes. So that is what we explained to the previous -- on the previous question by Bhoomika that consider the current year, let's say, 250,000 to 260,000, whatever we close as a starting point.
There are a few several things that have happened over the last 3, 4 years. I mean, it will be difficult to go reconcile with each customer or each event.
I'm sayin

g going forward, and we are saying that in the next 2 or 3 quarters, it looks like that we should be back to a 25,000, 30,000 annual predictable growth rate, right? We are not in that shoes yet, but we should be getting there in the next 2 quarters is the current sense.
So for now, we are at 250,000 and no clear guidance for exactly the next 4 quarters or the FY '25-'26. But we -- as we -- it looks like that whatever headwinds are settling down a bit, we should have better clarity in the next 2 quarters. So allow us that time to give you a firmer data point.
Priyankar Biswas: Okay. That's very clear. The second question from my side is, see, if we are, let's say, putting up, let's say, plants in China, Ghana and maybe later on Indonesia as how it's planned, so it would be very similar to, let's say, the strategy which our peer Magotteaux was following earlier. What we had observed is that their margins are not that great when we compare versus yours. So how will our business model be different from theirs and how will we be able to protect our margins? That's my question.

Kunal Shah: You are asking me the nuts and bolts of our strategy on a...
Priyankar Biswas: No, just how will it be different from Magotteaux because they don't get margins.
Kunal Shah: I will -- we are plenty conscious of margins. We believe the purpose of business is to create value for the customer and so that we also make a reasonable return on the efforts and resources that we invest inside it. And rest assured that we are mindful and we learn from mistakes that we or our competitors have made. We'll make sure that what we are doing is margin accretive rather than negative.
Priyankar Biswas: Sir, just one last question here. See, in recent times, we are seeing a lot of talk about U.S. tariffs on various countries. So especially like there's the possibility of let's say, tariff wars between U.S. and China. In that context, can you throw some light, do you expect some impact on our volumes or, let's say, on our investments that we may be doing at China? So that's my final questions.
Kunal Shah: Not really. I mean, U.S. is not -- may not be the destination country from China. I mean there is -- we're trying to do a few things. And today, it is considering that U.S. may not be the top destination from that plant.
Moderator: We'll move on to the next question that is from the line of Yash Nerurkar from Ionic Wealth.
Yash Nerurkar: So the first question that I had was, so what made you go global, like in terms of the plants in China and Ghana? So do your customers see this as positive as you've been closer to the mine? And is your global competitor making similar moves to tackle the freight issue and higher lead times?
Kunal Shah: I don't want to comment as much on what the competitor is thinking about it. For us, all we are saying right now is that our model was Make in India and then ship to the world. Now a large part of the world still will operate under that model, but we do recognize that there are merits in having plants where you -- there are some benefits linked to that.
And whether we do 2 plants, we do 2 full plants, whether we do 10 plants, these are works in progress because we also have to have the learnings from that in terms of what works, what doesn't work. So today, what we have announced are plants where we are going to be modular. We are looking at them being automated. We're looking at them that they don't eat into margin but they feed into that.
Now there are several things that we need to work upon, and which is where over the next 2 years, we will have clarity on what that means, what is the form and shape of this strategy. But for now, it looks like that for certain markets where there is exposure to high freight rates or volatile freight rates, there the plant in China can help us with that. That is one assumption that we are

working with, while keeping the benefits of efficient production base, so -- and making sure there is market access, right? So there are -- that's a three-pronged strategy that we are working with.

We are going to make sure that the capital invested is limited. We are not dependent on 1 or 2

customers, but there's a little wider approach that we can do from that and making sure that the margins are -- the cost structures are not haywire. So that's where we have approached this from. Ultimately, that should translate into higher sales, right? So -- and that's still some time away. Today, I think the focus is going to be to make sure that we don't -- we are efficient with our investments and the location and things like that, right? So that's the current effort base, and we will share more information in the coming year as we get more information.
Sanjay Majmudar: So just to add very quickly, let me expand one point when we say modular, we mean that there's a huge amount of investments in R&D, knowledge bank, knowledge base, infrastructure support, technical support that is available from India. So for these plants, you don't have to go too much on the capex side, and they are very efficient. So that way, things will be much better, and we will be able to control the costs and margins both.
Yash Nerurkar: Right. So actually, I was about to ask you on the profitability as well because India, your manufacturing units in India considers the low-cost unit. So how will the profitability look like for these units in China and...
Kunal Shah: So that is what I told the previous participant as well. That's -- this is the strategy, the nuts and bolts of strategy, it will be difficult for us to explain on a call this way. Please allow us the credit that we will make sure that there is everything right about it when we go forward with it. We are working acutely. We are acutely aware about that, and we'll make sure we learn from mistakes we've made or others have made when they go venture out in other countries. So these are all -- which is where modular and being cautious about it, right?
This is -- so today, again, I'll reemphasize for others who have this question, that it is a change in mindset that maybe there are locations, and there is a method and approach to setting up staff, cost-efficient plants, which allow us to get market access. That's the direction. Now there'll be learnings within that. There will be change in strategy. There will be other things that will happen, that will happen over the next 2 years, and we are working actively in that direction. So which is where sharing too much information today will be a little premature.
And at the same time, our current business, which is dependent on -- there is a freight exposure. It looks like that the Red Sea and all of that crisis is abating. And to that extent, at least that headwind is softening. But whether it will mean immediate sales, we don't know, which is where we will have -- it looks like we'll take 2 or 3 quarters before we are -- we feel confident enough to say back to 25,000, 30,000 predictable growth. We're not there yet.
Yash Nerurkar: No, makes sense, makes sense, absolutely. So just another question that I had on this plant is, I mean it's okay if you can't share too much of detail. But just wanted to know in which region in China is this plant going to be? And see -- I mean most of the countries they are kind of diversifying the supply chains away from China. So what was the reason for you to get into China in the first place? And which market is that plant going to serve?

Kunal Shah: Like I said, it's a little bit nuts and bolts of strategy. We would like to -- there is a lot of consideration done on why the plant in China. In our business, it makes sense to go there. I may not be at a li

berty to share much more colour on it today or at this time.
Moderator: The next question is from the line of Anupam Gupta from IIFL.
Anupam Gupta: Sir, a few questions. Firstly, the U.S. tariffs came into being in the third quarter. Any impact we have seen of that so far?
Kunal Shah: Not really, not really, no.
Anupam Gupta: No impact. Okay. Okay. Understand. And the second question is on the volume commentary, which you said that, let say, 2, 3 quarters down the line, possibly you'll come back to that run rate of adding 30,000 incrementally every year. But just to dwell there, what is -- so let's say, if it was a problem of destocking of certain customers, which you said will come back in, let's say, March and June sort of quarters, what is stopping us from recovering the volume which we lost versus last year? So we were at 290,000 last year. Has there been a customer loss, which has resulted in a reset to 250,000, 260,000 or what is it that is resetting it at a lower level versus recovering it faster?
Sanjay Majmudar: So just -- this is Sanjay here. Just to elaborate a little more on what your questions are. So as we said in the previous call, there are multiple factors that we feel are attributable. So all our teams have already very aggressively taken up with all the customers. And as Kunal explained, we do expect the order book or the order inflow from the existing customers to start coming at a regular level in next 1 or 2 quarters, primarily because of the fact that things look like stabilizing, even freight rates are normalizing.
And more or less, we believe that their own mining and production cycles are also becoming normal. So that destocking doesn't go overnight. It takes 1 or 2 quarters. We believe that by end of this year or maybe from the first quarter of next year, things should -- so I don't think we have lost any major customers. That is your first answer from our side.

Second, more importantly, we also have, therefore, as a matter of strategy, decided that we need to rethink from a medium- to long-term perspective, and that is exactly the reason why you have seen our announcement. We are very, very bullish on the prospects, medium- to long-term prospects. We also have to change our gears and evaluate the situation as it unfolds. And that is what proactiveness is very critical for long-term growth of the company. And that's what exactly we are doing.

As you see, our margins are good, we do expect the business potential to remain the same. I also made an announcement that very soon, you can look at some significantly large incremental orders from new mines which are under development. So everything is more or less as it is, except for this, I would say, temporary disruption and nothing really structural about it.

Anupam Gupta: Sure. Understand. And next question would be, sir, generally, we talk about Magotteaux in terms of competition, but we have also seen the large guy in the phone segment entering that

high chrome segment as well. Have you started to see competition from them for your existing customer...

Sanjay Majmudar: No, not really, not really. Which large guy you are talking about, Molycop?

Anupam Gupta: Yes.

Sanjay Majmudar: No, I don't think so. I'm sorry, I can't go beyond that, but there really is not, I would say, a threat or a competition for us.

Anupam Gupta: Sure. Okay. And just one last question. One last question on the liner business. So you had put up that 50 kt capacity, which came up, then you had also ventured into the rubber lining -- rubber liners. So far, how has been the traction on liners been? Are we on track for that 4-year full utilization, which you had initially said? Or what's the trajectory there?

Kunal Shah: The trajectory -- this is Kunal. The trajectory is a little slower than how we had expected. In fact, there were quite a bit of learnings in terms of how -

- what customers looking at their perception, what is our approach and strategy to go break some of those customers. I think we are delayed with full utilization. I think it will take longer. And given another learning was we were sharing too much information trying to explain everyone about liners that it also got -- our competitors updates on exactly what we're trying to do.

So now I mean, as a policy, we are rolling up our volume. We are not sharing separate line item on volume and et cetera, with the mining liners, so -- but it is lower. I mean that does not take away from the fact that the liners have been slower for mining. But from a strategy standpoint, they remain one of the most important opportunities for us to discuss with customers and bring in all of these suite of solutions and benefits for the customer. So as we look to add more grinding media, mill liners are important tool to break into the customers.

Sanjay Majmudar: And just to add, this rubber and composites have been added very, very strategically to complete our product offering, solution offering capability. Again, we believe there is no direct competition to what we are actually offering.

Anupam Gupta: Okay. And this rubber composite has started in terms of deliveries or no?

Kunal Shah: Yes, we just started small quantities. They'll ramp up over the next 1 year.

Moderator: The next question is from the line of Suraj Sonulkar from Asian Market Securities.

Suraj Sonulkar: Some clarification that now we are -- we will not be expanding grinding media expansion of 36,000 ton in India, right?

Kunal Shah: Yes, right.

Suraj Sonulkar: And rubber and composite liner capacity of 20,000 tons that we commissioned in Jan, that included in our total 460,000 tons capacity, right?

Kunal Shah: That's right.

Suraj Sonulkar: Okay. And what will be your capex guidance for FY '26 and '27?

Kunal Shah: So this year -- the next coming year, we'll do about -- up to INR50 crores in renewable power. And I think we'll be done with most of the strategy as far as optimizing power cost is concerned, up to INR50 crores in maintenance capex per year. So once you remove that, not more than INR35 crores to INR50 crores of maintenance capex, plus our investment in the 2 plants that we've announced. I think our capex will not be more than that in the near future.

Suraj Sonulkar: Okay. Okay. So we have planned $50 million for this China and Ghana separate?

Kunal Shah: That's right, exactly.

Moderator: Thank you.

Kunal Shah: Operator, I think there are no more questions, we can wrap up.

Moderator: Sure. As there are no more questions, I would now like to hand the conference over to AIA Engineering management team for the closing comments.
Kunal Shah: Thank you so much. And as always, Sanjay bhai and I remain available to taking off-line questions. Have a great evening, and we'll connect at the end of the fourth quarter. Thank you.
Moderator: Thank you. Ladies and gentlemen, this concludes your conference for today. We thank you for your participation and for using Chorus Call Conferencing Services. You may please disconnect your lines now. Thank you, and have a great evening.

Call: May 2025

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May28,2025
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DearSir/Madam,
Sub:Transcript oftheInvestors' Conference CallheldonMay23,2025
Pursuant toRegulations 30and46(2)(oa) oftheSEBI(Listing Obligations andDisclosure Requirements) Regulations, 2015,pleasefindenclosed herewith theTranscript ofConference Callbetween theCompany andInvestors onFriday,May23,2025todiscusstheAudited Financial Resultsandperformance oftheCompany fortheQuarter/Year ended31stMarch,2025.
Theaforesaid transcript isalsobeing hosted onthewebsite oftheCompany, www.aiaengineering.comin accordance withtheRegulation 46ofSEBI(Listing Obligations and Disclosure Requirements) Regulations, 2015.
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“AIA Engineering Limited
Q4 FY25 Earning Conference Call”
May 23, 2025

CORPORATE AFFAIRS – AIA ENGINEERING LIMITED

Moderator: Ladies and gentlemen, good day, and welcome to the Q4 FY '25 AIA Engineering Limited Earnings Conference Call. As a reminder, all participant lines will be in the listen-only mode,
MANAGEMENT : MR. SANJAY MAJMUDAR – NON-EXECUTIVE, NON-INDEPENDENT DIRECTOR – AIA ENGINEERING LIMITED

and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded. I now hand the conference over to the management of AIA Engineering. Thank you, and over to you, sir.
Kunal Shah: Yes. Thank you so much, operator, and we can start the call. A very good evening to everyone, and thank you for joining the call. I have Sanjay bhai. This is Kunal. There is Sanjay bhai and I who are going to interface with you today for the post quarterly results for AIA Engineering for the fourth quarter for fiscal year '24-'25.
I think the year has been pretty dramatic in terms of a lot of global upheaval. You've got macro events from wars to shipping issues, to geopolitical issues through the tariff measures that have been put along and a lot of assumptions that generally we apply when we are doing long-range planning, I think, stand in question. And with that, we are happy to take the call.
Our business has seen some adjustment in these macro events, which are applicable to us. And we've shared commentary on our world view on it. I will do a quick summary of numbers. And then I'll have Sanjay bhai share a business update, and then we can get on to Q&A.
But broadly, none of our macro directions, conversations change. I think we remain confident about the power of the solution that we have and the disproportionate consequence it will have -- it has for our customers. There are challenges in terms of the conversion -- the whole conversion project that we have, which is from going from forged to chrome and the mill liner and all of that.
But all of these are just the learning parts of this whole growth journey where every country is different, every culture has its own way of going about risk or governance or change management, implications on costs, starting costs, all of that. And I think each day, there is learning and all feeding into something that we believe are further deeper moats into the business.
So with that caveat, let me do a quick summary of the financial snapshot. We sold 68,741 tons this quarter, and that brought our full year sales to 255,000 tons, which translates up to INR4,200 crores of sales and INR1,141 crores for the quarter, INR4,200 crores for the whole year and INR1,141 crores for this quarter, translating into EBITDA of INR399.52 crores and PBT of INR363 crores and profit after tax of INR285 crores, taking the profit for the whole year or EBITDA for the whole year at INR1,492 crores and profit after tax at INR1,060 crores.
Our other income reflecting largely the drawback and the RoDTEP, the small amount that is available, that reflects the other operating income. The nonoperating bit has our treasury and some bit of foreign exchange gain coming from the weakening of the Indian rupee. The total other income, including the operating, nonoperating bits being at INR92 crores for the quarter.

Our working capital continues in sync, no dramatic changes there. Revenue is -- the tonnages are mostly comparable between second and third quarter -- sorry, third and fourth quarter. We did about 66,000 in the third quarter and 68,000-odd tons in the fo

urth quarter. So generally comparable between third and the fourth quarter.
Our current capacity, just to reaffirm, stands at 460,000 tons. And we've announced plants at two locations, one in China and one in Ghana. We're looking at 50,000 tons each. Both these are new locations for us. We are excited about the strategic intent behind doing it, and we are working -- both projects are at different stages in terms of -- from conceptualization to land acquisition to all sorts of approvals.
I think the China plant should be up and about in some form, hopefully in the next 12 months. And as we go ahead, because it's our first time, we don't want to put firm dates because there are a lot of learnings that are built into that.
And the Ghana plant, so in the next 12 months, we have -- in the next 3 or 4 quarters, a lot of that approval work will be done and then it will go into the execution and then the commissioning. So allow us maybe 2 more quarters to give a little better sense on what's happening with those projects.
Outside of these two projects, we're looking at about INR120 crores, INR130 crores of capex, which is largely some amount of renewable power, balance capex for work that we have done

in our plants in India, some amount of maintenance capex and some land. So these are all -- all can be rolled up as a maintenance capex for this year. So around INR100 crores, INR120 crores, INR130 crores for that. And plus we will be spending over the next 2, 2.5 years on the two plants in -- one in China and one in Ghana.

That apart, one macro development, before Sanjay bhai talks about our business, is around the antidumping bit. And so more specifically about the antidumping bit in the U.S. and the larger duty tariffs that have been applied by U.S. on many products across the world.

So our lawyers have advised us to be a little muted about what's happening, how it's going because some of these are sub-judice. In some jurisdictions, we are defending our positions. And a lot of what we say here is actually being used as transcripts, as inputs.

And so which is where all we will say right now is that -- so for U.S., there is a dumping duty now applicable at 9.6%, including CVD. There's the ADD and CVD both put together at 9% plus. And there is a tariff. Our product falls under the Section 232 tariffs. So there is a duty that's under that.

As we speak, our business continues, our customers are paying that duty like a lot of U.S. companies are for a lot of products. I know there will be lots of questions. We have very few answers. We can't crystal gaze into what's happening because there is a lot of policy shift in regards to the U.S.

As I understand, India is in active bilateral conversation, and we are hoping that we get back to business as usual or a duty structure that allows long-term contracts. So we will not be able to speak more than this. But as we speak, our business continues, the customers are paying the extra duty cost.

So there is -- we don't currently have a material change in our U.S. exposure as far as sales are concerned. Of course, there is routine plus and minus that happens. This may change going forward. But as it stands right now, it looks okay, and there is no basis for us to say what will be the impact in 3 or 4 quarters.

So I would like, with everything else, please allow for the duty -- the tariff structures to stabilize once the 90-day hiatus goes, the bilateral pacts comes in place. So maybe a quarter or 2, allow us the liberty to deal with it in best possible means.

As far as the duty protection structures at the rest of the world is concerned, you've seen the protectionist measures in broadly are coming in our favor. It may come in at a certain level, but a lot of these countries realize that the dumping -- the nature of a dumping duty is when a company tries to sell below cost, below a fair

price, et cetera. And our margins do not suggest
we are engaging in that kind of competitive behavior.

So -- but obviously, there is a local manufacturer and it says -- and they will do what they need to protect their business. And we have to do what we have to do. So in Brazil, we have seen that what used to be 12% plus, antidumping has been terminated. One of the rare cases in Brazil where our duty got terminated. That's a strong vindication of our pricing practices, right?

One may optically present it whichever way one wishes to but -- in terms of our competition. But the reality is we are putting up -- we are not giving up an inch. We are making sure fair and accurate presentation is done for our situation. And we are here for the long haul. Maybe things change for a year or 2 or 3. But even if it means an inch, we are putting in all our efforts.

So some of that success that we are proud of is that the dumping duty rightfully got terminated because there wasn't a fair case for it. And the CVD portion, which is at 6% plus, it's in the process of being revisited. We'll have the outcome of that soon.

But we would like to assure everyone on this call that as far as AIA is concerned and with margins that are already publicly available, dumping is a far way away as far as our pricing practices are concerned, right? So there is a lot of other geopolitical and other considerations and which we are learning to navigate as we move forward, becoming sharper as far as navigating that condition is concerned.

So with that said, I will ask -- request Sanjay bhai to share his bit, and we go on to Q&A.

Sanjay Majmudar: Thanks, Kunal, and good evening to all of you. So as Kunal explained quite a bit, and I'm happy to say that as we had anticipated that we should definitely do around 250,000 tons of sales this year. We have done about 255,000 tons as clearly indicated and guided over our Q3 call.

A little more heartening and gratifying fact is that while there is a top line degrowth of about 14% as compared to last year, the profit degrowth is only about 6.5%, which means our margins have not only remained intact, but rather they have little bit improved and they have remained quite robust at the reported EBITDA of about 34%, 35%. And if you knock off the other income, treasury income part, we are still at about 28%. So that is very gratifying.

Another aspect I want to highlight is that this is indeed a year where we have actually put ourselves into a very different strategic mindset. The long-term philosophy and the long-term opportunity remains absolutely intact in terms of 1 million, 1.5 million ton opportunity.

What we have done is we have revisited the drawing book and now we are at a stage where we have already started implementing our new strategy of spreading our wings and also simultaneously from India working on all those opportunities which are there in Latin America, in Africa, in CIS, in a lot of other parts of the world with a very clear shift on grinding efficiencies or the kind of solutions which we believe nobody else in the world is capable of offering.

But as Kunal said, these are the years of -- these are the times of extreme volatility. We are implementing, as we speak, apart from the new locations where we have started our work, quite a few other opportunities, contracts, projects on which we are working. And we should be in a position to come back with a more firm indication about how the current year will look like.

But at this point in time, we believe that we don't want to give any guidance about the volume growth for at least this year with a clear indication that our endeavor is to definitely achieve a reasonable level of growth. But I think it's a bit early for us to give you or quantify the same with any clarity at this point in time.

On the capex side, Kunal has already explained the progr

ess on both the locations is
reasonably good, and we expect China to be on ground and start getting at least the first phase operational by the end of this fiscal. That is our target as we speak. And over the next few quarters, we should be able to share some good further developments with you. With this, I request the moderator to open the house for the Q&A.

Moderator: The first question is from the line of Bhoomika from DAM Capital.

Bhoomika Nair: Sir, my first question is on the U.S. antidumping duty, which has been levied. So the total duty is 9.16%. Is there anything apart from that in terms of base duties or anything else?

Kunal Shah: Yes, yes. So there is an overall duty that Trump has applied, right? There's a baseline duty, there's a section, there are several things going on. There's a duty on aluminum and steel, which is a different chapter. So there is a base duty that is there under the...

Sanjay Majmudar: Which is universally applicable.

Kunal Shah: Yes.

Bhoomika Nair: Absolutely, yes, yes.

Sanjay Majmudar: And this is apart from that.

Bhoomika Nair: Okay. And so post this tariff -- post this duty, which came up and the tariffs which came up, one is, can you outline or call out what was the FY '25 sales to the U.S. geography in million tons? And how are we seeing -- I know you said that there hasn't been any drop in the volume so far. But if you can just get the FY '25 volume numbers for U.S. geography?

Kunal Shah: Bhoomika, there is -- like I said, there's a lot more curiosity besides the investment fraternity about this information. U.S. is an important market, but it is not -- it is less than, I would say, 8%, 10% of the total volume, broadly, I'm saying, okay? So the materiality is there or not there, right, either whichever way you look at it.

And for now, the nature of the product is such that there is capability, there is extent, there's capacity, there are several things linked to it, right? So I mean, except for one or two other countries where we have seen a different buying behavior, U.S. is a little different from that standpoint.

Like I said, today, the business continues. If it's continued today, we look -- we have visibility for a quarter or 2 ahead because everyone in the U.S., forget a buyer of high chrome grinding media or liners or other products, even someone importing grains has confusion of what's going to happen.

So that's what I said that rather than nitpicking and unpacking what's happening, just -- let's just ride out next 2 quarters, and we'll get exact clarity on what it is. It will be a little bit more imaginative and speculative on left or right and trying to unpack it into smaller numbers. As long as business continues, we should be okay for now, right?

Sanjay Majmudar: And I will just add, our endeavor is to ensure our teams, everyone, we ensure that, I mean, there is nothing materially lost in U.S. We still continue with more or less the same volumes.
Bhoomika? Moderator?
Moderator: Bhoomika line got dropped. We'll move to the next. The next question is from the line of Chirag from Centrum Broking.

Chirag: Sir, some updates. So last quarter, you had mentioned that we are working on some couple of large mines and possibly if they can convert, there could be 30,000, 40,000 metric ton addition. So any update on that front, sir?
Sanjay Majmudar: We are working on several mines and our endeavor continues.
Chirag: Okay. So in last quarter, we had mentioned that on the revised base of FY '25, we could again start looking at 25,000 to 30,000 metric ton addition per annum. And now in the opening remarks, you mentioned that you would not like to give any volume outlook for FY '26. So is it just U.S. uncertainty? Or do you still see the momentum of conversion from forged to grinding media not recovering that fast?
Sanj

ay Majmudar: I would not want to pinpoint any particular reason. But one, let me assure you one thing that we are not going back on that target. That is point number one. But what we thought that as we speak as compared to last quarter, again, so many things have happened in this world and things continue to happen. You agree with me? Correct?
Chirag: Yes, correct, yes.
Sanjay Majmudar: So while we are working on several fronts and our endeavor is to ensure that our medium- to long-term growth strategies remain intact and we become a predominant player in this industry, we felt that let us wait for a quarter or 2 and see how few things are unfolding without -- before giving a specific growth target. But I'm very clear. I'm not going back on what I said last quarter. There should not be any other inference.
Chirag: Okay. And sir, last question on our mill liner business, sir. So just wanted to know how in FY '25 that business fared and the outlook for the next 1 to 2 years? And any change in strategy in terms of ramping up of that business?
Sanjay Majmudar: No, I think it has been doing very well. A lot of focus, a lot of investment is going in that business, and we remain very bullish on that. As you are aware, we have already made some further expansions in that particular business and investment in that facilities. So we are working very hard on approaching this business on multiple fronts. As we speak, we have also increased our stake in that Australian company to 59%.
Chirag: Correct. So sir, has that business started contributing in double digits to our total annual volumes? Is it possible to share any volume broad ballpark outlook for this business?
Sanjay Majmudar: We don't share specific volumes, but of course, it is double digit, of course.
Chirag: And that business is currently outgrowing the grinding media business in terms of volume growth?
Sanjay Majmudar: No, no, no. So listen, grinding media still becomes a predominant volume driver. It can't outgrow the grinding media but it is growing. It is growing. Definitely, it is growing.

Moderator: The next question is from the line of Bhavin Vithlani from SBI Mutual Fund.
Bhavin Vithlani: So could you outline the thought process of investments in China and Ghana because this is pivoting from a strategy of being in India in a single location?
Kunal Shah: So idea was that we have seen last 3 years, we've made -- we have furthered our solutions in terms of the ability of our consequences. We've been hamstrung by a few things. One of the things has been freight, right? There's a large implication on the transit time. For example, when you're going to South America, it's almost a 80-day, 90-day transit time.
On top of that, with the whole Red Sea thing that's been on for the last 2 years, in between the China, U.S. container thing, there is a little bit of freight anxiety that sometimes customers express saying the freight is going on from 1x to 3x, containers are unavailable at times or the shipping time that it takes, what if there is a global event and where supply does not come in.
So these are just conversations. These are not showstopper, but these were regularly coming up to us. So there are -- we have taken -- we are trying to do things to see how can we fasten or fasten our acceptance with the customer, right? So we are making small bets. We are not going with a whole monolithic plant. We are going to do it in a modular fashion. We're going to do with a small capacity, see how that goes. So it is our attempt to see.

So for our plant in China, for example, our transit times are half to everywhere in the world than what it is from India. okay? And these are -- and most of our customers are mining customers where China already has a shipping corridor set up, right? So these are efficient shipping corridors to sail from at a cost that is generally half than what we

see from India and
half the shipping time.
So that was one of the considerations to say what else can we do so that our fortunes are not linked to this one variable that has been -- which we thought after COVID. So 2 years of freight issues post COVID, then we saw about a year that things normalize, again when what happened with the Red Sea issues, the freight volatility came in.
So this is one of our attempts to say making a small bet to see whether it changes the whole approach and the game to say now I've got the capacity which can deliver and offer a better supply chain visibility, predictability, cost from a shipping standpoint, et cetera. I think it is only from that standpoint. India continues to be the location.
So this is for our ability to break into a customer, give them the comfort. We'll see what happens from there, correct? The idea is that I've got a super normal solution, which can bring all these benefits to the customer. And it's taking a little more time. Could this be weighing on the customer's mind? Would this help facilitate a faster, quicker conversion? This is our attempt to in that direction, and we are not betting the house for it. So that is the context.
Bhavin Vithlani: I'm sorry to harp here. I mean where -- when I look through this investment decision, it is in a country which has little or probably no respect to...

Kunal Shah: What I'll say is I don't think there is a debate on this beyond this. This is our strategy. This is what we are moving forward with, making a small bet. I think it will be not good use of everyone's time to now discuss a personal view. There is -- and I would love to take this offline, and I'm very happy to share and we can go through this one-on-one after that.
Bhavin Vithlani: Fine. And the second thing is, if you could just help us understand how are the realization different for grinding media and mill liners? If you could give us a little ballpark in terms of indication, that would be helpful for us.
Kunal Shah: So realization for -- so the way we look at it is we've got grinding media as one category of products and non-grinding media is another category, right? So mill liners are part of the non-grinding media category. We've got vertical mill parts, we do quarry parts. We do castings for cement mills, right?
So there is about 12, 13 suite of products that we do under the non-grinding media. And that overall is about 30% of the volume, broadly, I'm saying. 25% by volume comes over there.
The cost of making these parts is also very different. So if I -- if you ask me about the margin, my both categories are comparable. But if you ask me about my realization, my non-grinding media could be from INR130, INR140, it can go right up to INR230, INR250, okay?
So now the weighted average now keeps changing depending on what I have done more, what has required machining, what is a 25% chrome versus 11%, 12% chrome. There's -- all those variables come in, where do I need much heavier patterns versus smaller, easier patterns, right?
There's a whole cost investment that goes into the costing and the pricing part of it.
Some parts take up to 4 months from the receipt of the order. Our design itself takes a month, our pattern making takes another 1.5 month, 2 months, then there is production, sample casting. Post production, there is a month-long machining exercise, almost a 5, 6 months start to finish. So -- and then the pricing then is commensurate with that.
All that cost that gets applied, accrued for that product and hence, from a margin standpoint, largely may not be very different. But from a cost and hence, the selling price, there is a little bit -- there is a level of where it's not comparable. These products are strictly not comparable.
But I would say between INR140, INR150, they go right up to INR250. I'm saying realization per kilo.
Bhavin Vithlani: Great.

And just last question. About a year back or so, we had green shoots from getting into the South America territory, especially Chile. That's an area considering the production of copper that country has and our sales, we were significantly under-indexed. So if you could give us some color on where we are because that is a geography which can give us significant volume delta going forward.
Kunal Shah: Yes, yes. That could be a material game changer for us. And it will be -- it will sound repetitive to say that, but we are very hopeful that we get a breakthrough soon, but we'll just

have to wait for it, right? It's been a long chase and effort. We've gone through quite a bit of macro events in between.
We hope that we are building on that momentum, and I'm hoping in the next 2 quarters, there is some breakthrough that we would get to share. But we've been in that a quarter away and not cross the line at least 3 times in the last maybe 1.5 years. So with that caveat, I'm hoping that we have something good to share soon.
Bhavin Vithlani: Sure. Just one more question I had because I remember we speaking about there are certain customers which had to do inventory correction due to internal challenges. Could you just give us an update on -- I mean, what kind -- what percentage of volume would have been lost because of that? And where are we in that?
Kunal Shah: We lost about 8,000 to 10,000 with 2 customers, 2 or 3 customers last year over 12 months. So rolling basis, that volume should come back. I think the one which was a larger customer, I think in another max 1 quarter gets back to original consumption pattern. I think that's 1 quarter away. The other 2, I mean, either are in the process. I think, let's say, in a quarter's time, at least that volume on a rolling 12-month basis, we are hopeful will reset about 8,000 to 10,000 tons.
Bhavin Vithlani: Okay. So is it fair to say that the drop in the volume that we have seen is none of the cases where we have lost a customer? It's mainly to do with the idiosyncrasies of the customers and their inventory issues, et cetera.
Kunal Shah: So that was one part of it. We did lose volume. I think we did lose volume to the competition, I think for one large customer that went back, that went to the competition. But I think other than that, nothing has changed in that -- and that was a rare event over the last 20 years that we've been competing, maybe 5 handful events where customer is -- that's where it is.
And some part of that may be linked to the duty structure and the uncertainty and all of that.
So we are hopeful that we can correct that. Hopefully, we can correct that event also.
And I will -- we can speak offline for the whole -- once more on the logic about the China, Ghana. Yes.
Moderator: Thank you, a remainder to all participants, you may press star and one to ask question.
Kunal Shah: Operator, I think if this is done, we can wind this up.
Moderator: Okay. As there are no further questions from the participants, I now hand the conference over to the management for closing comments. Over to you, sir.
Kunal Shah: Thank you. Thanks, everyone, for staying on the call and hearing us. And as usual, Sanjay bhai and I continue to remain available for any questions offline. Thank you.
Sanjay Majmudar: Thank you very much. Have a good evening.

Moderator: Thank you. On behalf of AIA Engineering Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines. Thank you.

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DearSir/Madam,
Sub:Transcript oftheInvestors' Conference CallheldonAugust 13,2025
Pursuant toRegulations 30and46(2)(oa) oftheSEBI(Listing Obligations andDisclosure Requirements) Regulations, 2015,pleasefindenclosed herewith theTranscript ofConference Callheldbetween theCompany andInvestors onWednesday, August 13,2025todiscuss the Unaudited Financial Results andperformance oftheCompany fortheQuarter endedso"June, 2025.
Theaforesaid transcript isalsobeing hosted onthewebsite oftheCompany, www.aiaengineering.comin accordance withtheRegulation 46ofSEBI(Listing Obligations and Disclosure Requirements) Regulations, 2015.
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MANAGEMENT : MR. SANJAY MAJMUD AR - NON-EXECUTIVE, NON - INDEPENDENT DIRECTOR - AIA ENGINEERING LIMITED
MR. KUNAL SHAH – EXECUTIVE DIRECTOR – CORPOR ATE AFFAIRS – AIA ENGINEERING LIMITED

Moder ator: Ladies and gentlemen, good d ay, and welcome to AIA Engineering Limited Q1 FY '26 Earnings Conference C all. As a reminder, all particip ant lines will be in the listen -only mode

and there will be an opportunity for you to ask questions after the present ation concludes. Should you need assistance during this conference c all, ple ase sign al an oper ator by pressing star then zero on your telephone. Please note th at this conference is being recorded.
I now h and the conference over to the m anagement. Th ank you, and over to you, sir.
Kun al Shah: Thank you so much, moder ator. A very w arm welcome to everyone. This is Kunal. And as always, I've got S anjay bhai on the c all here with me, and both of us will w alk you through the results for the first qu arter of fin ancial year '25-'26 and a broad upd ate on the business. I will start with he adline numbers for the business fo r this qu arter and then we'll get into Q& A.
We produced 59,500 tons, and we sold 60,156 tons in the qu arter. This is fl at as comp ared to first qu arter l ast ye ar. And from a sales st andpo int and comp ares to 68,000 ton s that we did i n the fourth qu arter l ast year.
This tr anslates to about INR1,026 crores of revenue and a realization of about INR170 per kilo. We've got INR12.93 crores of other oper ating income, which includes export benefits and another INR108 crores of non -operating income and all of th at translating to an EBITD A of about INR420.39 crores at 40.46% EBITD A and a profit after t ax of INR305 crores. Th at comp ares to INR259 crores of P AT in first qu arter l ast ye ar and INR285 crores in the sequenti al fourth qu arter of l ast year.
Moving on our other income of INR108 crores includes INR88 crores of tre asury income, which is up from INR73 crores from first qu arter l ast ye ar and INR73 crores of fourth qu arter last ye ar. There is a INR19 crore s foreign exch ange income, both combined t aking the non - operating other income portion to INR108 crores.
Working c apital largely continues on tr ack. There's a slight incre ase in finished goods. It's fl at -- it's bro adly fl at. Raw m aterial has slightly reduced. Receiv able rem ains f lat. So over all, working c apital in line with every qu arter.
From a tonnage st andpoint, again, fl at number is comp arable to first qu arter, 36,000 -odd in mining and 23,000 -odd in non -mining, which is cement and utili ties for a total of 60,000 ton s, almost in line with the first qu arter l ast ye ar. A 10,000 -ton reduction in mining volume comp ared to fourth qu arter and a slight incr ease in the non -mining portion.
Our net c ash stands at INR4,083 crores. Our investment pl an for this ye ar, we've spoken about plants in Chin a and Gh ana. Both those pl ants are in -- we are looking to acquire l and, we are applie d for all sorts of permissions.
I think end of next qu arter or the qu arter within the next 2 qu arters, we'll sh are more upd ates on, bec ause it's our first tim e going out sort of Indi a, and we are learning the procedures for both pl anned acquisition as well as various preproduction approv als and both appear to be a little long dr awn th an wh at we h ad origin ally estim ated.

So for now, we continue with both the pl ants, and we'll sh are a little more light about wh at we are doing with th at in next 1 or 2 qu arters. Apart from th at, we are continuing to m ake a small investment in renew able power.
We are at about 38 meg awatts as of d ate, and we are adding another 60 -odd meg awatt, taking it to about 100 meg awatt-plus and when all of it gets commissioned in next -- in this fisc al year, almost 55% of our power will come from green sources, from renew able sources. So we are very proud of th at of not only achieving the green milestone for our energy consumption, but also helping us in reduced cost on th at account.
We'll be doing in addition to th at for the rest of the ye ar, and I'm not still sh aring the number for w

h at I'll be spending for our pl ants outside of Indi a as far as capex is concerned. But outside of th at, we expect about INR50 crores of non -gener al mainten ance, some l and, some warehouse, all of th at and about INR40 crores for the renew able -- balance p art of the renew ables.
So about INR100 crores spend in additio n to anything th at we spend on Chin a and Gh ana is a capital protection for this ye ar. Lastly, one good news c ame this qu arter w as related to the Brazil sunset review where the dep artment has reduced the CVD component.
The antidumping portion of it got dis continued bec ause the tot al duty w as 11.8% CVD and the

antidumping portion, antidumping got termin ated, and the CVD portion is now down from
6.5% to 2.9%. Tot al duty now on antidumping account is at 2.9%.
That's a big relief and v alidation of wh at we've b een telling not only authorities in v arious countries, but also our customers th at we absolutely follow f air pricing str ategy and open pricing pr actices. And th at's something th at it's t aken a lot of effort to put things in perspective to make sure th at the case is he ard appropri ately.
And the s ame thing is wh at we're doing with other jurisdictions where there is some sort of convers ation on the duty front. The U.S. antidumping st ands at 9.8%, 10.07%, about 10%. But of course, there is a much l arger from t ariffs th at we f all under the -- all of us will t ake 50% duty if it continues as it is.
To th at extent, there is some uncert ainty on the U.S. accounts, but we are in discussions with all our customers. As we spe ak, most p art of our volume in U.S. continue s. Customers w ant an alternate source for this product.
So beyond th at, beyond customers telling us will continue for ne ar term, we m ay not be able to share more comment ary as we spe ak. We would r ather w ait and w atch, see where this settles down and have a little better view on wh at happens to our U.S. business …
Sanjay Majmud ar: Just to add just to add this 50% duty th at we are currently paying is nothing to do with the recent reciproc al tariff announced by the U.S. President, Mr. Trump. This w as already applic able to us e arlier under Section 232 from J anuary, I think from Febru ary, initi ally 25% and then about one month ago incre ased to 50%.

So I me an just to cl arify, this h as nothing to do with the current new w ave of t ariffs, we just -- because this we were anyway paying, customers are paying even as on tod ay, this duty plus this 10 -odd percent antidumping, which Kun al talked about and the supplies continue.
Kun al Shah: Exactly. I think S anjay bhai any other updates you w ant to sh are.
Sanjay Majmud ar: Sure, ok ay. Of course, pre -empting a common question th at how do you look at this current scenario? Bec ause we h ave been doing around 60,000 -odd tons of sales, we did about 250,000 tons, 255,000 tons last ye ar. Wh at could be the outlook for this ye ar, etcete ra. Pre -empting those questions, I w ant to just m ake it very cle ar that as we h ad indic ated even in the l ast call, we are absolutely cle ar and bullish on the prospects of conversion for the l arge number of mills that we are looking at from the forged to ou r high chrome solutions.
With this and tremendous work even in terms of re -strategizing our whole approach has gone into it. We are working with a very l arge number of mining customers right now at a fairly advanced st age of negoti ation. And we do expect quite a bit of conversion -related news to st art coming in the coming qu arter.
Therefore, from a very cle ar-cut m anagement st andpoint, we are not at all worried and we do expect to return b ack to a decent level of volume growth from the next fisc al. Having said that, this process is t aking a lot of time. And therefore, this ye ar, we feel th at we might still end up

the current fiscal year with a near flat situ ation. However, m aybe next one or two quarters, lot of things are happening, and we'll be able to gi ve some cl arity.
But as we spe ak, we are very cle ar. We don't see any structur al issue. It's just a re-strategizing and now, again, going b ack on the tr ack of norm al growth, which we expect to st art coming from next fisc al with complete cl arity. This fisc al we w ant to w ait and w atch for m aybe one or two quarters. But we are still -- our t arget is to see wh at growth we c an achieve over l ast ye ar, but we h ave no cert ainty or cl arity, and therefore, we are not giving any specific growth guidance for this ye ar.
I think with this, I'll request the moder ator to open the house for Q& A.
Moder ator: Thank you. The first question comes from the line of Bhoomik a Nair from D AM C apital.
Please go ahead.
Bhoomik a Nair: Yes, you mentioned in the end th at there would be kind of a flattish volume. I remember th at in the p revious c all, we h ad mentioned about some growth and the benefits of the conversion efforts th at we h ave taken to kind of st art playing out sometime in this ye ar, at least. So in...
Sanjay Majmud ar: I reiterated th at, I'm sorry, I'm interrupting you. I s aid, we are not giving any specific guid ance about the growth in this ye ar and our t argets. And I s aid that we'll prob ably come b ack to you by end of Q2, let us see. We h ave not s aid that nothing will h appen , but lot of efforts are going on, and I w anted to clarify th at 100% from next ye ar, we are on tr ack. This ye ar we are waiting little bit more for a few outcomes .

Bhoomik a Nair: Okay. Ok ay. Fair point. From a U.S. perspective, given th at there will be the 50% duty, do you think our volumes will be at risk if it were to come to play?
Kun al Shah: Can you repe at last part? I couldn't he ar.
Bhoomik a Nair: I was saying th at if the 50% t ariff w as to come into pl ay as anticip ated, assuming no relief on that aspect for a minute, would th at mean that our volumes wou ld get imp acted out there on the U.S. bit of volume?
Sanjay Majmud ar: No. So Bhoomik a, as I cl arified two things. One, this l ast round of 50% is reciproc al tariff and not sector al. Sector al tariff was in Febru ary, it w as incre ased to 25%, the whole world k nows. Correct.
Bhoomik a Nair: Yes, yes.
Sanjay Majmud ar: Today also my clients, my customers are paying 50% sector al plus 10% CVD and they're continuing mine. Obviously, the negoti ations around the corner, will this continue and whether a part of it you wi ll bear or not. So th at is a continuous di alogue, which our s alespeople are doing. And therefore, our supply as we see continue to go a little h alting, but they continue. Nobody h as said we will not continue.
The people are also in the hope sooner r ather th an later there will be some -- we were noting of BTA happening. People were hopeful th at in BT A the tariff will come to a reasonable level. As we all know, the whole world knows, this h as now become a little politic al, more politic al rather th an really economic ally, the rational decision -making process does not m ake any sense . But as we spe ak, people are saying, th at's all I can say at this point in time.
Bhoomik a Nair: Okay. Fair point. Understood. So the other thing is in t erms of our Chin a and Gh ana, you mentioned th at there are -- it is t aking a little longer th an anticip ated bec ause of the approv als, etceter a, and land acquisitions as such. So wh at would be a reasonable time line to look at for - - if I underst and correctl y, Chin a will be first oper ational followed by Gh ana. Wh at would be the right time line to look at for th at plant to be oper ational?
Kun al Shah: That's wh at I sh ared th at our hope w as to st art with th at initi al land and approv al this qu arte

r, it
looks like it's a little -- it's much longer dr awn out th an wh at we h ad imagined, right? It's our first time going in there, which is where it looks like we will -- I'll be able to sh are a plan, hopefully, next qu arter or f air chance it goes to the qu arter after th at.
And which will be ex actly wh at happened. I c an't sh are 12 months from approv al and the approv al is m aybe 15 months away, right? So just give us a quarter more, we'll sh are a little more idea actual our te ams out there, lot of work is going on, so th at work in progress is there.
Bhoomik a Nair: Okay. Fair point. L astly, if I look at the m argin profile this qu arter h as been quite he althy. So anything th at you c an call out in terms of wh at attributed to this m argin being sh arply up ?
Sanjay Majmud ar: Okay. So Bhoomik a, one, if you knock off the treasury income , gain of INR19 -odd crores, we are talking about, about 29% to 30% oper ating m argin, which I definitely agree th at this is

slightly on the higher side, there are two f actors. One tax provision annual 2% it will be more, in this qu arter it is less p oint number one.
Point number two, there is a good, very good product mix th at has also given us a tailwind. Now therefore, I would believe th at on an oper ational margin this 29% or 30% c annot be re ad as a sustainable long term. Of course, we are talking of 23%, 24% as a minimum. I believe we want to stick to t hat as a very, very sust ainable, it should be less th an that. We are doing better. I believe we might do better, but let's stick it at that.
Bhumik a Nair: Okay. Fair point. I will come b ack in the queue then. Th ank you so much and all the best.
Moder ator: Thank you. Th e next question comes from the line of Priyankar Bisw as from JM Fin ance. Please go ahead.
Priyankar Bisw as: Thanks for the opportunity and m y first question is again coming b ack to the -- from the previous questions like -- this very high level of pricing th at we are seeing on -- I mean, almost like a INR170 per kg, do you expect th at to sust ain at least in a very ne ar term, I me an comp ared to forged it seems to be a very high level of premium. So wh at is your t ake on it?
Kun al Shah: Priyankar I think re alization when we h ave always m aintained, it is not just a margin reflector, it's also the product mix th at we do in a quarter. You -- there are -- there is also the price p ass-through with this qu arter h as seen freight reduction, some level of freight reduction, some level of raw material reduction.
So some of these costs h ave reduced, which will get p assed on over a period. So two things have happened this qu arter, price, product mix le ading to a little higher re alization and lower cost. And hence, you're seeing th at price -- there is an abnorm al margin this qu arter, which we think will norm alize over the next two quarters.
Priyankar Bisw as: Okay, understood. And also, if I m ay come b ack, like I remember in the previous c alls, you

used to highlight like signific ant opportunities in L atin Americ a, particularly in copper. So what is our progress there currently? I me an wh at are the st ates or any prospects th at we are looking for ne ar term conversion ?

Kun al Shah: I think we are status quo there like S anjay bhai was expl aining the previous particip ant, our efforts are on. We are on it. We are m aking all efforts tow ards it. We rem ain excited and confident about it. We hope to get back to growth st age soon. There h ave been bre akthroughs.

We are hoping th at, that culmin ates into something me aningful th at we c an spe ak about. We h ave decided to spe ak about it after we get th at breakthrough r ather th an positing it about and when and how bec ause it's been deferred for some time . So we are hoping th at it converts into a contr act and a tangible order and hoping th

at gate opens up for further volume.

Priyankar Bisw as: Yes, I hope so as well, let's s ay, within the next couple of ye ars maybe you see some volumes. And just l ast one question from my side. Previous ye ar in FY '25, in some of the c alls, you h ad mentioned th at in cert ain mining geogr aphies, there were some excess inventory th at was there

of grinding medi a. So th at kind of led to sort of a destocking thing. So is it behind us? So h as those volumes kind of resumed?

Kun al Shah: Yes, there are two, three differe nt things th at were h appening, two customers going to a restocking, they're b ack to -- that volume looks to be b ack, th at will norm alize, yes.

Priyankar Bisw as: That's all from my side.

Moder ator: Thank you. The next question comes from line of Devaan Sh ah from D.D Enterprise. Please go ahead.

Devaan Sh ah: Sir, I'm an individu al investor. I h ave some two , three minor queries only. Reg arding the c ash we are holding on the books, is it for Welc ast bec ause the Welc ast buyb ack w as not gone through. So any pl an to like utilize the s ame c ash, which we are holding on the books?

Sanjay Majmud ar: No, Devaan bhai, I think there is some confusion here. Welc ast never h ad a new buyb ack, it was a delisting attempt, which w as not successful. And th at was a very, very insign ificant amount actually. So this c ash has been conserved for quite some time, considering the f act that we are very, very optimistic about the tremendous growth potenti al that the business h as. And therefore, given the f act th at at any point in time some or the other opportunity could unfold, we are a bit conserv ative and in the p ast also we h ave said that once we believe th at the business h as all the ende avors th at we are giving for growth they are sort of st abilized. We will look at options for reducing the level of c ash.

But at this point in time, we agree we are admitting th at we are maintaining a little higher level of cash th at we w ant to do so more on a conserv ative b asis given the potenti al that we h ave.

Devaan Sh ah: Okay. So the other question is -- like c an you just tell me like who is going to be over there for next 5 to 10 ye ars for the m anagement controlling bec ause the owner, whose age is very much near to the like retirement or something like th at. So is there any follow -on pl an also is there like we are going to get it from the m anagement or you're going to get it like profession al management outside of the comp any. So any follow -up pl ans for th at?

Sanjay Majmud ar: Please underst and one thing. T here is no question of any m anagement outside of the comp any. We are, in f act, profession alizing this for over l ast 3, 4 ye ars. There's a very proper succession plan strategy, which is under implement ation. The ide a is that the whole m anagement and the organization should run quickly on professi onal ground and all the efforts are on.

So there's no question of any outsider coming and running, etceter a. But, yes, a proper succession pl an is under implement ation and it will be properly and form ally implemented over a period of next 1, 1.5 to 2 ye ars.

Devaan Sh ah: Okay. That's all from my side. Th ank you.

Moder ator: Thank you. The next question comes from the line of V arun J ain from Dol at Capital. Please go ahead.

Varun J ain: So my first question w as on power and fuel costs. So if I look at your power and fu el cost as a percent age of s ales, from FY '20 it w as close to 10% and then it h as been f alling, so FY '22, 9.2% and now FY '25, 7%. So as the renew able power mix incre ases, where do you think this will settle?

Sanjay Majmud ar: Renew able, see, at this point in time, we are, I think, about 35% -- 30% to 35% as the renew able level in terms of our actual credi

t th at we are getting in terms of gener ation through
wind and sol ar in our billing. We are investing about -- we are putting another 100 -- total 60-plus megawatts, which will t ake us to about 100 meg awatts. So according to me, there should -- there is a very decent scope of further reduction. It should settle 7%, 7.5%.
Varun J ain: Sir, 7% already in FY '25 only you re ach. So it should go close to 5.5% or 6 %, right, in the next two ye ars?
Sanjay Majmud ar: Yes. It should reduce further. It will reduce further. There will definitely be s avings and you can take around 6% to 6.5%, you're right.
Varun J ain: Okay. And my next question w as, so your -- in this qu arter, the m argins were very good. One of the re asons you told us w as that product mix f avoured re alizations and the freight cost w as low, but w as there also a raw material cost imp act, like, ferrochrome or alloys you got at a cheaper price?
Sanjay Majmud ar: As always versus 100% p ass-through. So you are very right. In a given qu arter, if the prices have gone down, but our s ales re alizations are as per the previous agreed level, there would be a different push up on the m argin. However, in the next qu arter, so I expl ained to Bhoomik a one of the e arlier p articip ants th at yes, there are two f actors. One is the knockoff, this other income, tre asury income, etceter a. So it around 30% at the oper ating level EBITD A, correct. Now th at is slightly higher th an wh at we n ormally will do at about 27% -odd. Th at is wh at the run r ate with which we h ave been gener ally reporting. There are two, one is our t ax rate this quarter, if you h ave seen, it’s about 20% against norm ally about 23%, 20.8%. So at PBT level -- PAT level you w ill see imp act.
Second, there is a very cle ar-cut strong t ailwind of the product mix. So the bigger castings as we c all them, its disp atch comes more and they are very profit able. So therefore, there is a little bit of a push. And then as Kun al expl ained, there will be a pass-through effect, which will come in the next qu arter, which will norm alize. So if you se e according to th at, so we are ok ay. We should look at the norm al level of m argin only r ather th an extr apolating this.
Varun J ain: Okay, sir. Got it. And my l ast question w as, you h ave given some light on this, th at you lost I think 30,000 tons of destocki ng volumes were lost. So you s aid there were some recoveries out of that 30,000 tons. How much h ave you recovered?
Kun al Shah: But, 30,000 tons w as not a destocking account. There w as one customer where we lost some volume. It w as -- I think we will not be able to bre ak down every single customer th at way. But the destocking th at customer is b ack up, the volume is b ack up now. Then there w as a 8,000 tons, 10,000 tons, I think, 7,000 tons, 8,000 tons, 10,000 tons difference on th at account.

There were other customers who h ave reduced purch ases on th at account. I'm not sure wh at is the current level there. But the billing process ch anged rel ated to th at one customer th at's back to regul ar invoicing. So th at will reflect full ye ar, will be the full potenti al, that reduction h as been m ade.
Varun J ain: Okay, sir. Th ank you and all the best.
Kun al Shah: Thank you.
Moder ator: Thank you. The next question comes from the line of Bh avin from SBI Mutu al Fund. Please go ahead.
Bhavin: Hi. Good evening, Kun al. Good evenin g, Sanjay Bh ai.
Kun al Shah: Yes, sir.
Sanjay Majmud ar: Yes. Good evening.
Bhavin: Could you t alk about the mill liners, we commissioned a plan, have you seen st abilization? How is th at ramping up and if you could also t alk about, bec ause th at would h ave -- our strategy w as to actually first get into the existing customers so th at they know AIA, they know the AIA qualities th at cross -sell opportunity w as one

th at would h ave helped us.
Kun al Shah: Correct. That's true. Beyond the mill liner, as you know, we'v e also -- the met al mill liner, we've also added the rubber composite c apability. So I think as we went into the sp ace as we understood the over all offering. One is it h as taken longer th an wh at we im agined. But h aving said that, it h as -- this w as our tim e where we h ave rightsized our offering.
We've done some amount of tri als, right? Customer went b ack and tell your references of this ore, of this met al or for this size of the mill. So a lot of th at was, who's going to give us the first tri al. Who's going to allow us a trial that allows us subsequent s ale or subsequent size and con -- ore configur ation?
I think th at's wh at has taken us time. I think, so if you -- Sanjay Bh ai can spe ak more, but for today's Bo ard meeting, for ex ample, there w as a 2-hour dis cussion just on the sh arpness and the potenti al for the mill lining solution, right? How it's all coming together. And the solution is for us to sell liners and grinding medi a together. So th at's the customer we are looking at. So, there were some customers where we h ad the ch ance to sell just lining, but we w ant to

keep the c apacity available bec ause we are fully committed and believe in the solution where disproportion ate benefits c an accrue by using our design m aterial, our de sign and our m aterial of linings along with our grinding medi a. Both are in sync to actually deliver the full solution that we are pitching to customers. We are hoping th at we h ave good news to sh are soon.
Sanjay Majmud ar: Just to add to wh at Kun al said, w hat we are bringing on t able now is something very unique, which very honestly mining industry h as not seen before. And th at solution h as been already tried and tested in a couple of mines with excellent results. B ased on th at, we are now approaching on a combin ation of a solution which -- where cost becomes, I would s ay,

second ary or terti ary. Prim ary, it is the grinding efficiency, the throughputs and how we are doing a combin ation of different types of liner designs, very unique, which incre ases the grinding efficiency and the over all benefits which a mine gets is unim aginable. I think th at is what is giving us tremendous confidence. Very soon, we should h ave some very good news to share. Th at's all I can say at this point in time.
Bhavin: And wh at would be the utiliz ation of the pl ant currently?
Kun al Shah: I think we h ave moved some of Odh av production also onto this pl ant. But the utiliz ation of the over all mill lining c apacity would still be sm all. I don't think we will be crossing 30,000 tons. We will still be between 25,000 tons and 30,000 tons for the full ye ar mill liners. And capacity would be in addition in excess of 70,000 tons, 75,000 tons.
Sanjay Majmud ar: 30,000 tons, so both…
Kun al Shah: I mean, Odh av and…
Sanjay Majmud ar: It is a little lowe r than around 40% to 50%.
Kun al Shah: Less th an 40%. Yes. Yes.
Sanjay Majmud ar: Yes.
Bhavin: 75,000 tons is the c apacity and utiliz ation...
Kun al Shah: Yes. For some p art of it is fungible, but I would s ay, we are doing between 25,000 tons and 30,000 tons of 75,000 tons c apacity bro adly.
Bhavin: Okay. And just to underst and direction ally how different are the re alizations for the mill liners versus the grinding medi a?
Kun al Shah: The selling price is, of course, a little more in middle liners, bec ause the c ost of the alloy is different and there is a lot more subsequent effort, right? You need to do dr awings, design, people need to tr avel for th at, collect inform ation, m ake wooden p atents, then a sample piece gets m ade, then a finish rod , then they're post -treatment. So the whole host of investment into patents and the engineering work th at needs to be d

one before and after the product is m ade, is
signific antly higher, the cost on us, right? So when you f actor all of th at, the selling price does go higher th an grinding medi a. But our m argin on the selling price, I think, is l argely comp arable as a percent -- margin as a percent age is comp arable.
Bhavin: Just trying to underst and bec ause if you see our weighted average, we've been doing $1,600, $1,700 a ton. So I mean, just to get the differenti al in terms of re alization?
Kun al Shah: But we also do vertic al mill p arts and th at volume also shifts within vertic al mill p arts also, we do like six or seven products. So prices v ary from -- just to give you a sense from, let's s ay, INR180 to m aybe INR400 a kilo, right? Exactly bec ause we do m achining on some p arts. There are many other p arts where met al dies h ave to be m ade or met al fabricated p arts have to be made for the wooden p attern.

So the investment v ary and the processing on the m aterial varies and the effort as pre-production v aries. So th at is where for us, it's sometimes difficult to bre ak apart each piece and add up. And I underst and th at INR170 is a high figure. But like we s aid, th at reflects a little bit of the higher doll ar rupee and the product mix and the m argin reflects some p art of lower cost also.
Bhavin: Sure. And when we were looking at the export d ata country -wise, there w as a very sh arp drop in the volumes to Australia from 37,000 to 40,000 -odd we s aw in '22, '23 to all about 15,000 -odd us. If you could just help us underst and the re ason for sh arp drop to Australia?
Sanjay Majmud ar: My request is, let us t ake this off -line.
Bhavin: Okay. And the -- just l ast part when you s aid flattish volumes this ye ar, there w as some inventory dr awdown th at was their inventory correction by the customer, which w as there about 8,000, 10,000 which we expect to norm alize and there's some incre ase in the vol umes

that can happen from the mill liners as we see. And despite th at, the fl attish volume guid ance, is that, I mean, we just w ant to underst and.
Kun al Shah: Bhavin Bh ai, 8 or 10 also is fl at for us. The ide a is that we h ave to get to 30,000, 40,000 tons and a 10 or a 15 or a 20 is still not volume incre ase th at excites us. I think S anjay bh ai is without h aving to nitpick into 5 or 7 or 12, he is just s aying fl at, saying it will v ary your 10,000 tons, something else m ay go down, something else m ay come along. Over all this ye ar as we look going forw ard with new contr acts coming in l ater in the ye ar, factoring all of th at, it looks like it will be a flat year. And when you s ay flat, it will be between minus 5 and plus 15.
Sanjay Majmud ar: Yes, Yes. And I'm very cle ar I also say that by the end of fisc al quarter, we should h ave much better cl arity on a few large contr acts or assignments th at we are working. So I think you kindly w ait for a quarter more. I think we are working on so m any other projects. And with this novel approach, we are getting f antastic results. So it's just a matter of time, very honestly. That is why we s aid, otherwise, we would be not in a position to give at least this indic ation. But I think it w as an exciting response th at we are getting and hopefully, we should be absolutely on tr ack in terms of norm al growth from next ye ar. And definitely, we are targeting some volume growth this ye ar.
Bhavin: Sure. Yes, thank you so much.
Moder ator: Thank you. The next question comes from the line of Amit Khet an from L aburnum C apital. Please go ahead.
Amit Khet an: Hi, Sanjay Bh ai and Kun al Bhai. So if I -- AIA faced ch allenges over the l ast 3, 4 ye ars, right? But if we just look at the industry volumes over the l ast 5 ye ars, specific ally mini ng, would you h ave a sense of how much the high chrome industry mining h

as grown in absolute terms?
Kun al Shah: High chrome is wh at our competitor s are doing. So volumes in high chrome are largely limited to wh at both of us are doing , right? I don't know the number on the top of my he ad, but we'll just h ave to do th at math. There is no new pl ayer for s ales coming down. Ex actly, not.

Amit Khet an: No, but the competitor would h ave also g ained some sh are from you, right , by w ay of in countries w here there are duty structure s. We are trying to underst and how much is in place at the industry level.
Kun al Shah: What I'm s aying is if volume h as moved between them to us or ask to them, the industry h as remained fl at and there h as rem ained still some t otal of wh at both of us are doing. Th at's wh at we are seeing. So th at has grown to expense we h ave, b asically. If we h ave lost some volume, it's going to then gener ally, it would h ave gone to them or there's something the pl ant has shut or pl ant has reduce d oper ation to wh atever. So the high chrome sh are is wh at volume of both of us added up would reflect.
Amit Khet an: Got it. So bro adly over the l ast 5 ye ars at an industry level h as been very limited conversions. Is that what you're trying to see.
Kun al Shah: Possibly. I me an, that's the tot al, wh atever the m ath was to, yes.
Amit Khet an: Okay. Ok ay. And secondly, when you t alk about -- forget about this ye ar, but let's s ay about on a norm al year when you're t alking about 25,000 to 30,000, 35,000 conversion, new addition in volumes, how much of th at are you f actoring in the new conversions? And how much is just a regain of old volume, which now bec ause of …
Kun al Shah: I think there will -- earth is th at given our exposure -- see, we are not per se, a one trick pony . There is one customer, one geogr aphy, one product line, right? We are selling to more th an 120 countries. We're doing cement and mining. Within mining, we're doing two or three old types. So given all of th at, there will always be m acro. Wh at we are learning is an always a macro f actor th at will keep coming along in, putting some he adwinds th at we need to figure out and work through. So wh at we are seeing is when we are seeing growth, when we are talking about growth, it is all new conversions from forged to chrome .
Now some volume th at's gone away, it will come b ack. Th at is b asic arithmetic between us and the competitor wh atever the m acro situ ation m ay be. We are not considering th at when we're talking about growth coming b ack, all the growth figures th at we w ant to hopefully sh are soon.
Sanjay Majmud ar: So just to add, it's a fact that over l ast few ye ars, you might not h ave seen a great amount of conversion. This is a function of two, three things. One, to the effic acy of our solution is univers ally accepted by the customer. There is always a great deal of resist ance on their p art in converting due to a wide v ariety of re asons. So wh at we decided th at we must m ake it so potent th at we le ave -- that the customer would definitely f all for it. So there is a local factor, there is a local competition .
Today, I'm s aying th at now with the mining liner rel ated solution plus the D P-related benefit that we are offering, plus a very unique type of grinding medi a solution th at we h ave got as a package it becomes so compelling th at we h ave st arted getting ver y good results. A couple of

projects h ave shown extremely encour aging results and the clients s ays right now, they are in the process of negoti ating some signific antly l arge higher volume of orders, th at has given us confidence th at we h ave now approached many mines.

So wh at is h appening is th at we h ave also climbed up the le arning curve in terms of our capability and our potenti a

l to bre ak into mining b ased on efficiencies r ather th an cost. Mining industry, e ach mine is typic ally INR50,000 crores kind of a comp any. For them small volumes or sm all savings are not relev ant. Wh at is relev ant is if we offer something which is a game changer, th at is where the whole conversion h appens. I think we h ave climbed up to m anage curve and it's just a matter of time. We would st art seeing definitely better tr action in the coming qu arters.
Amit Khet an: Got it. Got it. Thank you. Th at’s very helpful.
Moder ator: Thank you. As there are no further questions from the p articip ants, I now h and the conference over to m anagement for closing comments. Th ank you, and over to you, sir.
Kun al Shah: Thank you so much. As always, S anjay bhai and I rem ain available offline to cl arify or spe ak on any other questions. Th ank you so much, and have a great evening, everyone. Th anks.
Sanjay Majmud ar: Thank you.
Moder ator: Thank you. On beh alf of AIA Engineering Limited, th at concludes this conference. Th ank you for joining us, and you m ay now disconnect your lines. Th ank you.

Call: Nov 2025

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Sub:Transcript oftheInvestors' Conference CallheldonNovember 7,2025
Pursuant toRegulations 30and46(2)(oa) oftheSEBI(Listing Obligations andDisclosure Requirements) Regulations, 2015,pleasefindenclosed herewith theTranscript ofConference (tillheldbetween theCompany andInvestors onFriday, November 7,2025todiscuss the Unaudited Financial Results andperformance oftheCompany fort~eQuarter/half Yearended 30thSeptember, 2025....
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“AIA Engineering Limited Q2 and H1 FY'26 Earnings Conference Call”

November 07, 2025

MANAGEMENT : MR. KUNAL SHAH - EXECUTIVE DIRECTOR , CORPORATE AFFAIRS, AIA ENGINEERING LIMITED

MR. SANJAY MAJMUDAR - NON-EXECUTIVE , NON-
INDEPENDENT DIRECTOR, AIA ENGINEERING LIMITED

Moderator: Ladies and gentlemen, good day and welcome to AIA Engineering Limited Q2 and H1 FY'26 Earnings Conference Call.
As a reminder, all participants' lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing '*' then '0' on your touchtone phone. Please note that this conference is being recorded.
I now hand the conference over to Kunal Shah from AIA Engineering Limited. Thank you and over to you, sir.
Kunal Shah: Thank you so much. A very warm welcome to everyone. Good evening, this is Kunal and I have Sanjay Bhai along with me here on the call today.
As I get into, top-line numbers and we will share a little update on the business and then we can get on to Q&A.
I think 2nd Quarter is largely in line with the 1st Quarter of this year. No remarkable financial difference, things look steady state by and large as far as operating numbers are concerned. I will still run through a quick summary, and then we will get on to the business bit of things.
We sold about 63,000 tons for a total of about 123,000 tons for the half year.
That compares to about 120,000 tons that we have done half year, last fiscal year and up from 60,000 tons that we have done 2nd Quarter last year, we have done about 63,000 tons this year, which translated to Rs. 1,029 crores of topline and EBITDA of Rs. 395 crores and profit after tax of Rs. 277 crores for the quarter. So, overall, from a financial number standpoint, the quarter looks largely okay and in line with the previous quarter.
Further breaking up our other income:
The total of which is about Rs. 98 crores, 33 crores of that belongs to foreign exchange and in that sense, it's an operating other income. We also have Rs. 18 crores of export benefits and about Rs. 64 crores of treasury income. So, the total other income is Rs. 98 crores is other income and export benefits, it's about Rs. 18 crores, about Rs. 116 crores of other income for 2nd Quarter of this year. And almost similar to what we earned in the 2nd Quarter last year. Nothing remarkable from a working capital standpoint, all our debtors and stock largely in line with what we have done historically.
From a tonnage standpoint:

We did 63,000 tons of which about 38,000 tons came from mining and 24 from non-mining.
And again, so there's a small increase in the non-mining bid, mining bid continues to be flat between 2nd Quarter of last year, and slightly up from the 1st Quarter of this year.
Our average realization for the quarter is at Rs. 163. And that reflects product mix. I think raw material costs are largely comparable to the 1st Quarter. So, no large difference between the two.
There are some numbers around power and fuel and other operating metrics where some bit of renewable captive as it gets online there is some implication, but largely comparable from an operational standpoint, nothing that's a large delta change.
From a business standpoint, all things that we have spoken about in the past around work that we are doing with the mines, I think all our efforts continue. There's a very important development that we have shared about a customer in Chile, we are not sharing the name, because the customer would not prefer for us to speak about it on a public platform, but very interesting customer. They have shared a contract that will last over 18 months, and their consumption is going to be variable, because it goes up and down, but our sale per year will vary between 13,000-14,000 to 17,000-18,000 tons, depending on their throughput and other things. So, let's, let's say about 15,000 tons a year is volume that we expect out of that. But more importantly, over and above the win, it is an important en

dorsement, it's a very important
customer and it's our first breakthrough or a first win in that important South American market, and first ever customer who's now using hi-chrome for their grinding media. So, it's a big milestone from for us, from a directional standpoint, and an endorsement of all that we are trying to say. Our solution is designed to offer far more benefits than our typical grinding media offering has been historically doing and that includes mid liners and design changes within that and a whole solution engineering that we do. So, we continue to remain very excited. We are digging in our heels and putting in all the effort to make sure we have small wins and hopefully

bigger milestones and good news to share.
I will have Sanjay bhai share a little bit more on it and then we can get to Q&A.
Sanjay Majumdar: So, thanks, Kunal and a very warm welcome and a good evening to all of you.
So, as Kunal indicated, and as we had hinted even during our 1st Quarter call, there is a very, very, I would say a remarkably exciting shift in terms of our approach as a package, what we are now offering, where a very unique liner driven solution where as a package, the liner plus grinding media solution offers very exciting benefits to our end users. We had, so that would very quickly improve the throughput significantly, as well as reduce the power and other operating costs, which makes our solution unique. In a way, it takes us away from doing the risk of pricing and then anti-dumping and all other associated problems.
And more importantly, as Kunal just, we have also made that announcement, we have taken successful trials based on this new approach with quite a few mines. And as we speak now, two

large mines are also on the trial, very, very important mines, I would say. Plus this recent order that we have won, all of that makes us confident that going forward, we had also indicated that by this year, we may expect some increase in the volume, maybe 5,000-10,000-15,000 tons. But from next year, we are very confident that we should be able to demonstrate year-over-year sustained growth in terms of increase in volume, which has so far been one of the, I would say, a concern areas from the investor standpoint.
I think with this, I think let the house open for Q&A.
Moderator: Thank you very much. We will now begin the question-and-answer session. The first question is from the line of Bala Subramania from Arihant Capital. Please go ahead.
Bala Subramania: Good evening, sir. Thank you so much for the opportunities. Sir, like what is the tangible evidence for the conversion pipeline, especially for forced to hi-chrome side? And are you seeing any change in our actual process from mining customers, especially requesting hi-chrome or integrated linear media solutions? Can you say the top three to five conversion opportunities in your pipeline?
Kunal Shah: So, Mr. Bala, one is, of course, as you very rightly said, the proof of pudding is in eating. We have got one major order whose announcement we have made. One Chile, very important customer, where the order size is 18 months is about 22,000 to 23,000 tons and about $33 million order. That is one straight evidence of a conversion, correct? More importantly, as I said, we have conducted successful trials in about 10 to 12 mines, including in India, very important mines, very important iron ore producing or zinc production mines and overseas in Nigeria, in Ghana, in a few very other important locations where we have seen that the customers get the tangible benefits. Based on that, now currently, we are in trial, very, very advanced stage of trial where in the month of December and in the month of January-February of this fiscal itself, we will start getting the final outcome of those trials. These are very large mines, much bigger than what we have been conducting. S

o, what is going to happen is that over the next 3-4 months,
you may come across a couple of other such announcements where this is obviously, plus, please understand our current business is ongoing. As you see from a sales or an EBITDA standpoint or from overall, everything is steady. And this approach, as you might have seen over the last 5-6 years, we have had several issues, both in terms of anti-dumping investigations and a lot of other trade barrier related problems. We believe that this solution takes us away from all those issues and we are working very hard on it. So, beyond that, at this point in time, I am sorry, I am unable to share.
Bala Subramania: Okay, sir. Sir, this new 75,000 ton middle liner capacity, what is the current utilization rate and what is the timeline to reach breakeven and what kind of utilization we may expect in the next 2 to 3 years' time frame? And how does the margin profile of the new rubber composite liners compare to your traditional grinding media? And when we can expect these lines to be materialistic revenue contributors, maybe over the medium term?

Kunal Shah: I think middle liners, while we have spent and done CAPEX and hence talked about that particular product line, you will have to look at everything that we do as an offering because we are offering a solution. I think the tonnage of middle liner per se is not always important. It's a beachhead for us because that brings in a lot of process improvement. The volume may come from grinding media, right? Because we are selling things as a package. We are trying to sell things as a solution. I think we will give overall guidance and the overall guidance that we give will include all mining parts that we are selling, which will be grinding media and middle liners. And middle liners, when we say that includes rubber liners also. I think it will be difficult for us to give a product-wise utilization or growth plan in that sense. Like Sanjay bhai said, we are making efforts. The first milestone is there. We will share an overall guidance whenever we believe that we have enough visibility and confidence on that conversion number.

Bala Subramania: Sir, I think overall 4.6 lakh ton per annum capacity, I think we did nearly 1.28 lakh. I think it comes annualized run rate of around 2.6 lakh metric ton that range. It's almost 55%-60% kind of utilization. Post that what kind of utilization we may expect, like 70%-80% kind of rate. And what are the specific projects in terms of CAPEX, whether we focused on deep bottlenecking or new product lines or geographic expansion site. If we get more clarity on that CAPEX, that would be really helpful.

Sanjay Majmudar: Sure. So, first and foremost, you're right at current capacity utilization level around 55%-60%. Please understand it's a mix of various products. So, we have grinding media, we have liners, we have castings, we have a mix of all the products that we give. We give as a combined blended capacity. But two main products, one is casting, which includes liners and everything, tube mill, timber and all other cement, mining liners, etc. And the castings are what we call them as VSMS, that is vertical spindle mill spare parts, the bigger ones. And then there is a grinding media as a mix. We work on a very long term customer acquisition and maintenance basis. So, we have to always make sure that after all the efforts that we put in, and as you explained in the past, it takes me almost two years, more than that in some cases, a little less than that in some cases, to convince the customer that their solution is right. Now, when a customer comes for an audit, our audit, he should never get that feeling that we don't have adequate capacity to take care of his requirements. And therefore, we are always a little ahead in terms of capacity creation. Because that process, even if it is a Brownfield pro

ject today, it takes 1.5 years. If it's a greenfield, it might take 2 years, 3 years, if I have to procure more land and start from the scratch. But on an average, theoretically, I can go up to 70%, 75% 80% utilization. And therefore, we are constantly year-over-year, consciously taking care that we always have some additional capacity available, given the nature of our business and customer relationships.

Bala Subramania: Okay, so what kind of CAPEX numbers, maybe next two years timeframe? This year, we have already guided for a CAPEX of over Rs. 180 crores. We have incurred about Rs. 40 odd crores. This includes, of course, investment in my new, I mean the subsidiary company MPS, plus my hybrid and renewable solar investment that I am planning to make about Rs. 30 crores in this

year, plus some maintenance CAPEX, some general CAPEX, etc., plus some investment that we will be making in Ghana and China, that is the new facilities that we are in the process of creating. So, on an average, I think if you want to take an average annual CAPEX, currently, you may take a number of around Rs. 150 crores.

Bala Subramania: Got it, sir.

Sanjay Majmudar: Thank you.

Moderator: Thank you. The next question is from the line of Raman Kerti from Sequent Investments. Please go ahead.

Raman Kerti: Hello, sir. Congratulations on a stable set of numbers, as well as on winning a recent order from Chile. I just want to understand that we recently won a Chile order. Can we expect a volume uptake in the second half of the year? Because it's 18 months order. So, it will be, if my understanding is right, it will be starting to be, you will be starting to execute those orders from this coming quarter?

Sanjay Majmudar: Yes, we expect the offtake to start from Q4 of this year. And it should go on as per the requirement of the customer. But as Kunal explained, on an average, on an annual run rate, you can take around 12,000 to 15,000 tons. So, maybe this quarter, we may ship around 3,000 to 4,000 tons. This quarter means the last one, fourth quarter, we already started production.

Raman Kerti: Okay. And I just want to understand what will be the realization difference when it comes to our average realization, which are around Rs. 163 versus this Chile order? Is it a better realization?

Sanjay Majmudar: It is not comparable for two reasons. We only share the blended average realization number, where if it is grinding media, it has to be on the lower side. If it is castings, if it is liners, it has to be on the higher side. It ranges from Rs. 100-Rs. 110 a kilo all the way up to Rs. 300-Rs. 350 a kilo in terms of my different products. So, this particular order is grinding media, so it will be always on the lower end of the spectrum. And hence, it is not comparable.

Raman Kerti: And sir, with respect to volume growth, what is the volume growth are we expecting in FY'27?

Sanjay Majmudar: So, as I said in the beginning of the call, we believe that from next year onwards, at least 30,000 tons plus annual volume growth is what at the minimum level we are expecting or targeting, I would say. Given the new initiatives that we have taken over last 24 months, 12 to 24 months.

Raman Kerti: So, 30,000 additional, right?

Sanjay Majmudar: Yes, of course, incremental. And that too I want to make a cautionary statement here. We are waiting for the outcome of these couple of more very large, successful orders, and then we will

really give you a proper volume guidance by the end of this year. But this is the minimum I am talking about, the minimum targeted. It has to happen. This is what we feel.
Raman Kerti: And by when are you planning? When do you expect this, the trial products to be converted into orders?
Sanjay Majmudar: One order will be reaching the final stage of trials around December end. Another one will be by Jan end or mid-February. But again, let me tell you, these are not little things where we are working, but these are really most important or extremely, I would say game changer kind of situations where then it can open up a very, very big opportunity, because many people are waiting and watching for the outcome of these trials. At any given point in time already working with 2030 mining sites, but then you have different stages, some of them small, some of them medium. These are the ones which are relevant based on the new approach which we have adopted.
Raman Kerti: Understood. Sir, my final question is with respect to the overseas operation, we have a unit in Ghana as well as China. What's the current capacity, operational capacity, and what's the utilization of those capacities? There is, I think, I don't know where you got that information from. We only announced a plan and an intention to set up plants outside India. We want to be very careful. We will be doing smaller modular plants. And as we stand right now in the process of acquiring land, applying for approvals, we will share a firm plan once we have things on the ground. We have never set up a plant outside India. It's a greenfield facility. We have only announced an intention to set up two plants, and we are working towards strategy to do that. And once we have clarity, we will be revisiting some of those decisions in terms of scale, size, capacity, and we will share that update once we have an absolute firm idea when we start implementing the plant. Till that time, our capacity continues to be in India.
Raman Kerti: So, the entire 4,60,000 tons per annum capacity is in India?
Sanjay Majmudar: Of course.
Raman Kerti: Understood. Thank you, sir. Thank you.
Moderator: Thank you. The next question is from the line of Varun Jain from Dolat Capital. Please go ahead.
Varun Jain: Hi. Good evening, sir. So, I have a couple of questions. So, my first question is that if I look at your H1FY'26 versus H1FY'25 volumes, so in mining there is a minus 2.5% degrowth, but the other segment is growing by almost 10%, 9.7%. So, this is driven by cement or thermal or what?
Kunal Shah: Nothing to read. These are just timing things, my friend. There's no meaningful reason for that. It's just water in the fields that added up to this.

Varun Jain: And this 10%, will it continue for this entire year, like it was in H1?
Kunal Shah: 250,000 tons, I can't explain for 2,000 tons plus and minus, no? I mean, that will happen. I don't know, between getting an order, producing it, dispatching it, delivering it, invoicing, there are timing differences. Companies have shutdowns, maintenance downtime issues. I mean, all that happens. So, this is just operational plus adjustment between two quarters. Nothing more than that.
Varun Jain: Okay. And the other question is that you have guided on EBITDA margins close to 24%-25% as sustainable. So, Q1, you said product mix was very good. So, you got 29.5%. But even in this quarter, it's close to 28.3%. So, will the margin remain at these elevated levels, at 28% plus levels for the next two quarters also? Or this quarter also has a favorable product mix or something? I can understand your question that things are worse than what I told, 2%. If you have done better margins, I mean, I will let it be at that, right? Our guidance is what we believe we should share with everyone and what we can defend. It continues to be at not even 24. It's 20% to 22% operating margin. We have done better. There are many factors that come to play. We will not be guiding a different number. That is something our performance is up for there. As a policy, we will not be guiding a profit figure beyond that.
Varun Jain: That is fine if you're not guiding. But can you tell us the reason why in Q2 it was so high, 28.3?
Kunal Shah: Exactly wha

t you said. There is foreign exchange, there is raw material adjustment, there is transport cost, there is product mix. And it is impossible for us to strip out every single item and keep explaining where. So, it's a combination of those things.
Sanjay Majmudar: So, I will just clarify a few things. See, one, you're right, our margins are good. What we are factoring is that when I go for a significantly higher volume, that volume, when I start getting the orders, so that volume is predominantly going to come from grinding media, correct? So,

today, my product mix is extremely comfortable. So, I have a very high value added, high profit making products also as a part of the mix, which play a dominant role. But when a grinding media plays a dominant role, when my volumes go up sizably, naturally, the average realization and the margins would change. And that is why we are saying that we feel that while our guidance was 2022, on a more optimistic or a more positive note, I feel we have said that around 2024 can look sustainable. We are doing better because we have an extremely favorable product mix. That's the primary reason we are doing very good. But as the product mix changes, this can change. Therefore, in all wisdom, we are saying, please don't factor anything beyond '24 or '25 on a long term basis. Say, when I reach 300,000 tons or 350,000 tons or 400,000 tons, this can definitely change. I can do better, but it's always better to guide or give a picture on a conservative side and then do a little better. And this is the reality of the situation.

Varun Jain: No, I understand, sir. So, I just have a last bookkeeping question. So, in Q2 FY'26, your year-on-year realization has fallen, yet gross margin is up by close to 418 bps. So, is this like some

one time low cost inventory you had or something? And also in Q2 FY'26, this export incentive has risen very sharply. So, just last two.

Sanjay Majmudar: No, so there are two aspects. One, again, although I may sound boringly repetitive, the fact of the matter is that a quarter over a quarter gross margin movement cannot and will never indicate a sustainable trend. Because, for example, in one particular quarter, say if I have shipped out of that 63,000 tons, if I have shipped 15,000 or 18,000 tons of liners plus castings, the needle can move completely different. In the next quarter, if that number falls to 12,000 tons and my grinding media goes to 40,000, 50,000 tons, again, the needle will change. My more clear suggestion would be, please look at us on a little longish, maybe over an annual basis or a half yearly basis. And then don't try to work out the trend or don't read too much on a particular quarter. Having said that, we are very comfortable. We are profit making. We are generating good cash. Everything is comfortable. We are working very hard on now major breakthroughs. And that can and will definitely make a difference in the times to come. But in a particular quarter, if anything changes, it should not be read as a trendsetter.

Varun Jain: Okay. And sir, just one last question I want to squeeze in. This order which you got from Chile, is that your first ever order from Chile for hi-chrome grinding media?

Sanjay Majmudar: I will tell you. We all know that Chile, Peru, they are very important matrix for from the point of view of copper, gold or the minerals where we are targeting. Correct? So, we have been working on Chile for more than 2-3 years. This is the first major order we got. And the idea was to show that this is a breakthrough. Internally, we are treating this as a breakthrough, because we got that entry into a very tough market on a substantial basis. You get my point? And that becomes a trendsetter, according to us. That also becomes a very important reference point. So, it's not the first order, but it is one of the first major breakthrough orders, I

would put it like that.

Varun Jain: Okay, so above anything above 20,000 metric ton, you would classify as a major order. Am I reading it right?

Sanjay Majmudar: At the board level on the materiality, we had a discussion today, we are working on it, we will probably look at a 15,000 ton plus as a materiality threshold, but we will come back to you.

Varun Jain: Okay, sir. Thank you and all the very best. Thank you. Thank you.

Moderator: Thank you. The next question is from the line of Deepan Shankar from TrustLine PMS. Please go ahead.

Deepan Shankar: Good evening, everyone and thanks a lot for the opportunity. So, firstly, considering there is substantial potential for hi-chrome grinding media for further conversion in the market, what are the key challenges faced by the Company in this kind of conversions? Especially, what is the

price gap between the source in the grinding media and hi-chrome and how the gap has widened over the past three years?

Sanjay Majmudar: So, my friend, the question that you asked is an extremely pertinent question, which goes to the very core of our activity. So, first and foremost, let me elaborate a few things. I understand that you perhaps have not been tracking us for a very long time. So, what our whole forte is, that this particular market of grinding and crushing in mining, we are focused on gold, copper, and iron. As an opportunity, this is about 2 million-2.5 million tons. Predominantly, the penetration of hi-chrome solution vis-à-vis conventional, forged or other material solutions, the penetration is 25%-30%. So, we are talking about 60%-70% opportunity, which is a million and a half or even more for these three specific ores. Challenges are many. We are in India. So, our solution is not only based on cost savings. That is how we had initially started. The fact of the matter is, as compared to a forged grinding media or any other material of construction for liners, our solution works in three directions. One, it straightaway saves cost of this consumable part, which is 8% to 10% of this entire mining process cost. Point number one, but that doesn't change the needle because there are multifarious challenges. These mines are extremely powerful, completely decentralized, localized, large operations. Nobody's interested if you go and say that, hey, I am going to save you a few hundred thousand dollars, etc., etc. So, then over the last 7-8 years, we have now made us a very, very formidable force by changing our solution to one, not only on cost saving, but saving on sizably increasing the throughput of the mines for the same or similar cost they are incurring on the same products that they are buying conventionally. So, if, for example, it's a gold mine, where input-output ratios are extremely adverse, if I say that on a $5 million purchase of my grinding media or liner as a package that I am offering, if I am improving a throughput whose value is 25-30 million in a year, or 50 million in two years, against the 5 or 10 million that he pays me, he's not only saving on the cost of this material, but he's completely changing his equation of the balance sheet. Third, my solution now saves a lot of power cost. These operations, mining operations, are extremely capital-intensive. Our area of focus is grinding and crushing from the SAG mill stage up to primary, tertiary, secondary, tertiary, and beneficiation. These are extremely capital-intensive operations where if I am able to improve throughput, save power cost, my solution goes far beyond cost-saving. And this is what we have earned over a period of the last 3-4-5-6-7 years of very hard work. That is where I am getting a little more confident when I talk that now I am approaching mines not simply saying that I will save you money, but saying that I will improve your entire efficiency and it will be a game-changer for you, and you pa

y me the same price you're anyway paying. This is the reason. But
it's a bit complicated. Our mining customers are very difficult people. It takes a very long time for us to convert, but now the opportunity is massive and we believe we are geared to take that opportunity. I think on this call, beyond this, to spend more time on that question would be unfair for the other participants.

Deepan Shankar: Okay, sure sir. And like when we look at these Magotteaux available financial information, for the last two calendar years they were able to grow at 10% to 14%. So, have they gained more

market share in this or the most of that has only come from the grinding media and not from micro?

Sanjay Majmudar: No, so Magotteaux first, now our competition frankly has moved away and we are still very, very focused on the 4 grinding media players who are, so Magotteaux in their own, so they have multiple plants. Megatox is a very complicated scenario. There are some 14-15 plants in 12-13 locations. Some of them good, some of them not so good. They also have licensee relationships. So, beyond that, we can't comment. But frankly, we are not really focused on Magotteaux as a competition.

Deepan Shankar: Okay. So, lastly, in the last couple of quarters, we have been saying that there is inventory ramped down by large customers, potentially could be 20 to 30,000 tons of volume. So, are we expecting these volumes to come back at least by next year?

Sanjay Majmudar: So, it is not a question of volumes coming back, but our entire focus is on gaining incremental market share and volumes in new set of customers that we are talking. Of course, some of these volumes are bound to come back because now things have settled down quite a bit. But we offer our solutions to several mines across the geographies. And therefore, we are not really worried about one particular geography or rather agnostic if some volumes do not come back the way we anticipate from, say, Brazil or Canada. It's not that needle changer. But yes, overall, we are very focused on the new customer acquisition.

Deepan Shankar: Okay, thank you and all the best.

Sanjay Majmudar: And one point I forgot to mention on Magotteaux, they are also into non hi-chrome, which can be giving more volumes. We are not into that segment at all.

Deepan Shankar: Understood, sir. Thank you.

Moderator: Thank you. The next question is from the line of Priyankar Biswas from JM Financials. Please go ahead.

Priyankar Biswas: Good evening, sir. I heard from the commentary that right now, like, trials are going on at 11 large mines. So, if I look at it like a prospect pipeline, so if on an average, it's something like a 15 KT types opportunity, each one of them, would it be right to assess that it's almost close to a 150 KT type opportunity of all the three, all the 11 mines were to eventually convert to Hi-chrome? Would that be a fair assessment?

Sanjay Majmudar: Sandeep bhai was just trying to answer one gentleman's question where you've been asked in 20 different ways to give some guidance. And we are trying to explain why you're not able to share a guidance, right? Short of a guidance, what work are you doing? We have 10 mines, you're working at it. I think we are doing work at more than 50 mines across the world in different stages. There are at least 8 or 10 where we are in advanced stage. There are maybe 10 or 15 where we are collective work that we may be doing, maybe prospecting work, maybe more than 200 to 50,000 tons, correct? But that's at various levels of work and where does it convert? How long does it take? Whether it's a job? I mean, there are plenty of things linked to that. The question is not the opportunity. The question is the larger context in which we operate with as an incumbent. The incumbent has been around for a

long time. The customers are conservative.
It takes time for them to, so all our effort is to make sure that our value proposition becomes better and sharper and more value added. That's what we are doing, right? And which is what finally, and these are things only when we do hard things, do we make the kind of margin that we make. You get it? So, the idea is that for us, these are hard things. These are things where there is no straightforward signaling to say, I will do this amount of growth. And which is where is our business at, right? So, more than 10 mines, I think our prospecting work is far more. And to answer your question, yes, there'll be at least 200,000 to 250,000 tons of prospecting work that we are doing.
Priyankar Biswas: Okay, that's extremely clear. Also, like they say the Copper Belt of Latin America, can you give me a sense of what is the hi-chrome penetration there? The reason I ask is, if it is a very underpenetrated geography for hi-chrome, for example, then we can potentially see a lot of growth. I mean, multi-year types of growth. So, and what sort of...?
Kunal Shah: Except of Brazil, Chile, Peru, which are the large copper producing regions, there is absolutely none. The breakthrough that we did is the first hi-chrome in that region for copper.
Priyankar Biswas: So, Kunal bhai, if this region were eventually to convert, I am not saying it will happen in one year, but let's say in a 4-5 year view. So, what can be the potential levels from this geography?
Kunal Shah: I think the region consumed close to, I think, forge players sell close to 700,000-800,000 tons there. So, I mean, that's the math.
Priyankar Biswas: So, even if we let's say reach a 20% penetration, that will also be a huge market. So, that would be the understanding.
Kunal Shah: Absolutely, you're right. That's what our whole efforts are. Bang on.
Priyankar Biswas: Okay. Very clear. Also, just if I can squeeze in. So, any impact from the tariffs in US so far? Like are the other US customers still taking the volumes? Like how are the volumes trending over there?
Kunal Shah: No. we are continuing selling and the customers are paying the duty. But mind you, this is not the reciprocal tariff. This was the sectoral tariff, which was initially 25% imposed in the month of February against steel and aluminum. And somewhere in May, this was increased to 50%. Correct. So, customers are paying, they are continuing to pay. There is, of course, some

negotiation, some slowdown with some customers who are a little reluctant to pay. But we are not barring. We sell only to those customers who pay the tariff.
Priyankar Biswas: Okay. And if I can squeeze just one last one. So, recently, a competitor has bought Molycop. So, do you think that from your business strategy, would it make a significant level of difference, especially in the grinding media or the mid liners as a result, like if Molycop really gets revived in a way? So, what are your views on that?
Kunal Shah: I think we were competing with Molycop for last 7-8-10 years. A Molycorp with $300 million debt is better or a Molycorp with $800 million debt is better on a 150 million EBITDA. So, yes, there is some ownership changes. There was a previous owner that tried lots of things to make changes in that. Forged is not our terrain. That's not a product that we operate in. Forged is a product, right? And hence, Molycop's offering is a product. AIA is a solution company. They are selling an alloy-based product. We are doing design engineering on it, and we are ultimately offering a solution that saves significantly more than the investment that they make in our parts. So, to that extent, if a product company has gone through ownership changes, I am not sure how else would we respond to. But there is financial leverage, and that itself doesn't make us feel nervous. Otherwise, we have to

keep doing what we have to do, right? We are staying in our
lane and working to make sure that we focus on what we do well and making our offering even more extraordinary as far as value-addition of the customer is concerned.
Priyankar Biswas: So, you are not too worried about it? So, maybe the AIA business will remain as usual? I mean, nothing at all.
Kunal Shah: It's nothing for us. We are just an observer like any other participant in the trade that there's

something that has happened. Good, they will go through their own journey, whatever that means for them, right?
Priyankar Biswas: Yes. Absolutely clear. Thank you so much.
Moderator: Thank you. The next question is from the line of Devang Baid from Bd Enterprises. Please go ahead.
Devang Baid: Sir, majority of the questions have been answered regarding the 4,000 crore-5,000 crore cash we were holding out and we are expecting some good news coming within the next 3 to 4 months maximum, what we are expecting. Now, my only minor question is, because I think so there is a subsidiary company, Welcast, and you have closed down the plant. Any update further on that? Because I don't think so that like I tried to call multiple times on the both the numbers, which was given on the announcement, but not a single number was reachable. So, can you just guide me out with that? Because I am holding some shares on that one also.

Sanjay Majmudar: So, Devang Bhai, Welcast closure, we already made an announcement that it was not viable for Welcast to continue, given the fact that it was a very old plant. It was a very awkward location and for us to as a shareholder, major shareholder as a holding company to invest anything in Welcast was not making sense. More so, particularly when we have created excellent infrastructure here in Gujarat and so it was more driven by the commercial consideration. Nothing else.
Devang Baid: So, any plan to like, either the company is going to get it merged out or like because…?
Sanjay Majmudar: No, so as of now, we have not made any such plan. We, in fact, if you remember, a couple of times, we had tried to delist Welcast also, but we did not meet with any success because, I mean, we did not get the adequate number of shares which is statutorily required. But this is where the situation is. As of now, it is a standstill.
Devang Baid: Okay. That is fine, sir. Like, that is all from my side, nothing else. That is fine. Thank you, sir.
Moderator: Thank you. The next question is from the line of Raja Kumar from R K Investment. Please go ahead.
Raja Kumar: Hello. Thank you for the opportunity. Good evening, Sanjay bhai and Kunal bhai. Sir, just two questions. Your standalone profit performance is better than your consolidated performance. So, is it due to some of the subsidiaries not doing well or is it more like you sold the material and the material is remaining unsold in the consol?
Sanjay Majmudar: Mr. Raja, I want to make one thing very, very clear. My subsidiaries are, except for MPS, which is a small design focused subsidiary company that we have recently acquired, all other subsidiaries are fully integral marketing linked subsidiaries. Therefore, you should only look at our consolidated numbers and not my standalone or subsidiary standalone numbers.
Raja Kumar: Okay. Got it, sir. I understand now. Sir, the second question is, I see that note number 8 in your financial statements. You have mentioned that one of the factories has been shut down. So, I just want to know, given that you are expanding, so we have not explored using that capacity for any of the alternate purpose. For any reason, you are shutting down the entity?
Sanjay Majmudar: In one of the, just the previous question, I think that note pertains to the shutdown that we have recently announced of Welcast Steel Plant. As I explained, it's a very old plant, the location in B

angalore in the heart of the city. It was not viable for us to make more investments into Welcast so as to make it operationally viable. And therefore, in the interest of financial prudence, we decided to shut it down. You don't need anything because at the parent level, we have sizable capacities created here.
Raja Kumar: Okay, sir. Thank you so much.

Moderator: Thank you. The next question is from the line of Lokesh Manik from Dalma Capital. Please go ahead.
Lokesh Manik: Hi. Good evening, Kunal bhai and Sanjay bhai. My question was firstly on the new package solutions you spoke about earlier in the call and how it moves you away from the entire ADD fiasco. So, just clarification here is, is it now the technical description of the product that puts you out of the net or is it the pricing of the combined solution is such that no domestic player can 47:51 start dumping?
Sanjay Majmudar: So, I would put it like this that we are offering this as a complete package where individual items are, rather they become insignificant. So, this package works as a complete total 360 degree solution where we move away from price discussion of a particular product. I mean, at this point in time, I can share only this much.
Lokesh Manik: Fair enough. So, secondly, if you can just give us a sense of what would be the penetration of

this solution in our existing business to as a percentage of total customers and whatever you may want to share, just to get a sense of how we are progressing on that front?
Kunal Shah: Most of our sales will come from solution sales. Most of our sales, going forward, large breakthroughs are linked to these solutions.
Lokesh Manik: So, with the trial runs you spoke about, that are scheduled to be completed in January, would it be a fair assessment that 30%-40% of the business now would be these package solutions that we would be entering in?
Kunal Shah: I think what Sanjay bhai is saying is that important trials are in place. Those trials mean we will do more about it. This is efficacy of hi-chrome grinding media. It's an efficacy for overall solution, right? It's a two-level approach that we have. The first breakthrough for hi-chrome is done, where there is some bit of solution. There is more of solution that we are working on, but these are all, the minute we get into the rabbit hole where there is no answer, right? So, just bear with us. All we are saying is, there is interesting work going on, and once we have clarity, we will share numbers for people to build future guidance on.
Sanjay Majmudar: Just to clarify, when I say a package, it's a unique lining-based solution coupled with linked grinding media, which is offered as a package. So, my product remains the same. It's not something new that I have invented, but it is the efficacy and the solution that I am offering as a package, which is a game-changer. You get the point? So, I make the liner, I make the grinding media, I sell that. But it is linked and it is balanced, which I think, honestly, no other competitor in the world is offering today. This is the uniqueness. And through intense research, innovative designs, a lot of hard work has gone into this.

Lokesh Manik: Great, sir. Sir, last question was on just the substitute, if I may say, call it a substitute, which is a forged grinding media. Can a competitor we spoke about previously, Molycop, which has been acquired by one of the Indian players and they are pioneers in that new lining space, so, can they also come up with a similar solution or you think that hi-chrome grinding media far outpaces that kind of a solution, even if they were to come up with it?
Sanjay Majmudar: See, in all modesty and not to sound arrogant or anything, very honestly, theoretically, anybody can do a research for 5-10-15 years and try to come up wi

th something. But one Molycop is a predominantly forged player, and we are replacing forged with our solution. Correct? Now, the other Indian player competitors you talked about, they are technically into liners. We are also into metal 51:41__or rubber or composite liners. But what we offer as a unique design and as a combination and with a kind of a guaranteed throughput etc. etc., I don't think they are anywhere near in terms of the capability. Having said that, yes, technically, theoretically they can, but it's going to be very, very difficult. It will take a lot of time, if at all. And I think at this point in time, nobody in the world is offering this. Globally, nobody.
Lokesh Manik: Very heartening to know that. Thank you so much. That's it from my side.
Sanjay Majmudar: Thanks.
Moderator: Thank you. The next question is from Mayank Bhandari from Asian Markets. Please go ahead.
Mayank Bhandari: Thanks for the opportunity. Just one clarification on the gross margin. Are we baking in the lowest steel prices here? And what would be the guidance? Will it improve sequentially from here on?
Sanjay Majmudar: See, our gross margins are around 38% to maybe 39% generally. We always work with a complete pass through kind of a scenario. Currently, for quite some time, the prices are a little soft. Particularly, ferrochrome is quite a bit steady. But if at all, if something, and again it's a function of product mix, as I said. But it's not really something that causes us any concern. There's always a lag of one quarter or two quarters, and we normalize any changes in the cost structure.
Mayank Bhandari: So, we are more dependent on steel or ferrochrome?
Sanjay Majmudar: So, in terms of value, 50% of my raw material cost is ferrochrome and 50% could be scrap. But in terms of quantity almost 70% is scrap and 25%-30% is chrome. And there's absolutely no problem in getting that.
Mayank Bhandari: Okay. And sir, on this hi-chrome thing, I mean, as we go back and touch that, we have a patent towards this product. And we understand that, is there any increased Chinese competition in this hi-chrome market? Or have we seen anything sort of that?

Sanjay Majmudar: Chinese players are very much present globally also. But I don't think anybody can come really nearer to us in terms of the solution or the advantages that we are offering.
Mayank Bhandari: So, hi-chrome offering is there, but it does not match the exact quality that we offer.

Sanjay Majmudar: Yes, I mean, that hi-chrome product that they offer is more like commodities. What we do is a part of a package solution, which is very unique.
Mayank Bhandari: Okay. Thank you very much.
Sanjay Majmudar: Thank you.
Moderator: Thank you. The next question is from the line of Vipin Goyal from Mirabilis Investment. Please go ahead.
Vipin Goyal: Hi, Kunal bhai, Sanjay bhai.I am Vipin Goel from Mirabilis. Heartening to know about the exclusivity of the bundle solution that you talked about for the two mines. Small question here is, are these two mines, two sites, completely new customers to us? Or is it being done for existing customers where we are pitching them incremental solution?
Kunal Shah: It is for new customers.
Vipin Goyal: Okay.
Kunal Shah: You can run through our last few transcripts, a lot of these questions will get answered. I don't want to take everyone's time on these questions. And we are happy to take questions offline if you still have any.
Vipin Goyal: Great. And sir, just one more on the package solution that, I mean, apart from this, barring these two mines, if I just take the purely based on the Chile order, is it good to assume that as of now, today's visibility, 12,000 to 15,000 incremental volumes are for sure for certain for next year?
Kunal Shah: Exactly. The new order that we got is correct.
Vipin Goyal: Got it. Thank you.
Kunal Shah: Tha

nk you.
Moderator: Thank you. The last question is from the line of Varun Jain from Dolat Capital. Please go ahead.
Varun Jain: Hi, sir. So, just touching upon your previous comments. So, you said that you are a solution oriented company because you have midliner and grinding media. Now, even they have both of these things.

Sanjay Majmudar: I would not be able to further comment on Molycop.
Varun Jain: Okay. So, they basically had said that they have grown their hi-chrome media from 0 to 62,000 MT in the past couple of years. And they target 200,000 MT. So, they have been growing in the past year. So, can you tell us like where this growth has come from and whether they have taken some market share from you or what?
Kunal Shah: We are not aware about their hi-chrome business. We do not see any hi-chrome from Molycop or from Tega in markets that we operate in. There are lots of comments and things. It's not right for us to comment about it. Today as we speak, they are not affecting my market. We don't compete with them in any other place. I will leave it at that. Right? They have a public commentary, I would rather that you go and clarify those with that. From our standpoint, we have clarified our guidance and the work that we are doing. I think we will keep our questions to that.
Varun Jain: Okay, sir. Thank you and all the best.
Kunal Shah: Thank you so much, guys. Again, we are, like I said, largely our business continues as is. A great milestone for us in terms of our win in Chile. And we hope to build on that in the next few years, create a very sustainable, meaningful presence in South America based on that and hopefully, we will have better news to share in the coming quarters. With that, Sanjay and I will sign off and remain available for any offline questions you may have. Thank you very much and have a good evening. Thank you.
Moderator: Thank you, sir. On behalf of AIA Engineering Limited, that concludes this conference. Thank you for joining us and you may now disconnect your lines.

Call: Feb 2026

AIA Engineering Limited
February 2, 2026
To,
The Manager (Listing),
The BSE Limited
Phiroze Jeejeebhoy Towers,
Dalal Street,
Mumbai - 400 001
Script Code: 532683
Dear Sir/Madam, To,
The Manager (Listing),
National Stock Exchange of India Limited
"Exchange Plaza", C-1, Block - G,
Bandra-Kurla Complex, Bandra (E)
Mumbai - 400 051
Script Code: AIAENG
Sub: Transcript of the Investors' Conference Call held on January 30, 2026
Pursuant to Regulations 30 and 46(2)(oa) of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed herewith the Transcript of Conference Call held between the Company and Investors on Friday, January 30, 2026 to discuss the Unaudited Financial Results and performance of the Company for the Quarter/Nine Months ended 31" December, 2025.
The aforesaid transcript is also being hosted on the website of the Company, www.aiaengineering.com in accordance with the Regulation 46 of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015.
Kindly take the same on record.
Thanking you.
Yours faithfully,
For AJA Engineering Limited
S. N. Jetheliya
Company Secretary
Encl.: As above
6
■
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"AIA Engineering Limited
Conference Call"
January 30, 2026

MANAGEMENT : M R. SANJAY MAJMUDAR - NON-EXECUTIVE , NON-INDEPENDENT DIRECTOR – AIA ENGINEERING LIMITED
M R. KUNAL SHAH – DIRECTOR – CORPORATE AFFAIRS – AIA ENGINEERING LIMITED

Moderator: Ladies and gentlemen, good day, and welcome to the AIA Engineering Limited conference call. As a reminder, all participant lines will be in the listen-only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Kunal Shah & Mr. Sanjay Majumdar from AIA Engineering Limited. Thank you, and over to you, sir.

Sanjay Majmudar: Is my line audible? Am I audible?

Moderator: Yes, sir. Now you are loud and clear.

Sanjay Majmudar: So have we started the call?

Moderator: Yes, sir. Go ahead.

Sanjay Majmudar: Yes. So, good afternoon, ladies and gentlemen, and welcome to the Q3 results call of AIA Engineering. I'm Sanjay Majmudar. And as usual, myself and Kunal, we will be taking this call. Unfortunately, Kunal is slightly stuck in traffic, and he will be joining in next 2 to 3 minutes.

So in the interest of the time, I will just, as usual, give a little overview of the Q3 numbers. I'm assuming that you all would have a chance to have a look at the numbers. As you will see in this quarter, we have done around 67,896 tons of production and 64,500 tons of sales. Cumulatively, therefore, till -- for the 9 months' period, this comes to almost 187,000 tons of production and almost a similar tonnage of sales. The overall top line in terms of the operating revenue stood at about INR1,066 crores, and including other nonoperating income, we have reported about INR1,200 crores as the top line.

The reported EBITDA is about INR425 crores, which comes to almost 40%. And the operating EBITDA is around 28% after knocking off the other nonoperating income. We have reported a PAT of about -- we have reported a PAT of about INR294 crores after deducting the minority interest. Correspondingly, for the 9-month period, the EBITDA stood at about INR1,093 crores and the PAT stood at about INR775 crores.

Now if I look at the numbers in retrospect, I have just -- Kunal has just joined. So Kunal, we were just giving the overview of the numbers for the Q3 and 9-month period.

Kunal Shah: Yes. Good afternoon, good evening, everyone. I also have a bad throat, so you're going to hear more of Sanjay Bhai than I have, you will hear of me. This quarter has been relatively a uneventful period.

I think we continue to do more of what we are doing, very little in terms of market or business update. I think it looks to be a year wherein -- or rather a period where there is tremendous amount of unstability around us. And possibly the best course of action is to fasten one's seat

belt and make sure that we survive this period, and we consolidate ourselves and to make sure that we thrive with everything else that we are doing.

Sanjay Majmudar: Just a small correction. The 9 months PAT stood at INR876 crores and the EBITDA stood at INR1,241 crores on a top line of about INR3,153 crores, and the total income of INR3,495 crores. You may continue.

Kunal Shah: Exactly. So for the quarter, we've done about INR294 crores PAT and INR425 crores of EBITDA. So the numbers continue to reflect all the value that we bring to the customers, and all of which forms a basis for what we are doing for new customers within the mining environment -- mining customer base.

Moving on, as far as other income is concerned, the total stood at INR135 crores. There is a reasonable amount of foreign exchange gain as the currency, as we all know, has moved beyond INR90. So there's a INR50 crores of foreign exchange gain. The rest is standard and customary. There's an INR18 crore export benefit.

and there is a treasury income of INR83 crores. So total about INR135

crores of other income.

We are assuming that foreign exchange and the export benefits are operational in the nature that the next year the foreign exchange gain will move into a revenue line item, assuming all our invoicing -- It looks like currency may not appreciate much from here, may continue to slide, as we all know, the Indian rupee vis-a-vis the dollar situation is concerned.

That stood at -- INR67 crores. So there is a marked increase in other income compared to the third quarter last year. I think everything else continues, working capital is in line. From a volume standpoint, volumes still reflect a little bit of issues that we've discussed over this period. So third quarter is at par with the third quarter last year, and 9 months is also similar.

So we are absolutely -- absolutely similar numbers in both these periods. We did 187,800 tons and about 64,500 in this quarter. Otherwise, numbers are comparable within mining and non-mining. While Sanjay bhai will speak a little more about how this forms, what are the basis, and things that we are looking at, broadly, business is as is from everything that we mentioned,

realization is similar. Our cash levels continue to be around INR4,200 crores.
We're not looking at significant capex beyond maintenance and some bits of remaining capex from our casting plant. One highlight was the fact that we've closed our plant in -- closed the plant of our subsidiary in Bangalore called Welcast Steels, and that reflected 24,000 tons of capacity. So we were at 460,000 tons, which was 340,000 of grinding media, 120,000 of nongrinding media. The grinding media now stands reduced by 24,000 tons. So 314,000 tons and 120,000 of castings, taking our total capacity from -- to 436,000 tons.
This year, we'll do current run rate about 250,000 to 260,000 tons. So we are still operating reasonably below full capacity utilization. And our facilities in Ahmedabad, we can look at more capacity as brownfield, plus our plans to go build things outside of India, as discussed in Ghana and China.

So with that said, even after the plant -- even after that capacity going off stream, it looks to be that we are okay as far as serving our customer base and serving our growth needs are concerned.
As far as market is concerned, like I said, just serious amount of uncertainty across the board. Every country is doing things in its own -- trying to protect its own interest.
There is lots of uncertainty around geopolitics with wars being raised in several regions, something that's going on with Iran right now, the Southeast. So shipping lanes continue to be fragile and high wired. So that's also a risk in terms of container availability, shipping line availability, shipping time and of course, the volatility in shipping costs. So having said that, just reflecting back on what are we doing with the customers. So the world is continuing to go put borders, duties, protective measures.
How does a company like AIA thrive and grow? What is the mindset? So we are saying that if that is the world that we live in, which is protectionist in nature, how do we look at our strength vis-a-vis incumbents or competition? And one of the fact is that India remains an extraordinary location for our type of products, which is not just production or hands on the factory, but it is the whole value chain, which is design, pattern making, production, customer interfacing, the whole service and metallurgy aspect, and of course, our production.
The ecosystem that exists in India for these type of products overall and the solutions that we have built on top, give us the confidence that despite what may happen, despite these turbulences that we are seeing on the ground, we all are seeing the serious surge in metals, precious metals, gold and silver, and there is a significant talk about what happens to copper.
And we were reading

about how the world has mined x amount of copper in last -- from -- till
the time humanity came, started mining, that amount of copper will needed to be mined in the next 20 years, just to continue a 3% growth rate. So there is just unreal amount of stuff happening. Copper looks to be in a structural bull run.
The world will run out of copper in -- with the way it's projected to be, and copper production is reducing in tonnage standpoint every year, every month, just because of the grade condition. And it looks like we are one of the only game in town addressing this serious problem.
So we are very excited of all our solution interface and engineering that we are doing in terms of solving those issues, solving those critical challenges for our mining clients, especially gold and copper. And with that said, we have to -- that does not absolve us of overcoming these duties and shipping-related issues or the general overall conservatism that we see with our customers in having to try out different solutions.
All we can do is continue to reinforce our efforts, ensure that our solutions become more and more deeper and bring more value addition to the client, and we are hoping that unlock happens.
We announced our first chrome customer in South America, and that's the first chrome consumer in the mining space. A lot of people then ask us, will that mean 100,000 tons coming up?

I think our guidance -- we'll continue to extend from our guidance, and we've explained, that's because of the lack of clear signaling from the customers on what means -- liking the product or getting the proof of concept to moving to full commercial engagement. There is a whole lot of steps involved. And we don't want to be in a situation where we go ahead of ourselves. So we'll do the work. We'll see the tonnages coming on, and we'll keep sharing as much as we can, but -- and share as much about the business, but you will have to pardon us for not being able to share volume guidance at this time.
So besides the developments within the win that we had last quarter, we do several trials. We

are working on several trials. A lot of -- some important trials which were -- which we were to get results of last quarter, look to have moved to this quarter, the March quarter, and that's just the way things are at mining end. There is just lot of unpredictable variables that we work with. So trying to say will we see clarity in 3 months, 6 months or 2 years is not also a question that, unfortunately, we'll be able to help.

And we are hoping that the numbers that we have presented and everything else about the business reflects the kind of effort that we are making to bring value.

That's, I think, the singular mission of our work where there is disproportionate value that we try and bring our customers. And that's one of the outcomes there is the financial numbers that we just presented. And hopefully, that will translate into sustainable growth going forward.

With that, I'll have Sanjay bhai, or maybe we can just go into Q&A.

Sanjay Majmudar: Yes. Just to add very quickly, as Kunal mentioned, in the last call we had indicated that some new solution package, solution-oriented trials are going on. I want to say that the trials are progressing positively. Only thing is it is taking a little more time given the complexity and the technicalities involved for us to get the results, but we are positively and quite excitedly working towards it. And that is the reason why in terms of opportunity it remains the same.

I think our uniqueness remains absolutely intact. The trials are going on satisfactorily. So let us hopefully wait and watch till we get the final outcome. With that, I would request the moderator to open the house -- open for Q&A.

Moderator: The first question is from the line of Rita Fernandes from Neo Asset Management. Yes Mr. Fernandes, go wi

th the question please. As there is no response, we'll move to the next.

The next question is from the line of Varun Jain from Dolat Capital.

Varun Jain: So sir, I wanted to ask you in your mining volumes which are close to 40,000 MT per quarter how much of it is in India? And how much of that is to -- approximately how much of that is to Hindustan Copper?

Sanjay Majmudar: Sir, we -- Mr. Jain, we don't give client-wise details. But broadly, you can say that if you look at the mining volumes, on an average around 3,000 to 4,000 tons maximum would be from India.

Rest all will be from outside India, but we'll come back to you. Just give me a moment, and I will look at the numbers. But most of the mining volume is from outside India.

Varun Jain: Yes, yes. No, I understand that. So sir, since in the initial remarks, you were saying that there's a lot of geopolitical uncertainty.

Sanjay Majmudar: Indian -- I would say that annually, the Indian mining run rate would not be more than 10,000 to 12,000 tons a year.

Varun Jain: Yes. But sir, like Hindustan Copper, they have said that they will increase their capacity from 3.5 million metric ton to 12 million metric ton by FY '30-'31. So that represents a big opportunity for AIA. How do you see -- like, will that give us 30,000, 40,000, 50,000 metric ton structural volume increase over the next 5, 6 years?

Sanjay Majmudar: Sir, it is like, if I've been very honest with you, our fundamental focus in mining is actually in the opportunity outside India. The reason is, we are looking at very large, much, much bigger markets like Latin, where between copper and gold we are talking of at least 0.5 million ton kind of an opportunity on which we are working.

Similarly, you look at Australia, similarly you look at some of the other markets, the key other markets being Africa, CIS, et cetera. So my point is that if you look at your sales, coming back to your specific question, mining volume in the domestic market in the third quarter was about 5,000 tons.

And 9-month period the mining volume -- one second, where is the 9 months. Okay. Yes. So on that run rate basis you can say that in 9 months, the volume was about 18,000 tons, in mining, in India.

Varun Jain: So sir, my question was that only sir, then for like 3.5 million MT of Hindustan Copper, if this is like 20,000. So that's a big number, right, for -- if they like quadruple in the next 5 years. So if you can also 3x or 4x these volumes. Do you think that is possible? Specifically, I'm asking for...

Sanjay Majmudar: No, no. So let me give you a very simple perspective. As I said over the previous calls also, we are currently focused on all these markets where the opportunity is significantly large. That doesn't mean that we are not looking at India. So wherever in India there's an opportunity, Hindustan Copper, doubling or tripling the production of copper is something that as and when we move ahead, we will definitely evaluate and see what best we can do.

But as I said, from a growth driver perspective, it is the mining opportunity outside India is where our maximum efforts are concentrated. In fact, for that matter, even iron ore production is going to go up.

So I'm not saying that India is not really a country of focus. But from a global perspective, the opportunity-wise, we are focused on markets which offer much, much bigger opportunity at this

point in time where we are already being engaged and we are working very aggressively over the last several quarters. We are working in India. We have taken lot of trials in India. We are supplying in India.
That's why if you see my volumes have grown. From quarter-to-quarter, we are currently in the run rate -- in India also, as I shared the numbers. This -- but I'm very clear, the focus is outside India.
Varun Jain: Ok

ay, sir. And my second question was on capex. So FY '26, I think you guided close to INR180 crores, out of which INR105 crores is done. So will balance INR75 crores be done in Q4? And what about this China and Ghana, like any time line on that?
Sanjay Majmudar: I'll tell you. Balance INR75 crores, INR80 crores, around INR30 crores is for our new solar hybrid capacity, which is committed, and which is 100% going to happen in Q4. Plus certain capex -- I would say a realistic number is in the range of about INR50 crores to INR55 crores. But let us see, we are working on it, for Q4.
Varun Jain: And sir, China and Ghana?
Sanjay Majmudar: China and Ghana, see, we have already -- we are in the process. So land is procured in Ghana. We are awaiting for certain clearances from the government. So that work -- but that is not going to be significant in Q4.
Varun Jain: No, no, sir, not -- I was not asking for Q4. I was asking what is the outlook? Like when is the plant -- when will the plants come up? That was the question.
Sanjay Majmudar: See, we believe, see in China, we have -- in Ghana, we have currently procured the land, done the site development and are awaiting for certain clearances from the government, which I'm expecting to happen in this quarter. If that happens, then over the next 1.5 years we should have the Ghana capex in place. China, we have initiated the process. We have set up a small lab also in China, and we are in the process of evaluating and finalizing the plants. But you can say over the next 1.5 to 2 years, we should have both the facilities in place.
Varun Jain: Okay, sir. And just my last question. So last call you said that 2 large mines were in advanced stages and 10 to 12 others were in medium stages. So what is -- like what is the conversion? And is this mill liner-driven approach working? And what is the mill liner capacity utilization for 9 months and Q3?
Sanjay Majmudar: See, mill liner-based approach is the focus on which we are working right now. As I mentioned -- Kunal mentioned, and myself also, I mentioned in the initial opening remarks on the call that the progress is happening satisfactorily, but it is taking a little time. So we are waiting. There are certain technical matters which we have resolved. And then again, those trials are progressing quite satisfactorily.

The process has taken maybe 2, 3 more months. So let us wait. There is nothing more that I have to add, but it is continuing.
Varun Jain: And sir, capacity utilization of mill liners?
Sanjay Majmudar: Capacity -- mill liners also, see capacity utilization currently working at around 50%.
Varun Jain: Okay, okay. So this is for 9 months or Q3?
Sanjay Majmudar: 9 months. 9 months.
Moderator: The next question is from the line of Priyankar Biswas from JM Financial.
Priyankar Biswas: So quite a steady quarter, I would say. So my first question is regarding, again, coming back to the trials. So essentially, like for the sort of the large 2 mines that we were on very advanced stages. So we should be expecting the results in the coming 2 to 3 months is what you are saying, right, if I understood it correctly?
Sanjay Majmudar: Correct.
Priyankar Biswas: Okay. And sir, one -- the thing is I wanted to...
Sanjay Majmudar: To be very clear, at least one mine in next 2 to 3 months, the second mine could be maybe 4 to 5 months.
Priyankar Biswas: Okay. That's even clear. Okay. And I also wanted to understand, let's say, how the Forex effect works here. So just for my understanding, so how much, let's say, of your sales currently, like a ballpark amount will also do, like is USD denominated?
The reason I'm asking is like a lot of your costs are INR denominated here. So eventually because

there is a sharp depreciation. So how should we see the realizations, let's say, in a rupee term going forward, like in that sense?
Kunal Shah: Kunal he

re. So, I think 3, 4 aspects to this, and I think we've shared this over currency conversations in the past. We are not -- don't -- we are not a Indian exporter who benefits or loses on account of the dollar change, because generally our -- the -- so first of all, our transactional currency is U.S. dollars.
We are not dealing with -- we are selling to 140 countries, but we are at best dealing with a Canadian dollar or a euro or Australian dollar and the U.S. dollar. So most of it is U.S. dollars.
So most of our exports transaction currency is U.S.
dollar, but the importing country generally would have seen a similar change like India has. So when you sell to Australia, when you sell to Brazil, when you sell to all these countries -- and by and large, is the rupee, so if my cost is -- my selling price is INR1,000. At INR80, I was

selling at, let's say, $1,200. At INR92, I'm selling at $1,150 or $11 whatever the math is. So yes, we do get to keep some difference.
When it's weakening, we do see -- we do get to keep some part of that, right? But by and large, it's a pass-through. So currency for us is a pass-through because it allows us to be more competitive, allows us to be at our optimal best. You get it? So when it appreciates or it depreciates like with raw material, there will be a lead lag effect before it all passes on.
But in a way, I don't think you can take our numbers and say currency has gone up 5%, so my margins will go up 5%. Basically, that's what I'm saying. There will be some remnant of a lead lag that will be there for next 2 or 3 quarters. Our endeavor is to make sure that it becomes a cost more rather than a margin conversation.
Priyankar Biswas: Okay. So maybe like what is the relative performance of the other local currencies also comes into the picture. That's what I understand. Also, like since you -- I think I heard during the -- when you were making your opening remarks, so if I heard it correct, like almost INR4,200 crores of cash you have. Now, I believe even this cash, it would also be largely USD denominated? Or is it like a domestic currency?
Kunal Shah: No. Outside of India we only have transactional operating cash, which is less than 10% or 5% of the money there. Most of our investments are in Indian rupees in India, most of it.
Priyankar Biswas: Okay. And just one more question, if I may squeeze in. Recently, we are hearing talks about the EU FTA that has happened, quoted like the mother of all deals. So can you highlight like what sort of tariffs that you -- or duties that you're facing in Europe at present? And so, if that deal translates like over a period of time, would there be any benefit?
Kunal Shah: We don't sell to Hermès, European luxury houses. Our customers are mines and cement plants. And generally, Europe is not a very active player in these fields. So Europe FTA, by and large we are neutral to it. It does not change anything materially for us.
Moderator: The next question is from the line of Devang Shah from DD Enterprise.
Devang Shah: Sir, the main question is currently, if I'm not wrong, we are utilizing the capex utilization -- the capacity utilization is around 75%, right?
Sanjay Majmudar: No, Devang, overall, if you see around 60% to 62%, see plant-wise, it will differ, but around, you can say, average 60% to 65%.
Devang Shah: Okay. So now -- sir, the thing is like if the global markets, the mining business is boosting up currently, what we can see from last 2 quarters, the mining business, the commodities are selling very good at the prices. So is it any, like further -- can you remark us like if the capacity utilization grows up by 75% or 80% or 85%, the EBITDA level what we are posting currently is 27%. So that will also increase or any plan like the capacity utilization to expand more?

Sanjay Majmud

ar: So Devang, there are 2 different types of questions that you have posed. The first part is are we linked directly to the fortunes of mining industry? So currently, you said that the prices of commodities are on the rise, does it create a separate set of an opportunity for us? Very honestly, we are a little agnostic to the mining industry cycles. What we are focused on is this conversion opportunity.
So just to recap, on the gold, copper and iron, these are the 3 main metals on which we are focused worldwide. Market is huge. Market for consumable is maybe more than 3 million tons.

But the addressable market for me on which I'm focused right now is maybe 1.5 million to maximum 2 million tons. Out that, the penetration is 25%, 30%, 35%, penetration of high chrome-based solutions. So it is this sweet spot of 1 million, 1.5 million tons on which I'm focused for conversion.
Now therefore, when I'm talking to the mines for conversion, I'm talking on 3 aspects. One, I'm saying a very simplistic thing that if you are consuming currently 8% to 10% of your total conversion cost is your consumable wear parts that I'm supplying, because my wear rates are very lower, I will reduce this consumption by 20%, 30%, so that your cost comes down to that extent. That is point number one. More importantly, it is the entire grinding and crushing efficiency in the mining on which I'm focused. Therefore, I'm working on 2 aspects: one, improvement of throughputs.
This is very complicated. We started off with SAG mills. We are currently focused on some very unique ball mill-centric solutions on which we have been talking about over the last 2 quarters, and we are still very excited about it in terms of -- though progress is slightly slow, opportunity is very positive, and it remains in that trajectory. Only thing is a little uncertainty as to what exactly -- when exactly we can start talking about the volume growth, et cetera. That's why we are quiet about it.
That is one. Second is significant reduction in the other operating costs like power, et cetera. So you improve your throughput, you save power costs, and you also incidentally save on certain other consumable costs associated with beneficiation process like cyanide, et cetera.
Our entire focus, therefore, is now a combination of unique liner plus our unique high chrome grinding media going as a package. So my point here is that whether a mining industry cycle is an upside or a downside, the benefit that I'm offering is much, much materially different than anything linked to cycle.
So this is the first leg of your question. And the second part of your question was that whether I will get the benefit of operating leverage. You see currently, we are doing a very decent EBITDA, even at the operating level because of very favorable product mix and a very controlled side of a cost. At this point in time, we haven't done any major exercise. But if theoretically volumes double, then of course, there could be some improvement.

Having said that, whatever volumes are driving this growth, if it is more of a grinding media, it could be a different issue. So I would say we are refraining from -- any guidance on the margins. We are saying that we are operating at a decent margin, and we want to continue operate at that level. Of course, our guidance per se on an operating side at a much higher volume is actually lower. We are talking of 23%, 24% and not even 27%. But that is actually not a function of operating leverage. It's a function of product mix.
Devang Shah: Okay. So it's -- possibly for next 3, 4 quarters, the capacity utilization will also not increase drastically?
Sanjay Majmudar: I would not want to comment on that, honestly, because if my -- the way I'm working on, if suddenly I get opportunity, I can increase my capacity utilization.
Moderator: The next question is from the line

of Bhavin from SBI Mutual Fund.
Bhavini: Could you give us a bit more flavor on the non-grinding media piece, which is the liners out there, especially if you could give us some -- what was the output on the metal liners and what was the output on the hybrid liners that we've kind of expanded? Where are we in that journey? And what's the kind of growth we are seeing in that segment of the business?
Kunal Shah: Got it. So Bhavin bhai, I think clear -- the strategy seems to be reasonably clear now on what we are targeting and how we are going about it. As part of that, which is the whole gamut of lining solutions, which becomes an interface so that gold and copper miners can see increased throughput, all of that. That requires us to go through a whole trial journey, right, where we are -- where -- we don't have case studies. There is resistance to doing a grinding media upgrade from forged to chrome, because where there is 0 process change, there is 0 equipment change, it just needs a forged process.
Then the lining conversation becomes a little more -- the challenge quotient increases a little more than just the grinding media conversation. And the good part is there is a whole trial journey, right? So where customers are -- where we are finding customers who are -- who have the most at risk from these issues, which is throughput drop and other things. And so we are in various phases of trials. And like you go into a trial, these are all unchartered projects.
There is learning, there is one more iteration. It could be a design iteration, it could be an alloy interface or it could be the whole solution that we have put together, which includes a few other elements, right? And all 3 put together is what makes it a little uncertain as far as time lines are concerned.

So the answer -- short answer is that our lining -- the whole lining solution that we have now put together, and which we are hoping allows us the breakthrough to sell linings plus grinding media together as a solution is going through very serious trial journey. This is in addition to doing work on the grinding media and the conversion, right, where we are saying -- So liners, we are trying to -- it's easy to fill the factory, and say I've got 30,000 tons more of linings.

But if that is not part of the solution and I'm just doing what the incumbent is doing, that does not further my goal, right? The goal is not to sell 30,000 tons of more liners and make INR200 crores of more profit. The idea is to sell 100,000 tons of liners plus grinding media as a solution and bring disproportionate benefit. And all of that happens as part of the solution. So that's the medium-term to long-term strategy.

And as part of that, all I have to report is that we are undergoing various trials. We are hoping some which have done well, where we are going to Stage 2, then some where we may have a redesign or a reintervention in one of the 3 things that I said, and the others awaiting either trial, time line or production or supply. So it's within the trial stage as we speak.

Bhavini: Sure. And then what -- if you could give us some indication in terms of the percentage of the volumes coming from miners, and -- basically, we have both the metal as well as the hybrid piece.

Sanjay Majmudar: So Bhavin bhai, as I said, in reflect to a previous question that we are currently operating at a little lower than 50% of our rated installed capacity.

In fact, if you look at rubber and composite, that is a relatively newer capacity that we have created, this is blended. In fact, that particular capacity is still available even at a higher level. What we are trying to say that as soon as this ball mill-related trials are over, there could be a significant uptake in the volumes of liners, which will also drive my grinding media. That is the whole story. You get my point.

Focus is now on valu

e creation rather than just pushing the volume of grinding media. And grinding media pushing is an incidental benefit I will get because of the uniqueness of the solution. So our approach for last 3,4 quarter, we have done this renewed strategy for which we are working very hard. Enough capacity is available. If I have to ramp up, I can easily ramp up further without any difficulty.

Today, it is not a question of capacity utilization. Today is a question of getting that significant breakthroughs, which once that happens, things can turn around dramatically. That's all I think we will say at this point in time. Let's --please give us some more time.

Bhavini: Got it. No. So the other part is -- and please correct me if I'm wrong, South America is the larger producer of the copper globally. And to our understanding, and please correct me, 40% of the end market for grinding media and liners is the South America market, where we have a negligible presence as we speak. And we have got some breakthrough over there.

Now in case we are successful, which we are, then given that the size of the market that is, we will quickly be running short of the capacity. So is that something that is there at the back of the mind that maybe some land, et cetera, has already been acquired, and we can quickly ramp up? This is the best case, while we have -- the last 4 years has been difficult, we understand. But do we also have the ability to pick up very fast in case the South America goes well for us?

Sanjay Majmudar: I think so. The thing is that with the work that we have done for China and Ghana, right, which is modular plants, a lot of that is quick setup. I -- As we speak, I think our capacity to set up production facilities is reasonably there. Plus we have our plants in Bangalore and Trichy that we can ramp up and put together. So I don't think capacity is going to be a constraint at all.

If you are seeing next 50, 70, we will not wait to get to 400, before we start thinking of a new plant, right? In fact, the day we cross 300,000, 330,000 tons, by the time the next 100 comes, we'll have the additional capacity up and about.

So absolutely, we are -- customers, in fact, want to make sure that we've got the capacity that any interruption does not make them suffer around it. So yes, we think about it. And there is a reasonable plan in place to not -- if that good outcome happens, we will -- it will not be because of the lack of capacity that we fall short.

Moderator: The next question is from the line of Varun Jain from Dolat Capital.

Varun Jain: So just piggybacking on the previous questioner's question. Sir, who is your biggest competitor in this mill liner business?

Sanjay Majmudar: Yes, there are 3 or 4 incumbents. There is Elecmetal, there is Bradken, and there's a OEM called Metso and then there is one more company from Indonesia. There are 4 incumbents who do mill linings, but these are all conventional. So there there's no design element. It is just using the design or the spec that came with the mill whenever it must have been installed.
Varun Jain: Okay. And sir, in this, there is no -- like in your grinding media business, you are trying to convert them from, say, forged to high chrome. Here, you are not -- you are supplying metal to metal, composite to composite like that. There is no conversion element in the mill liner business, if I'm understanding it right?
Kunal Shah: There is -- so conversion is not in the alloy side, while that could also be part of the conversation, we are doing our own design. So the conversion, in a way is where we are moving from whatever is the incumbent design to our design. And when I say our design, it also includes certain other elements that together become a solution.
So there is a conversion element if you will -- which is where someone uses a new element from what they are using currently.

So I don't know if you want to call that conversion or not, but we are not per se doing incumbent design and just producing them and supplying that. So whatever work that we look to do will be our design product.
Varun Jain: But the metallurgy is not what you are targeting for the mill liner, right?
Kunal Shah: Generally not. Generally not. No. It is also part of the conversation, but that's not what we are leaning with. In -- You're right, in grinding media, our main stay is to move from forged to chrome, which is a metallurgy conversation. There are other elements. Metallurgy could be one of them.

Varun Jain: Got it. Got it. And sir, just 2 housekeeping questions. So one is on this U.S. piece. So with the tariffs and all, have you seen any customer drop off?
Kunal Shah: It continues as is, but it's a punishing duty. But for now, the customers are paying and importing the product. Not sure what it means going forward.
Varun Jain: No, sir. I mean it's very commendable that with such high tariffs also they are -- if there's no customer drop off, really shows that your product is very hard to replace for them. And just last question, sir, FY '27, I think in the last quarter con call you had said that you will expect to get back to that 25,000, 30,000 MT volume run rate. So for FY '27-'28, can we build that in, can -- that much?
Sanjay Majmudar: I think so at this point in time. But the bigger issue is not this 25,000, 30,000 tons. The bigger issue is how much we can do as a market share the way we have done in cement, and how we can grow on a medium to long-term. So one is, of course, this year looks flat. But over the last couple of years, we have been struggling on various fronts.
So now this novel solution and the novel package that we are offering, we are looking at something very, very different, radically different than this run rate of 25,000, 30,000 that we are talking about. So I think, yes, that much we are not really worried about that 25,000, 30,000. What we are looking at is something very, very radically different. That's what we are trying to say.
Moderator: The next question is from the line of Vaibhav Shah from Equirus Securities.
Vaibhav Shah: So my first question is on the Chile order. So could you clarify whether the offtake has already been started or is yet to begin? Also, how should we think about the likelihood of this order converting into recurring basis, post the completion of this offtake?
Sanjay Majmudar: Yes, yes. So we have started supply. So Q3 includes supplies to Chile. And of course, it's over 18 months. So that way it will continue, and we are pretty confident that it should continue on a recurring basis.
Vaibhav Shah: Okay. Second question is on, since this is only a grinding media order, so are we also doing trials or discussion with them to expand into package solution going forward? And apart from this, the anticipated 2 or 3 orders in the next 2 quarters, so would they only be grinding media or will it be a package solution?
Kunal Shah: There is no guidance. There is no 2 or 3. I think these are all -- it ultimately gets down to some numbers. Unfortunately, you'll have to pardon us for -- what we are saying is for liners, we are in various stages of trials, right? And for grinding media, again, similar but a different trial journey that goes along, but that includes other discussions around visibility of shipping, costs of shipping, and overall resistance to what is happening.

So the Chilean customer, today we are focused on the grinding media bit. We're not trying to get into the solution conversation, because the grinding media has its own pathway, right, which is a little different than the solution pathway, right?
So -- and once one becomes successful and becomes tried and tested, then we'll have more strategie

s depending on what is the pain area at the customer. For now, I think the input is more on what we are doing from our side than to give any color on one client, 2 projects, what happens in next 6 months. We really have very little to say about it, and we'll share as those developments happen.
Moderator: The next question is from the line of Ravi Swaminathan from Avendus Spark.
Ravi Swaminathan: My first question is, sir, with respect to the current significant rally in gold and copper prices, some of our existing large clients related to gold and copper, are they coming back to you, discussing about increasing the mining output so that in one way, supply is catching up to the rally in these commodities?
Is that happening, something that are you seeing where the customers are saying -- coming back to the drawing board, and saying we want to increase supply. So therefore, you need to supply more grinding media? Is that something which is happening?
Kunal Shah: Ravi, this conversation -- the shortage and the problem is what we are seeing from 3 years. It's reflected in this high rally and it's become public news today, right? This is exactly what we've been saying is the top issue for a miner, for a copper miner, forget the rally and the financial consequence of it.
Like I said in my opening remarks, the world has mined 700 million tons of copper in all its mining history, right, which is all the wires and other things that we have. If the copper consumption grows only at 3%, which is normal world growth rate, you will need another 700 million in next 18 years, okay?
Now you add that with AIA and your data centers, the amount of copper used in a data center is madness, then you have all the transmission for the renewal that comes in, renewables, and all your electronic device consumption, if all of that is growing, there is no copper coming up. There is limited mines coming up, right? New mines take 7, 8, 10 years to come along. They are all in ecologically sensitive environment. There are political issues.
In that sense, there is a clear and present danger that the world cannot produce enough copper. Now, something else will come along, demand goes down, all of these things we don't understand. But the mine -- new mines are not coming up, and the same mine is not able to produce the same volume they did last year. So even before the rally, this was a problem for the miners, because whoever is in the mining space saw the writing on the wall. You get it?
So to that extent, it is a clear and present danger. That does not mean that they are saying -- dropping all their anxiety or the concerns around the new solution and saying let's just try. They

will apply their normal due diligence and protection measures to contain the risk out of this solution. But whoever we are talking to is absolutely very interested and fearful of making a change. And that's the dichotomy that we'll have to live with, right?
Sanjay Majmudar: So just to add, Ravi, very important aspect of our solution is the fact that if you look at the key mines where we are working, some of the major ones, we can't name them, they have a history of last 3 years where, because of the depleting quality of the ore, their output is, in fact, going down rather than going up.
One of our value propositions is that if you use our solution, without incurring major capex, we will be able to improve your throughput, and therefore, allow you to maintain your output.
Majorly when they cater new and mine new, if they get any new lease, so we will be there as a part of the long-term solution. But currently, it is helping them solve this key concern, and helping them reduce their cost and improving their throughput is what our focus.
Ravi Swaminathan: Understood. And sir, second question with respect to the volumes that we had lost, some -- close to around 40,000, 50,000 tons

related to the geographies over the past 5, 6 years, that is South Africa, Canada and Brazil due to the duties, et cetera. How much of it would we have recovered? And how much more potential is there in terms of recovery?
Kunal Shah: How much more potential for...?
Ravi Swaminathan: No, no, the volumes that we have lost in South Africa, et cetera.
Sanjay Majmudar: There is no recovery in South Africa at this point of time.
Kunal Shah: I mean, listen, these are all protective measures. That's not -- it's a little speculative to imagine regime changes, duty changes. It is what it is. We have to move forward from here, and focus on what we can action on. I mean, any recovery of volume is linked to changes in duty structures,

and that's something that I think are here to stay.
So, I mean, we have stopped agonizing and speculating on when it will happen. We have to create a solution that will survive even that. I think that's the message that we are internally taking away and working on.
Ravi Swaminathan: Okay. So out of that 50,000 tons of lost volumes, not much would have been recovered is the way we should look at...?
Kunal Shah: No, no, no. The total volume lost would be in excess of 75,000, 80,000 tons. We would have been -- was there no duty protectionist measures that the world has put up over the last 5, 7 years, that 80,000 tons of volume is overall that we have lost on duty measures. So that's what it is.
Ravi Swaminathan: Understood sir.
Kunal Shah: I'm only happy to report that my profits have gone from INR600 crores to INR1,100 crores, despite losing 30% of my volume.

Sanjay Majmudar: No, we have gained elsewhere no. There is a replacement, compensation.
Ravi Swaminathan: Compensation in the sense, you're talking about volume...
Sanjay Majmudar: See, 60,000, 70,000 tons of volume loss is replaced by the new mines or the additional orders that we have got, that is how we have maintained a flat trajectory or a marginal growth. You get my point? That's what I was trying to hint at.
Ravi Swaminathan: Understood. But the steady cut in duties that we have seen in certain countries like Brazil, et cetera, has this helped in you able to negotiate with the client and tell that please get back the -- please give back the volumes. Has that happened?
Kunal Shah: Not really. I think, like I said, let's -- for wherever there is duty, let the country be, right? That's something that there's enough for us to continue where some of these barriers are lower, and we continue to work with that.
Even in duty impacted areas, if my solution can prevail. But would I rather work on where there is -- the duty barrier is lower, where there is an opportunity or should I go to the last bastion where there is an additional challenge for a duty cost impact, right?
Ravi Swaminathan: Understood sir. Got it.
Moderator: The next question is from SP from AB & Company.
SP: Sir, we have a subsidiary by the name Welcast Steels. So what is the future of that company, considering that the plant is closed now?
Sanjay Majmudar: No sir. See, we have closed that plant, and we have also made disclosures on the Stock Exchanges. The reason is it was a fairly old plant, and we had created significant alternate capacities in our Ahmedabad facility. Correct? So it was not viable for us to invest heavily into that plant and to make it operational, and therefore, we have closed it.
So closure of that plant at this point in time, there is no plan to reopen it. So you can treat that particular thing as done and dusted. Having said that, today -- and if you remember couple of times, we tried to delist Welcast also being a listed company, but it could not be successfully done. So right now, currently, we have reduced all the operational expenses to the bare minimum. And we will see as we move forward how to deal with it.
SP: Sir, why was the subsidiary acqu

ired in the first instance…
Sanjay Majmudar: No. That was done before 25 years. When we did not have adequate capacity, we had acquired it even before AIA started setting up expansion projects in Moraiya and Kerala. You get my point? So this is the history. Welcast was with me even before AIA went public.
SP: Okay. All the best, sir.

Sanjay Majmudar: It was when we severed our relationship, and we severed the JV, and we wanted some capacities quickly for southern markets. We got this opportunity as a listed company, previously owned by Times of India family. It's a long history, sir.
Unknown :: Okay. And all the best. Yes.
Moderator: As there are no further questions from the participants, I would now hand the conference over to the Management for the closing comments. Over to you, sir.
Kunal Shah: Yes. Thank you so much. As always, Sanjay Bhai and I remain for any follow-on questions offline. Wish you a very good evening -- rest of the evening, and look to connect with you at the end of our fourth quarter numbers. Thank you.
Sanjay Majmudar: Thank you.
Moderator: Thank you. On behalf of AIA Engineering Limited, that concludes this conference. Thank you

for joining us, and you may now disconnect your lines.

Call: May 2026

AIA Engineering Limited
May 29, 2026
To,
The Manager (Listing),
The BSE Limited
Phiroze Jeejeebhoy Towers,
Dalal Street,
Mumbai - 400 001
Script Code: 532683
Dear Sir/Madam, To,
The Manager (Listing),
National Stock Exchange of India Limited
"Exchange Plaza", C-1, Block - G,
Bandra-Kurla Complex, Bandra (E)
Mumbai - 400 051
Script Code: AIAENG
Sub: Transcript of the Investors' Conference Call held on May 26, 2026
Pursuant to Regulations 30 and 46(2)(oa) of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed herewith the Transcript of Conference Call held between the Company and Investors on Tuesday, May 26, 2026 to discuss the Audited Financial Results and performance of the Company for the Quarter/Year ended 31° March, 2026.
The aforesaid transcript is also being hosted on the website of the Company, www.aiaengineering.com in accordance with the Regulation 46 of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015.
Kindly take the same on record.
Thanking you.
Yours faithfully,
For AIA Engineering Limited
S. N. Jetheliya
Company Secretary
Encl.: As above
CIN: L29259GJ1991PLC015182 An ISO 9001 Certified Company
Corporate Office : 11-12, Sigma Corporates, B/h. HOF Showroom, Off S. G. Highway, Sindhu Bhavan Road, Bodakdev, Ahmedabad 380 054. Gujarat, INDIA. Ph.: +91-79-66047800 Fax. +91-79-29900194
Registered Office: 115,G.V.M.M. Estate, Odhav Road, Odhav, Ahmedabad - 382415. Gujarat, INDIA.
Ph.: +91-79-22901078 Fax: +91-79-229010771 www.aiaengineering.com, E-mail: ric@aiaengineering.com

“AIA Engineering Limited
Post Results Conference Call”
May 26, 2026

MANAGEMENT : MR. SANJAY MAJMUDAR – NON-EXECUTIVE AND NON-INDEPENDENT DIRECTOR – AIA ENGINEERING LIMITED
M R. KUNAL SHAH – EXECUTIVE DIRECTOR – CORPORATE AFFAIRS – AIA ENGINEERING LIMITED

Moderator: Good evening, ladies and gentlemen. Thank you for standing by. This is Darwin the moderator for your call today. Welcome to the Post Results Conference call of AIA Engineering Limited. We have with us today the management team of AIA Engineering Limited. At this moment, all participant are in the listen-only mode, later we will conduct a question and answer session at that time. If you have a question, you may press star and one.

I would now like to turn the conference over to AIA Engineering management team, Mr. Kunal Shah and Mr. Sanjay Majmudar. Thank you, and over to you, sir.

Kunal Shah: Thank you so much. A very warm welcome to all of you. This is Kunal and I have Sanjay bhai here with me on the call. I think this quarter is business as usual. There are a few highlights that I would like to discuss. But generally speaking, nothing of note that is different from all that we have spoken about last quarter.

I will start with a quick recap of numbers, and then we can get into Q&A. We've done 70,000 tons of sales for the quarter for a full year sales of 258,000 tons, largely flat from full year last year, which was 255,000 tons and compared to 68,000 odd tons in the fourth quarter last year. There is it has translated to INR1,251 crores of top line for the quarter. And INR4,355 crores for the full year.

EBITDA of INR502 crores for the quarter. And INR1,744 crores for the full year translating into a profit after tax of INR393 crores and a full year profit after tax of INR1,270 crores. This quarter, I think, has been the highest ever profit after tax EBITDA for the company and we are very happy to report numbers where in a period of serious macro uncertainty serious macro headwinds.

And this is -- a lot of these outcomes are linked to a lot of efforts that we are bringing to our customers ultimately to improve their operations, right? So that is one aspect of it. Of course, there is a benefit that accrued on account of currency. There is INR65 crores currency that's sitting in the EBITDA for this quarter and which is about 4% or 5% in EBITDA or operating margins coming from the currency as other income.

Of course, if the currency remains at this level, then it will translate into the rupee realization. So moving on our total other income for the quarter is INR132 crores and INR474 crores for the whole quarter -- for the whole year. INR15 crores comes from export benefits business as usual treasury income of INR67 crores, again linked to our treasury business as usual and a foreign exchange gain of INR65 crores, INR64.47 crores, which is linked to the rupee depreciation.

We also had a higher amount of sales of castings in this period. So the combination of the rupee weakening income on account of currency and the product mix has translated to a realization per kilogram of about INR178 for the quarter, but for the full year remains at INR165.

So I think the next set of questions would be what does this quarter mean? How do I apportion for the rest of the year? I think this quarter has this one-off in terms of currency and the product mix one can consider m as a business as usual realization for the full year. Moving on, I think

working capital at par with what we have done. Tonnage at 70 includes about 45 from mining and 25 from non-mining and for the year, INR258 crores about INR160 crores comes from mining and the rest comes from non-mining.

With that said, total cash -- net cash is about INR4,300 crores. We spent about INR130 crores on capex. This year, other than our investments in Ghana and China which as we speak are under paperwork approval procedures, there is no spend have done. I also do not have an estimate of how much we will spend on the plants because that depends on how much will be spend this year because as we speak, they are in

I think, a WIP status as far as just getting everything else around it put together.

I hope in a quarter or two, I have more updates on what's going on with those two plants. But for other than capex that we may do in plants outside of India, for India, total outflow of between INR60 crores and INR100 crores on all sorts of maintenance capex that we need for our plants, balancing equipment upgradation, cost saving initiatives, etcetera and some investment to finish out our renewable portfolio.

After which I think we're going to spend about INR30 crores that's balance on that. The renewable about 60% of our power or 65% of our power once that comes online, which is by June or July will come from renewable sources. Of course, it's a cost saving, but it's also renewable footprint for our power resources.

So total, we don't expect more than between INR100 crores and INR150 crores of outflow on accounts of maintenance capex and the renewable balancing investment left for the renewable part. One important -- so from a market standpoint, the macro headwinds all of us are aware about. But just to reiterate, there is extreme uncertainty as far as global shipping is concerned. There is -- just bizarre events happening where prices are volatile, availability is volatile and customers' anxiety around global shipping. So, shipping remains to be a proxy for global

geopolitical uncertainty and hence, the shipping uncertainty and that plays a role where people are -- customers that migrate to our solution will be exposed to the global supply chain. That's something that we have to take in our stride.
We are hoping world will normalize, if not today in a few months' time, and it will get back to business as usual, but that is an impediment today. Other than that, there is where every country is going back to bringing borders on. We have seen duty measures. We've seen antidumping measures.
We've seen Trump and U.S. bringing measures to protect local industry. I think every country is going to look for their own interest cost. And to that extent, protection is measures are, I think, for us, a business as usual situation and we are creating strategies that allow us to grow on a sustainable basis, taking that in our stride.
One of the updates from a business standpoint, I think from a product and a solution standpoint is that a lot of people are asking us about what's happening on the market, what are we doing and we've been speaking about it. But we would like to share a little more color on a specific aspect of our solution engineering, which is linked to the discharge system.

So, when you have these grinding mills, you've got grinding media, you've got linings and then you've got linings at the discharge end. And that -- we are calling it new generation discharge system. That's part of our overall solution. But we had a big breakthrough last month where one of a very marquee customer we implemented our solution of the discharge system which is the linings and the solution linked to the discharge system.
And it brought in material benefits, which is throughput improvement power reduction. And in a larger-size mill where the operating conditions are significantly abusive in a sense of the amount of material that's being handled every hour and the kind of impact conditions inside. And over 2 years, we work with that customers gets sharpening and refining our solution, doing multiple rounds of supply. And finally, we've gotten that customer -- we've gotten that win for the customer, right? We've gotten that important unlock for that one customer in South America where all these benefits have accrued.
And that just reinforces the conversation that we were doing that as we progress to a solution offering, which is grinding media linings and when I say linings, it includes these solutions around discharge systems where there is a material

benefit for the customer, which is throughput
and which is an important problem at the mine site, which is where grade of ore is worsening in the metal output is falling, in which situation this unlock where better throughput actually solves that critical bottleneck for the customers.
We've gotten this important win. I will caveat it to say that this is -- it is in a direction. So a few quarters back, we spoke about our first customer where we got a 15,000 ton order for an important mine in South America. Now we've got a lining win where the proof of concept in terms of all that we have been speaking about has come through.
I think it is all moving in a direction where solutions that AIA is providing will have disproportionate benefit for the customer or rather play a role in solving the top 2 or 3 bottleneck, which is worsening ore grades, which is falling metal output, power consumption the saving in the power first footprint.
The recovery that comes from the copper or gold recovery that comes out from the ore, thanks to the down-process benefits. I think all of that is now coming together. And we are hoping these solutions ultimately allow for the unlock, which is for a larger quantity of orders as a combination of linings and dining media.
I still don't have an answer on what will happen. Please help us with not asking specifics on this quarter, next quarter or next year. I think there is a large market. 800,000 to 1 million ton market for gold and copper and all mines facing critical issues. And we have a solution that we allow -- that will allow them to unlock and allow them to overcome some of these critical issues and unlock growth for us.
So keeping that caveat in mind, we are happy to share this updates that there was an important win in terms of proof of concept of our solution. With that said, I will have Sanjay bhai share his comments from last few quarters and the Board meeting today, and then we'll get into Q&A.

Sanjay Majmudar: So, thank you, Kunal, and a very, very warm welcome to all of you and a very good evening to all of you. As Kunal explained, what has happened is, as you know, we have been over the last

few calls talking about these trials that are going on in some very large mines. So the one that we have spoken about is a successful outcome of that one of the critical trials.
It is very important because that establishes the efficacy of the solution that we have been talking about in a very novel way, where I believe AIA is the only company in the world which is offering this solution for ball mills, apart from the segment solutions that we were offering earlier. And ball mill is an area of concern for all these mines. Two things: ore quality getting depleted, ore becoming harder.
So even for maintenance, particularly in the metal categories like gold and copper, this was very challenging. We believe today what we have now announced what Kunal has announced that this trial success has been sort of watched quite eagerly by large mines worldwide. And I think that can pave way for a systematic and long-term journey for AIA.
Of course, many challenges have been there over the last few quarters, people have been asking. But now with the solution being there, we felt it appropriate to at least share that this is what has happened, which is very encouraging. And internally, we remain very buoyant and confident about medium to long-term very, very strong growth prospects.
So, with this, I would request the moderator to open the call for Q&A.
Moderator: Thank you very much. Our first question comes from Varun Jain from Dolat Capital. Please go ahead.
Varun Jain: Good evening, Kunal bhai. Good evening, Sanjay bhai. So, congratulations on a good set of numbers and on the mine conversion. So just on that, so this mine conversion, what is the sustainable volume it will add every year to AIA

?
Sanjay Majmudar: So Varun, as we said, the current trial was based on a combination of lining system plus the new generation discharge system. The whole approach that we had adopted over the last 1.5 to 2 years was to take the clients away from discussion on the pricing, which was already and always creating headaches about antidumping and all those issues and create a system whereby the mining efficiency and the mining output and their operating costs can be effectively significantly altered.
So, I think what we are now currently envisaging is that it's too early for us to give you any clear-cut idea about X volume, Y volume. What is important is that with this success, the addressable market which is very huge becomes very closely and immediately reachable. It takes time. I can't just tell you that today, I will get X number of orders. But very important, the same client was very happy.
And we have now got a very, very strong reference point where large mines in the world would be eagerly talking. Again, as I repeat, the strategy is to talk about the solution based on this lining and the discharge system radically make their problem solved. And then as a corollary, automatically also talk about grinding media, which is a high-volume business.

So, this is just a strategic shift. Volume growth will come, should come. Let us wait for a while and let us see how it assimilates. But what was very encouraging what we have shared. So at this point in time, we feel it's a little premature to give you any volume guidance, but a very positive thing has happened, which we wanted to share.
Varun Jain: Okay, sir. And sir, this customer, this is -- I'm assuming this is a Chilean copper mine. Is that understanding right? And on that, we were hearing that there are some reports that the...
Sanjay Majmudar: Let us confine it to one of the very large mines based out of South Africa -- South America, sorry.
Varun Jain: Okay. Okay. And on that only, sir, in South America, we are hearing that there is a sulfuric acid shortage because of which some smelting operations in copper mines have stopped. So are you also facing any issues like that?
Sanjay Majmudar: No, no. Nothing of the sort. See, we are talking of a very large headroom correct. We are not saturated in terms of conversions, but we are talking of a very large headroom. Some momentary sulfuric acid shortage doesn't affect us in any manner at all in as much as this endeavor is going on.
Varun Jain: Okay, sir. And sir, on the realization, so this quarter, you had the highest ever realization. It's crossed INR180 per kg. So sir -- and you said that it's not sustainable. You're guiding INR155. So, assuming...
Sanjay Majmudar: INR165 is the -- if you see the annual average, it is INR165 and that's there abouts. You see what happens is the function of product mix. So last quarter, we had a very heavy tilting in favor of more value-added casting and therefore, this shift plus the rupee depreciation also has a mild impact, partial impact on that. But I think a sustainable figure is INR165 and thereabouts as Kunal explained.
Varun Jain: Yes. So sir, my question on that was that since this conversion you said is like a mill liner plus

grinding media and further conversions will also...
Sanjay Majmudar: It is not grinding media.
Kunal Shah: Sorry, the point is that going forward, as we model the product mix, you can consider INR165 as the realization.
Varun Jain: No, no sir. My question was that since it's not a grinding media, it's mill liner, so then structurally the realization should be higher only, not because these are...
Sanjay Majmudar: You are right, you are right. But the plan is to sell grinding media right? It is not to sell just liners or non-grinding media. Both will grow in proportion, which is why consider INR165 right now.
Varun Jain: Okay. Okay. And sir, in Q4, your tax

rate was much lower, like close to 16% or so. So why was that?

Sanjay Majmudar: Sir, first, Q4 was the final adjustment of the tax for the whole year minus already provided for. That is the first time answer. Second answer, this year overall for the whole year tax rate is couple of percentage points lower because of 2 reasons. One, there was a what do I say a refund -- a significant refund that came in one of our subsidiaries, almost INR15 crore.
Second, another factor is that in one of the other subsidiaries, we have also provided for what we call as a deferred tax asset because of a reversal that we are getting in the current year. You consider it as 22% effectively.
Kunal Shah: There is a one-off in this quarter linked to other adjustments, reversals, provisions, etcetera, where there is a INR25 crore, INR30 crore tax lower than what it should be.
Varun Jain: Okay. And sir last question from my side, sir, what was the mill liner utilization for metallic and composite? And what is the minimum volume growth guidance for FY '27?
Sanjay Majmudar: We are not giving any specific numbers about metallic or composite. We are doing -- we have a good traction on the mill liners. We will only talk about the overall volumes. But please understand, as I said, one of the key trials where we were very anxious has become successful.
So, there are good things likely to come. Let us wait for a while.
Varun Jain: Okay sir. Thank you and all the best.
Moderator: Thank you. Our next question is from the line of Ankur Periwal with Axis Capital. Please go ahead.
Ankur Periwal: Yes. Hi, Sanjay bhai. Hi, Kunal bhai. Thank you and Congratulation for the new client win there. So first question, while you are not disclosing from a volume growth perspective, have we got any initial orders from this customer given that year-end order book is much higher than what it used to be last year. So, from that perspective, have we got any?
Sanjay Majmudar: No, no. So after the successful trial in one of their mines, they have immediately also given us the order for the second mine conversion. That's all I can share at this point in time. See, we are under very strict confidentiality clauses you must appreciate.
Ankur Periwal: Sure, sir. No worries on that. And just a follow-up on that. What is the capacity utilization here for us both in mining as well as in grinding media?
Sanjay Majmudar: Current capacity utilization this year is about 55% overall.
Ankur Periwal: Okay. But there will be higher demand for castings here for this client, right? So has there been a jump in that numbers in castings?
Sanjay Majmudar: Castings production has gone up, but still, we have enough capacities to cater to the expected increasing volumes that might come over the next couple of years. And as you know, as per our policy, we always move a couple of years in advance. So as and when we see the traction coming.
We have enough wherewithal to quickly.

Currently, whatever 4,36,000 tons capacity, in front of that 2,58,000 tons our production is done.
We can go up to 70%-75% utilization. As and when the utilization improves, we will also keep on adding incremental capacity. That is where, at this point in time, Ghana as well as China are on a bit slowdown mode. However, we can accelerate as and when needed.
Ankur Periwal: Great sir. That's helpful. And just lastly, if you can help with the update on the ADD, the custom duties, etcetera, which is going on in multiple countries. Any changes there and any demand uptake because of that?
Sanjay Majmudar: Status quo continues, as is.
Ankur Periwal: Okay, sure. That is, it from my side, sir. Thank you and all the best.
Management: Thank you.
Moderator: Thank you. Our next question comes from the line of Devang Shah with Ant Financial. Please

go ahead.
Devang Shah: Yes. Hi

, sir. Congratulations for the good set of numbers.
Sanjay Majmudar: Thank you.
Devang Shah: My major query is if China and Ghana is slowing down, sir, geopolitical tensions are going to be there for next 1 or 2 quarters. If we imagine that thing, if we expect that thing, then is it okay to again, our company will quarterly post an operating profit margin of about 23% or something like that?
Sanjay Majmudar: No, no...
Devang Shah: That will be difficult to sustain?
Sanjay Majmudar: No, no. I think you have mixed up 2 things. One, currently over the last couple of quarters we have been putting our full force, I would say, over the last 1 year on this new solution and the new system on which we are now offering the global mining customers something unique on the platter, correct?
So, when we say that China and Ghana are slowing down, we don't mean to say that we have shelved them. What we have said now that the focus is clearer, we will once again take a call and start accelerating that, point number one. So that has nothing to do with my margin. Okay. I have an operating margin even today. If you see my operating margin after excluding other income is about 28%, 29%.
What we are saying in the past, that as and when the volume grows, as and when the product mix grows and more and more grinding media is sold, because that product mix is bound to then tilt in favor of grinding media as a large volume giving proposition. Then the operating margins in absolute numbers will grow, but as a percentage can come down in the range of 26%-24%.
This is what we were explained. There is nothing related to Ghana and…

Devang Shah: Okay sir. Got it, sir. The major -- the other thing is, as from 3 or 4 quarters, like we're expecting the capacity utilization is going between 55%, 60%, 65%. So is it -- at this continuation capacity utilization, aren't we facing like in further going forward, aren't we going to feel the pressure?
Sanjay Majmudar: What sort of pressure my friend? I mean...
Devang Shah: Like for the shortage of...
Sanjay Majmudar: No, no. So I explained in the earlier question that current 55% utilization, I can go up to 70%-75%. So I can go from 1 lakh tons, 2.5 lakh tons to 3.5 lakhs tons easily. within the available capacity. Okay. Now, this is not an automatic line item which just increases.
So as soon as we start getting the traction, we have paused our one brownfield expansion in GIDC, Kerala which is nearer to Ahmedabad, not your south Kerala. Tso that I can do immediately. So in 6 months to 1 year -- I can further push another 50,000-75,000 tons.
I have enough of land plus infrastructure available. So we'll see as we go ahead. Simultaneously, 100,000 tons capacity which we were planning between Ghana and China. For Ghana, land and location is finalized so if more 50,000 tons I want to put, I can do that Sir, we never face a capacity shortage.
Devang Shah: Okay. And sir, any plans to further usage of the reserves are there on the books? Is it like our last con call, it was about some takeover was there or something like buyout was there or something like that. Are we on that track only or we are not?
Sanjay Majmudar: No, no, I don't think we have ever talked about any takeover or buyout. So I think there's some confusion here. What we have said we are conservatively, we have been maintaining a fairly high level of cash.
We have said that till we reach optimum positioning in terms of what efficacy of our solution and stability that we want to bring in as a consistent growth and clear direction we want to carry a little extra cash with us. As soon as we reach that, we will think of other avenues of reducing that cash. But at this point in time, there is absolutely no such announcement, which please note.
Devang Shah: Okay, that's fine. That's all from my side. All the best. Thank you, sir.
Moderator: Thank you. Our

next question comes from the line of Priyankar Biswas with JM Financial.
Please go ahead.
Priyankar Biswas: Congratulations, Kunal and Sanjay bhai. So particularly, I would say the conversion itself was a great news. So just coming back on that. So can you provide me some color like this sort of large conversions, how should we look at the pipeline, let's say, if I have to take like a 2, 3-year views? And based on that, let's say, like today, we have a mining volume of something like 160 KT, right, for FY26. So, let's say, by FY29 or FY30, where are we aspiring to be?
Kunal Shah: I think the first part is that what we're trying to speak of is that the goal has shifted from just selling grinding media to selling a package or a solution which is linked to a disproportionate

benefit to the customer, because if we are able to ensure this strategy work, then duty shipping,

all of that becomes far insignificant versus just a commodity supply, right, or just a product transaction of supply.

That is the endeavor. How do we retool the company or how do we tool the company to survive next 50 years with a clear moat and the moat comes from a sticky offering and the offering comes from engineering and engineering comes from the solution.

So that's the pathway for us. So, this is the point is that in a mill which is handling a few thousand tons of ore per hour to be able to create this level of impact is something that has been painful lot of learning, but has happened.

Now the question is -- and that's what my opening line was or introduction to this point was that, I can't today convert it into goals and outcomes. So, if I'm saying there is 800,000 tons to 1 million tons of ore market today and let's say, 100,000 or 150,000 tons of mining market.

That is a significant market in South America that -- where we are now pursuing with a very strategic intent, right. That here is the goal, here is the tactics. And once this traction is found, it is -- I don't think there is an answer because we've seen this in cement in the past where in 5 years, a large part of the incumbent got converted to pro. You've seen this in platinum in South Africa. We've seen this with iron ore, let's say, 15, 17 years ago.

So, we are hoping that once a critical mass is reached as far as references is concerned and the solution has been tried by a few people, the adoption should be fast. Now that does not mean it will happen in 2 years, 4 years, 20 years, right? We really don't have an answer over there. We are sharing what we are doing from our standpoint. You guys have far better networks in references to go speak about where -- what we are saying, what does it mean in the scheme of things.

So, I think it's a long-winded answer. The short answer is we don't know, right? We hope that what we're doing with 1 or 2 or 5 mills, and we've done this for other size smaller, medium-sized mills, maybe 15 other mills, right? This is one larger one that we've done in the area. We are hoping that this gives us predictable growth going forward.

But you'll have to allow us a few more quarters or we keep updating as more information gets clear. If I share anything now, it is more coming from an answer that is unsupported by ground reality or signals from the market that I can build on.

Priyankar Biswas: Okay, Kunal bhai that's a very clear. Maybe we can refer back to, let's say, when you did this large-scale cement conversion. So, I see over FY2006 to FY2010 where your volumes almost literally doubled in a span of 5 years, maybe take that as an approximate. But coming back, so I think this technology you had developed almost like 6 years back, if I recall correctly, this...

Kunal Shah: There is a discharge system that we are seeing. So, the whole bit has been a 10-year journey, but the whole mining conversation in the form and shape, because the solution is the old concept

,

we've been doing for cement, right? The mill linings kept coming in 5, 6 years ago. The down process for grinding media has been -- we've been doing that from 2017, 2018, 2019. So, that's been around for 5, 6 years.

But the discharge system has changed the whole conversation that is last 2 years, last -- not even 2 years, right? So, what we have been saying lining systems includes this additional element which is part of the lining offering, but it's a very different shape and form than what we were talking about 18 months ago. This is a very recent development, and that it's built on all the knowledge. It is not a standalone plug-and-play that something came up and we are now talking about it.

It's a journey where we discovered while we were solving for something else, we realized the bigger problem. We realized we have a engineering capability to design a solution on top of that. And that's what I think excites us the most because that ultimately forms the core offering through which grinding media lining will be sold. I would say this is not older than 18 months. The solution that we are now pitching around which the whole solution is built is last 18 months.

Priyankar Biswas: Okay. So, it's more like a 10-year evolution. So, you started from the down systems and went to like last 5, 6 years, the lining part. And now you have developed this new generation...

Kunal Shah: So, our North Star is that I cannot be a transactional product supplier, right, which we haven't within the mining space, we've gone up the value chain, right? Our goal is that how do I -- I cannot exist on a multi-decade moat driven offering, unless I'm doing something extraordinary

difficult to do, something that is also disproportionately impact the customer, right?
And that's the path that we followed in the past that we are doing now. So, how do I improve
throughput? How do I reduce cost? How do I reduce power, how do I improve recovery.
Everything that we are doing is ultimately going into those outcomes. And as we went -- kept
going forward, we kept discovering better and more impactful ways to influence some of these
outcomes.
Sanjay Majmudar: And Priyankar just to add to make a statement as an Indian company that today in this space,
which is dominated by giants. There is nobody in the world offering a similar solution, is a very
tall statement, and I think we are very proud about it. So, let us wait and see how it unfolds.
Priyankar Biswas: And just last thing if I can squeeze in, that like some of statistics point of view, can you provide
like with your solution, what sort of savings, like if you can, let's say, quantify a bit, increased
let's say yield or maybe as you say, greater Polymetal output, or let's say power reduction? So,
what are the benefits if you can just quantify some more?
Kunal Shah: I cannot quantify for this specific transaction. That's not possible. It's not allowed.
Priyankar Biswas: No, not this customer, like in general, what is expected to be...
Kunal Shah: At least 15% of throughput improvement, at least. Otherwise, it's not material. And throughput
is inversely linked to power. So, 15% throughput improvement is 15% power reduction, plus
other benefits of down process and other things. That depends on every customer. But a
fractional improvement is still material.
Sanjay Majmudar: And just to add from a geographical standpoint in some of the regions where power cost is huge,
power becomes a very big driving force. In some geographies where throughput improvement

is very critical, it becomes a driving force for approaching that particular client. Having said
that, these two factors are massive when it comes to reduction of the total cost of ownership,
which are just making the savings in terms of consumable wear parts.
Kunal Shah: Okay. Now, it's absolutel

y clear.
Moderator: Our next question comes from the line of Raja Kumar with RK Investment. Please go ahead.
Raja Kumar: Can you hear me?
Moderator: You're audible sir.
Raja Kumar: Thanks for the opportunity. Sir, these new solutions that we are offering, is that an expertise that
we built post-acquisition of Vega Industries Australia?
Kunal Shah: No, no sir. Vega is a history in terms of way back in 2001-2002, it is nothing. Vega acquisitions
were all concluded.
Management: It was not an acquisition. When we started off, that was an entity. It is our own fully owned
subsidiary. It was just an entity that was created...
Sanjay Majmudar: For global market.
Kunal Shah: There were 3 sales people employed out of that company, when we originally started. It was not
pulled out of AIA. It was just an entity with 3 people inside. And we said, rather than creating a
new entity, let's just pull this into AIA. There was no an acquisition as such.
Raja Kumar: Okay, got it, sir. So, this technology that you're talking about, so I'm sure you'll be patenting this
as well, right?
Sanjay Majmudar: There is a patent as far as design is concerned, but it is -- IP in terms of cause an effect, cause
and outcomes. It is a causal knowledge that becomes part of our IP. But design will surely be
going through a patent conversation, yes.
Raja Kumar: Okay. No, no. The reason for this question is, is there a risk that somebody can copy this
technology or AI will have a patent.
Sanjay Majmudar: Sir, this technology is not a formula or a Coca-Cola formula which can be copied. It requires
humongous amount of engineering effort in terms of designing and application and then finding
the right methodology and massive interaction with a client of a size which is several times
bigger than AIA, and who is ready to stop his mine and allow me to do this conversion for a few
days. So, it's not just something that anybody can walk in. We are not at all worried about
somebody copying. That's much all I can say, honestly.
Raja Kumar: Sir, the second question is a housekeeping question. So, just looking at the inventory numbers
between '25 and '26, they have gone up almost 25%, whereas your production sales numbers are
like more or less 2%, 3% plus or minus. So, just want to know what is the reason for this 25%
increase in inventory?

Kunal Shah: So, 100% of our stock is built against orders. There is the South American order that got introduced, I think, from October, November this year. And there was a change in billing cycle for another lot where the billing shifted from when it moved from India to actually when they consume. So, both of that amount, it was a delayed invoicing and we just translated into a little more stock. So, order revenue became stock and that on a rotating basis continues then. So, it is all material for a customer. It's not housekeeping, then actual addition of stock.
Raja Kumar: Okay. And lastly, sir, is it fair to assume that the volume journey for AIA will now start go forward?
Sanjay Majmudar: That is all our endeavor, sir.
Raja Kumar: Okay, sir. Thank you so much. All the very best.
Sanjay Majmudar: Thank you.
Moderator: Our next question comes from the line of Chirag Muchhala with Centrum Broking. Please go ahead.
Chirag Muchhala: Sir, first question is, as you mentioned in the opening remarks that, I mean, post this Middle East crisis, there are some global uncertainties. So, sir, last time in FY25, we had seen some of the deferrals in terms of conversion from forged to high chrome, etcetera, by customers, that generally they would prefer not to do this when shipping-related uncertainties are high. So, just wanted to know how is the mood with miners globally currently? And in terms of conversion in FY27, do you see those getting fast-tracked or there is a possibility of delays.
Sanjay Majmudar: Chirag bhai, currently while shi

pping cost is a challenge, however, we don't see that as a limiting factor. Actually, what has happened is the transit period has been elongated slightly by maybe 10, 15 days. However, the shipping cost which initially after the war was very high has now come down to a reasonably moderate level.
I don't think that's a concern and most importantly, the efficacy and the solution that we are talking about, it is far, far away from any of the commodity pricing worries. So, frankly, it is not at all material for the whole effort. So, right now we are not actually worried about it. And anyway, we work with 100% passthrough.
Chirag Muchhala: Yes correct, sir. I was just thinking in terms of their move to I mean go ahead with a new solution in such times?
Sanjay Majmudar: Sir, it is like, imagine a copper mine where over the last five years, the output has dropped by 10%, 20%, 15%. That copper mine will have to invest hundreds of millions in terms of their ball mill and crushing capacities to maintain that output. We are going there and telling him that without any capex, without anything, we will give you a solution where you can maintain your output instead of reducing it, or in fact, increase your throughput. Why will he think about the shipping cost sir.
Chirag Muchhala: Correct sir.

Sanjay Majmudar: Okay, so there is no moat. The moat is really the efficacy and the remarkable positive impact of the solution. Nothing to do with any costing.
Chirag Muchhala: Sir, second question is that, sir, it's heartening to know that in one of the large mines our trials have been successful. If I'm not wrong, sir, we were doing such trials in two large mines. So, sir, any update on the second mine?
Sanjay Majmudar: It is going on, sir. It is going on. We are expecting something to happen over the next couple of months.
Chirag Muchhala: Okay. And sir, lastly, sir, have we -- I mean, started winning any volumes back from Brazil after the end of that sunset review clause?
Sanjay Majmudar: We should be doing 6,000, 8,000 tons in Brazil, but it still needs to scale up. It is not gone through the scale-up, we had hoped for.
Chirag Muchhala: Okay, sir. Thanks.
Moderator: Our next question comes from the line of Varun Jain from Dolat Capital. Please go ahead.
Varun Jain: Just a couple of questions I had missed. So, sir, in your balance sheet, I've seen that you had a short-term borrowing of INR485 crores. That has gone to zero. So, you had earlier said you use this export tax credit limit because there is interest subvention in that. So, you have stopped using that?
Kunal Shah: Sorry, can you repeat that? I think interest subvention...
Sanjay Majmudar: No, no, no. So, it's very momentary or functional what we were doing earlier that we were trying to sort of utilize lower cost credit and trying to work out on a little bit of arbitrage that is all cyclical. It doesn't happen consistently. And there's no specific reason for being low in this quarter. It just happens as cycles. More of a treasury function also.
Varun Jain: Okay. And sir, any from the treasury, like you have INR4,300 crores of cash. So, any plan? So, there has been a lot of, I think, a couple of years that the plan has not come for. So, any updates?

Sanjay Majmudar: It was previous question, I had replied that we have deliberately and consciously kept a little higher level of cash, though it impacts my ROCs. So, if my 22% ROC without this cash goes up to 35%, 37%, we are conscious about it.
Having said that, we are working on many fronts. Give us at least 6 to 12 months more. I'm sure today, even today at the Board level, we have these discussions. So we are very conscious about it, allow us this luxury for a few more quarters. That's all I have to say.
Varun Jain: Sir, on the dollar rupee thing, so since rupee has been depreciating so much, so do any of your customers come back

and say that they also want some rebate or some price negotiation there, or you get to keep the entire benefit?

Sanjay Majmudar: I think we already settled this question in the past where we benefit momentarily because most customers, except U.S., are importing in a local currency, Canadian dollars, reals, euro, South Africa, whatever the currency is.
So generally, I think there is a disconnect where now where rupee has weakened more than other currency, but generally they expect a lower dollar price so that their local currency cost does not go up. So, for us, a depreciating currency is better than an appreciating currency because we get to keep some.
But as a concept, I have to reset or I want to reset my dollar price. You get it? So a weakening currency, when it weakens, the reset in dollar may take a quarter or two, but till that time we have a little more benefit for a quarter or 2, and then one can assume a lot of it's being passed through.
Varun Jain: Okay, sir. In the last year, sir, you had guided close to INR300 crores of this power capex. Have you been able to do that? And what is the power -- because I think the power cost in this quarter was close to 5.8% as a percentage of sales. So, will that be structurally lower as more capacity of power comes on?
Sanjay Majmudar: Yes. So, about INR30 crores odd of balancing capex.
Varun Jain: INR30 crores, yes.
Sanjay Majmudar: INR30 crores odd of balancing capex is required to be incurred in completing the ongoing hybrid -- captive hybrid group captive scheme project that we are going on. So just to give you a perspective, our current consumption annually is about 30 crore units at current level.
It may go up. Correct? In front of it once rated capacity which I will achieve will be almost equal to about 100 megawatts in terms of my renewables. in front of which at peak, I should be able to generate about 20 crore units.
So, which means I'll become almost 60%-65% dependent on my own captive renewable power. These are all under group captive. So, as against discount cost, this should come around INR5 to INR5.5. So, it will be a saving of INR1.5 net – net. But my investment for this is relatively much lower.
Varun Jain: Okay, sir. That's all for me. Thank you and all the best.
Sanjay Majmudar: Thank you.
Moderator: Thank you. Our next question comes from the line of Lokesh Manik with Vallum Capital. Please go ahead.
Lokesh Manik: Yes. Hi, good evening, Sanjay bhai and Kunal bhai…
Sanjay Majmudar: Can you be a little bit...
Moderator: Sorry to interrupt.

Lokesh Manik: Yes. Is this better?
Sanjay Majmudar: Yes. Slightly better.
Lokesh Manik: Good. Sanjay bhai. Just one question and one suggestion. One suggestion was that if you could, going forward, provide us with percentage of revenue coming from new solution offering. I appreciate it is very small today.
We don't need the pricing and the quantity information, but percent of sales coming will give us an idea in terms of how the strategy is moving quarter-to-quarter or going forward year-to-year. It will just give some qualitative sense.
Just a suggestion on that front. And second was a question on, with this new offering, would the time for conversion reduce versus acquiring a new customer where you would take at least 3-4 years to establish your credentials versus, with the new solution offering, you can do it much faster. Is that the case from your recent experiment, sir? Yes.

Kunal Shah: From a time to market, it surely helps because now there's a better reference, right? In the process, there is skepticism or friction for the customer to say whether it will work or not work.
Having done it at an important mine site surely helps to confidence.
But I think this announcement was also to reinforce that it's a very interesting solution that we ar

e now crystallizing as we go forward. It's both things. Our own confidence that all that we are saying is coming through.
We have the confidence. We knew the technology will work. We've done it with smaller mills.
But to get a solution to work at a bigger mill reinforces our confidence in it, number one.
Reinforces the fact that my solution is extraordinary or disproportionate and instills with comfort, of course, and hopefully a lower conversion time.
But like I said, it ultimately the signal today, I can't convert that into 2,000, 5,000, 10,000 tons in 2 years, right? So, we still don't have that...
Lokesh Manik: Sir. For the 15 mines that you've implemented, have you seen the time to market reduce from 4 years. That was my just understanding. Just...
Kunal Shah: Sir, these are 15 mines are in different countries. They are different mill configurations, different operating conditions. What I am saying is, there are two parallel things. One is building out the solution, and second is the reference list. As both happen, your time surely has to reduce.
I think what I'm saying is if the input increases, the output will increase but I cannot give you an objective answer there, I can't tell you that out of 24 months it will take 18 months. What I'm trying to tell you is that it will still take time, but objectively these are important developments that hopefully will lead to lower conversion time.
Lokesh Manik: Understood. That's it from my side. Thank you so much.
Sanjay Majmudar: Thank you.

Moderator: Thank you. Ladies and gentlemen, to ask a question, you may press star and one. Our next question is from the line of Ankur Periwal from Axis Capital. Please go ahead.
Ankur Periwal: Sir. Thanks for the follow-up. So, first question, if I look at our last, not specific for FY26, but let's say even'25 and '26 put together. There is an absolute increase in realization on a per ton basis. While the cost here is largely flat or maybe down, I'm looking more on COGS side. Would it be fair to say that this increase in realization is largely a function of product mix, maybe more of casting getting sold versus grinding media here?
Kunal Shah: I think as of now, my raw material cost is at one of the highest levels today, this quarter. With the Iran war. Then we have war in Russia, then Covid. It has been volatile. So, my raw material absolute rupees per kilo has gone up, my selling price has gone up, number one. My shipping cost has gone up, is reflected in my selling price.
My currency has moved from INR75, INR78, INR80 to INR95, that is reflected in my realization, and my product mix is part of it. It's a combination of all four things. I don't think we'll be able to strip it out to say which is why, to say what is each element. Next year, INR165 is a fair realization to consider.
Ankur Periwal: Sure. But just thinking aloud, if -- as the solution business keeps on picking up, which is where more of castings will get occupied versus not only grinding media, won't directionally the realization growth will sort of as well?
Kunal Shah: Not really, because today also a lot of our business in cement. Some part of mining is solution-driven, but the nature of the solution is changing. It is still grinding media and castings. Today also, a reasonable portion of my volume comes from castings. Castings have always been and will continue to be important part over here.
What we are specifically discussing is the intervention and the impact of the castings bit. We don't want to sell only casting. It cannot function without the grinding media in sync with the whole operating condition. The impact of castings are not just wear parts, but are tools that are bringing disproportionate benefit as part of the solution, which includes grinding media.
You cannot just strip away castings and say, making 500 in realization. It will, we will intent,

endeavor, and the solution is to sell the whole package, which includes grinding media and casting, and which is where considering much above INR165 may not be a fair assumption.
Ankur Periwal: Sure. That's very clear. Just second bit, the earlier order of around 15 or 1,000 tons from the South American client. Should that volume start coming in this year? Any timelines you can share on that?
Kunal Shah: No, it has already started.
Ankur Periwal: Okay. Last year it started?
Kunal Shah: No, the dispatches started last year. This quarter, January quarter would have started seeing some invoicing. I think a lot of that will come in this quarter and ongoing, first quarter of this year

onwards. Some of it is there in the fourth quarter, because dispatches from India started in October. Invoicing will happen from, I think, started from sometime in February, January, February, and it will get into regular stream from this quarter.

Ankur Periwal: Sure, sir. That's very helpful. Thank you and all the best. Thanks.

Kunal Shah: Thank you.

Moderator: Thank you. As there are no more questions, I would now like to hand the conference over to the AIA Engineering management team. Please go ahead, sir.

Kunal Shah: Thank you everyone for joining. As usual, Sanjay and I are available for any questions offline, and we look forward to connecting at the end of the first quarter next year. Thank you.

Moderator: Thank you. Ladies and gentlemen, this concludes your conference for today. We thank you for your participation and for using Chorus Call conferencing services. You may please disconnect your lines now. Thank you and have a great evening.